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The Middle Eastern Bathroom & Kitchen Product Markets

- 2020 Edition -



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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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UAE

BACKGROUND

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

The United Arab Emirates, widely known as the UAE, is a federation of seven emirates: Abu Dhabi, Ajman, Dubai, Fujairah, Ras al-Khaimah, Sharjah, and Umm al-Quwain. The UAE is one of the GCC (Gulf Cooperation Council) countries, a regional organisation of six countries based in the Arabian Gulf, itself a sub-region under the Middle East and North Africa (MENA) region. Abu Dhabi is the capital of the country and leads the whole federation; Dubai, however, remains the main city of the country and the heart of business, with the Al Maktoum family at its head. The country is wealthy and the disparities among the living standards of the population are huge. In terms of purchasing power, out of the 10 million inhabitants in the country, only locals, westerners, a significant part of other Arabs and a small percentage of Asians can afford a 'decent' life, as per European standards, and this number of people is less than a quarter of the population.

The UAE has the world's sixth largest proven oil reserves, situated mainly (95%) in the Emirate of Abu Dhabi. The country is also in a strategic location along the southern approaches to the Strait of Hormuz, a vital transit point for world crude oil. It is currently the 36th largest economy in the world at market exchange rates, and has a high per capita gross domestic product, with a nominal per capita GDP of over \$46,584 as per the IMF. The United Arab Emirates is classified as a high income developing economy by the same fund. Abu Dhabi, the largest emirate, accounts for 87% of the UAE's total area (67,340 square kilometres) and is by far the richest. The smallest emirate, Ajman, encompasses only 258 square kilometres.

According to the World Bank, the UAE had a total population of 9.89 million in 2020. During the year, the country continued to experience a population growth driven by the relocation of foreigners or other Arabs from the region who are wealthy enough to leave their unstable countries to settle in the UAE. However, different sources give different estimations due to the calculation method used and whether short-term immigrants are counted as part of the population or not. Of the population 11.5% are Emirati, 23% are Arab or Iranian, 57.5% are from South Asia, and 8% are expatriates from the US, Western Europe or Eastern Asia. The total share of foreigners in the population has reached 88.5%, and all countries/cultures are well represented (with the exception of Africa).

Due to the population structure being largely driven by economic (male) immigrants, the UAE has the highest male to female ratio in the world. Indeed, there are 2.19 males for every one female and this number reaches 2.74 for people aged between 15 and 64. This population mostly consists of blue collar workers coming from developing countries who have a very low purchasing power. The ratio reaches only 1.05 for the population under 15, representing those that are born in the UAE from foreign or Emirati parents.

The ease of buying property in Dubai, the warm weather, and the possibility of enjoying a Western lifestyle in a part of the Arab world in which security and the rule of law exists, attracts many investors and individuals from overseas to buy holiday homes. This influx comes along with the addition of new economic migrants' year-on-year despite the attempts of the government to reduce its dependence on foreign workers.

Macroeconomic Overview

The UAE is the second largest economy in the Arabian Peninsula after Saudi Arabia. The UAE has an open economy with a high income per capita and a sizeable annual trade surplus. Since oil was discovered in the UAE 30 years ago, the country has undergone a profound transformation, switching from an underdeveloped and impoverished region of small desert principalities to a modern state with a high standard of living. The rulers of the UAE have taken a keen interest in developing their economy by diversification into various areas including trade and tourism. The UAE's free trade zones, which offer 100% foreign ownership and zero taxes, are a big asset to attract foreign investors.

The global financial crisis, tight international credit and deflated asset prices had an adverse effect on the economy in 2009. The crisis hit Dubai the hardest of all the principalities, because the city was heavily exposed to depressed real estate prices, along with high dependency on foreign investments. The UAE is considered to be a politically stable country situated in the highly volatile region of the Middle East. This has attracted and continues to attract investors, contributing to the economic growth of the country.

The strategic location of the UAE in the Persian Gulf, along with its proximity to the growing markets of Asia and Africa, is also a major attraction for potential investors. The government responded to demands for reform during the 'Arab Spring' by initiating a \$1.6 billion programme to improve the infrastructure in the poorer northern Emirates and expanding the number of people allowed to vote in the September 2011 elections for the Federal National Council.

The UAE has a friendly image abroad and has good relations with the West, the rest of the Middle East and the Asian countries. In this political and economic context, the country shows an ability to enjoy sustainable growth built on a strong capacity to attract investors. Abu Dhabi accounts for about 90% of the country's oil production; Dubai is the centre of finance, commerce, transportation and tourism. Free trade zones that permit 100% foreign ownership with zero taxation have helped to diversify the economy, but UAE nationals rely heavily on public sector employment and subsidised services. Despite diversification programmes for the economy, hydrocarbons still account for a majority of total government revenues.

In February 2016, the UAE government announced the introduction of a 5% VAT rate. The implementation of VAT (Value Added Tax) came into force from January 1, 2018 onwards. As per the UAE government, VAT applies to the majority of transactions in goods and services in the country along with a limited number of

exemptions.

As per the International Monetary Fund, the country's overall GDP is estimated to have grown by about 1.3% in 2019. The growth has been more or less on similar lines in comparison to 2018, although slightly subdued as the economy continued to recover from the 2015-16 slowdown caused by the decline in oil prices. The economic growth during the year, according to the central bank of UAE was driven by both, non-hydrocarbon sector and the hydrocarbon sector. The hydrocarbon sector exhibited satisfactory growth, mainly due to the double digit growth in condensates and natural gas production.

According to the central bank report, the country's economic sentiment is estimated to have improved in the fourth quarter of the year benefiting from an increase in government spending by 3.3 percent year on year and an increase in oil prices during the third quarter of 2019. Moreover, employment in the private sector increased by 2 percent year on year, compared to a 1.1 percent rise in the previous quarter and 38,765 new work permits have been issued to expat workers in the fourth quarter of 2019, compared to 13,085 new permits in the third quarter. The apex bank also observed an increase in investments leading up to Expo 2020, creating increased prospects for economic growth.

However, the decline in oil prices by 6.5% during the fourth quarter of 2019 and the continuous decline in rent and property prices persist, negatively affecting inflation in the country. Although deflation continued, the pace had, however been slowed down by a rise in non-energy growth and employment, thanks to prospects of Expo 2020, which was planned to be held in October 2020.

In spite of the economy having a positive growth in 2019, this federation of seven emirates, dominated by oil rich Abu Dhabi and Dubai, a hub of tourism and logistics, is largely struggling amid geopolitical tensions over Iran and an oversupplied property market. Moreover, the COVID-19 outbreak in China, UAE's biggest trading partner and a record drop in oil prices prevailing from the beginning of 2020 could put a further strain on the economy. Even though the Expo 2020 event is to take place later in the year, if the COVID-19 pandemic situation does not improve in the next two to four months, there are talks of postponing the event. UAE has been banking on the event to be a success and hopes that it will provide an impetus to a falling economy. But, Abu Dhabi Commercial Bank, the nation's prominent lender, has reduced non-oil growth projection for 2020 to 2.3% due to the fallout of the COVID-19. According to the IMF, the latest forecast for UAE economy as a whole is -3.5%, which is a drastic fall compared to 2019.

Residential Construction

The UAE construction sector has played an important role in development and diversification of the UAE economy, and expected to do the same along the future. There indeed has been slump in the performance of the construction sector in the Middle East region which can be attributed to slowing labour productivity growth, decline in short-term demand and cyclicity issues. As a consequence, many

construction projects suffer from cost and time overruns, where the final cost of the projects is often higher than the estimated cost and thus, many construction projects span beyond their planned schedules.

As per the report published by Knight Frank, Dubai's residential market has shown signs of recovery in 2019 as there has been a sustained increase in transaction volumes. There has been increase in demand, despite average prices dropping, with mainstream prices falling by 6.0% in the year to December 2019, down from the 8.6% decline witnessed in the year to December 2018. In 2019, apartment prices fell by 8.2% and villa prices by 7.3%. Prices remain under pressure primarily as a result of high level of supply which has been delivered in 2019.

Dubai's residential market recorded declines in the number of both apartment and villa rents in 2019. Sale prices also decreased for apartments and villas. Overall, the residential market remains tenant friendly, with landlords offering flexible payment options in order to attract new tenants. In addition to the various initiatives launched by the government to boost residential demand from potential foreign investors and residents, developers are also trying to enhance the residential market by providing various initiatives such as waiving off the 4% registration fees, offering monthly payment schemes, and post-handover plans.

The Abu Dhabi residential market, on the other hand, had a new supply of about 6600 units. The performance of this market remained subdued, also, as a result of oversupply and a weak economic backdrop.

The delivery of upcoming supply in Abu Dhabi and much more so in Dubai is the most significant headwind facing the UAE's residential market over the coming year. Looking ahead, with the large quantum of upcoming supply, we expect healthy occupancy levels mainly in developments catering to the middle-income resident.

However, current developments will continue to face challenges with homebuyers and tenants having more bargaining power while negotiating terms and conditions, rental rates, and sale prices. This, in a sense is good for the construction industry but will continue to put pressure on the prices and rents resulting in a negative effect on the already ailing economy, and more so, since construction industry forms the backbone of UAE's non-hydrocarbon economy.

New Housing

2019 saw the completion of more than 35,000 residential units in Dubai, the highest ever delivered in a year. Major completions in 2019 included 3 residential buildings in Silicon Park, townhouses in Maple 1 and 2 and a residential complex in Al Qusais, bringing the total residential stock to around 555,000 units.

In preparation for Expo 2020, residential supply is expected to reach 637,000 by the end of 2020, representing an average annual increase of 15%. In Dubai, almost 62,500 units are due for completion in 2020. Whilst we are unlikely to see this

entire pipeline come to fruition and actual completions are likely to be far less (with the average materialization rate over the past 5 years being less than 50%). Major projects scheduled for delivery in 2020 include Azizi Riviera in Meydan and Al Habtoor City.

The Abu Dhabi residential market on the other hand had a new supply of about 6600 units in 2019. The performance of this market remained subdued, also, as a result of oversupply and a weak economic backdrop. Notable deliveries on Saadiyat Island included Azure apartments and townhouses – part of phase 1 of Mamsha Al Saadiyat, Soho Square, Park View, and more.

In 2020, over 8,500 units are expected to be delivered in Abu Dhabi, the most since 2013. The projects expected to be completed are mostly within master planned communities such as Al Reem Island, Al Raha Beach, Saadiyat Island, and phase 1 of Riyadh City.

Housing RMI

Like the other GCC countries, the RMI segment for bathroom products is structurally a dynamic market. Due to the shorter lifespan of products installed in an Emirati house – compared to the products installed in a European house (higher quality) – householders in the UAE tend to change their bathroom products very regularly.

This is due to cheaper costs of material and labour along with the ease of replacement as compared to fixing the broken product. Another trend driving this segment is the tradition for bathroom products being generally replaced when moving into a new home.

Non-Residential Construction

In the past couple of decades, United Arab Emirates has experienced an unprecedented development within the non-housing sector: infrastructure, transportation, and networks for electricity and water have had to be improved to prepare for the new housing developments.

Throughout 2019, there was approximately 182,000 sq. m of office space delivered in Dubai, which is reportedly the highest level of deliveries since 2015. According to real estate experts, this expansion is still below expectations and thus several initiatives have been launched by the government to boost demand and increase business activity in Dubai. Major initiatives include One Free Zone Passport, dual-licensing, full ownership of onshore companies and reduction of market fees imposed on businesses by the Dubai Municipality. These initiatives are expected to bring in more investments, generate employment, and positively influence office space demand in the medium to long term.

More than 282,000 sq. m of retail space was completed in 2019, which is, again, the highest level of deliveries since 2015. Major completions in 2019 included

Nakheel Mall in Palm Jumeirah and The Zabeel expansion of the Dubai Mall in Downtown Dubai, bringing the total retail stock to around 4 million sq. m in Dubai. Looking ahead, retail space supply is expected to reach 5 million sq. m by the end of 2020, with notable projects including Dubai Hills Estate Mall in Dubai Hills Estate and Al Khail Avenue in Jumeirah Village Triangle.

Furthermore, around 7200 hotel rooms were added in Dubai in 2019, out of which around 3,200 rooms were added in the last quarter of the year alone. Major completions included The Address Fountain Views in Downtown Dubai and Avani Ibn Battuta, bringing the total hospitality stock to around 126,800 keys. Hotel supply is expected to reach around 151,000 keys by the end of 2020, with notable projects including Artesia in Damac Hills and Royal Atlantis in Palm Jumeirah. There has been an increase in both budget and midscale segments, where 4-star hotels comprise more than 40% of the future supply.

In case of Abu Dhabi, demand for serviced office space remained strong in 2019, as there was limited mutual appetite for capital expenditure from tenants and landlords alike, although overall market for office real estate continued to decline due to a subdued demand. Abu Dhabi also did not see any major changes in the retail space deliveries as well as hotel completions, although many deliveries are planned for 2021. Hotel Projects scheduled for delivery in 2020 include the serviced apartment development on Saadiyat Island, Park View, and Fairmont Marina Hotel and Serviced Apartment located on Corniche. By the end of 2021, hotel stock is expected to average 32,500 (from around 30,000 in 2019), with most developments located on Yas Island near entertainment landmarks, falling in the upper scale segment.

Looking ahead, whilst Expo 2020 is expected to help bolster the market, in the medium to long term both developers and hospitality operators are concerned about certain micro-markets such as serviced apartments, budget hotels and leisure accommodations, that not only have become extremely competitive in their own right, but also have a sizeable pipeline. That said, recent government initiatives such as the easing of visa regulations and five year multi-use tourist visas, alongside a growing number of varied leisure and cultural demand drivers, might help ease this pressure.

However, as of April 2020, spread of the COVID-19 disease, now a pandemic, is expected to have an effect on the economy, real estate etc., regionally among the GCC countries, as well as globally. Given the scale of this pandemic, there have been significant impacts on social mobility and in turn there will be far reaching impacts on global and regional economic growth, most of which are almost impossible to quantify at the moment. As per various reports, the future of Expo 2020, organised to be held in October 2020 is currently in jeopardy, and may have to be postponed or even cancelled, although there is no official word yet.

II.2 Key Figures

AE - DEMOGRAPHICS AND HOUSEHOLDS

Value		Year
Segmentation	Category	2019
Demographics	Population (% Rural)	13.41
	Population (% Urban)	86.59
	Population ('000)	10 749.00
Households	Average Size (Persons h/h)	4.42
	Total ('000)	2 432.00

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

AE - MACROECONOMIC KEY INDICATORS

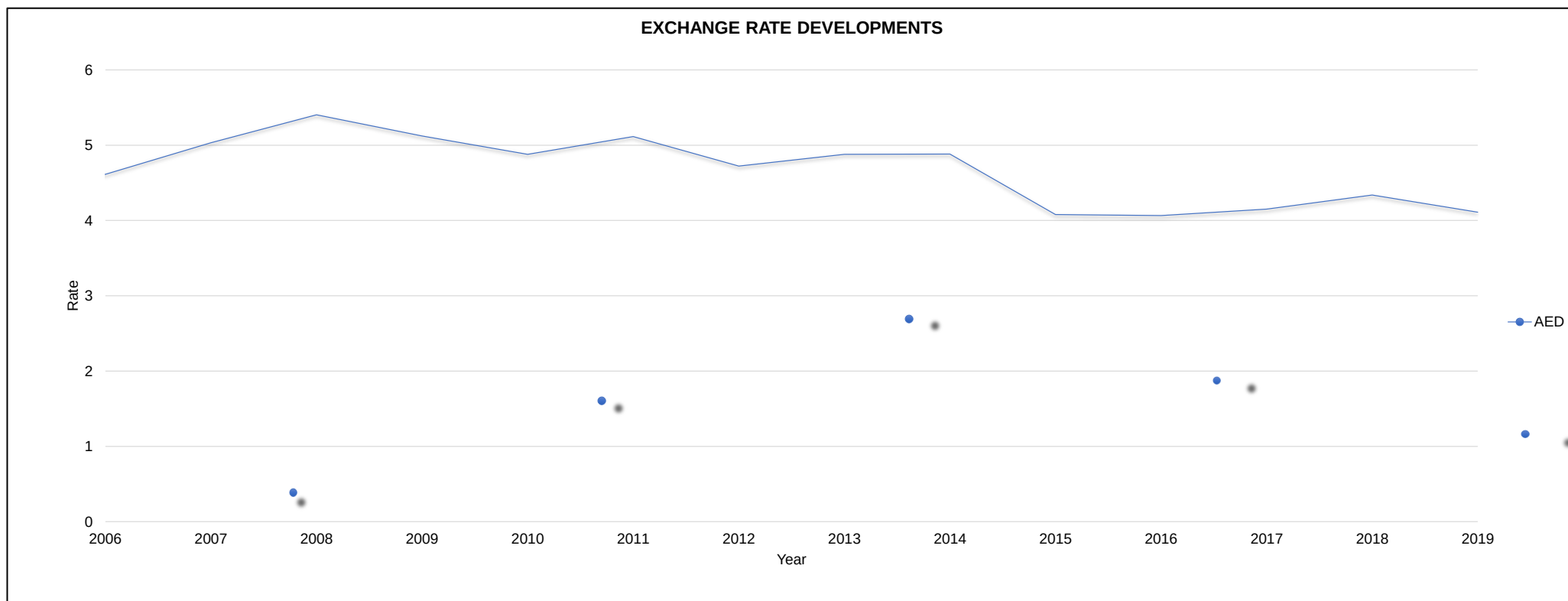
Value	Year													
Category	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	12.27	1.56	0.88	0.88	0.66	1.10	2.35	4.07	1.62	1.97	3.08	2.14	2.06	2.09
GDP (% change)	3.22	- 5.23	1.60	6.93	4.49	5.05	4.40	5.07	2.99	0.79	1.69	2.85	3.32	3.03
Government Balance (% of GDP)	17.64	- 6.13	0.55	5.32	9.01	8.40	1.91	- 3.36	- 2.02	- 1.63	- 1.77	- 0.84	- 1.70	- 0.64

Source : IMF

N.B. No data available beyond 2021 at the time of publication.

II.4 Historical and Current Exchange Rates

AE - EXCHANGE RATES : HISTORICAL AND CURRENT



Local Currency	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / AED	4.57	4.61	5.03	5.40	5.12	4.88	5.12	4.72	4.88	4.88	4.08	4.07	4.15	4.34	4.11
% change	-	0.87%	9.09%	7.36%	-5.21%	-4.77%	4.87%	-7.67%	3.30%	0.07%	-16.47%	-0.31%	2.12%	4.49%	-5.25%

Source: OANDA

The UNITED ARAB EMIRATES DIRHAMS (AED) is the Currency of UAE. The Exchange Rates Shown are the AED to the EUR.

II.5 Overview of Impact of COVID-19 on Forecasts

AE – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [easing]	Countrywide since 5 th April (Expected easing from 29 th April). Prior to this, night-time curfew in place nationwide since 26 th March.
Number of officially confirmed cases	11,380 confirmed cases [89 fatalities] as of 28 th April. Total population: 9.9 million (88% expatriates).
General measures in place to support the economy	Central Bank announced stimulus package worth \$70 billion in total (\$27 billion on 14 th March). Interest rates cut to 0.75%. Temporary exemptions on principal payments and interest on loans in private sectors affected by COVID-19 In Dubai, reduction in municipality fees imposed on sales at hotels from 7% to 3.5%. In Abu Dhabi, suspension of tourism and municipality fees for the tourism and entertainment sectors until the end of 2020.
Measures in place to mitigate economic impact on INDIVIDUALS	100% of government employees to work from home through the 100% remote work system from 29 th March throughout Dubai. Abu Dhabi and Sharjah had already announced this previously. 80% of private business staff to work from home in Dubai, establishments excluded: pharmacies, cooperative societies, grocery stores, supermarkets. The suspension of bank accounts is halted until 30 th September. Credit card processing fees are being refunded in full for foreign currency transactions carried out after 1 st January 2020. Payment instalments on existing loans and credit cards are deferred for up to three months until 30 th June.
Specific measures affecting BUILDING CONSTRUCTION and RMI (including access to DIY stores)	Construction workers are exempt from the work from home measures. Construction to continue with social distancing rules. 50% of the total capacity on a bus can be used to transport workers to the site. Reduced number of shifts and hours on site. De-contamination measures are carried out after every shift. Testing facilities are available for workers. Mandatory usage of hand sanitisers. Only contractors can be on site.
Measures in place to mitigate economic impact on COMPANIES	ABU DHABI: Credit guarantee programme; industrial land leasing fees reduced by 25%; industrial and commercial penalties waived For SMEs: Subsidies for electricity connection fees for start-ups for 2020. Tourism Industry: Tourism and municipality fees for the tourism and entertainment sectors suspended for 2020. DUBAI: Financial incentives for free zone entities. Prioritisation of government suppliers. Improved automation proposals. 100% waiver of outdoor rents for retailers. Two-month waiver of rental fees for entities affected by temporary closures.
Other	Construction was expected to boom in 2020, driving GDP growth to levels higher than in 2019. Construction might be affected, which in turn might impact project sales. Sales of bathroom installation products could still be slightly higher than 2019 if things do get back to normal by June 2020; otherwise, a decline is expected.

Sources:

- <https://www.middleeasteye.net/news/coronavirus-uae-imposes-overnight-curfew-disinfection-campaign>
- <https://www.outlookindia.com/outlooktraveller/travelnews/story/70181/uae-begins-24-hour-lockdown-for-two-weeks-from-april-5-to-contain-the-covid-19>
- <https://gulfnews.com/uae/covid-19-uae-announces-483-new-coronavirus-cases-6-deaths-1.1587555109412>
- <https://www.edarabia.com/population-uae/> - <https://www.imf.org/external/datamapper/profile/ARE/WEQ>
- <https://gulfnews.com/business/property/covid-19-fallout-uae-construction-sector-told-to-re-price-projects-1.1586506327896>
- <https://www.business-humanrights.org/en/world-cup-expo-2020-construction-covid-19-risks-to-migrant-workers-in-qatar-the-uae>
- <https://www.meed.com/coronavirus-impact-uae-economy> - <https://www.khaleejtimes.com/business/local/construction-to-survive-covid-19-challenge>
- <https://gulfnews.com/business/property/covid-19-response-uae-banks-will-ease-construction-sector-payment-issue-1.1586845724372>
- <https://gulfnews.com/business/covid-19-impact-preserving-demand-and-jobs-key-to-uaes-economic-recovery-1.71133566>
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UAE

DISTRIBUTION

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

Due to its strategic geographical position, the openness towards international trade and the quasi absence of a manufacturing industry in the country, the city-Emirate of Dubai – and particularly its port – plays a key role in the distribution of bathroom products.

The distribution of bathroom products in the UAE is not as structured and developed as in most European or North American countries and tends to have a similar pattern to that seen in Asia. The distribution of bathroom products is strongly linked to construction activities, influencing sales and themselves depending on public and private projects. For this reason, the role of contractors in the distribution structure is strong. Similarly, sales are cyclical due to the structural irregularity of the projects, with their expected completion dates and different sizes impacting the overall volume of sales.

As the country's development is still ongoing, with major infrastructure transformation taking place, the distribution structure for building products sold in the country, including bathroom products, does not have the rigidity found in developed and economically-mature countries. For instance, the new port in Abu Dhabi – Khalifa Port – that was inaugurated in 2012 with an initial capacity of 2.5 million TEU (Twenty-foot Equivalent Unit), should reshape the distribution network for bathroom products in the UAE. While Dubai, and particularly its port in the free zone of Jebel Ali, has always represented the centre of gravity for importers, the new port in Abu Dhabi should capture some of the shipments that were previously reaching Dubai as a final destination. Another mega project that is expected to have a significant impact on the distribution of bathroom products is the construction of a railway network to link the GCC countries together. The transportation of goods from one country to another will be easier and in line with the increasing economic integration of the GCC countries. Along with an increasing number of free trade measures among them, the supply structure for the distribution of bathroom products should expand.

For a limited number of products, such as ceramic sanitary ware, the distribution channels can be split between local and foreign manufacturers, each of them having their own distribution routes. Within the foreign manufacturers, distribution routes can be subdivided between Western manufacturers, Arab manufacturers, and Asian manufacturers (this excludes the Japanese brands, which are more comparable to the Western brands in terms of the quality and product range they offer, as well as the political, economic environment of Japan). Western brands target mostly the new housing segment and other non-housing projects. Some brands are sold via showrooms based in high streets (like the famous Sheikh Zayed Road), while some other brands can be found in small retailers or in the *souq* (the traditional Arab market). This depends on how the brands deal with distributors (exclusive/non-exclusive).

Western brands generally have an agent based in Dubai. Western products – including Japanese brands – are sold through showrooms or directly through contractors. Arabian-made products tend to use a dense network of retailers, mostly within the *souq* rather than showrooms in high streets. Asian products are mostly found in the traditional markets mentioned above, but some showrooms can also display Chinese products, along with German brands such as GROHE. Chinese products continue to be widely sold in the UAE and their penetration is increasing. Their success is linked to their straightforward business strategy, offering products that match the consumer's habits (focused on low price and modern design, rather than quality and longevity, as householders tend to refurbish their bathrooms more often than in Europe). This simple but successful strategy is possible without the need for expensive marketing or promotional campaigns.

Apart from projects, where contractors deal directly with the manufacturers, showrooms appear to be one of the main pivots around which the distribution of bathroom products is structured. At another level, the *souq*, where many retailers can be found, plays a major role in the low-end product range. Local agents often fulfil a wholesale and retail function at the same time. This means that the warehouses are often equipped with a showroom. There is not always a clear distinction between the wholesale and retail trade channels.

Because of the importance of the project market, foreign companies need local agents in order to penetrate the market. Often, contacts with the major contracting firms, local and national governmental institutes, architects and project developers are of major importance. Another characteristic of the UAE market is that products tend to be replaced with the same brand, especially in the non-residential sector, and this makes it more difficult for new brands to enter the market. This is due to the strong links established between decision makers; these links are built on trust and loyalty, leading to generous discounts that help to maintain business with the same supplier, but also with financial incentive which helps to secure the business against other suppliers.

Wholesale Level

There is no clear distinction between the retail and wholesale channels in the UAE. Both market functions are often fulfilled by local agents. The lack of distinction is linked to the relative absence of legislation. Merchant traders and importers of Asian products are often originally from the country of origin of the goods. They act like agents but with a more limited role; their role is more of an administrative one, dealing with clearing goods at the airport and responding to supply demands from the myriad of small retailers.

Retail Level

DIY Retailers

In the UAE, the relatively cheap labour costs of installers and a 'culture' of DIY which is almost non-existent have led us to conclude that DIY sales do not exist in the UAE as they do in Europe and North America. However, being the most progressive country in the Middle East in terms of adopting global trends, along with having a large expatriate population, it is quite probable that the UAE may gradually embrace DIY methods in future, if labour costs rise significantly.

Specialist/Other Retailers

Showrooms are generally approached by all types of customers, such as householders, smaller retailers and contractors for small to medium projects. They are generally split into two divisions, namely a retail division and a project division. These divisions are generally separate, and the staff is normally either employed to deal with householders or the demand from the project contractors. Within the retail division, showrooms offer a wide range of products and after-sales service, including the installation. Having generally a large space, showrooms are often well situated on the high streets (Sheikh Zayed Road for the high-end product range, or on Salaheeden Road).

Showrooms enjoy a good reputation among customers thanks to their high visibility, along with a long historical presence for most of them. Sometimes, they can be based in industrial areas (in the Jebel Ali free zone, for example). Showroom networks comprising a large chain of showrooms (such as AL SHAYA, SARA and SARIEDDINE) and wholesalers usually have the knowledge of current projects, via relationships with consultants, architects and decision makers. Showrooms usually sell European brands and they now play an important role in the distribution of bathroom products. These showrooms are traditionally supplied by wholesalers, but direct supply from manufacturers is increasing. Local agents often exclusively sell and distribute products for Western manufacturers. An agent generally represents the Western brands for the entire GCC (Gulf Cooperation Council) region. In most of the cases, they are themselves part of the company, acting as representatives for the brand. Some brands are only sold to projects while others, like GROHE, are ubiquitous. Their large price range allows a horizontal and vertical coverage with numerous selling points, which appeals to consumers with varying budgets. While agents generally represent Western brands, importers act as middlemen between Asian manufacturers and wholesalers.

A large volume of sales goes through contractors. Sales of bathroom products to large projects, especially government projects, are often the result of direct negotiations between manufacturers and contractors.

In recent years, a number of importers have also opened businesses on their own and have their own showrooms cum offices in major cities of the country, especially Dubai. These “traders” (as they are known locally) import various bathroom products on order (OEM basis) from China, India, Turkey and even Malaysia, do their own branding and then sell items extensively on retail as well as project basis. ANT General Trading in Deira, Dubai is an interesting example; the company sells everything related to plumbing, right from faucets to sanitary ware and even water filters, heating elements, pipes & fittings etc. all traded and imported from India. Some of the brands it sells are SUNDEX, MR. TOILET, EUREX, UNIDEX. These brands are relatively unknown in the ‘branded’ market, but they do have a market among the lower and economy class small project and retail sales, as well as in UAE labour and construction worker accommodations which are very basic.

Internet Retailers

Sales of bathroom products through the Internet are still negligible in the UAE. Though there are e-commerce websites which offer bathroom products, especially faucets and other bathroom fittings and accessories, consumers have still not warmed up to the idea of purchasing these products online. The traditional way of making a purchase by identifying, inspecting and negotiating for a product is still the most common method. Consumers prefer to ‘touch and feel’ the product and prefer face to face interaction with salespersons before making a purchase decision. Moreover, the majority of installations are done by contractors, especially in the projects segment and, in these cases, they prefer to source their products through traditional channels.

The Internet marketplace of the UAE is a dynamic one, however, and is attracting considerable attention, both from the suppliers as well as consumers. The recent acquisition of SOUQ.COM by AMAZON, in a deal said to be over \$600 million, points to the growing interest in this sector. Other companies such as MAROSIAMART, IKEA and SHOPSHOPME are also active in the e-commerce market.

UAE

BATHS AND SHOWER TRAYS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The bath and shower tray market in the UAE is relatively large compared to the size of its population. The large size of the market is due to the presence of baths in each dwelling and a very large hotel park, thanks to a dynamic tourism sector, but also the fact that the country is a hub for international trade, attracting many entrepreneurs and investors. This is mostly true for Dubai. Due to the hectic lifestyle, most people use the bath for showering purposes. Despite that, houses – especially villas – often have several baths, fulfilling the needs of the large Emirati families. Even though there is a trend towards showering rather than bathing, sales of baths still clearly exceed sales of shower trays. This is due to the popularity of walk-in showers. Hotels may be equipped with hydromassage baths, but only in the spa section, generally on a floor dedicated to wellness, but BRG did not identify any hotels that have hydromassage baths within each room. On the other hand, in contrast to most bathroom products, sales of hydrotherapy products followed a steady trend and were not deeply affected by the global economic crisis, when sales slowed down during those years (2010–2011) but still remained positive.

The simple reason is that consumers (generally wealthy) were not affected by the crisis at the point of reconsidering their purchase. Over the last two decades, the construction industry has experienced high growth which has mainly been driven by large-sized and high-cost projects. The trend has recently seen a change, however, and today the focus is on affordable housing, especially by the government. While cutting the costs of the projects, developers reduce the bill for the interior installations, including the type of bath or shower tray that is being considered. For this reason, in the UAE a high-end building may have low or medium cost products installed. In other words, the quality of the buildings constructed in the UAE is not always reflected in the quality of bathroom products installed. Sales of hydromassage baths in the UAE are helped by the construction industry within the non-housing sector, where hydromassage baths are installed in resorts, spas and hotels. A significant share of the demand for this product also comes from individual consumers wishing to upgrade their baths to a newer product with more features.

First introduced by JACUZZI, the hydromassage bath market is now dominated by the Chinese imports. During the promotional exhibitions and fairs, Chinese products are largely present with products typically equipped with a system of lights and an integrated radio or a music device, while European products are simpler and more refined products.

Shower trays in the UAE are not as popular as baths because they do not add significant value to a bathroom, despite the fact that both baths and shower trays are mainly used for the same purpose: showering. Large and thin shower trays can replace baths in flats, however, without compromising the level of comfort that the dwelling offers and giving a modern look at the same time. A shower tray installation is more expensive, since it must also include the installation of a shower

enclosure. However, they are increasingly being preferred in the non-housing segment and in small flats where space is limited.

With regards to the type of material, the synthetic variety dominates the market, for both baths as well as shower trays. The success of both synthetic baths and shower trays is because they are available across all price segments, ranging from the economy to the luxury. Within the economy segment, the recent construction crisis has imposed budget constraints on developers, who then largely choose acrylic baths, the cheapest material, whereas in the high-end price segment, luxury product sales are driven less by the type of material used than by the design and size of the bath. The synthetic bath made with gel coated fibreglass is easily moulded into different shapes and is light and easy to repair. Due to their multiple purposes, synthetic baths have progressively replaced other bath types, such as steel baths, and are often preferred by end users within the healthcare sector.

As in the case of steel baths, cast iron baths were representative of the luxury market in the past, but consumer preferences in this upper segment have switched to larger baths, these being more comfortable and with an increased focus on the concept of 'wellness'. More expensive than synthetic ones, they are generally sold to the medium/high-end segment. Ceramic shower trays are losing popularity. Overall, the bath and shower tray market has experienced continuous growth over the past decade, except during the period of 2009-2011 when the country was hit by the economic crisis and sales decreased dramatically due to the almost complete cessation of construction projects. It should be noted that, due to the relative autonomy of each emirate, sales trends can be different in Dubai and Abu Dhabi. The country recovered by the end of 2012 and sales were back on track by 2013, experiencing a decent recovery.

Recent Market Trends

In 2019, baths and shower trays market remained more or less stable with both baths and shower tray sales experiencing a marginal growth. In Dubai particularly, the sales showed an increase due to increasing number of project completions in preparation for the Expo 2020. The anticipated event which was slated to be held in October 2020 also supported growth in construction industry during the year, triggering increase in completions, especially in the residential sector. The event is most likely to be postponed by a year to October 2021.

The market growth was also a result of influx of working migrants and expatriates into the country consequent housing completions to accommodate them. Baths are still very much a part of bathrooms in the UAE, although in recent years showering has assumed more importance due to paucity of time and focus on water saving measures.

Tourism continued to be a growing area for the country, which contributed to the bath and shower tray market growth through hotels being renovated during the year.

Sales of hydromassage baths increased during the year with consumers showing renewed interest in these products which have more functionalities than a standard bath. Although, the penetration of this product is still relatively low as compared to conventional baths, there exists a market for this product in the renovation and replacement segment. On the other hand, in the conventional bath segment, cast iron and synthetic bath sales witnessed growth while steel baths saw a decline during the year. Steel baths seem to be losing market in UAE owing to popularity and lower cost of synthetic baths.

The synthetic shower tray market also witnessed good growth during 2019 with increase in dwelling completions during the year and was also supported by an inherent gradual movement of residential construction towards bathrooms with only showers, especially in apartments.

Prices and Market Values

The MSPs for baths and shower trays in the UAE experienced an overall increase in Emirati Dirham (AED) during 2019, except for synthetic baths and shower trays, which witnessed a decline. The availability of Chinese imports at lower prices and the resulting stiff competition in the economy and lower price segments kept the prices in check. The growth in MSP for products like hydromassage baths, synthetic shower trays, synthetic baths was checked by the increased penetration of Chinese products which are cheaper than most Western brands. Chinese manufacturers tend to be very flexible and reactive to changing trends when it comes to offering products that match the purchasing power, and taste, of the consumers.

New Housing

During 2019, sales of baths and shower trays to the new housing segment continued to increase at a good rate for all materials, with the exception of ceramic shower trays. The ceramic shower trays are no longer popular in this sector and the demand for it is declining.

Completion of dwellings at a better rate in line with all round growth in construction has been the main driver for a positive growth of baths and shower trays to the new housing sector. Although the trend has slowly shifted towards showering, baths are still a common feature in UAE bathrooms.

The share of sales to the new housing sector grew for all products except for synthetic shower trays and hydromassage baths, where it declined marginally.

Housing RMI

The overall RMI sales of baths witnessed a decline during 2019, while on the other hand, synthetic shower tray sales to the sector saw an increase. In case of baths, the replacement sales of synthetic baths (the largest product segment) experienced

a decline due to growth in other end use sectors, such as new housing and non-housing as the sales witnessed more traction towards these sectors during the year. The relatively smaller bath markets such as hydromassage bath and cast iron baths saw an increase in replacement sales during the year, while steel bath volume sales to the RMI sector were more or less stable.

The synthetic shower tray replacement market fared better than the previous year and grew during 2019. Although the RMI market for shower trays is quite small compared to the new housing sector, the demand is mostly generated by households improving their shower areas in bathrooms.

Non-Housing

Sales of baths and shower trays to the non-housing segments are relatively important in UAE, especially in the major cities such as Dubai and Abu Dhabi, due to high tourism activity. Moreover, the country has been preparing to host the Expo 2020, and thus older hotels have been renovated and new hotel rooms have been added throughout 2019. This has led to a significant growth in non-housing sales of both, baths and shower trays.

2019 saw growth in sales of all items with the exception of steel baths and ceramic shower trays. The growth was markedly significant for the larger markets such as synthetic baths and shower trays while hydromassage also registered a significant positive growth.

Supply Structure

Imports of synthetic baths and shower trays, particularly from China continued to represent the biggest share of the UAE market in 2019. SHADUBE and RAK CERAMICS are the main regional brands present in the country in these markets. RAK CERAMICS actually acts as an importer, and re-brands synthetic products under its own label. As regional manufacturers offering products at affordable prices, these brands enjoy greater recognition – as well as better reputations – than other Asian importers. Among the European manufacturers IDEAL STANDARD, KOHLER, ROCA and VILLEROY & BOCH are active in the market.

Another regional player, quite popular in taps & mixers segment in UAE, DANUBE is also active in the synthetic baths market and, similar to RAK CERAMICS, re-brands imported items. However, the company has entered this market only recently and thus the sales numbers are quite low. AWAL BATH SYSTEMS, a Bahrain based regional player used to be among the top players in the bath market until recently, when it closed its operations in Sharjah, UAE early in 2019. It now

operates from Bahrain itself for sales to UAE and caters to its exclusive, long term customers. AB BATH from AL-BATHAIEH FIBER GLASS is a small player based in Sharjah which is mostly involved in project sales within UAE and also exports to GCC countries on an OEM basis.

Ceramic shower trays are mostly supplied by local and regional manufacturers. Within the steel and cast iron products, the high-end segment has continued to be driven by Western brands such as ROCA and KALDEWEI. KOHLER has emerged as another leading supplier of cast iron baths in the country. Many small players are active in the hydrotherapy market, but only a few of them have been well represented over the years, such as HAFRO products (products sold mostly in Abu Dhabi and Dubai through the distributor ARTECO).

In the UAE, the supply structure consists of three broad groups. Regional manufacturers such as SHADUBE and AWAL BATH SYSTEMS import hydromassage fixtures from Europe and mount them onto traditional baths that they manufacture themselves. They generally offer good customer service (five-year guarantees). Chinese imports together lead the market, with their affordable and 'all options' products. The third group consists of European manufacturers, such as JACUZZI. This famous brand became 'genericised' and the company used to be in the pole position, but this is no longer the case.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Market sales during the first quarter of 2020 have not been as anticipated due to the COVID-19 pandemic which has been causing major disruption across all continents in the world and proving to be a huge hurdle to all economic and developmental activities. Market activity started to lose steam in March 2020, with various restrictions by the authorities in force.

The outlook for the rest of the year also looks uncertain; there is no clarity yet on the extent of the situation and things are not expected to be normal until at least the third quarter of the year. The impact of this global emergency is such that Expo 2020, which is scheduled to be held in Dubai later in 2020, might have to be postponed to 2021 or even later.

The demand for affordable housing has been rising in the UAE for the rapidly expanding population of the country. In recent years, the governments of the Emirates have been focusing on this aspect. Social housing programmes have

been launched, and together these projects should account for additional sales of baths and shower trays in the low to medium-end price range.

UAE is perceived to be a haven in the Middle East, attracting more regional and international investments. This should boost housing construction and the country should expect long-term construction activity in the coming years due to the increasing population, mostly fuelled by foreigners (working immigrants and investors in holiday homes). Consequently, these factors should generate more sales of baths and shower trays to the new housing segment, positively affecting overall sales developments during the forecast period.

When looking at the non-housing segment, the successful economic diversity led by the tourism industry should generate more construction in the hospitality sector, as the GDP generated by the non-oil sectors is expected to grow faster than the overall GDP.

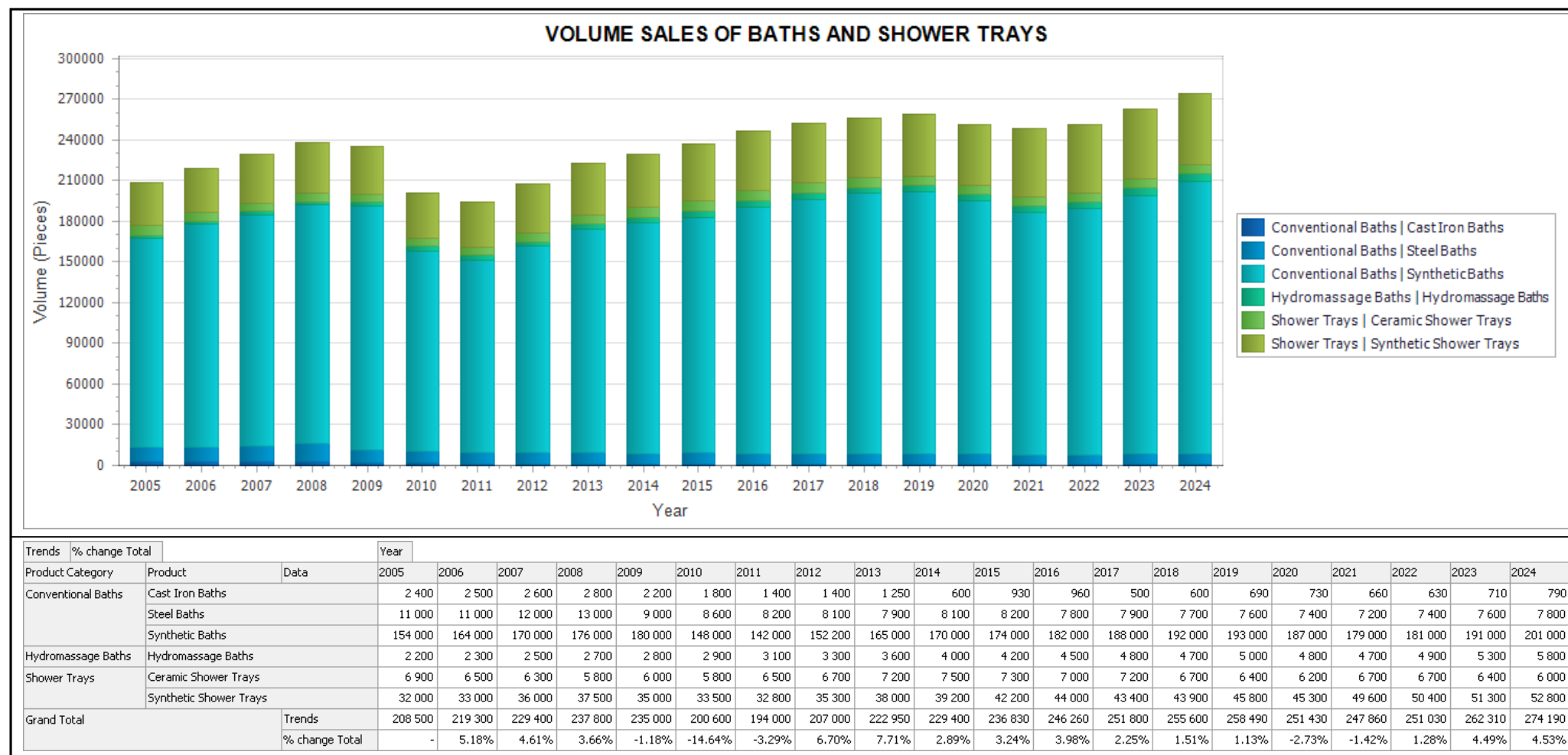
The cast iron bath market should continue to represent very low but stable sales volumes, while the steel bath market should continue to experience limited sales as new synthetic products offer similar qualities to steel baths.

The increasing affordability of hydromassage baths, however, could put a dent in the sales of conventional baths in the UAE. Moreover, wet rooms are becoming popular as the trend of showering is now preferred due to lifestyle changes and this trend may dent the market for baths and shower trays in the country.

Indeed, sales of baths and shower trays depend largely on the construction activity, and maintaining a stable and secure environment to continue to attract investors is a key priority for the government. It remains to be seen how the government reacts to the current COVID-19 pandemic situation and attempts to stimulate the hard hit industries and the economy as a whole. The current situation is certainly expected to have a cascading effect during the forecast period despite an otherwise optimistic outlook.

1.2 Historical Trends and Forecasts

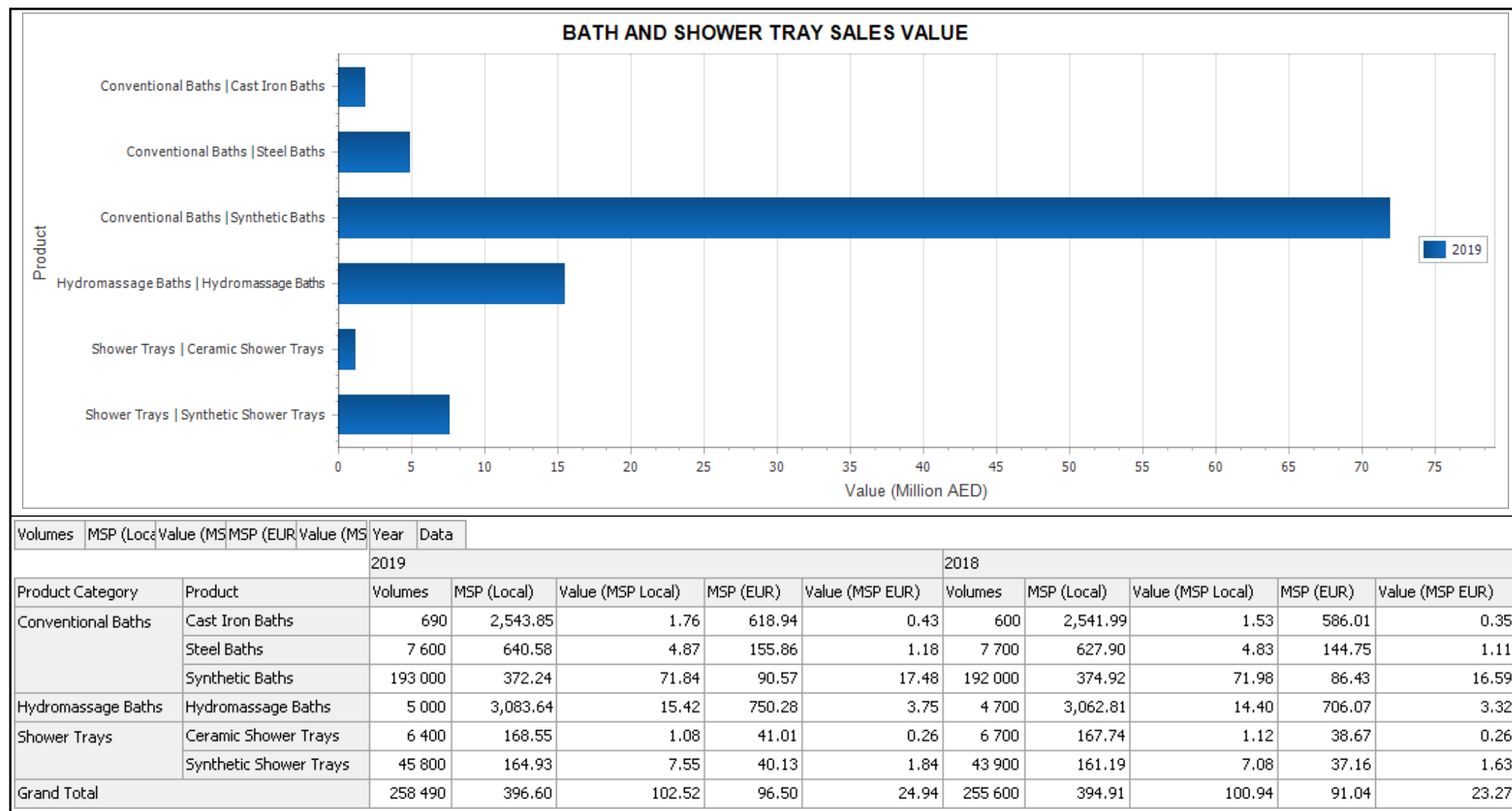
AE - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

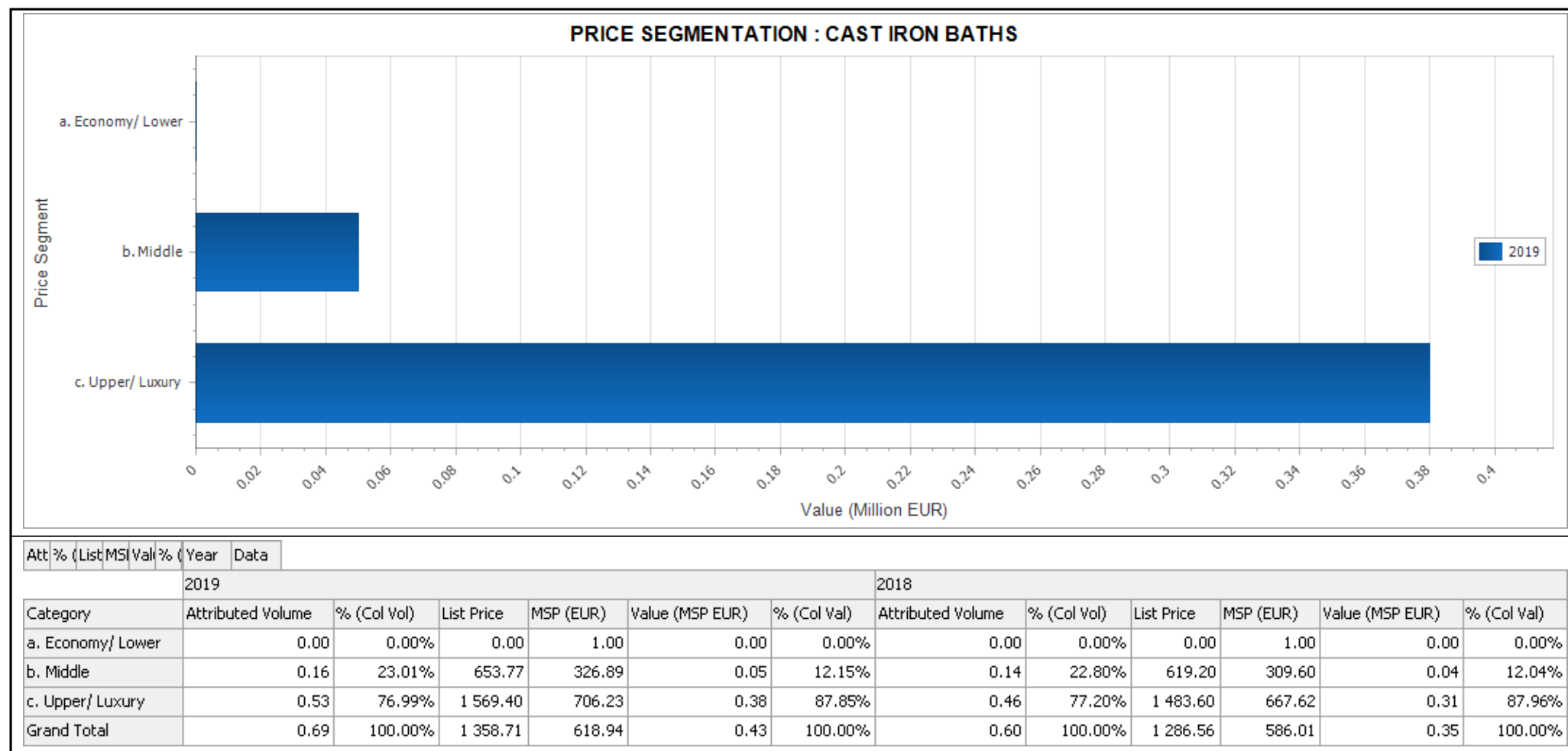
AE - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

AE - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

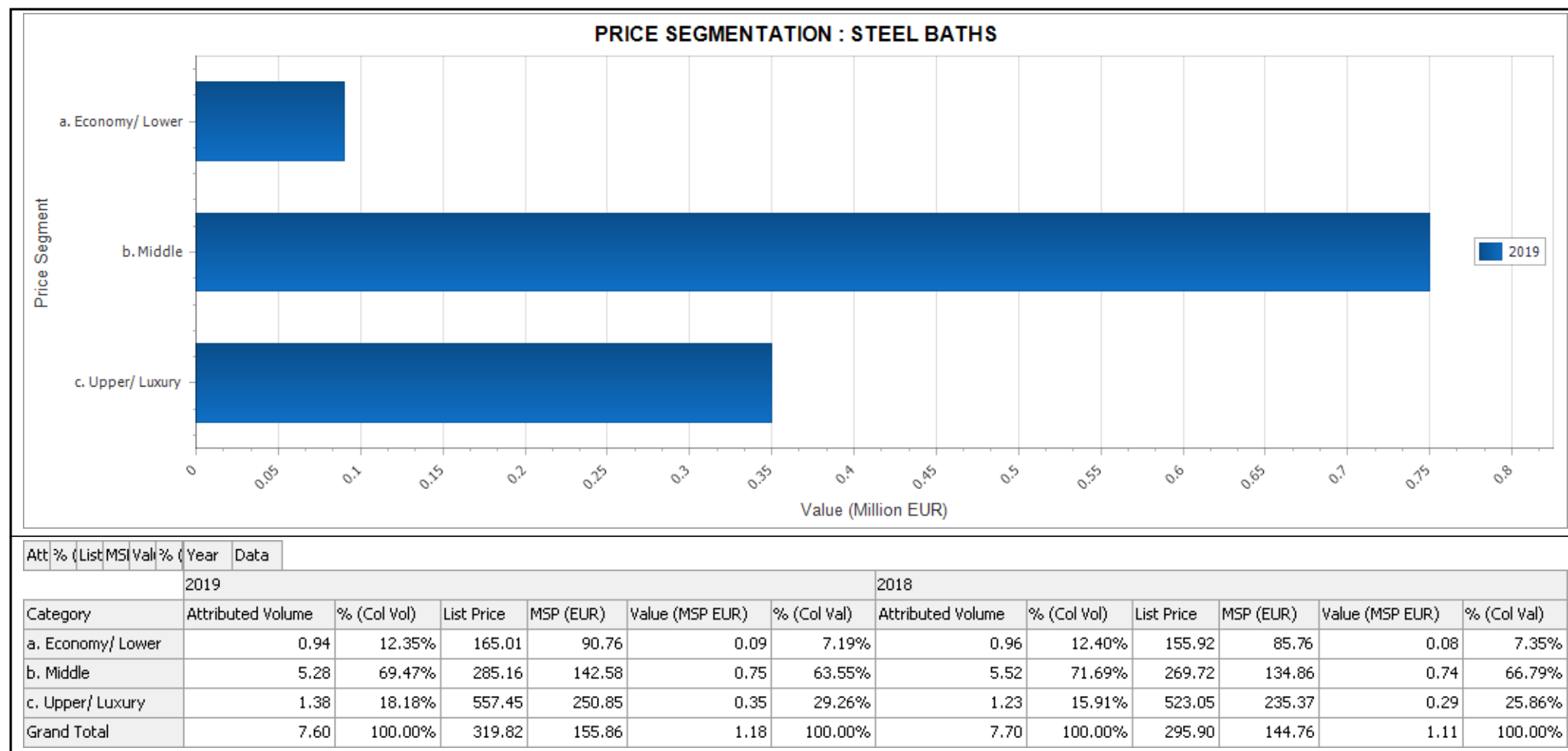


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

1.3.3 Price Segmentation : Steel Baths

AE - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

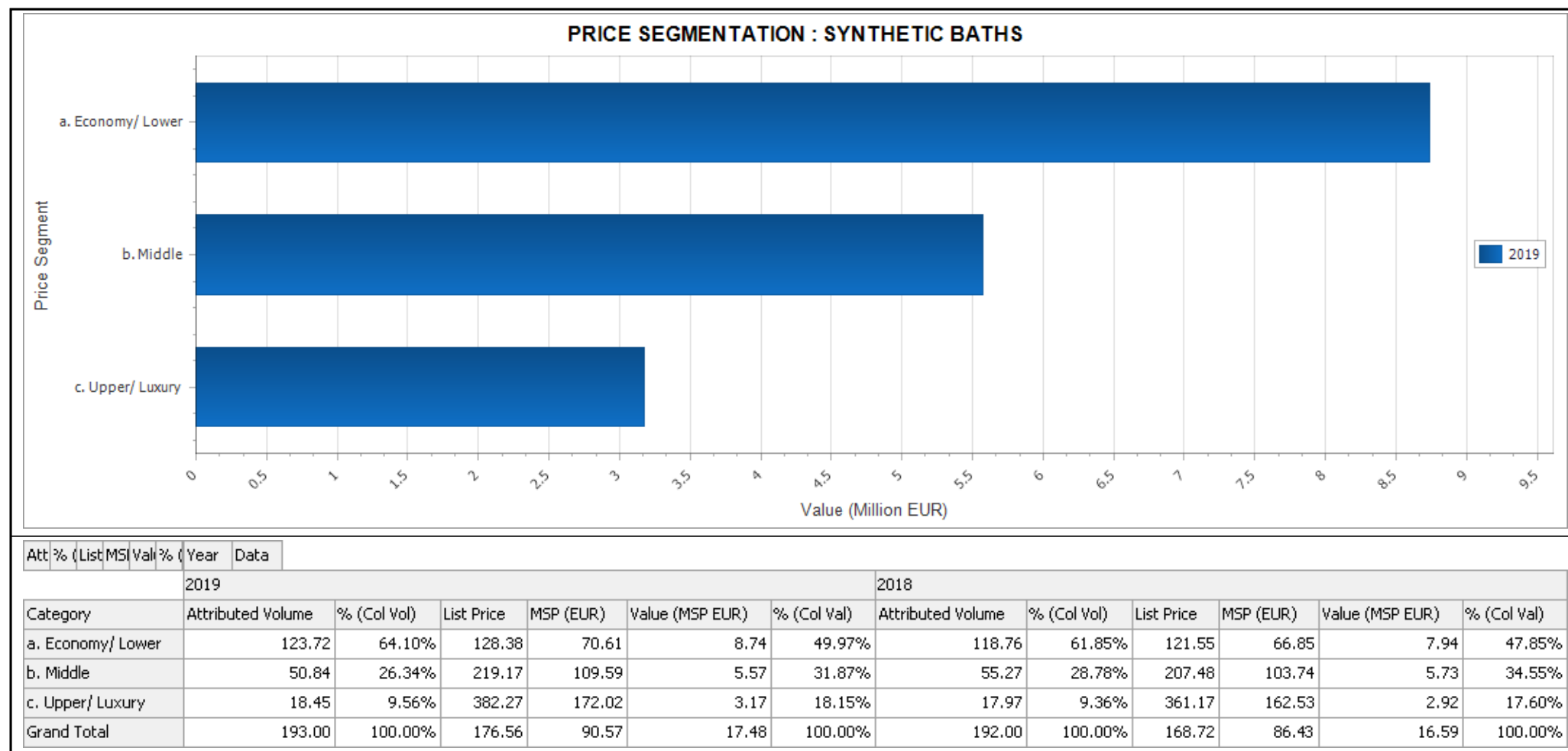


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.4 Price Segmentation : Synthetic Baths

AE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

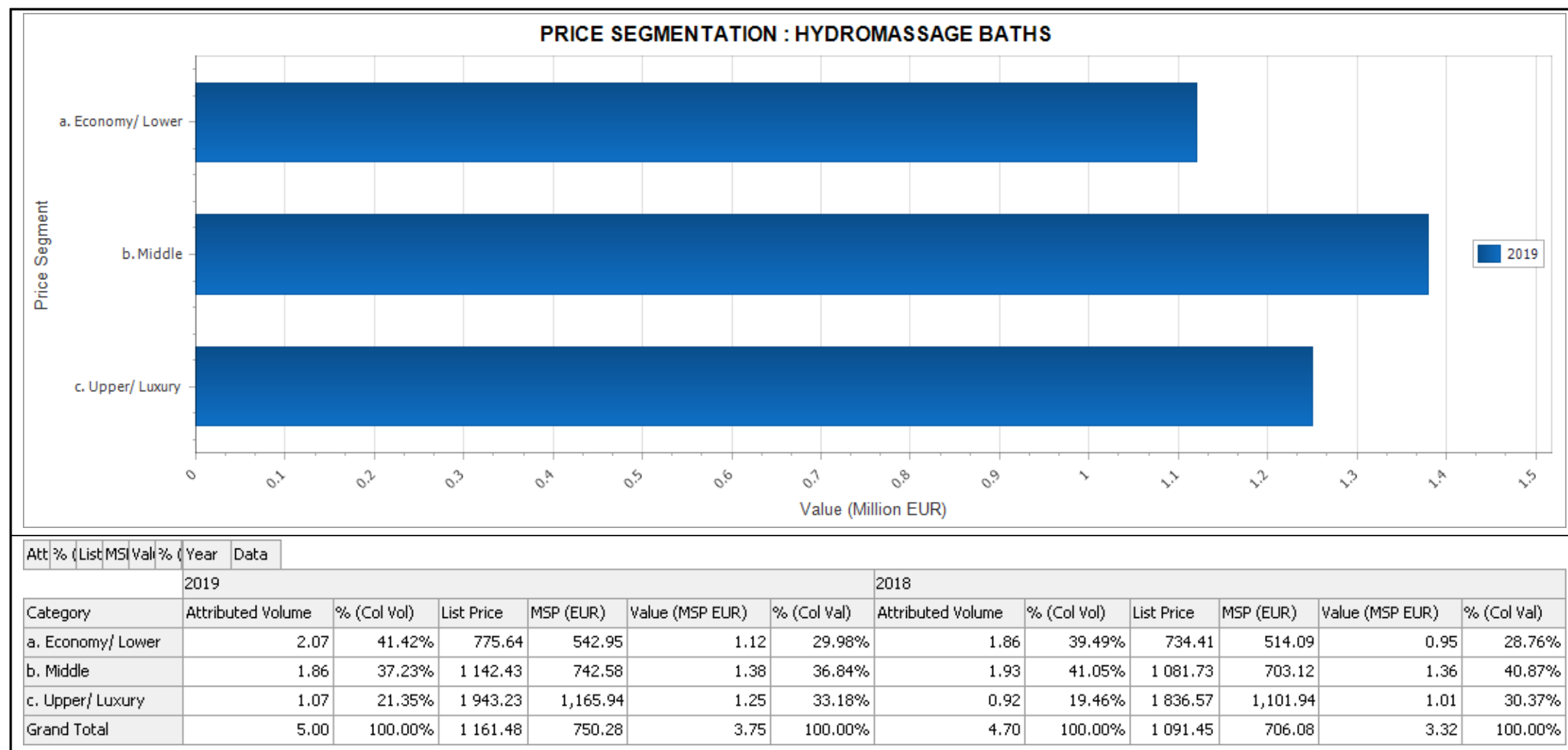


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€150, Upper/ Luxury >€150

1.3.5 Price Segmentation : Hydromassage Baths

AE - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

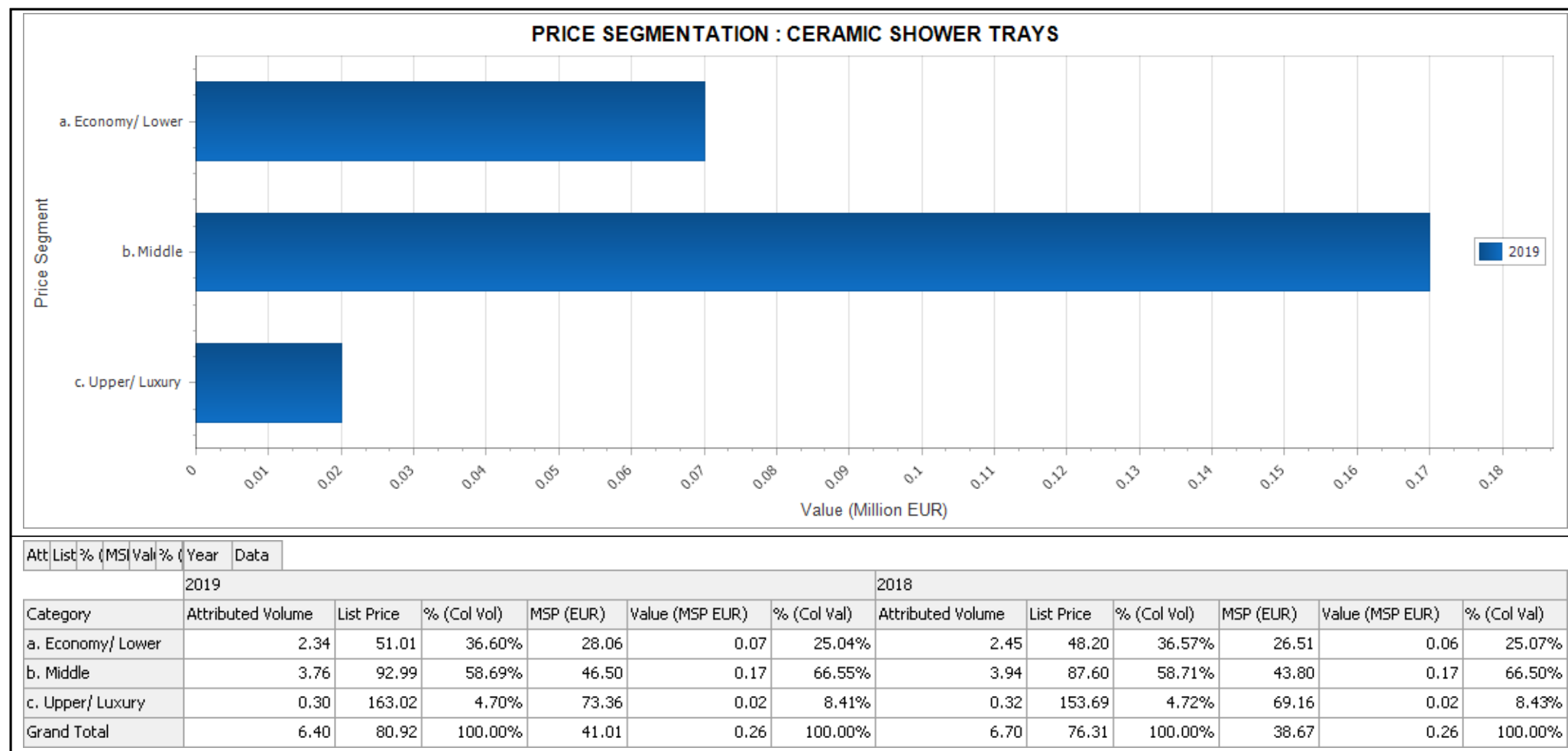


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,000, Upper/ Luxury >€1,000

1.3.6 Price Segmentation : Ceramic Shower Trays

AE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

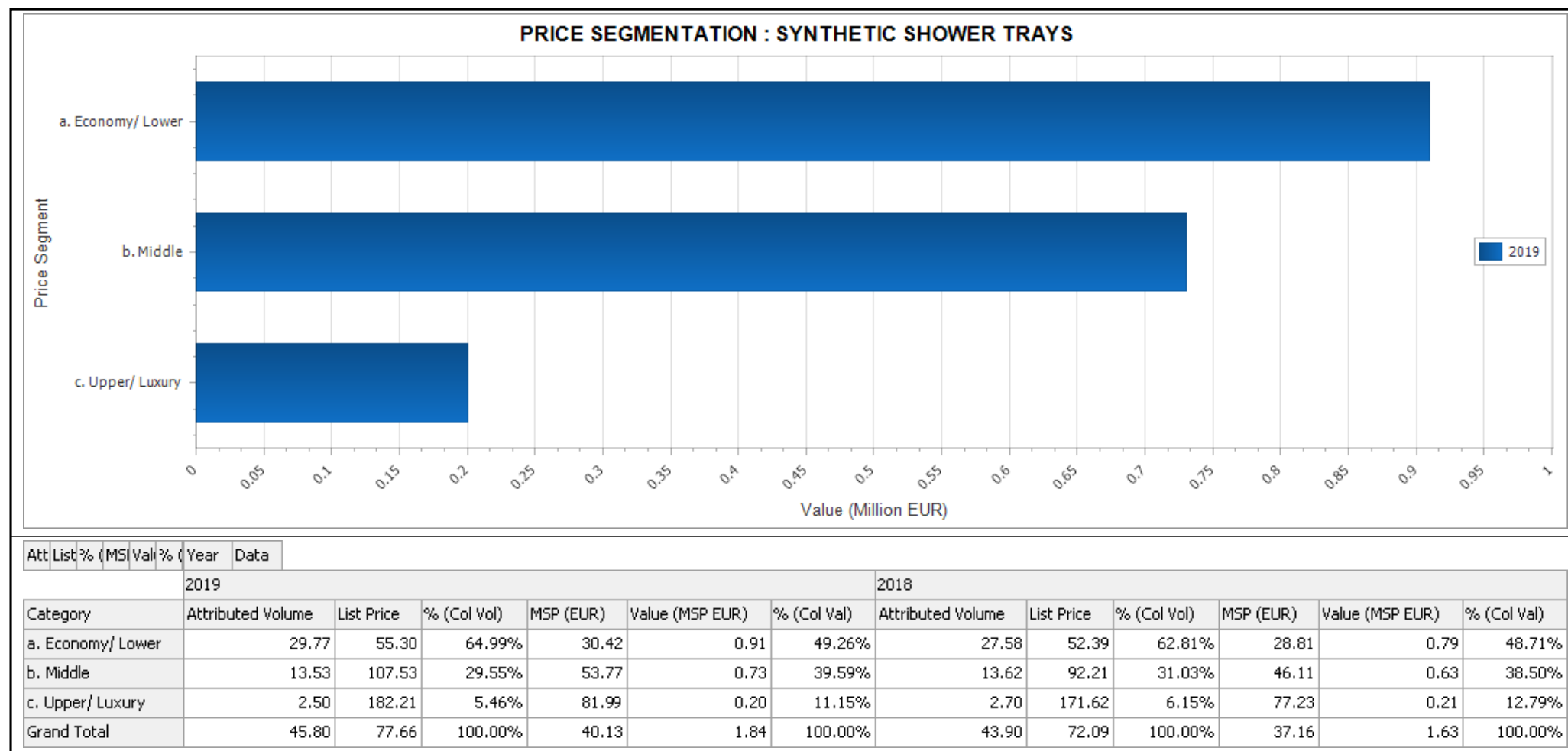


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

1.3.7 Price Segmentation : Synthetic Shower Trays

AE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

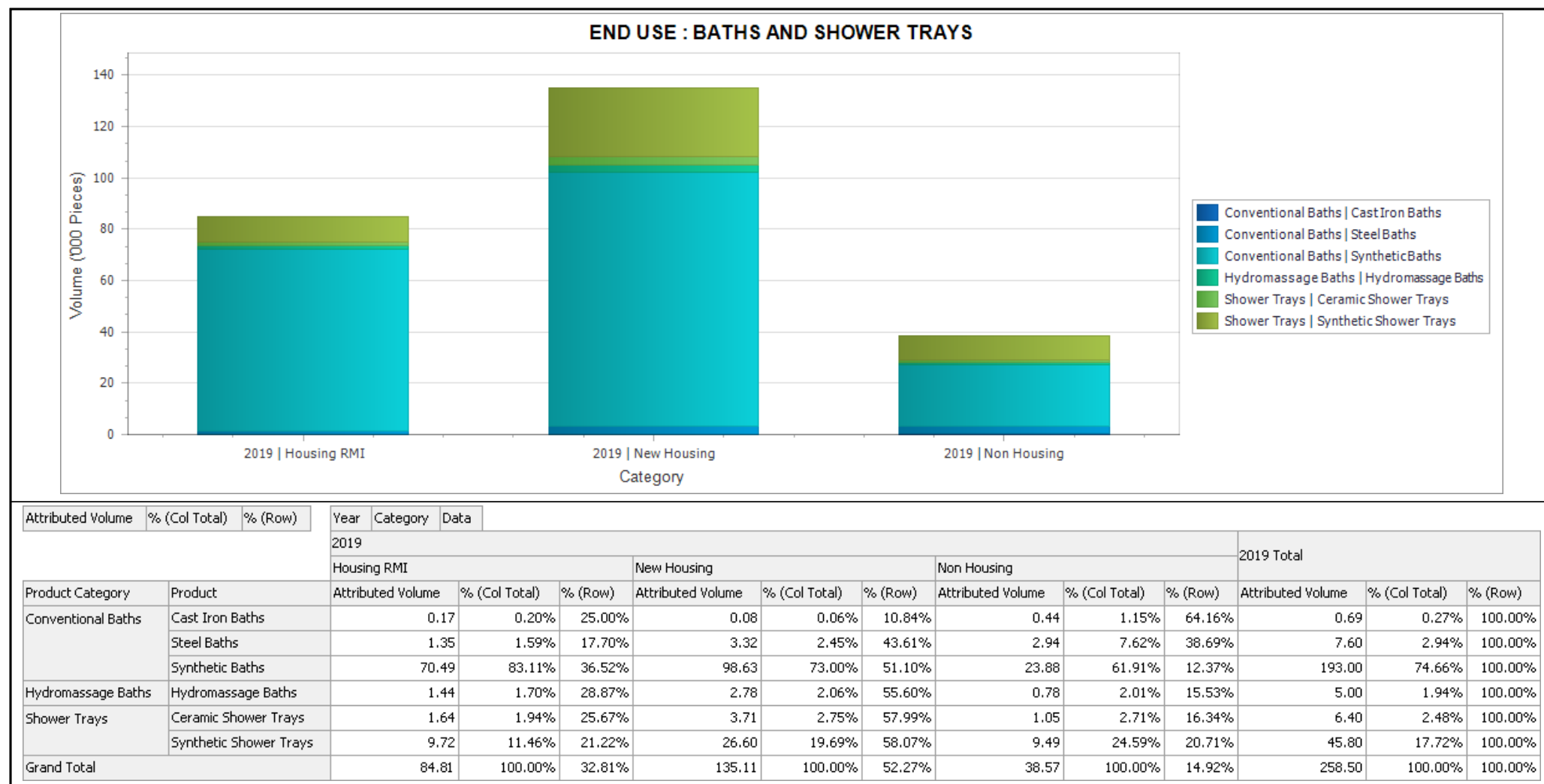


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€70, Upper/ Luxury >€70

1.4.1 End Use : Base Year

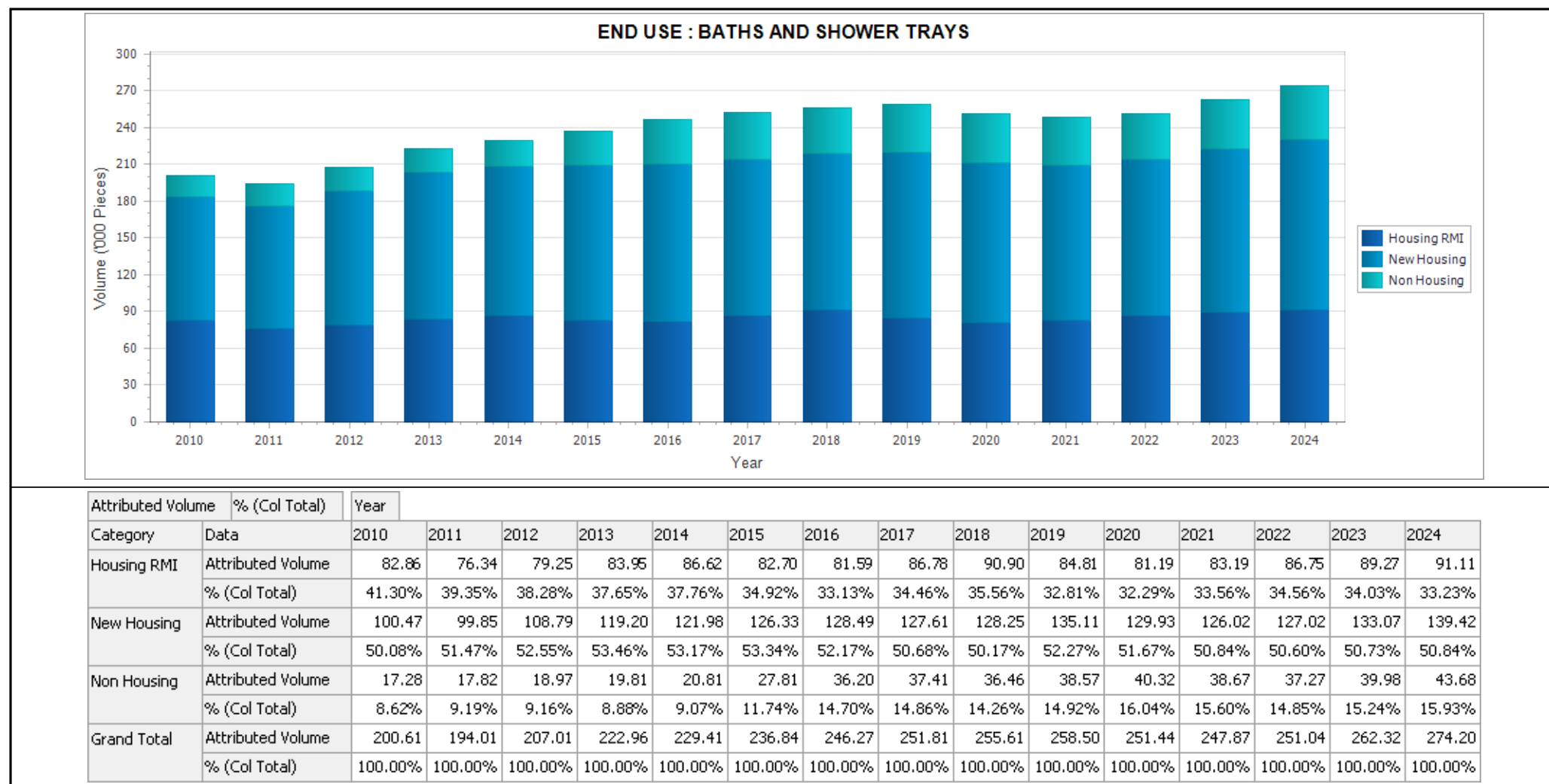
AE - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

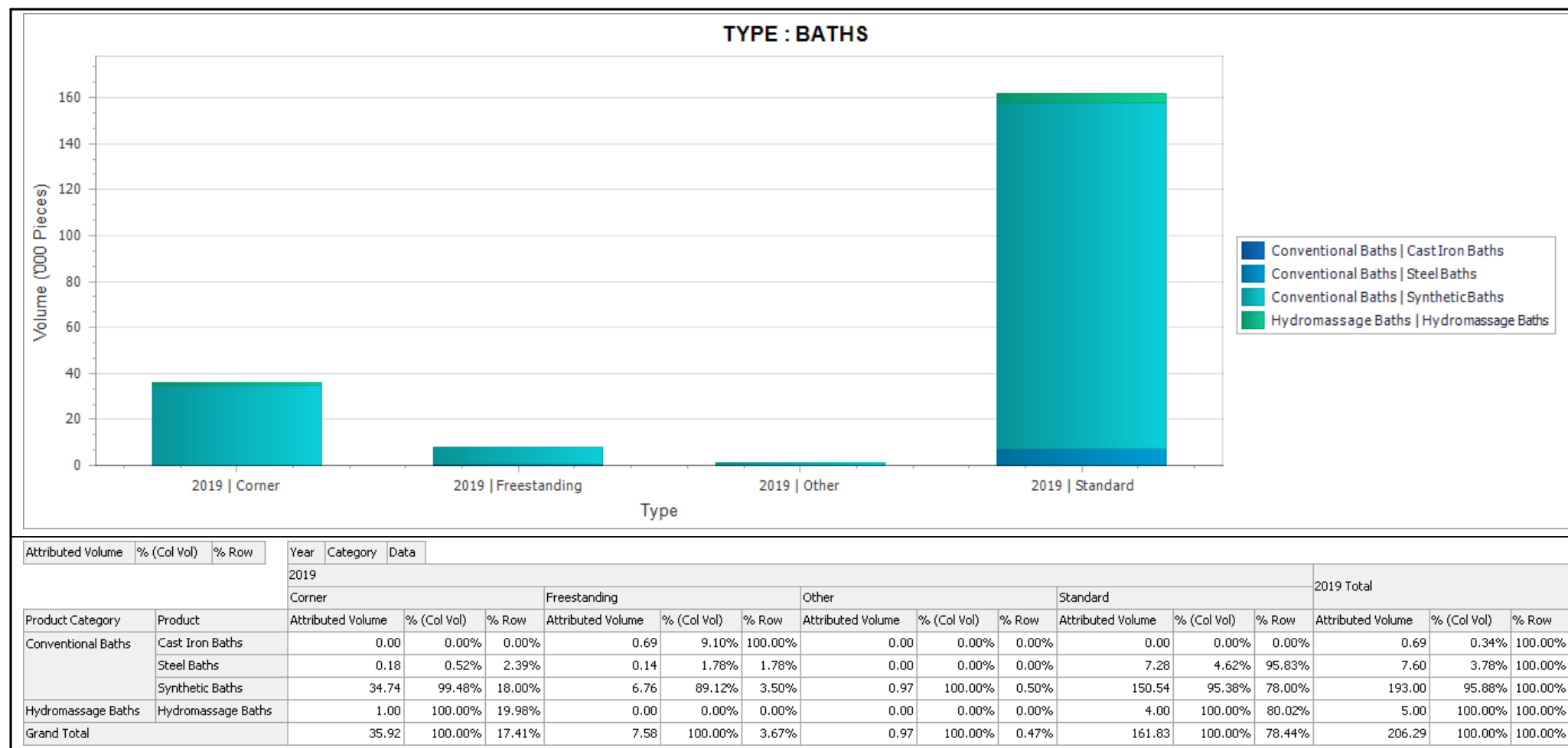
AE - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

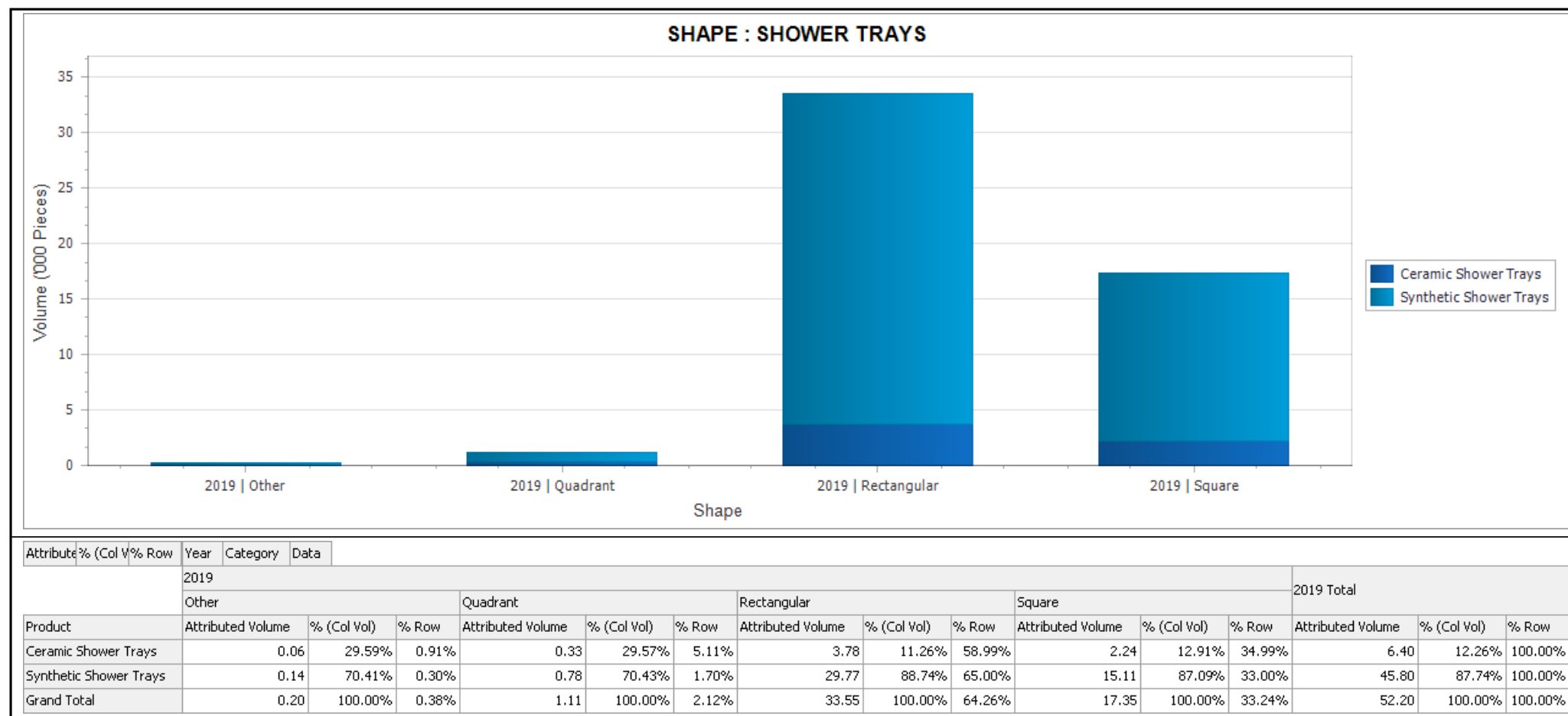
AE - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

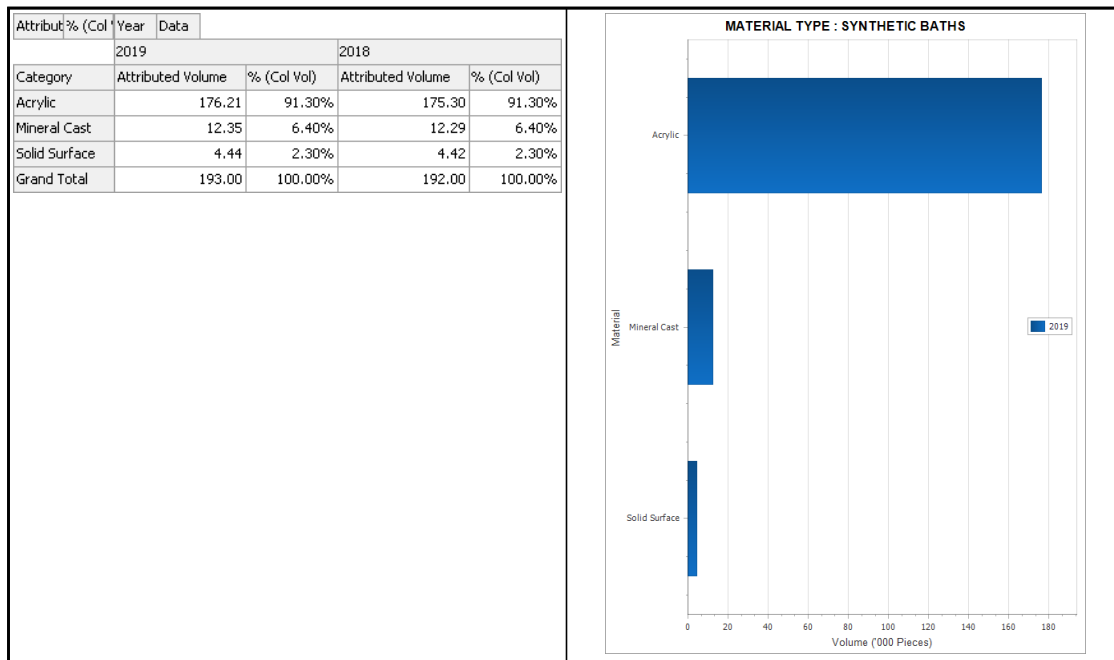
AE - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

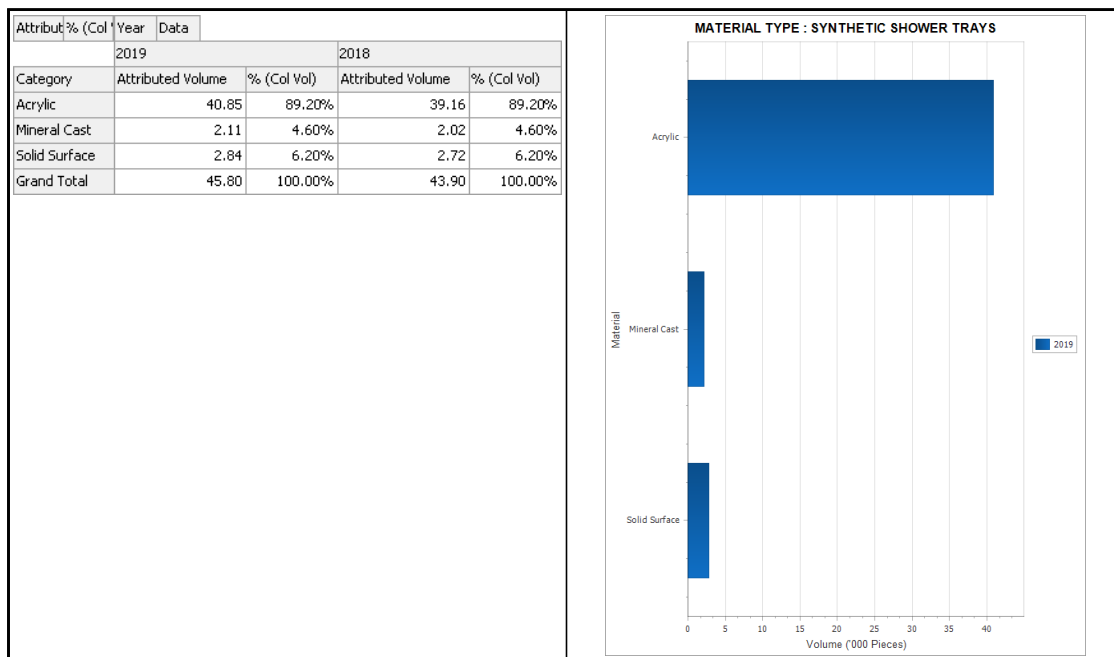
AE - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.6 Sales by Material : Synthetic Shower Trays

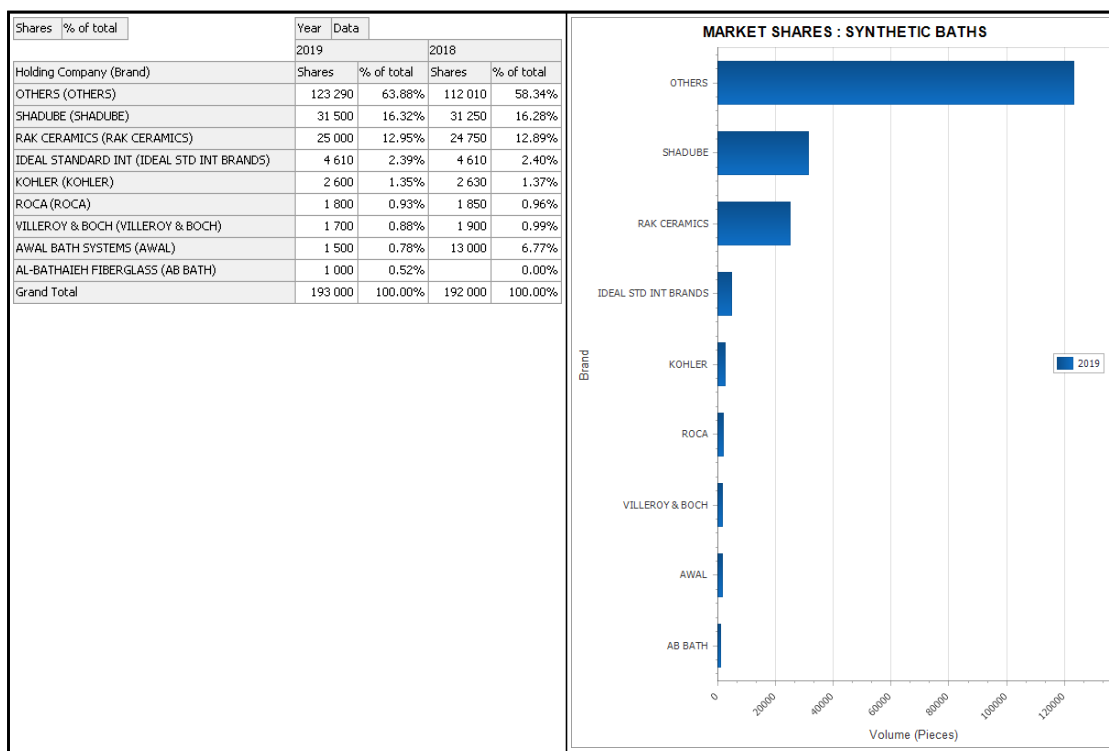
AE - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Synthetic Baths

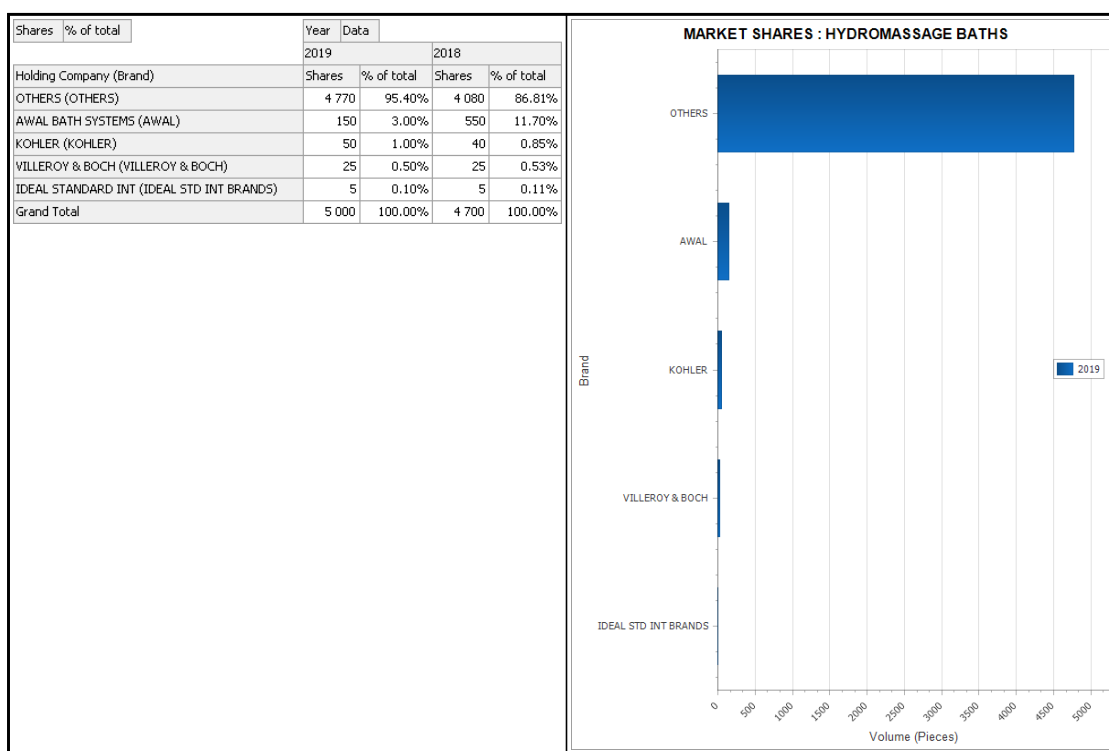
AE - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Hydromassage Baths

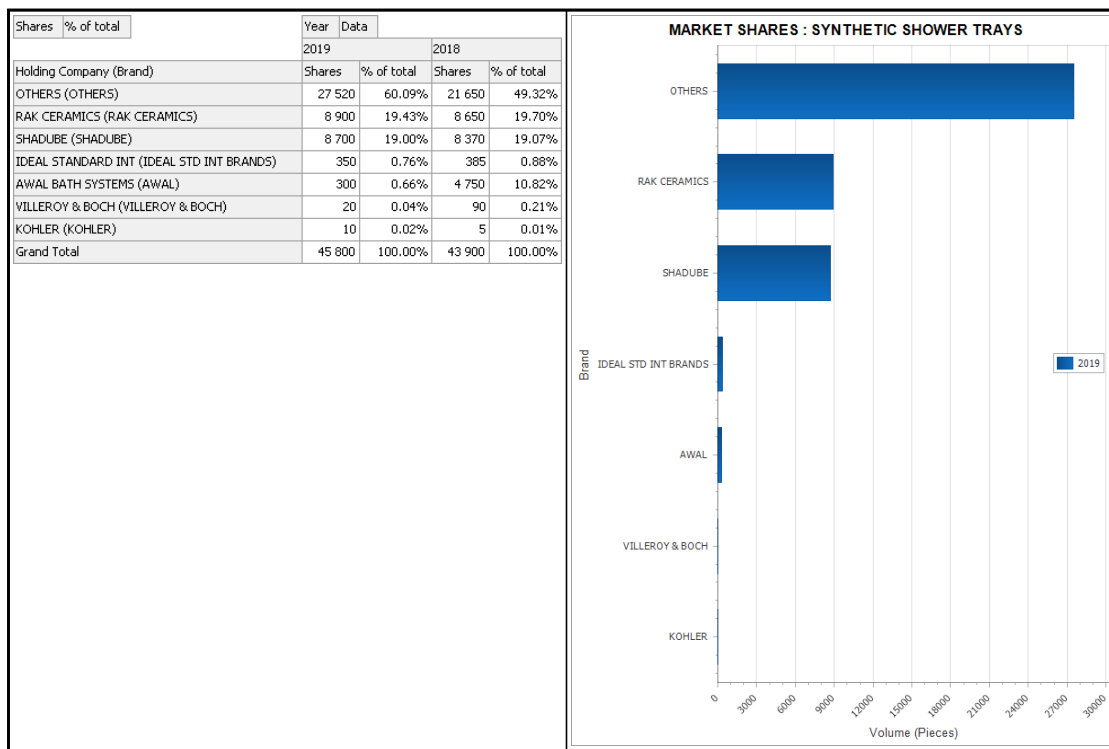
AE - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Shower Trays

AE - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 Route to Market: Baths
AE - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	41.2%
	Wholesalers / Merchants
	41.2%

Retail Level	Manufacturer 0.1%	Wholesaler 0.1%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 29.8%	Wholesaler 12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.2%		0.0%		41.8%	

Manufacturer 3.8%	Wholesaler 0.8%	Internet 0.0%	DIY 0.0%	Specialist 2.6%
Installers				
7.2%				

End Use Level	Manufacturer 14.8%	Wholesaler 26.3%	Internet 0.2%	DIY 0.0%	Specialist 38.0%	Installer 7.0%
	Residential					
	86.4%					
	New Build			Residential RMI		
	50.8%			35.6%		
	Project	Non-Project		Project	Non-Project	
	47.0%	3.8%		7.0%	28.6%	
	Manufacturer 10.2%	Wholesaler 2.0%	Internet 0.0%	DIY 0.0%	Specialist 1.2%	Installer 0.2%
	Non-Residential					
	13.6%					
	New Build			Non-Residential RMI		
	10.0%			3.6%		
	Project	Non-Project		Project	Non-Project	
	8.3%	1.7%		3.0%	0.6%	

1.6.2 Route to Market: Baths
AE - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	45.0%
	Wholesalers / Merchants
	45.0%

Retail Level	Manufacturer 0.1%	Wholesaler 0.1%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 25.0%	Wholesaler 18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.2%		0.0%		43.0%	

Manufacturer 3.0%	Wholesaler 1.5%	Internet 0.0%	DIY 0.0%	Specialist 3.6%
Installers				
8.1%				

End Use Level	Manufacturer 15.9%	Wholesaler 22.9%	Internet 0.2%	DIY 0.0%	Specialist 38.0%	Installer 8.0%
	Residential					
	85.0%					
	New Build			Residential RMI		
	49.4%			35.6%		
	Project	Non-Project		Project	Non-Project	
	47.5%	1.9%		7.9%	27.7%	
	Manufacturer 11.0%	Wholesaler 2.5%	Internet 0.0%	DIY 0.0%	Specialist 1.4%	Installer 0.1%
	Non-Residential					
	15.0%					
	New Build			Non-Residential RMI		
	13.5%			1.5%		
	Project	Non-Project		Project	Non-Project	
	11.0%	2.5%		1.2%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.3 Route to Market - Consolidated View : Baths

AE - ESTIMATED DISTRIBUTION FOR BATHS : 2019

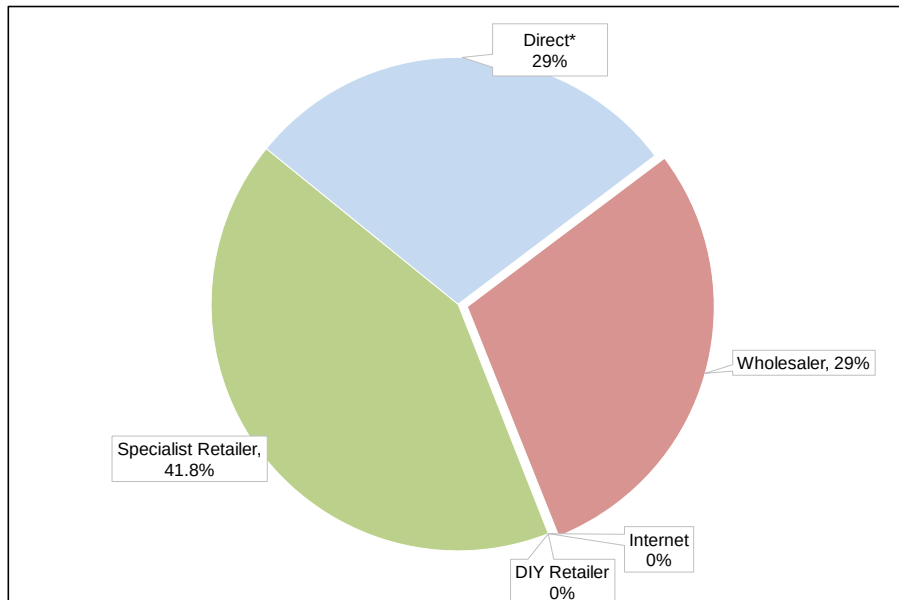
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.2%	0.1%	0.0%	41.8%	28.9%	54.0%	11.3%	32.4%	2.3%
100%					65.3%		34.7%	

1.6.4 Route to Market - Consolidated View : Baths

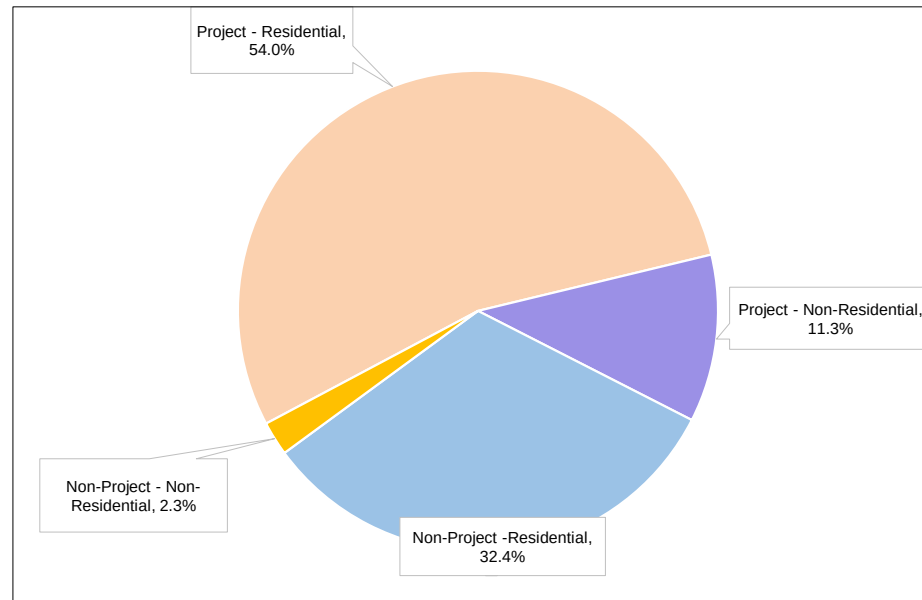
AE - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.9%	0.2%	0.0%	40.0%	19.9%	55.4%	12.2%	29.6%	2.8%
100%					67.6%		32.4%	

AE - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.6.5

Route to Market: Shower Trays
AE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	43.9%
	Wholesalers / Merchants
	43.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.1%	0.0%	0.0%	0.0%	27.4%	28.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.1%		0.0%		55.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	0.5%	0.0%	0.0%	6.4%
Installers				
10.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	13.8%	8.4%	0.1%	0.0%	47.0%	10.5%	10.9%	7.0%	0.0%	0.0%	2.0%	0.3%
	Residential						Non-Residential					
	79.8%						20.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	58.1%			21.8%			14.2%			6.0%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	48.5%	9.6%		6.8%	15.0%		8.5%	5.7%		4.5%	1.5%	

1.6.6

Route to Market: Shower Trays
AE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	47.0%
	Wholesalers / Merchants
	47.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.1%	0.0%	0.0%	0.0%	27.0%	28.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.1%		0.0%		55.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.9%	0.5%	0.0%	0.0%	3.0%
Installers				
6.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	12.0%	11.4%	0.1%	0.0%	51.0%	6.2%	11.0%	7.1%	0.0%	0.0%	1.0%	0.2%
	Residential						Non-Residential					
	80.7%						19.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	56.2%			24.4%			13.5%			5.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	49.0%		7.2%	9.0%		15.4%	8.9%		4.6%	5.2%		0.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.7 Route to Market - Consolidated View : Shower Trays

AE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

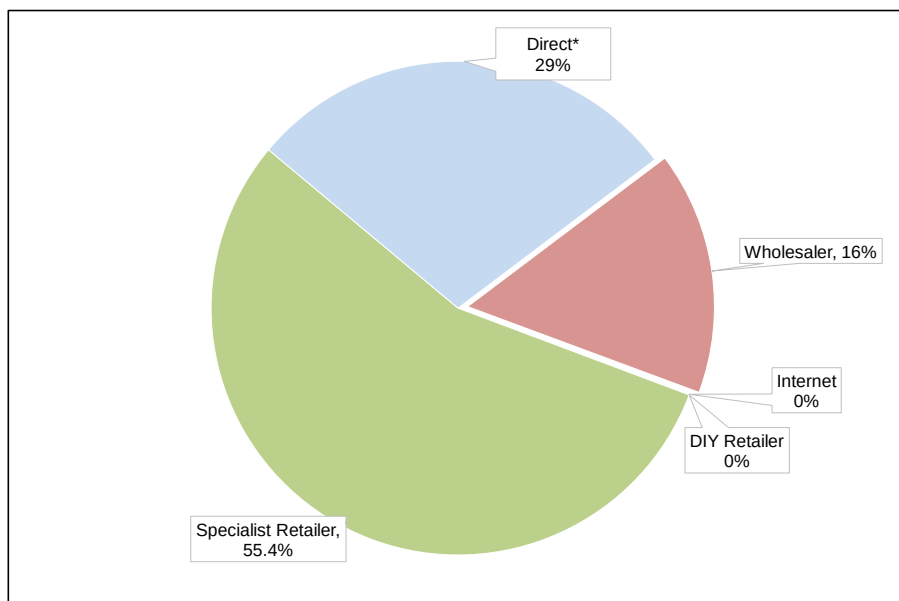
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.9%	0.1%	0.0%	55.4%	28.6%	55.3%	13.0%	24.5%	7.2%
100%					68.3%		31.7%	

1.6.8 Route to Market - Consolidated View : Shower Trays

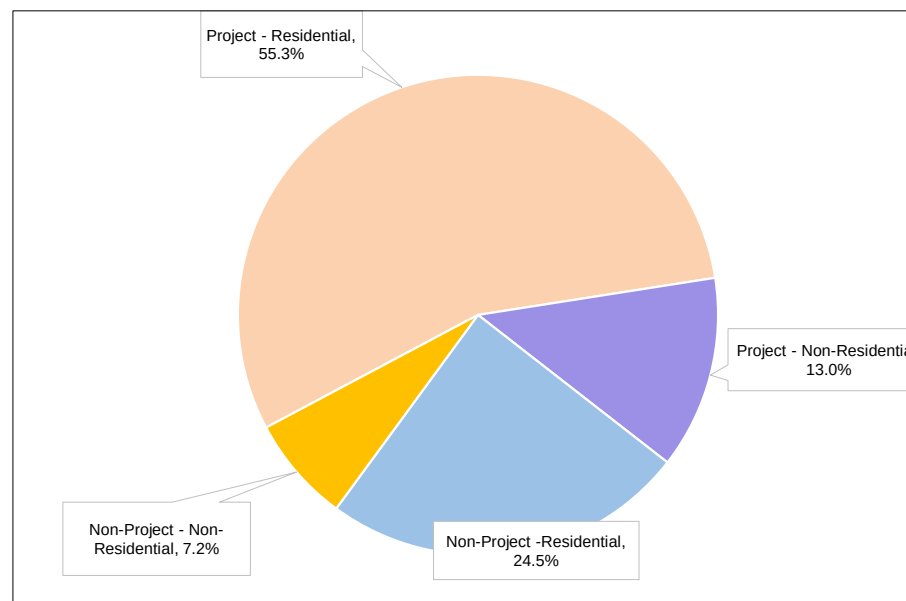
AE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.0%	0.1%	0.0%	55.0%	25.9%	58.0%	14.1%	22.7%	5.2%
100%					72.1%		27.9%	

AE - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



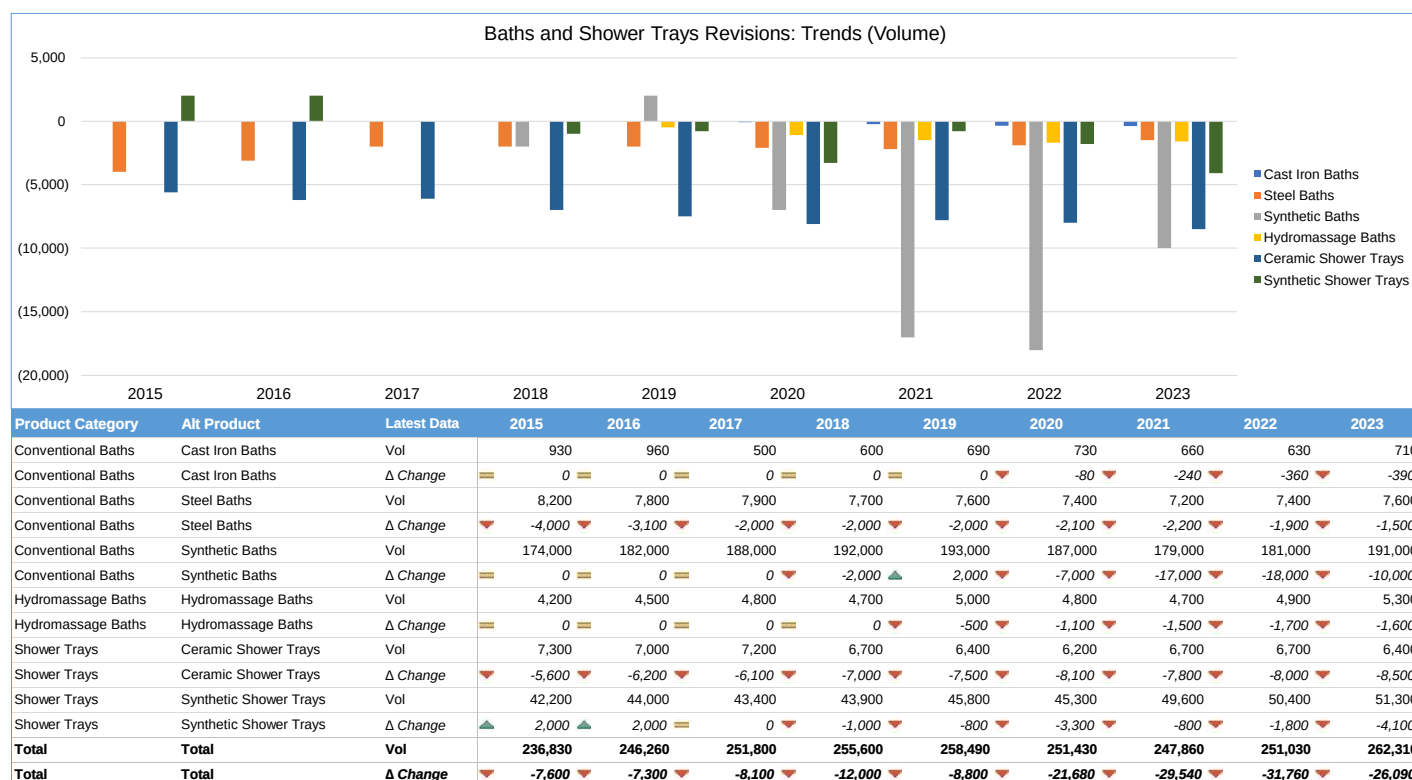
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7 Revisions in the Emirati Baths and Shower Trays Market (April 2020)

AE - REVISIONS IN THE EMIRATI BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



The market size for steel baths has been revised downwards historically as well as for the forecast period. On a detailed look at yearly import data to the country as well as analysis of industry feedback, it was found that the steel bath market was a little over estimated. Thus, the steel bath market was revised down through a better and more accurate market understanding. The MSPs were also revised upwards on the basis of industry feedback and further analysis of retail/project prices and margins. The prices were revised upwards through history.

The MSP for cast iron baths were also revised upwards on the basis of industry feedback and further analysis of retail/project prices and margins. The prices were revised upwards through history.

Only slight changes were made to the total volumes of synthetic baths in 2018 and 2019, due to further analysis of imports.

The MSP for synthetic bath were revised upwards as per feedback received from the market players, their latest price catalogues as well as analysis of market values of imported items.

The MSPs for hydromassage baths were revised upward across all years due to further analysis of list prices and margins of manufacturers present in the market.

The market size for ceramic shower trays has been revised downwards. While researching for this market, through the industry feedback and import statistics it was found that this market is actually in a declining stage owing to popularity of synthetic shower trays. New purchases of this product are dwindling.

The market volumes were revised historically in line with further data obtained on structure and supply of the market as well as further analysis of imports to the country.

UAE

SANITARY WARE

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The sanitary ware market in the UAE is relatively large, as is the case for most bathroom products, compared to its population size. One of the main reasons behind this is linked to the high number of bathrooms per dwelling, with every house having multiple bathrooms. Apartments usually have one master bathroom and one or more other bathrooms (depending on the number of rooms). Villas may have four to six bathrooms. In a household, males and females may have their own bathrooms, and an additional, small bathroom is usually dedicated to servants.

Among the notable characteristics of the non-housing segment in the UAE is that there is a large park of hotels and hotel-apartments in a country where foreigners visiting the country are not just limited to being tourists, but also include a wide range of businessmen and temporary foreign workers who are neither visitors nor residents, inflating population statistics. Furthermore, the ritual ablution is mandatory prior to praying as per the Islamic faith, along with an emphasis on hygiene and many sanitary ware products are installed in mosques, depending on the size of the building.

The sanitary ware market in the UAE comprises Western manufacturers who compete with each other exclusively, and so do regional manufacturers (rather than Western manufacturers competing with local ones), as the target segment is different for both these groups of players. The Western manufacturers usually focus on relatively higher-end consumers, comprising the upscale residential segment, as well as the established hotel and hospitality industry. On the other hand, the regional manufacturers focus on the mass segment with lower budgets. Moreover, a sizeable portion of demand is fulfilled by imports from Asian countries such as China and India. Products from these countries generally cater to the lower and economy segment of the market.

The UAE is highly decentralised; one region can experience a boom in construction while another does not, resulting in differing market trends for the same product. Sanitary ware products in the UAE are perceived according to their origin (Western products for the high-end range, local and regional products for the economy to medium range, and Asian products for the very low range). Some householders consider that a product made in China is a Chinese product, even though it is made by a European brand. Sales of sanitary ware in the UAE are largely driven by dwelling construction, boosted by the growing population as well as by foreign investors and immigrants. The non-housing segment has been strongly driven in recent years by the booming tourism sector, where the number of hotels has been in constant progression.

In concealed installation, the plastic cistern is the most popular product. Historically dedicated to the non-housing segment such as hotels, it is now being adopted rapidly in many residential developments as well as non-residential projects. However, it requires technical skills to be installed and so the total cost is relatively

higher than that of installing a ceramic cistern, although with the advent of new players in the market and cheaper Asian imports, the affordability of this product has increased.

One of the main negative drivers of this segment is the technical skill required for installation. According to the industry views, exposed plastic cisterns are slowly returning to the market while, so far, this type of cistern has been mostly used in specific toilets (Turkish toilets, or toilets on construction sites). Almost all of these toilets are installed in the non-housing segment such as mosques, petrol pumps, low-end eateries, etc.

Recent Market Trends

With a relatively better growth in construction and resulting increase in dwelling completions, 2019 witnessed growth in the sanitary ware market in UAE in comparison to the previous year. Despite imposition of VAT in 2018, with gradual growth in the economy and construction, consumers found interest in the purchasing of bathroom products for refurbishment and maintenance activities. Also, projects sales gathered pace for completions of buildings in anticipation for Expo 2020 and accommodation for the growing influx of expatriates into the country.

During the year, sales of wall hung WCs along with concealed plastic cisterns continued to grow at a reasonable pace. The majority of new upscale projects, especially in rich emirates such as Dubai and Abu Dhabi, include installations of this type.

Of late, the UAE market has witnessed an increasing penetration of Chinese and also Indian products, especially in the economy and lower segments, at attractive price points. Since the retail as well as the project market is catered to by the distributors, various Chinese and even Indian players have entered the UAE market through these distributors, aiming at budget conscious consumers and low key projects. In fact, sales of sanitary ware items from these distributors have seen good growth over the last few years and seem to be popular among contractors for construction of economy projects such as social housing and accommodation for the immigrant labour class.

Another trend which helps the UAE sanitary ware market is that it is a regional trading hub and a large re-export centre to other countries in the Middle East and North Africa, due to its strategic location, ease of doing business and favourable policies. Among other industries, the sanitary ware industry has also benefited from this advantage, and local companies such as RAK CERAMICS have become one of the largest global players for sanitary ware. Some of the products, such as exposed plastic cisterns, are primarily imported into the UAE for re-export to African markets.

Demand for sanitary ware in the UAE has also been not only driven by the internal demand, but also by foreigners interested in buying a property in the country. This

explains the healthy market for ceramic sanitary ware in the new housing segment.

Prices and Market Values

During 2019, there was a constant pressure on prices, with regional as well as Chinese and Indian manufacturers in the market selling their products at very competitive prices. The MSP of sanitary ware items only increased marginally during the year in comparison to the previous year. Moreover, with the burden of 5% VAT already looming over the consumer since 2018, manufacturers refrained from increasing the prices substantially.

Since the UAE is a regional marketplace with a plethora of options for consumers, a drastic increase in prices is seldom witnessed. With the government's emphasis on affordable housing, it is expected that the market will continue to be attractive for players operating in the lower to middle price segments, although there is intense competition in these sectors as well.

The market for sanitary ware in the UAE is diversified and products are available at varying prices across the price segments. In recent years, affordable housing is an area which has been promoted by the government and, consequently, higher quality products at a reasonable price are in demand. So, apart from cheap imports from Asia which keep a check on average MSPs, the demand for these better-quality products at an affordable price manufactured by regional and local players have also had a dampening effect on average MSPs. In terms of price segmentations, there is a gradual trend towards the lower and middle price segment against the economy segment, whereas sales in the upper and luxury price segments remain stable. It is difficult to generalise the type of product range based on the end user; a villa in the UAE with multiple bathrooms is generally supplied with different product ranges, for instance, the master bathroom or the guest bathroom is generally installed with a better quality, high priced product than the bathrooms for the children or the maid/driver.

New Housing

Sales of ceramic sanitary ware in the UAE grew in 2019, driven by growth in the number of dwelling completions in Dubai, Abu Dhabi and other major cities of the country.

Relying largely on the growth in construction and completion of residential projects, sales for all ceramic sanitary ware items grew at a relatively good rate during the year. In line with the growth of WCs, new housing sales for concealed cisterns also fared much better than the previous year. This product has increasingly been installed in high-end dwellings in the UAE, especially those in Dubai and Abu Dhabi.

Upscale new housing projects are also the primary markets for European manufacturers, as they have the budgets for installing higher quality products and often go by the recommendations of the consultants and architects, who are more

discerning about the quality of products being installed.

Housing RMI

The replacement and renovation market for sanitary ware accounts for the largest share in the UAE end use market. A negative trend was seen for sanitary ware sales to this sector during 2019 as the majority of sales went to the new housing sector. Also, even though UAE economy in 2019 fared relatively better than the previous year, there was more focus on the new residential construction sales and installations.

Nevertheless, this segment continues to be the most important segment, not only for the Emirati ceramic sanitary ware market, but even for concealed cistern sales. Within this segment, an increasing number of high income households prefer purchasing better quality products, with superior aesthetics when renovating.

Non-Housing

Riding on positive commercial construction trends and an overall growth in the economy, non-housing sales of sanitary ware in the UAE witnessed a positive growth during 2019. The sales were also driven by the fact that Dubai would have been hosting the 'Expo 2020' event in October 2020 (possibly postponed to 2021), leading to a number of refurbishment and renovation assignments in the emirate. The non-housing segment is largely driven by the hotels and hospitality sector, which reflects the growing importance of the UAE as a regional as well as global tourist destination. It is from here that a significant demand for high-end sanitary ware products comes. This sector has seen a healthy increase in demand for sanitary ware products, with Dubai being the major consuming emirate, followed by Abu Dhabi which has been keen to style itself as the regional business hub in a bid to diversify its economy.

During 2019, the non-housing sector witnessed growth for all sanitary ware product segments and even for concealed cisterns. The non-housing sector is a major consumer of concealed systems. Most of the new projects prefer the wall hung water closets with concealed cisterns due to better aesthetics and premium feel. Several companies, even in the unorganised sector have begun to offer this product to cater to the increasing demand, but the major European players are still dominant players, on account of their reputation and credible after sales service.

Exposed plastic cisterns are mostly installed in the non-housing segment in places such as mosques, petrol pumps and low-end restaurants due to their low cost and easy replacement.

Supply Structure

RAK CERAMICS continues to be the market leader for ceramic sanitary ware among the branded players. The company benefited from the economic recovery and a larger number of project completions. Other regional manufacturers, such as

SAUDI CERAMICS and GENERAL CERAMICS, continue to command a respectable share of the market, thanks to the increasing economic integration within the GCC countries.

DANUBE, which markets its products under the brand name “MILANO”, has been a big beneficiary of the expanding sanitary ware and building products market in the country. The company sources a large chunk of its products from China and with a wide and firmly established distribution network of building products, it has succeeded in making deep inroads in the middle and economy segments of the market. The company is especially strong in the retail segment. Buoyed by the growth in sales, the company had outlined plans to set up a local manufacturing unit in Dubai at a cost of \$10 million which became operational in 2019, making it only the third domestic sanitary ware manufacturer. The reasoning behind producing locally is the fact that goods produced in the UAE are exempted from customs duty, so it will make the MILANO brand more competitive for local as well as African consumers, who often purchase sanitary ware products from the UAE and import them to their respective countries.

Some Iranian, Indian and Turkish manufacturers are also active in the sanitary ware market in the UAE, but with a lack of consistency and sales fluctuating heavily year by year, in terms of presence. Turkish manufacturers, including ECZACIBASI's VITRA brand, however, have increased their presence in the market with widening visibility at trade fairs, such as the most popular one, the 'Big 5 Dubai'. VITRA has done well in 2019 with a good sales growth. It has managed to garner a fair number of projects in some of the housing projects in Dubai, offsetting a few European brands. Over the past couple of years, Indian manufacturer CERA has also set up a Joint Venture entity in the UAE, while many others are present through distributors.

There are also some distributors/importers who import sanitary ware items from countries like India and China on an OEM basis and then supply these items in the market with their own brand, same as that which DANUBE used to do, until it opened its own sanitary ware plant in UAE. Among these OEM traded brands, the prominent ones are SUNDEX, MR TOILET and other lesser known brands. These suppliers cater to the economy and lower price segment only and have a wide range of products and price points.

TOTO, the Japanese manufacturer specialising in high-end WCs, has launched an affordable range of products and tried to further increase its presence in the sanitary ware market in the UAE.

Western products continue to hold the leading position within the high-end ranges, but most of them have experienced a decline in other product ranges, apart from DURAVIT, thanks to its production plant in Egypt that enables the company to supply competitively priced products. KOHLER and IDEAL STANDARD, along with VILLEROY & BOCH also have a good presence in the country. Within the plastic concealed cistern segment, GEBERIT continued to hold its leading position in 2019 and the company enjoys a high reputation among contractors in the UAE with

several years of experience. Even though it set up a regional office in the UAE only recently, FLUIDMASTER with its brand SCHWAB has succeeded in making inroads in the Emirati market, with healthy growth in sales over the past couple of years. GROHE, SANIT as well as TOTO are also present in this market enjoying a good reputation among the consumers. VITRA is another notable player in the segment.

Companies such as UNIFLO and INDUS TRADING offer exposed plastic cisterns along with a host of other distributors importing products from China and India, although most of the sales are re-exports to Africa.

Over the years, UAE government has adopted a strict position with regard to the circulation of counterfeit products in the market and, as a result, the amount of these products has come down, but it cannot be said with certainty that the problem has been fully contained.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Overall sales during the first quarter of 2020 have not been quite as BRG anticipated due to the COVID-19 pandemic which has been causing major disruption across all continents in the world and proving to be a huge hurdle to all economic and developmental activities. Market activity started to lose steam in March 2020, with various restrictions by the authorities in force.

The outlook for the rest of 2020 also looks weak as there is no clarity on when this situation may end, and things are not expected to return to normal until at least the third quarter of the year. Moreover, economic conditions are bound to worsen as since March 2020, crude oil prices are on a free fall and United Arab Emirates is expected to be one of the hardest hit countries, along with Saudi Arabia and Kuwait, as the economy of these countries is largely based on the Oil trade.

Although there is no official word yet, it is anticipated that due to the crisis situation which has been created by the outbreak of COVID-19 across the world, Expo 2020 might be postponed to 2021 or later.

Over the forecast period, the after-effects of the 2020 situation are expected to be felt at least until 2021-2022, as the economy is getting severely hampered by lockdowns and trade stoppages across the Middle East in order to contain the spread of COVID-19.

In the long run, however, UAE largely remains a safe investment destination. It draws investors, as well as tourists alike and is among the most visited countries in the Middle East. This creates avenues for growth and should benefit the overall bathroom market in the country. Therefore, in this positive business environment sales of sanitary ware should continue to increase throughout the forecast period. With the government aiming to diversify its economy towards non-oil revenues, it is expected that over the coming years the share of other sectors in the national income should increase – which bodes well for the Emirati economy.

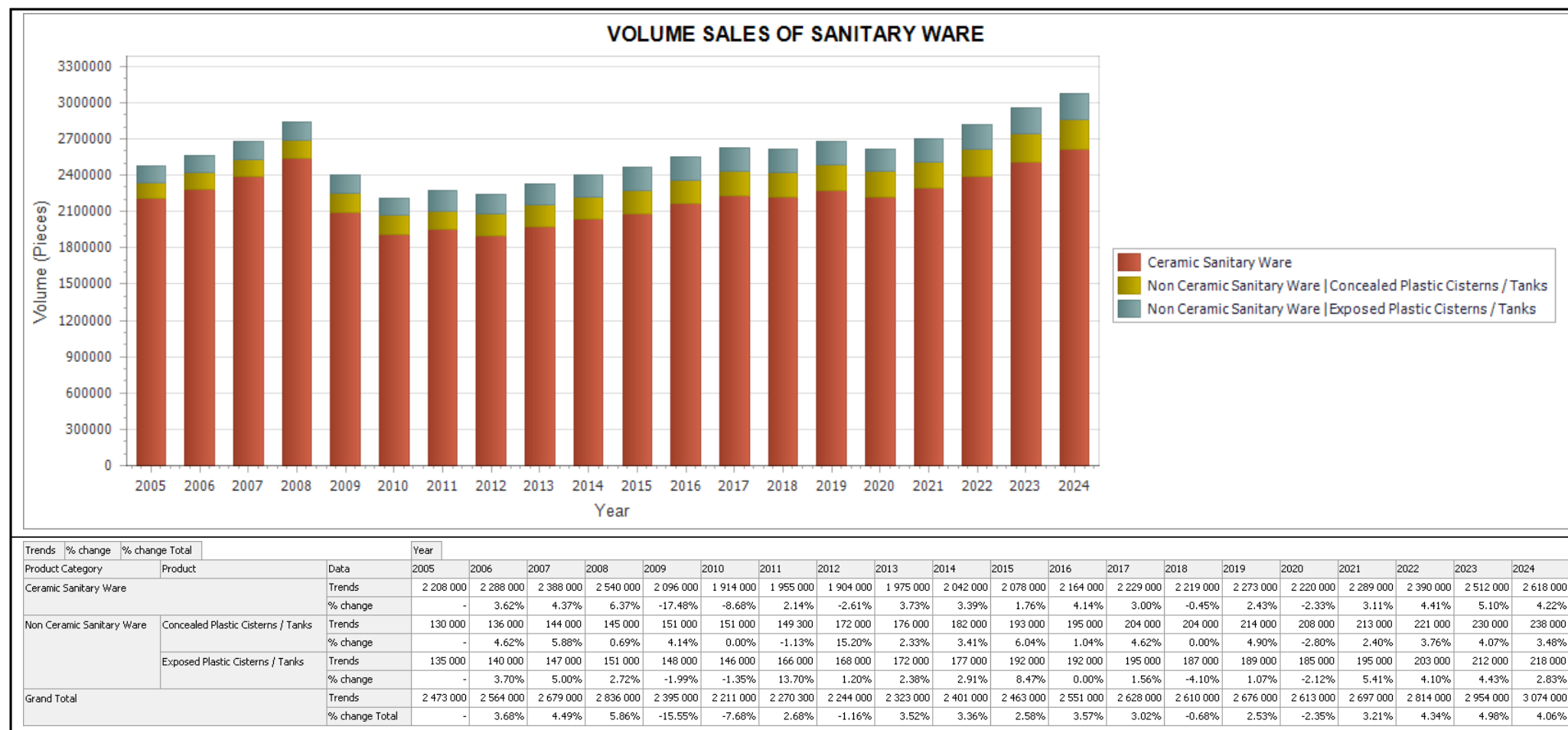
Along with Dubai and Abu Dhabi, Sharjah has emerged as an important market for sanitary ware products. With Sharjah accounting for a major chunk of industrial activity in the Emirates, with cheaper accommodation compared to the former two emirates, a slew of projects are expected to be completed in the next five years, which could be a sizeable market for mid-priced products.

BRG expects that the upcoming construction projects and healthy internal demand, along with an increasing purchasing power and the popularity of Dubai as a tourist destination, should help the sales in all segments during the forecast period, with residential and hotel construction expected to benefit.

The UAE market is also gravitating towards more affordable products and increasing competition in the market, particularly from the Chinese players in the lower price segments. Some of these companies now have penetrated the middle price segment as well, along with an enhanced quality of products. At the same time, local and regional manufacturers are consolidating their presence in the medium range, adding to the difficulties of the European manufacturers, in addition to the fact that Arab manufacturers are favoured in government projects. In the political and regional context of instability, the UAE needs to maintain a stable environment to continue to attract investors

2.2.1 Historical Trends and Forecasts : Sanitary Ware

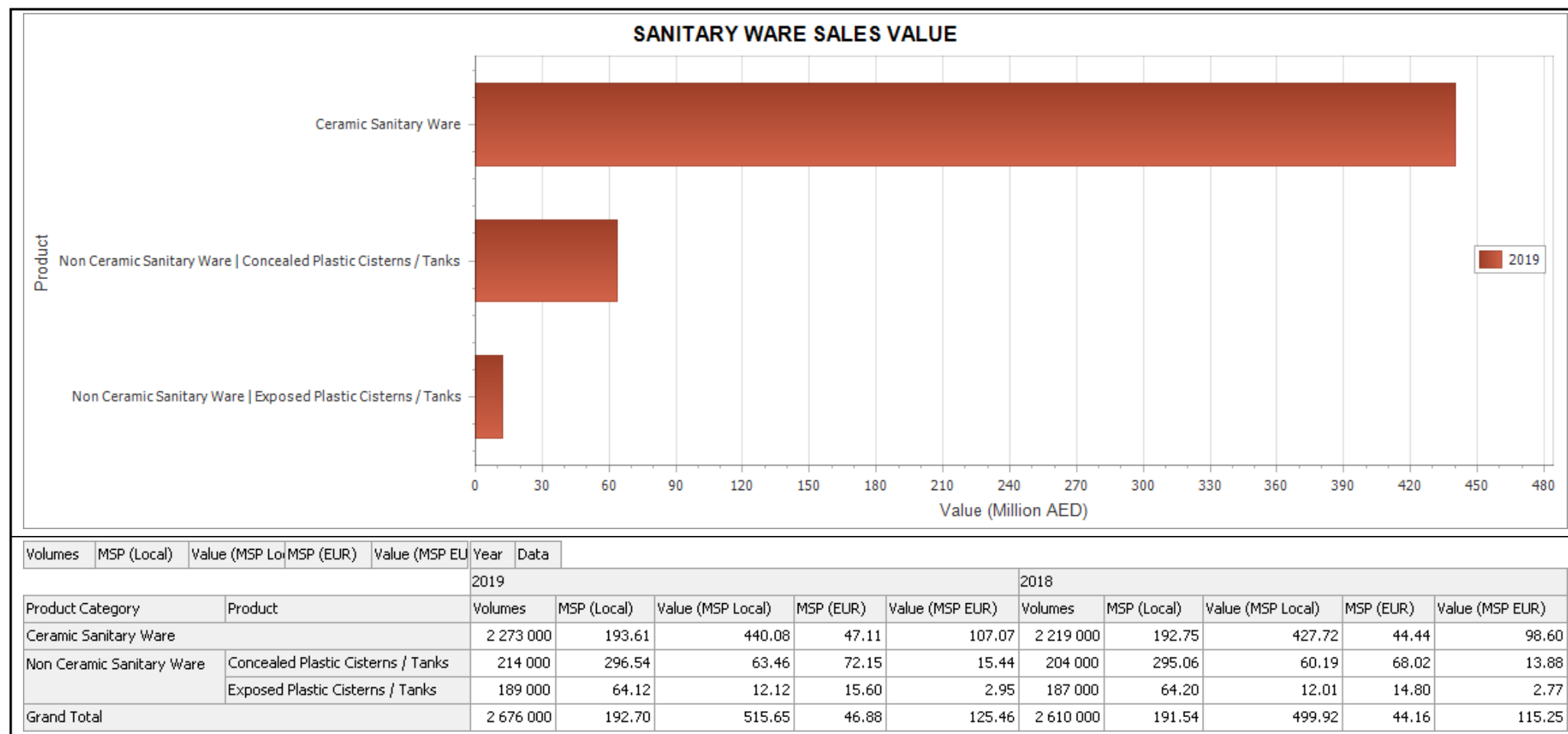
AE - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.3.1 Prices and Market Values : Sanitary Ware

AE - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

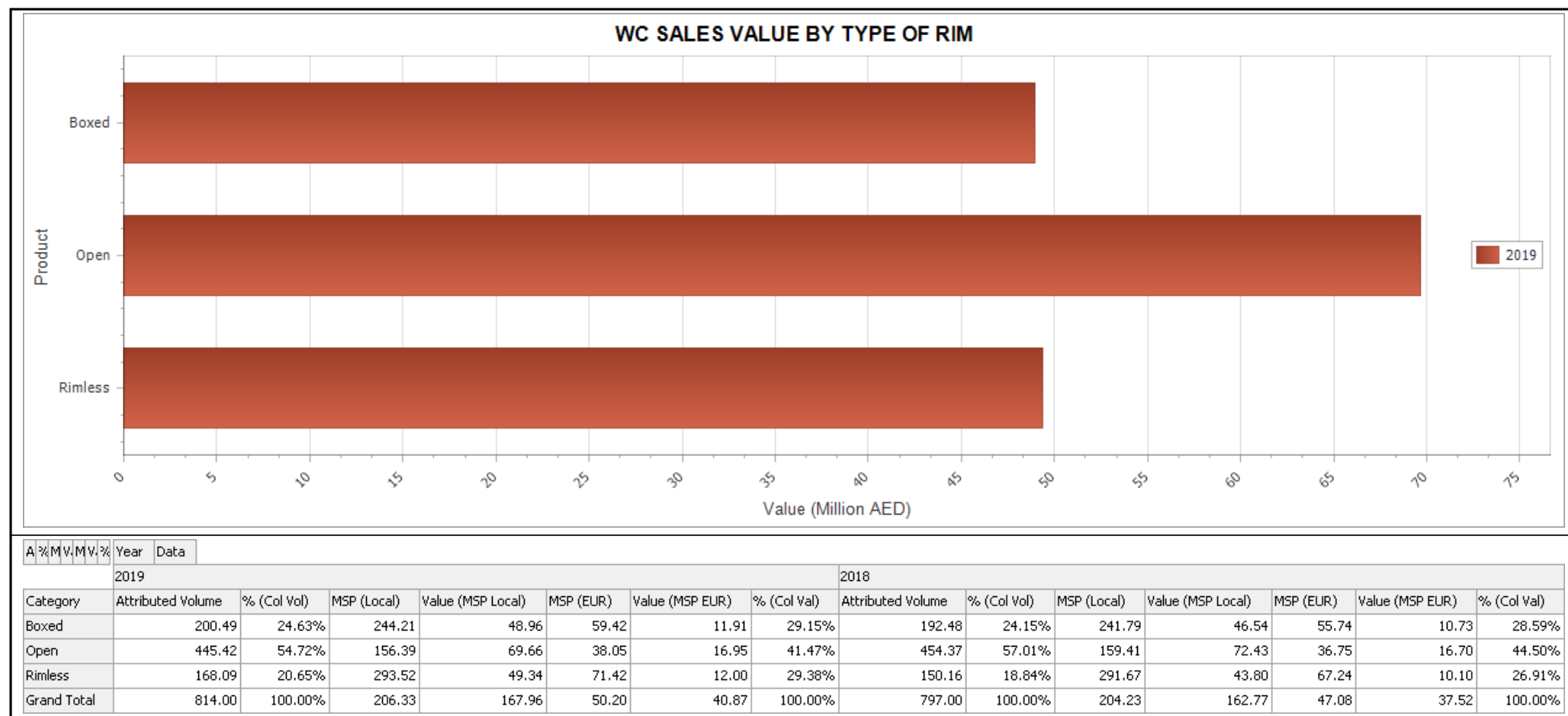
AE - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	110.99	16.89%	192.02	21.31	46.72	5.19	18.47%	108.62	16.84%	191.97	20.85	44.26	4.81	18.47%	
	Hand Washbasins	41.14	6.26%	123.13	5.06	29.96	1.23	4.39%	40.89	6.34%	123.13	5.04	28.39	1.16	4.46%	
	Inset Washbasins	108.73	16.55%	185.32	20.15	45.09	4.90	17.46%	107.39	16.65%	184.62	19.83	42.56	4.57	17.56%	
	Pedestal Washbasins	186.46	28.38%	172.10	32.09	41.87	7.81	27.81%	174.80	27.10%	171.52	29.98	39.54	6.91	26.56%	
	Semi-Recessed Washbasins	31.70	4.83%	220.32	6.98	53.61	1.70	6.05%	30.89	4.79%	220.01	6.80	50.72	1.57	6.02%	
	Undermount Washbasins	25.79	3.93%	190.35	4.91	46.32	1.19	4.25%	25.67	3.98%	190.23	4.88	43.86	1.13	4.33%	
Other CSW	Wall Hung Washbasins	152.19	23.16%	163.42	24.87	39.76	6.05	21.55%	156.73	24.30%	162.82	25.52	37.54	5.88	22.61%	
	Bidets	42.51	5.30%	240.57	10.23	58.53	2.49	6.73%	41.96	5.40%	239.99	10.07	55.33	2.32	6.84%	
	Close-Coupled Cisterns	533.80	66.56%	220.24	117.56	53.59	28.60	77.33%	517.63	66.62%	220.00	113.88	50.72	26.25	77.33%	
	Kitchen Sinks	2.40	0.30%	255.01	0.61	62.05	0.15	0.40%	2.40	0.31%	254.92	0.61	58.77	0.14	0.42%	
	Others	36.89	4.60%	145.86	5.38	35.49	1.31	3.54%	36.76	4.73%	145.00	5.33	33.43	1.23	3.62%	
	Pedestals & Half Pedestals	162.36	20.24%	81.75	13.27	19.89	3.23	8.73%	155.25	19.98%	81.49	12.65	18.79	2.92	8.59%	
	Shower Trays	6.40	0.80%	168.55	1.08	41.01	0.26	0.71%	6.70	0.86%	167.74	1.12	38.67	0.26	0.76%	
WCs / Toilets	Urinals	17.64	2.20%	220.53	3.89	53.66	0.95	2.56%	16.32	2.10%	219.99	3.59	50.72	0.83	2.44%	
	Utility / Laundry Sinks	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	
	Close-Coupled WC Bowls	464.80	57.10%	212.37	98.71	51.67	24.02	57.17%	459.71	57.68%	210.24	96.65	48.47	22.28	57.67%	
	Floor Standing WC Bowls	109.89	13.50%	186.01	20.44	45.26	4.97	11.84%	107.60	13.50%	185.00	19.90	42.65	4.59	11.88%	
	Squat	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	
Grand Total	Squat Pans	42.33	5.20%	66.78	2.83	16.25	0.69	1.64%	41.44	5.20%	66.29	2.75	15.28	0.63	1.64%	
	Wall Hung WC Bowls	196.99	24.20%	257.27	50.68	62.60	12.33	29.35%	188.25	23.62%	256.43	48.27	59.12	11.13	28.81%	
Grand Total		2 273.01	100.00%	193.60	440.06	47.11	107.07	100.00%	2 219.01	100.00%	192.75	427.72	44.44	98.60	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in AED. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

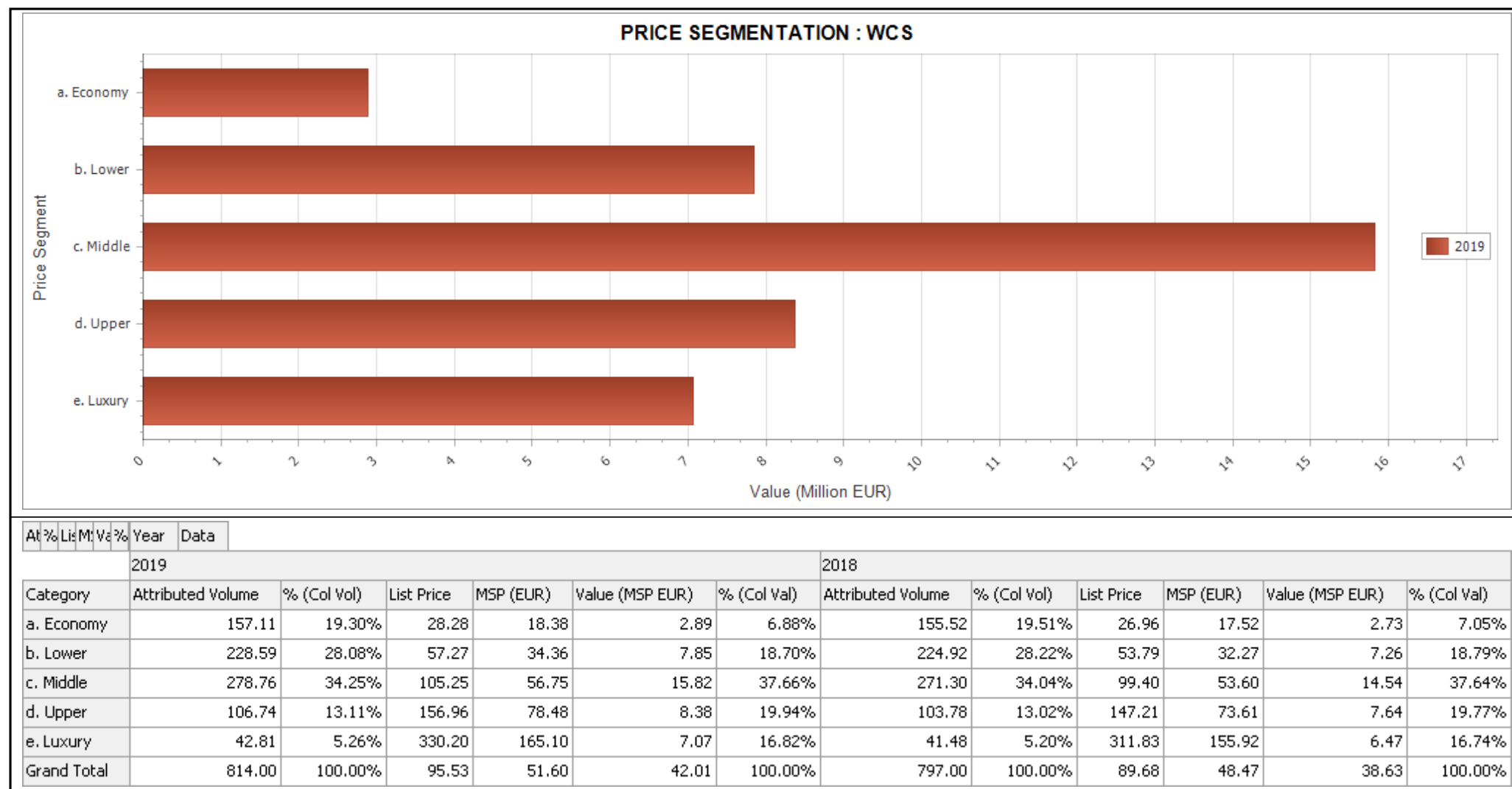
AE - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in AED. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Price Segmentation : WCs

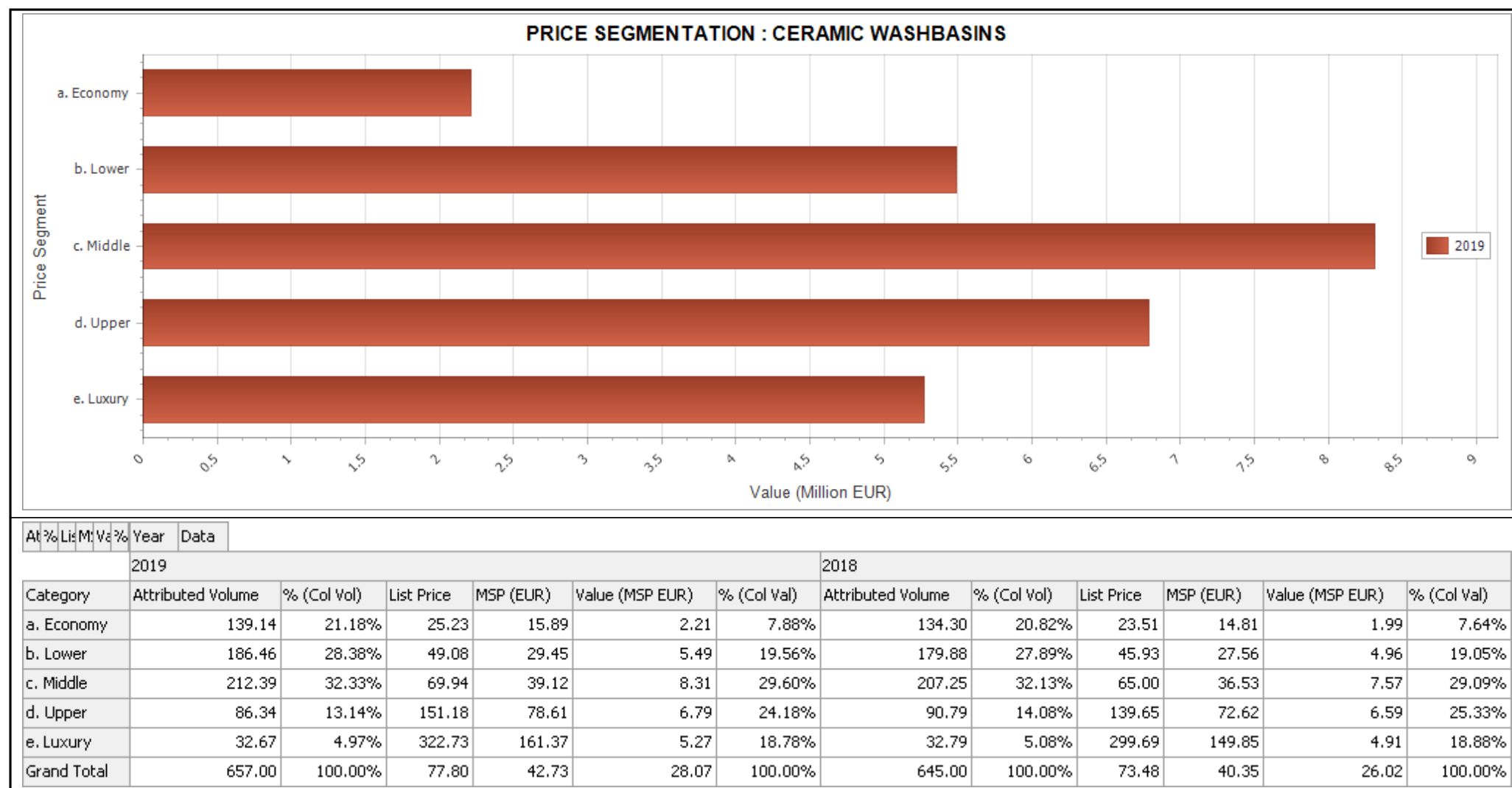
AE - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€25, Lower €25-€45, Middle €45-€65, Upper €65-€100, Luxury >€100

2.3.5 Price Segmentation : Ceramic Washbasins

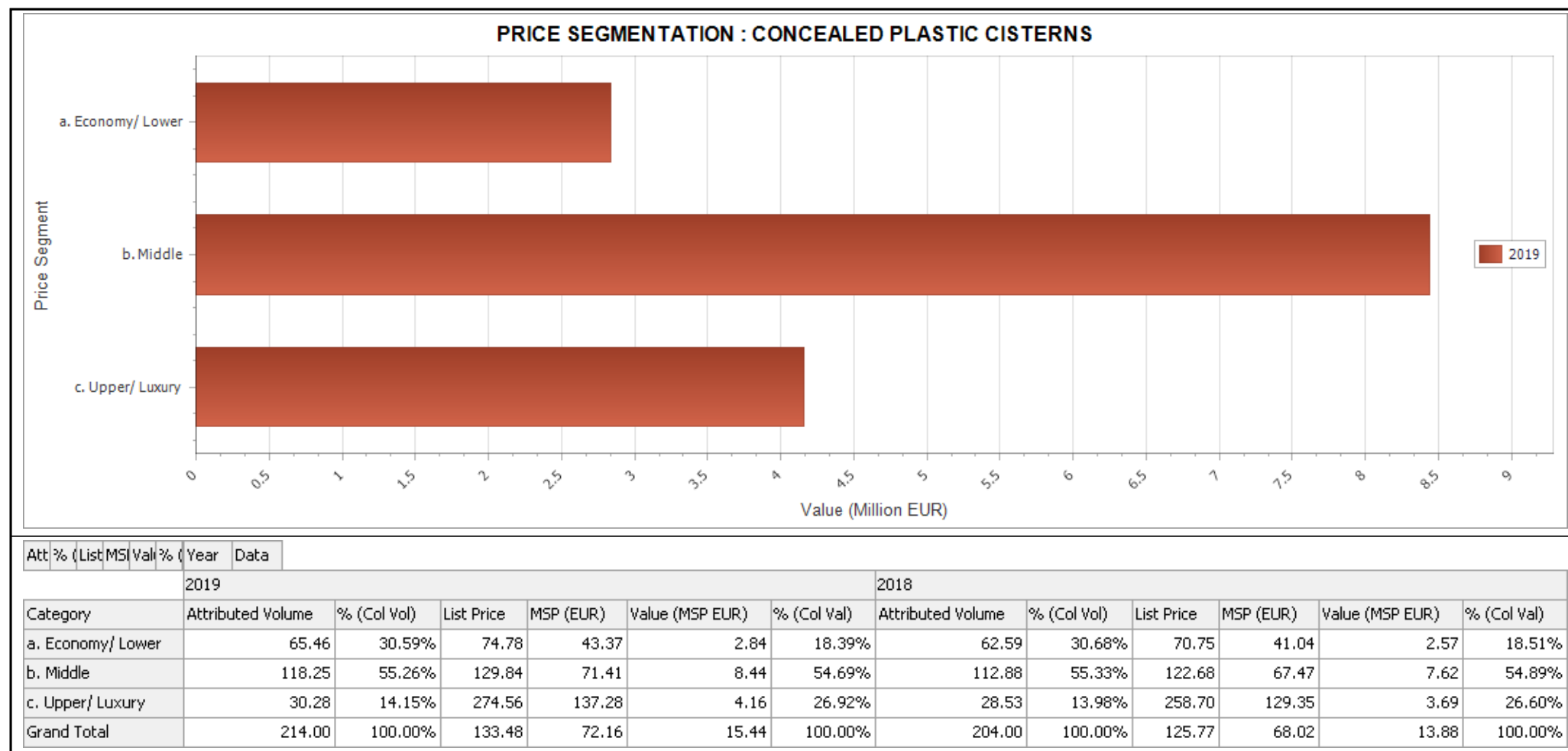
AE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€35, Middle €35-€60, Upper €60-€100, Luxury >€100

2.3.6 Price Segmentation : Concealed Plastic Cisterns

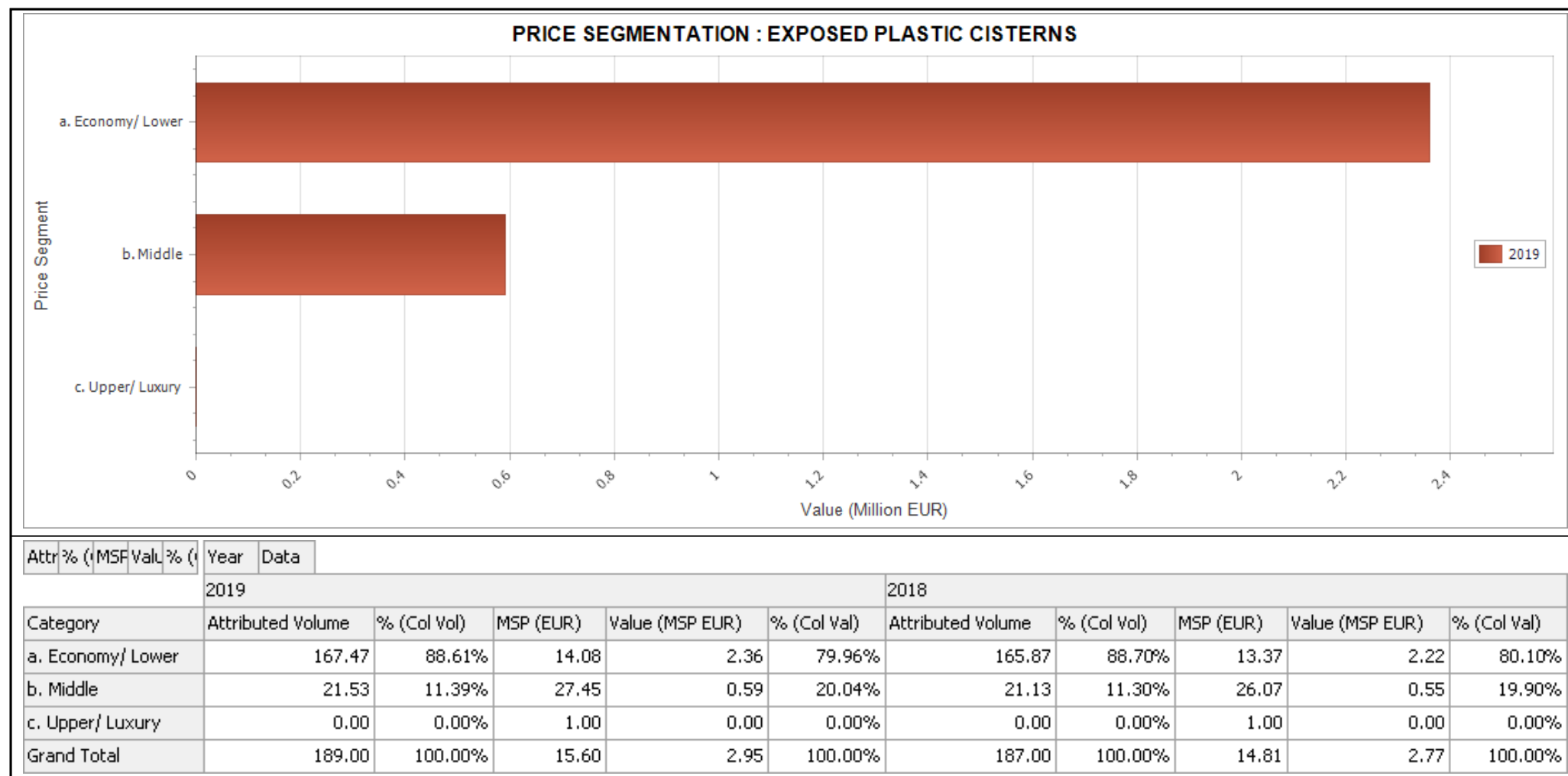
AE - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.7 Price Segmentation : Exposed Plastic Cisterns

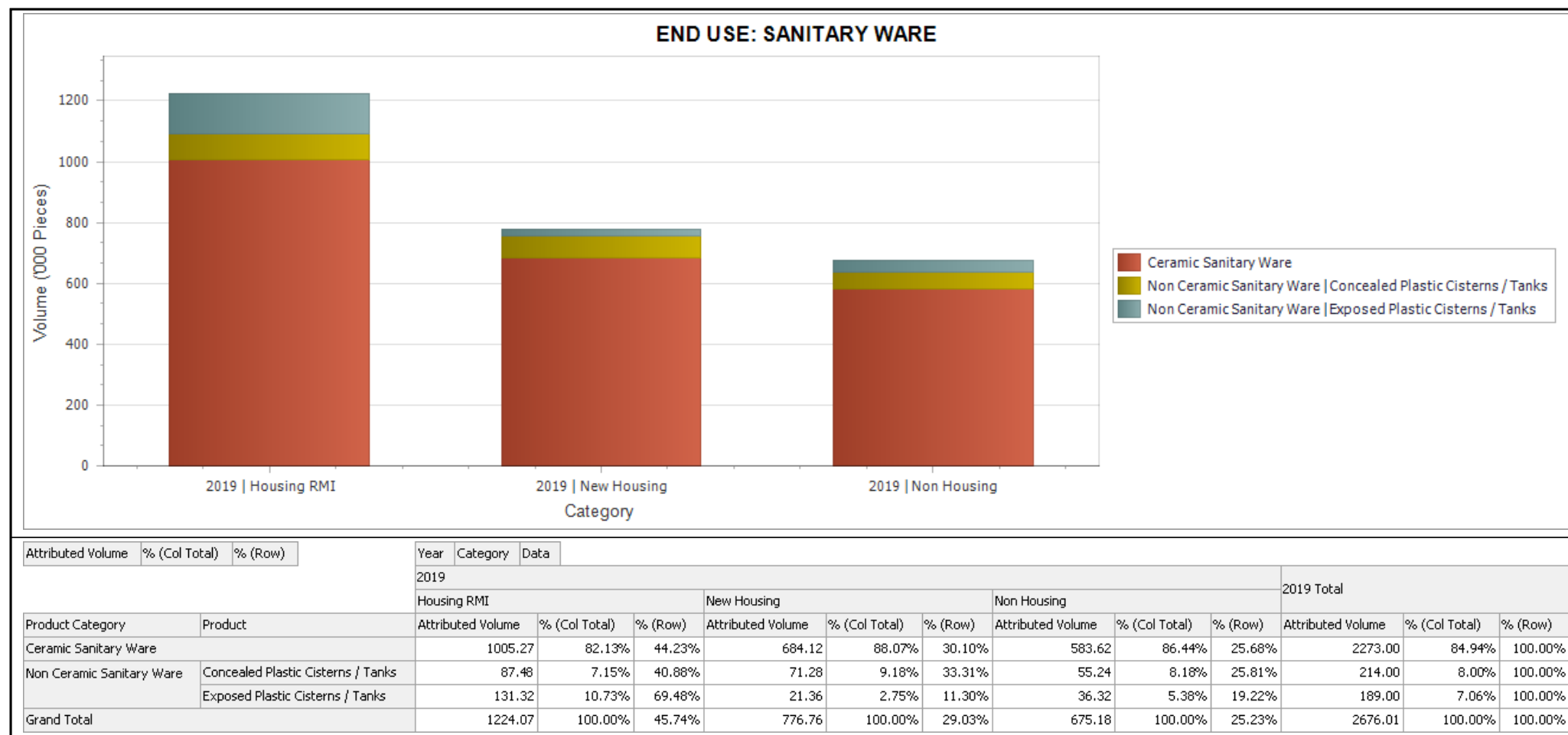
AE - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€30, Upper/ Luxury >€30

2.4.1 End Use : Base Year

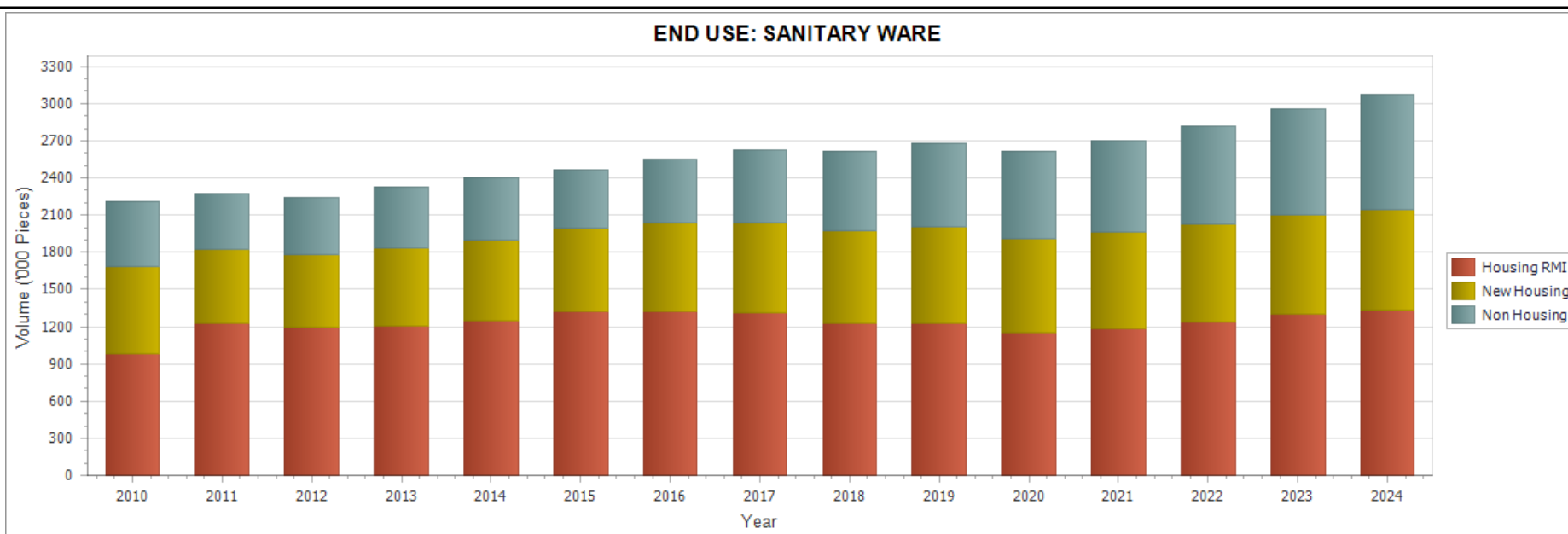
AE - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

AE - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)

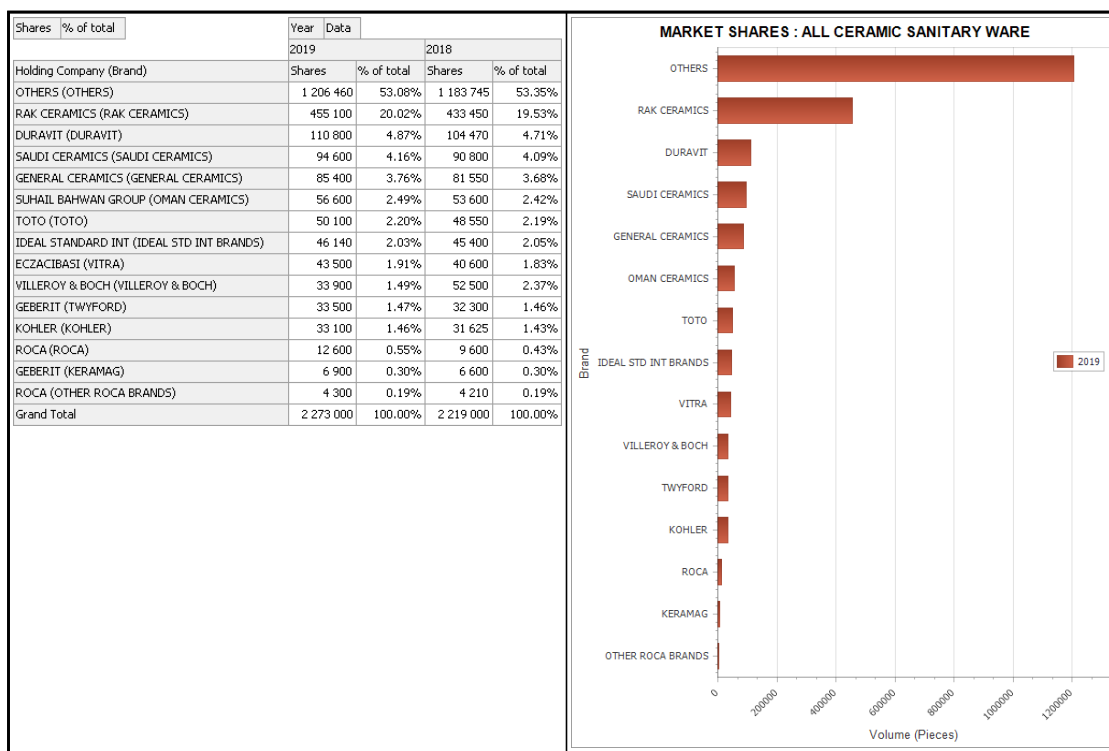


Attributed Volume		% (Col Total)		Year													
Category	Data	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	
Housing RMI	Attributed Volume	984.68	1228.86	1199.91	1209.67	1248.27	1326.59	1327.08	1313.61	1226.36	1224.07	1155.50	1186.07	1238.60	1299.71	1334.75	
	% (Col Total)	44.54%	54.13%	53.47%	52.07%	51.99%	53.86%	52.02%	49.99%	46.99%	45.74%	44.22%	43.98%	44.02%	44.00%	43.42%	
New Housing	Attributed Volume	703.52	593.02	584.78	629.73	647.48	671.02	708.46	728.04	745.80	776.76	754.94	772.99	783.16	798.95	813.47	
	% (Col Total)	31.82%	26.12%	26.06%	27.11%	26.97%	27.24%	27.77%	27.70%	28.57%	29.03%	28.89%	28.66%	27.83%	27.05%	26.46%	
Non Housing	Attributed Volume	522.80	448.43	459.32	483.61	505.25	465.40	515.46	586.36	637.84	675.18	702.57	737.96	792.24	855.35	925.80	
	% (Col Total)	23.65%	19.75%	20.47%	20.82%	21.04%	18.90%	20.21%	22.31%	24.44%	25.23%	26.89%	27.36%	28.15%	28.96%	30.12%	
Grand Total	Attributed Volume	2211.00	2270.30	2244.01	2323.01	2401.01	2463.01	2551.01	2628.01	2610.01	2676.01	2613.01	2697.01	2814.01	2954.01	3074.01	
	% (Col Total)	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

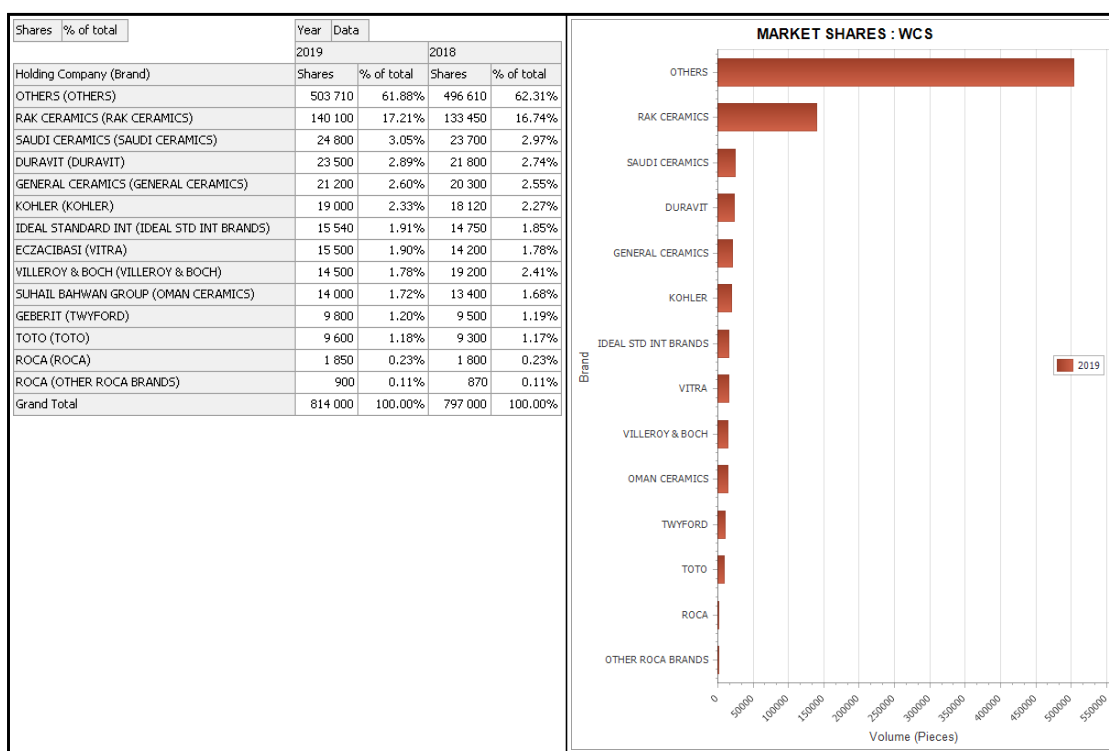
AE - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

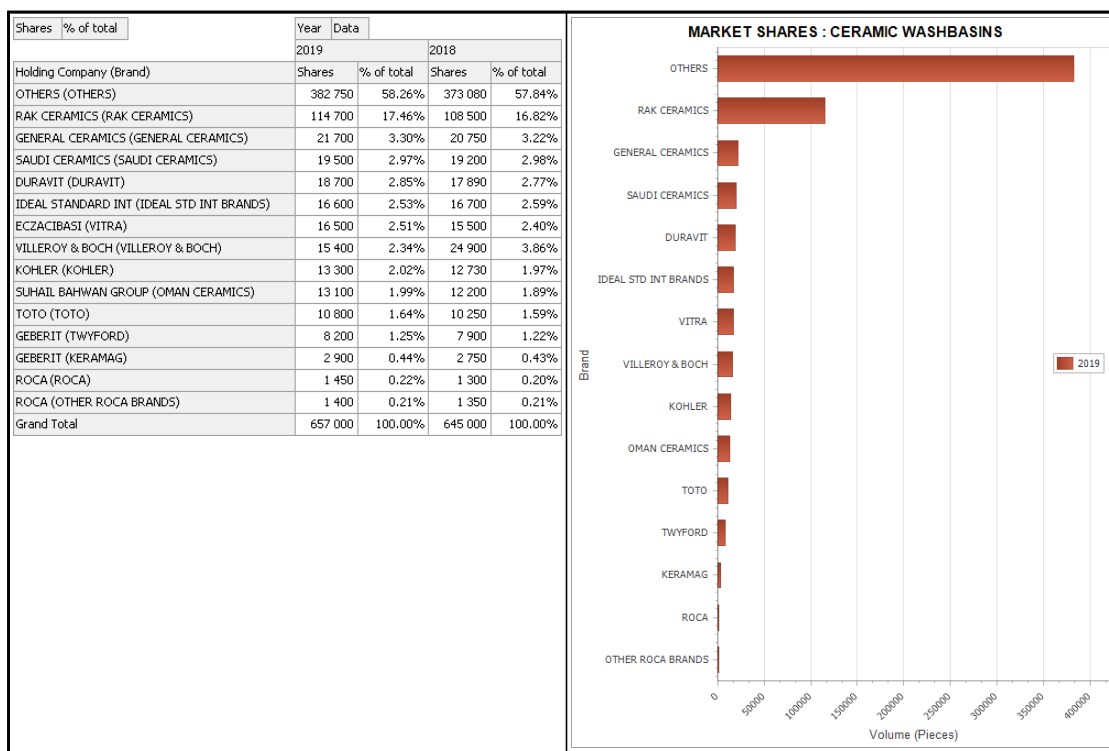
AE - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

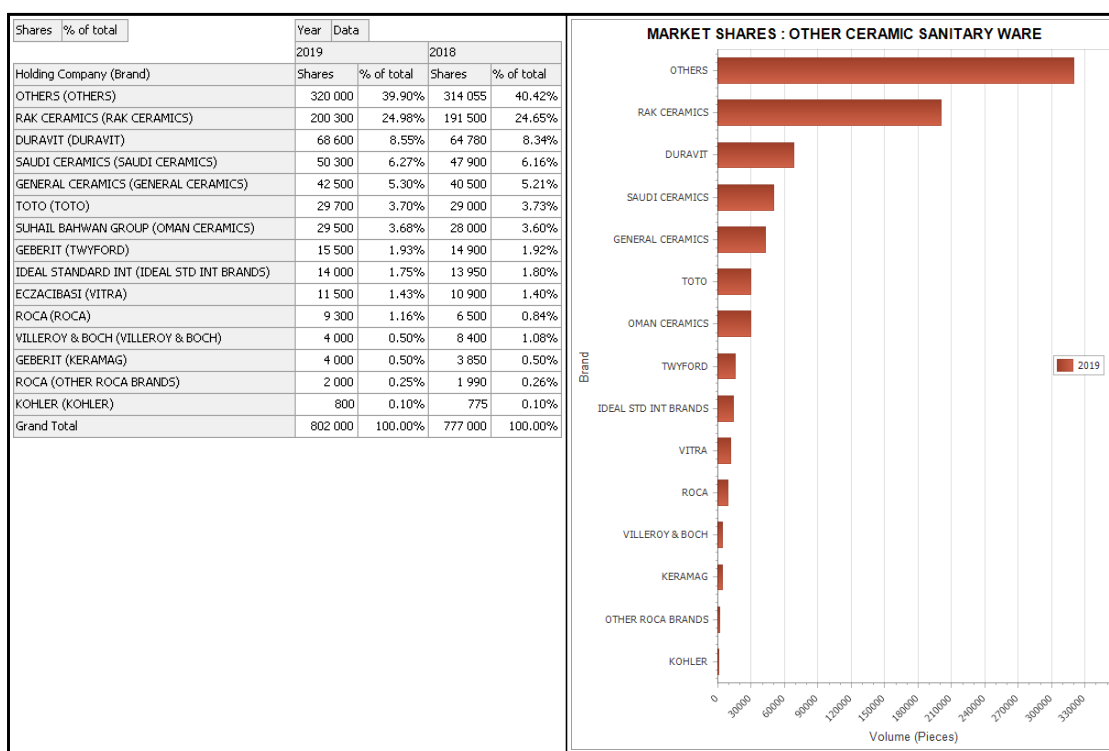
AE - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

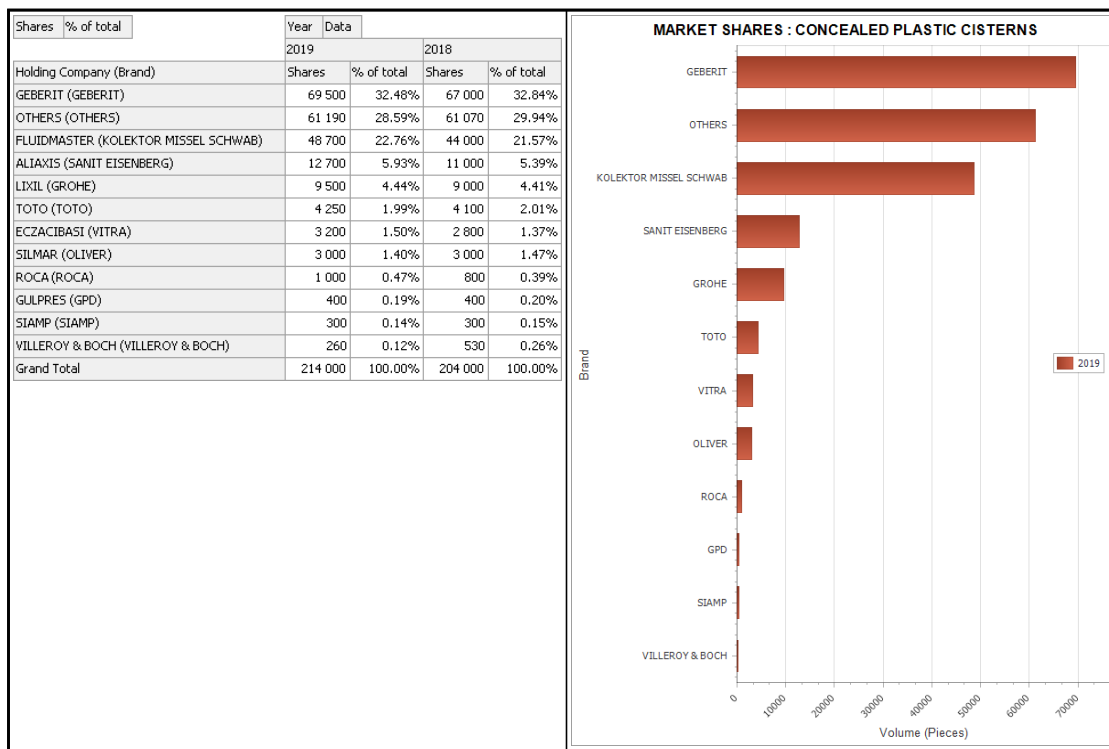
AE - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

AE - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.6.1

Route to Market: Ceramic Sanitary Ware
AE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.3%
	Wholesalers / Merchants
	55.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.4%	0.8%	0.0%	0.0%	13.9%	23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.2%		0.0%		36.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.5%	1.5%	0.0%	0.0%	0.4%
Installers				
3.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	17.2%	25.0%	2.2%	0.0%	27.5%	2.5%	10.8%	5.0%	0.0%	0.0%	9.0%	0.9%
	Residential						Non-Residential					
	74.3%						25.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	30.1%			44.2%			22.3%			3.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	23.0%		7.1%	2.0%		42.2%	20.0%		2.3%	1.5%		1.9%

2.6.2

Route to Market: Ceramic Sanitary Ware
AE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.0%
	Wholesalers / Merchants
	57.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.7%	1.0%	0.0%	0.0%	13.5%	24.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.7%		0.0%		37.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.5%	2.0%	0.0%	0.0%	0.7%
Installers				
4.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	15.3%	25.0%	2.7%	0.0%	22.8%	3.4%	11.0%	5.0%	0.0%	0.0%	14.0%	0.8%
	Residential						Non-Residential					
	69.2%						30.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	27.6%			41.6%			25.9%			4.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	22.5%		5.1%	2.7%		38.9%	22.0%		3.9%	1.5%		3.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.6.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

AE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

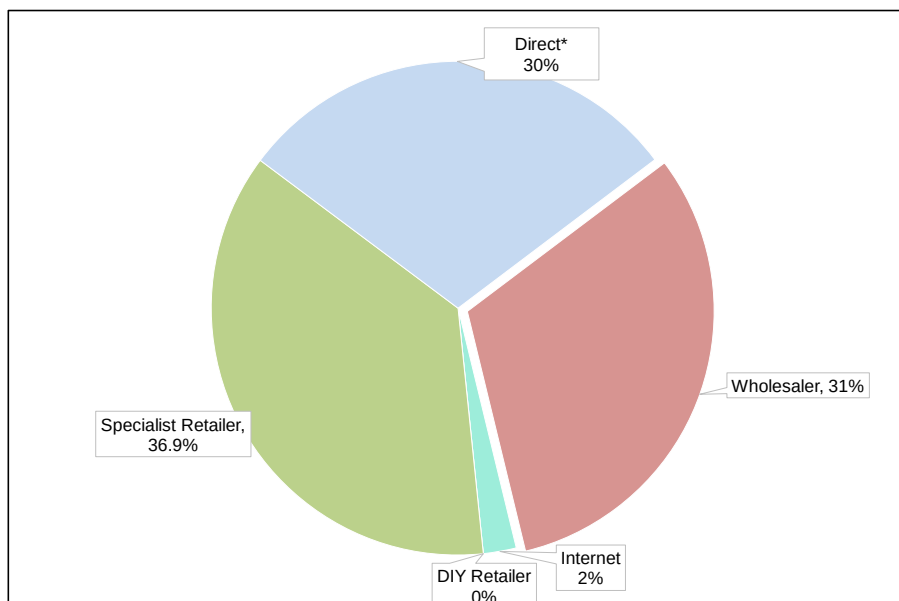
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.5%	2.2%	0.0%	36.9%	29.5%	25.0%	21.5%	49.3%	4.2%
100%					46.5%		53.5%	

2.6.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

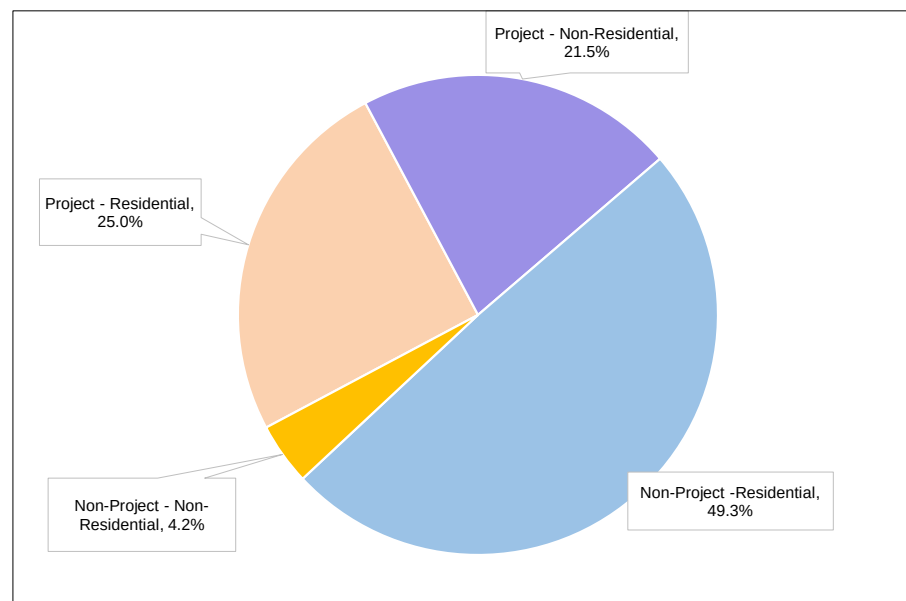
AE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.0%	2.7%	0.0%	37.5%	27.8%	25.2%	23.5%	44.0%	7.3%
100%					48.7%		51.3%	

AE - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.6.5 Route to Market: Plastic Cisterns
AE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	47.6%
	Wholesalers / Merchants
	47.6%

Retail Level	Manufacturer 0.0%	Wholesaler 0.1%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 23.9%	Wholesaler 25.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.1%		0.0%		48.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.8%	2.0%	0.0%	0.0%	0.9%
Installers				
4.7%				

End Use Level	Manufacturer 16.4%	Wholesaler 12.5%	Internet 0.1%	DIY 0.0%	Specialist 44.0%	Installer 4.2%	Manufacturer 10.2%	Wholesaler 8.0%	Internet 0.0%	DIY 0.0%	Specialist 4.0%	Installer 0.5%
	Residential						Non-Residential					
	77.3%						22.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	23.0%			54.3%			20.1%			2.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	19.8%		3.2%	5.0%		49.3%	18.3%		1.8%	1.0%		1.6%

2.6.6 Route to Market: Plastic Cisterns
AE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	48.0%
	Wholesalers / Merchants
	48.0%

Retail Level	Manufacturer 0.5%	Wholesaler 0.8%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 25.0%	Wholesaler 25.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.3%		0.0%		50.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	2.0%	0.0%	0.0%	1.4%
Installers				
5.4%				

End Use Level	Manufacturer 13.5%	Wholesaler 12.2%	Internet 1.3%	DIY 0.0%	Specialist 42.1%	Installer 4.6%	Manufacturer 11.0%	Wholesaler 8.0%	Internet 0.0%	DIY 0.0%	Specialist 6.5%	Installer 0.8%
	Residential						Non-Residential					
	73.7%						26.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	20.0%			53.7%			23.9%			2.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	18.1%		1.9%	5.5%		48.2%	18.8%		5.1%	0.8%		1.6%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.6.7 Route to Market - Consolidated View : Plastic Cisterns

AE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

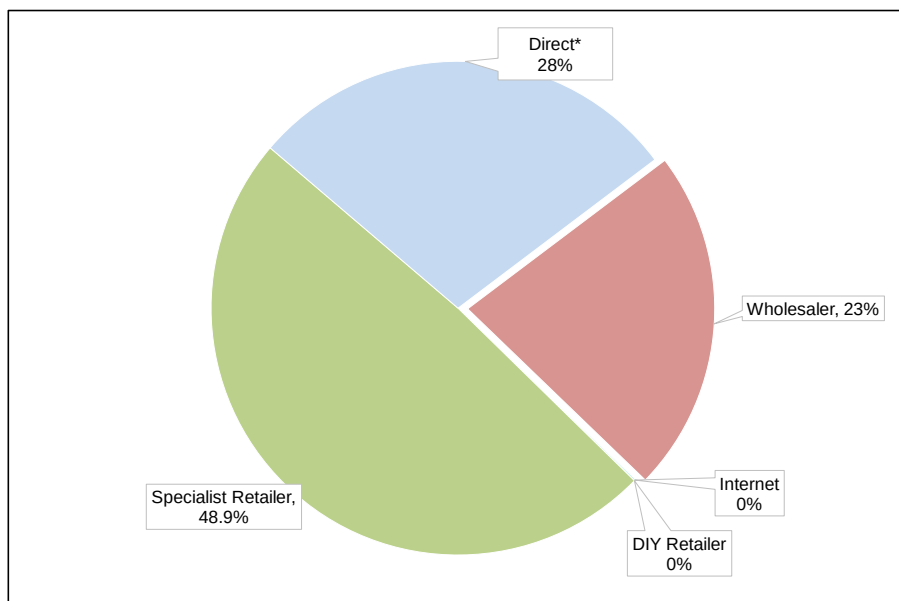
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.5%	0.1%	0.0%	48.9%	28.5%	24.8%	19.3%	52.5%	3.4%
100%					44.1%		55.9%	

2.6.8 Route to Market - Consolidated View : Plastic Cisterns

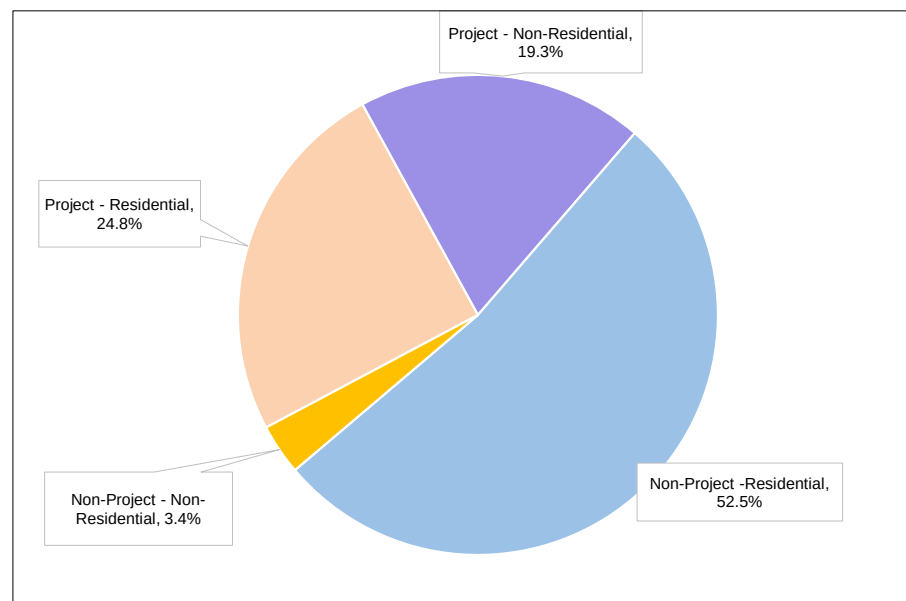
AE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.2%	1.3%	0.0%	50.0%	26.5%	23.6%	19.6%	50.1%	6.7%
100%					43.2%		56.8%	

AE - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



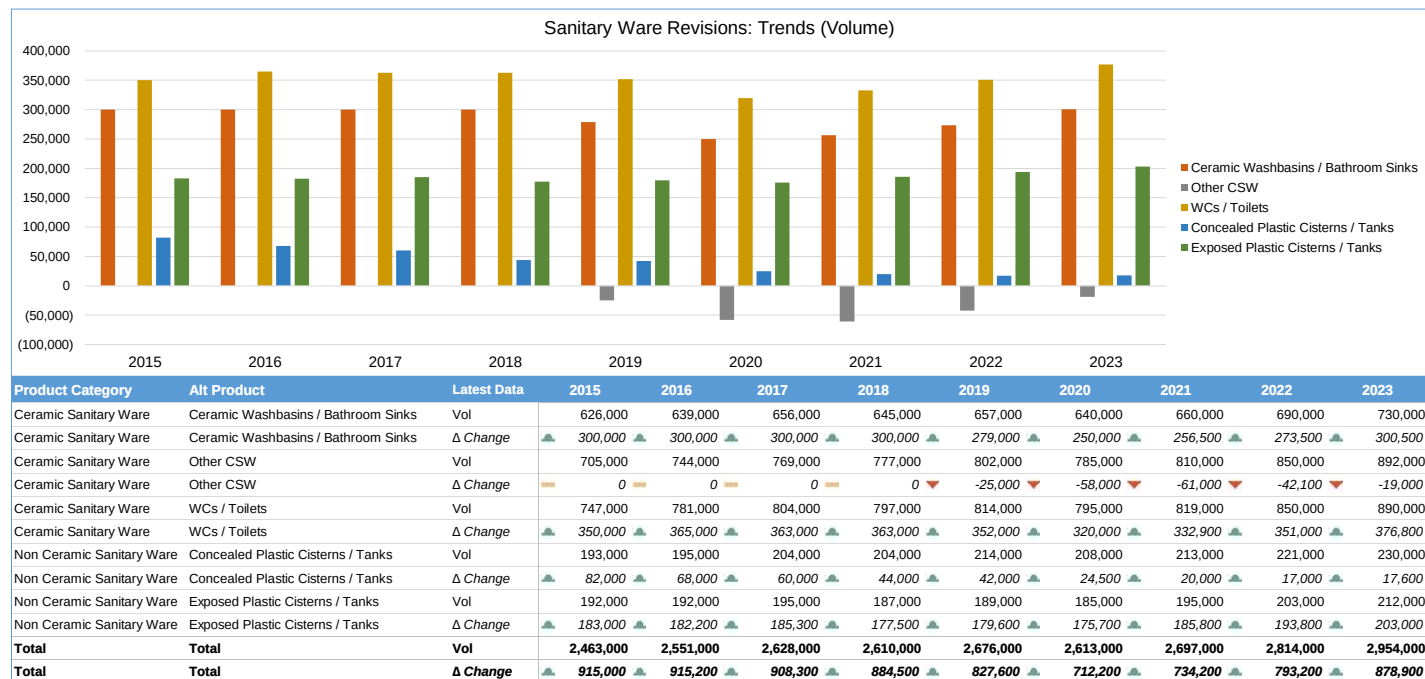
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7 Revisions in the Emirati Sanitary Ware Market (April 2020)

AE - REVISIONS IN THE EMIRATI SANITARY WARE MARKET

Data Comparison: April 2019



The market size for ceramic sanitary ware items, all including water closets, wash basins and other ceramic sanitary ware revised upwards. The decision was majorly based on analysis of annual imports of ceramic sanitaryware items into the UAE. It was found that volume of imports was underestimated previously, especially from China and other Asian countries, especially from OEM manufacturers. Thus, it was concluded that market size be revised upwards historically as well as for the forecast period.

In line with the changes made to the overall volumes of sanitary ware market, the MSPs for water closets and other ceramic sanitary ware were revised upwards based on industry feedback, analysis of retail and import prices of various sanitaryware products.

The market size for concealed as well as exposed ceramic cisterns was revised upwards. On detailed analysis of import statistics of sanitary ware as well as individual analysis of yearly imports plastic cisterns it was found out that market size of these products was underestimated. Thus, the upward revision.

Also, overall MSP for exposed plastic cisterns were revised downwards since imports were mostly from China and other Asian countries which mass produce these products and then export them at low costs.

The market size for urinals was revised upwards based on industry feedback, historically as well as for the forecast period.

UAE

FAUCETS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The market for faucets in the UAE is relatively large when compared to the size of the country and its total population. The primary reason for this is the high number of bathrooms per dwelling, where there are separate bathrooms for male and female members of the household and where a wealthier family may have one bathroom per bedroom. Maids/servants also have their own bathroom, while yet another bathroom is dedicated for guests.

Beyond the tourism industry, the country has many hotels – mostly in Dubai – to accommodate the high number of visitors who spend a few days in the country on business. This non-housing segment also captures a significant part of the sales of faucets made in the country. A share of these visitors comes from poor countries in Africa. Although some of them are established companies importing products by container (export figures are not included in our market size), other African businessmen purchase a certain quantity of faucets from distributors and fly back to their country for immediate resale in their local markets.

Generally speaking, the trend for faucets is similar to that for sanitary ware, where the main difference is in the end-use split, with faucets being replaced more frequently, compared to sanitary ware products. Although the bulk of sales takes place in the lower and economy price segments for both product families, the gap between a low-end product and a high-end product is huge in the faucets market, compared to sanitary ware. This explains why faucets are replaced more often.

In terms of material (which also explains the quality of products), most of the faucets sold in the country are made of zamak rather than brass. The one head mixer is the most widely installed product, and the trend has been increasing over the years. Pillar taps are generally installed only in low-end housing camps for labourers, as well as in the non-residential segment such as petrol pumps, mosques and restaurants.

Rather than a change in the product mix, the faucets market in the UAE is slowly becoming regulated around the issue of water saving, such as the flow speed allowed per minute. Although thermostatic and electronic products are slowly taking off, the market is actually limited to the very high-end segment. However, these regulations (speed flow for example) represent a positive driver for electronic mixers.

All WCs are equipped with a '*shattaf*' (the shower spray, also colloquially known as the 'bum gun' or health faucet). It has gradually replaced the bidet, providing a cost-effective solution as well as saving more space in the bathroom.

Most of the faucets are exposed, but a gradual trend towards concealed faucets has emerged within the high-end dwellings.

Sales of faucets in the UAE are largely driven by the new housing segment, due to the high level of construction activity, and the replacement market, because of the poor quality of a significant share of faucets sold, along with the quality of water, both reducing dramatically the lifespan of the product. Other characteristics of the faucets market include a large park of faucets within mosques: each mosque has a wet room, as performing ablutions is mandatory prior to praying.

Self-closing or pillar taps are mostly installed in these areas. These taps are used intensively and, therefore, are replaced frequently. Although they can be seen mounted on a classic washbasin, they are mostly mounted concealed and aligned without a washbasin to facilitate the strict way of performing the ablutions (wherein the wastewater is going to a common drain system).

Out of the total faucet market in the UAE, washbasin sales account for the largest chunk, followed by shower and kitchen mixers. Bath faucets sales also contribute a considerable share of sales to the taps & mixers market in the country. Bidet faucets, on the other hand are the smallest market. Among the faucet type, the one head mixers constitute a very significant amount of sales to UAE faucet market and continue to be popular among the residential consumers.

Recent Market Trends

In 2019, the market for faucets like the sanitary ware market experienced better growth in comparison to the previous year. Better economy, increased dwelling completions and growth of the commercial construction sector were the main driving factors for the taps & mixers market in UAE during the year. Moreover, consumers showed more interest in spending and renovating their bathrooms by replacing sanitary fittings during the year, with economy showing signs of growth. With the exception of bidet faucets, sales of all taps & mixers grew during the year.

The market has witnessed an increasing penetration of Chinese imports, and the trend continued in 2019 as well. Overall, there has been a growth in imports from Asian countries and some of them, such as CERA & JAQUAR of India, have also opened representative offices to better understand and market their products in the country as well as the wider Gulf region. Other faucet manufacturers in Asia have enlisted existing distributors in marketing their products.

Two layers of the market co-exist in the UAE, namely a market organised around brands and supplying new projects, and a market that is not organised, mostly operating in the replacement segment. The latter accounts for the majority in volume terms but is flooded with cheap Chinese imports.

Most Western brands focus on project bids and their distributors perceive the evolution of the market through the new construction sector only. During the year, a higher number of project completions, both in the residential as well as non-residential segment, also helped the sales of taps of mixers. However, some of the western brands are facing competition from Chinese imports for retail sales, not

only because of the wide gap in costs, but also due to the fact that the quality of Chinese items has improved a great deal over the last 2-3 years but with very little increase in price.

Increasing awareness, as well as the government's promotion of water conservation, has led to the introduction of newer water saving models of faucets. Several companies led by GROHE have launched these models and they are now increasingly being installed, especially in the non-residential segment and mosques. In the UAE, there is a trend for longer body wash basin faucets rather than short, which is perceived to be less practical.

Prices and Market Values

The MSPs for taps and mixers in UAE during 2019, did not witness much growth. One could say that the overall MSP of the taps & mixers segment was more or less stable. While washbasin and bath mixers saw a decline in MSPs, kitchen and shower MSPs experienced a slight growth during 2019.

This development in MSPs in the tap & mixers market in UAE is due to the fact that there is growing competition for sales, especially in the lower and economy segments, where stiff competition from Chinese players has squeezed margins for most of the manufacturers. Most of the sales of faucets in 2019 continued to be in the economy and lower price ranges.

The faucets market in the UAE has high price elasticity, where most homeowners focus on the price first and then the design. And, while Chinese and Indian imports are getting better and better in quality and design, the sales are bound to increase and even penetrate the mid-price segment. Taking that into consideration, the prices are not expected to witness a drastic upward movement in the future.

New Housing

Concurrent with sanitary ware sales to the new housing sector, the overall sales of taps and mixers also witnessed a good growth during 2019. This was mainly due to the growth in construction and the subsequent completion of new residential units during the year.

The one head mixer seems to be widely chosen by developers as well as retail consumers, holding the dominant position among all types of faucets, especially for baths, shower and washbasin faucets. The thermostatic mixer also continued to experience a healthy growth in 2019, especially in the shower segment.

Housing RMI

The housing RMI segment continued to account for the majority of faucet sales in 2019. Evidently, it is by far the largest end use sales segment. The volume sales of faucets to the replacement sector also grew in 2019, although the share of replacement sales declined marginally.

Usually, faucets that are installed in The Emirates have a short lifespan; most of them belong to the economy/low ranges imported from China and often need to be replaced. Moreover, replacing most of these economy/lower and even mid-priced faucets is easy on the pockets for a consumer, contrary to sanitary ware items which are more expensive and require professional installation.

Non-Housing

In 2019, volume sales of faucets to non-residential, commercial establishments increased for all faucet items. The growing tourism industry contributed significantly to the market growth. The completion of new hotels as well as renovation of the existing ones also had a major contribution to the demand in this sector.

As Dubai has been gearing up for the mega event 'Expo 2020', a number of developments were underway in the hospitality sector during the year. This has also been a major driver for growth of sales in 2019.

Supply Structure

As compared to the sanitary ware sector, the UAE is more reliant on imports for its faucet requirements, most of which come from Asia and Europe. European manufacturers continue to lead the faucets market in the UAE, while the Chinese are heavily present in the lower-end price segments of the market. The market is moving towards faucets with better technology. There has been increased focus on water saving, along with durability. Within the medium-end segment, however, the supply side is slightly changing; Chinese suppliers have started offering higher quality products, while European manufacturers and their multiple manufacturing plants in Asia are now also able to supply more affordable quality products. Chinese manufacturers are focused more on the demand for new designs, while still offering the cheapest product. For this reason, they hold a significant share of the market.

The supply structure for faucets in the UAE is very static, despite the emergence of the joint venture KLUDIRAK. Several small manufacturers are heavily present at different exhibition fairs such as the 'Big 5' in Dubai. European brands are highly appreciated, especially German products, winning most of the tenders, even though Asian products are not automatically excluded from this sub-market. GROHE, DANUBE's brand MILANO and KLUDIRAK lead the branded faucet market in UAE.

MILANO and KLUDIRAK are among the regional players in this market. In recent years, DANUBE which markets its products under the brand name MILANO has emerged as an important player, especially in the lower and economy segments. DANUBE procures most of its products from China and sells it under its own brand name. With a countrywide distribution network and showrooms, the company is strong in the retail segment.

Among the western players, apart from GROHE – the market leader – IDEAL STANDARD, HANS&GROHE, ROCA, KOHLER, HANSA, KLUDI and BOLD are the other main players. VILLEROY & BOCH is another western market player which mostly caters to upper and luxury price segments. Over the last few years Turkish brand VITRA has also gradually gained market in the UAE and performed well with a good sales growth during 2019.

GROHE is certainly the most known, with no immediate competitor and offers a range of products across all price segments. This brand has been particularly active in responding to the government's desire to promote water saving taps, even though it is not the only European brand that is actively targeting the guidelines laid out by the regulatory authorities. However, GROHE focuses particularly on introducing its products into mosques, marketed as 'Sharia Compliant'.

In the UAE, a small part of the total demand for faucets is fulfilled by direct selling. There are some projects which give direct orders to factories in China, Vietnam, India and Turkey etc. and procure sanitary ware and taps and mixers directly from the manufacturers in these countries without the involvement of distributors. This exercise often results in better deals for the projects at a pre-determined quality along with the option for customisation of products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

UAE faucet market started to experience a downward trend during the first quarter of 2020 because of the lockdown restrictions as a result of the COVID-19 outbreak across the Middle East. Although the markets were normal during the first two months of the year, market activity started to witness a strong decline in March when strict restrictions started to take place, in the form of city curfews and lockdowns.

COVID-19 pandemic has been disruptive across all continents in the world and proving a huge hurdle to all economic and developmental activities. Sales have almost come to a halt and there is no firm projection as to when the outbreak could be contained and when normal business could start. The outlook for the rest of the year also remains bleak with looming uncertainty over Expo 2020 event and even the timelines for the re-start of usual business and the lifting of lockdown restrictions. Furthermore, these events are sure to have a cascading effect on the economy of the country with oil prices already touching some of the lowest levels in

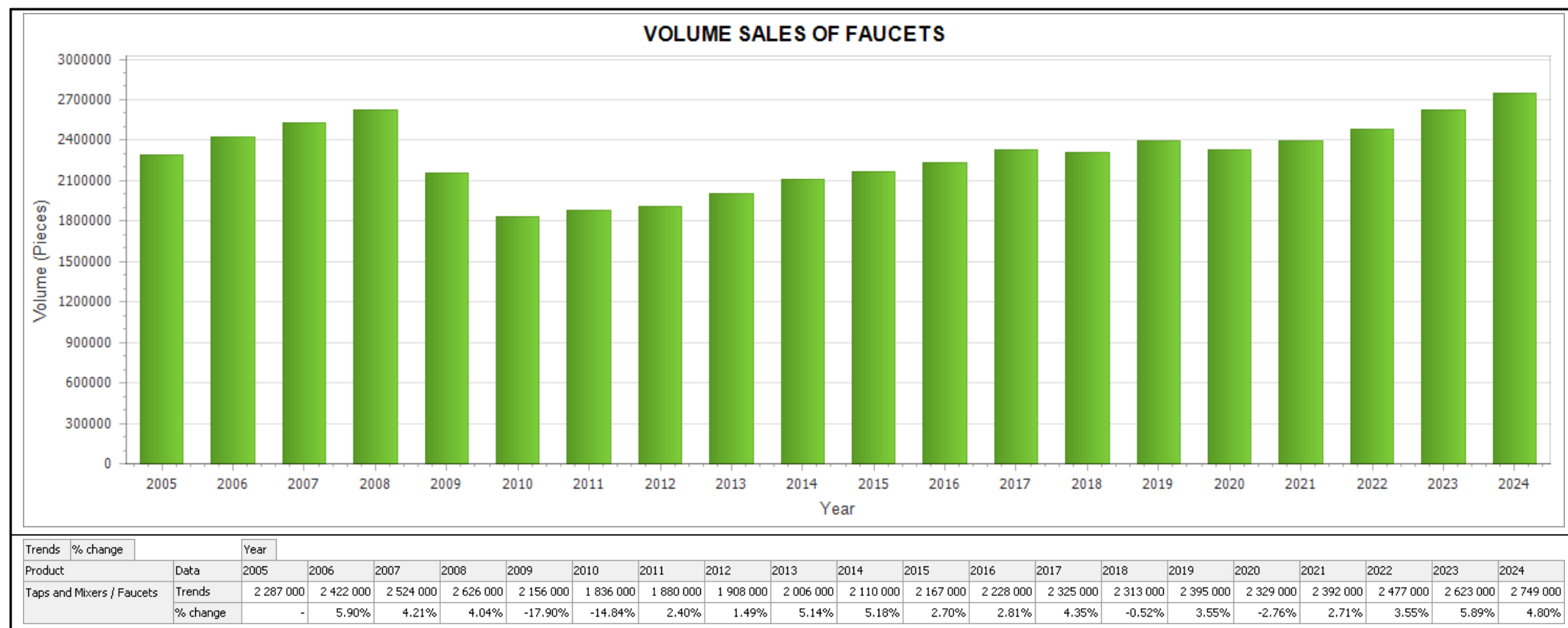
history.

As an economy, the UAE is also dependent on private investments from outside along with a sizeable contribution from the tourism industry. Any decline in these areas could affect the construction industry, which in turn would affect the faucets market.

However, the outlook for the forecast period is better with the economy expected to recover and assist growth in construction activities. This in turn will prove to be beneficial to the taps & mixers market.

3.2 Historical Trends and Forecasts : Faucets

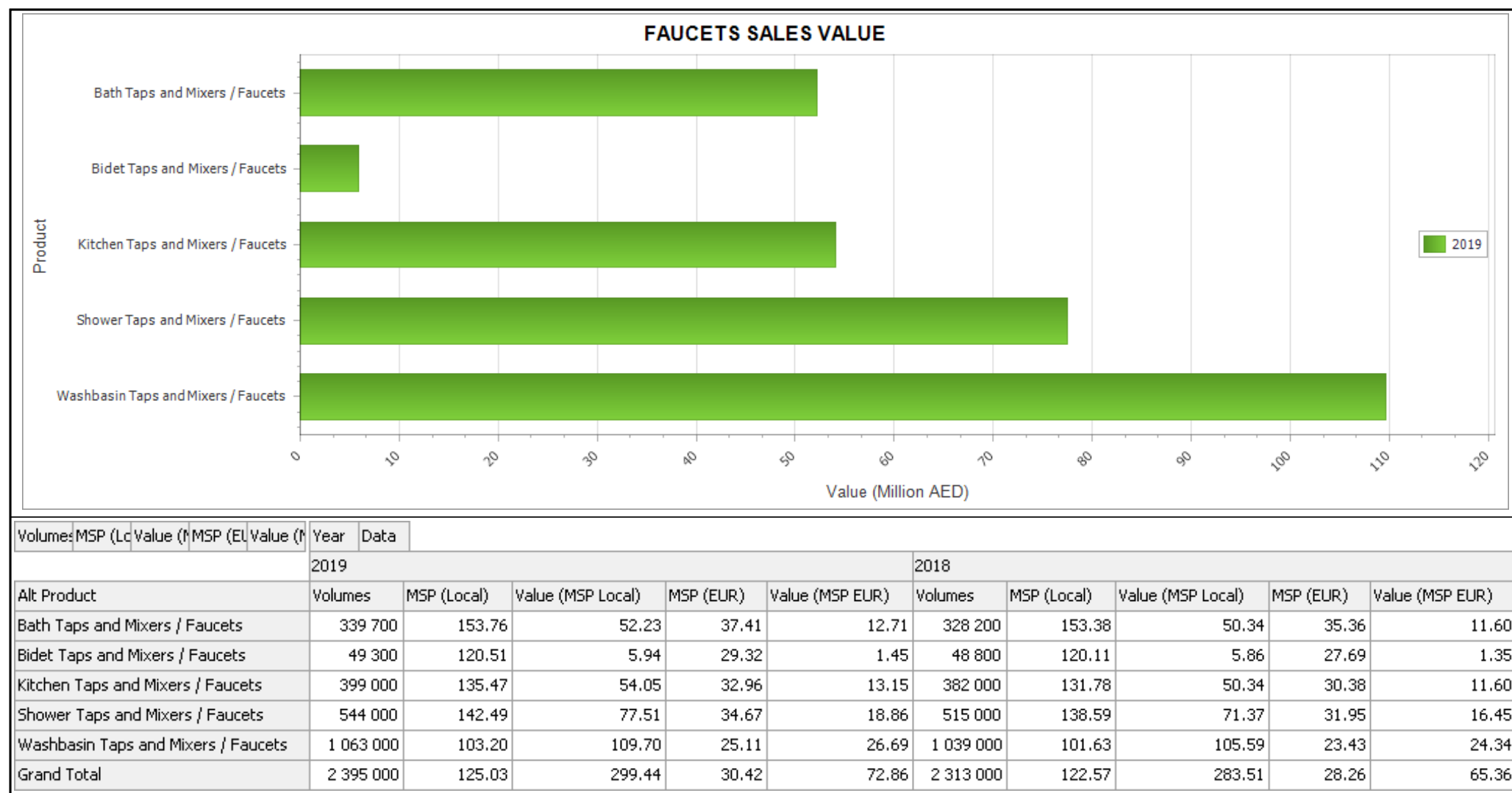
AE - SUMMARY OF TRENDS IN THE FAUCETS MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Faucets

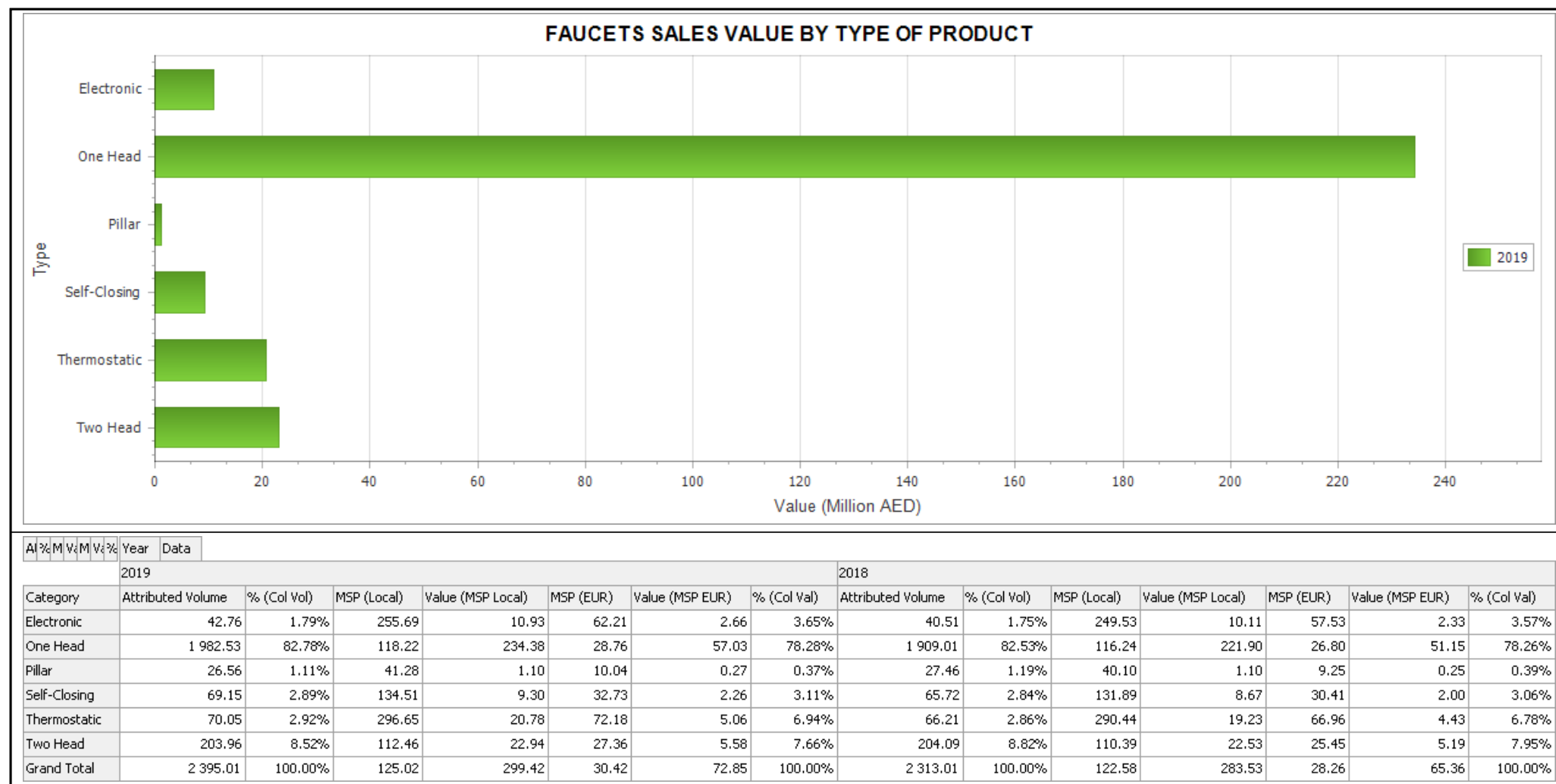
AE - ESTIMATED VALUES OF THE FAUCETS MARKET



Source: BRG based on industry interviews. Local Prices Shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Faucets

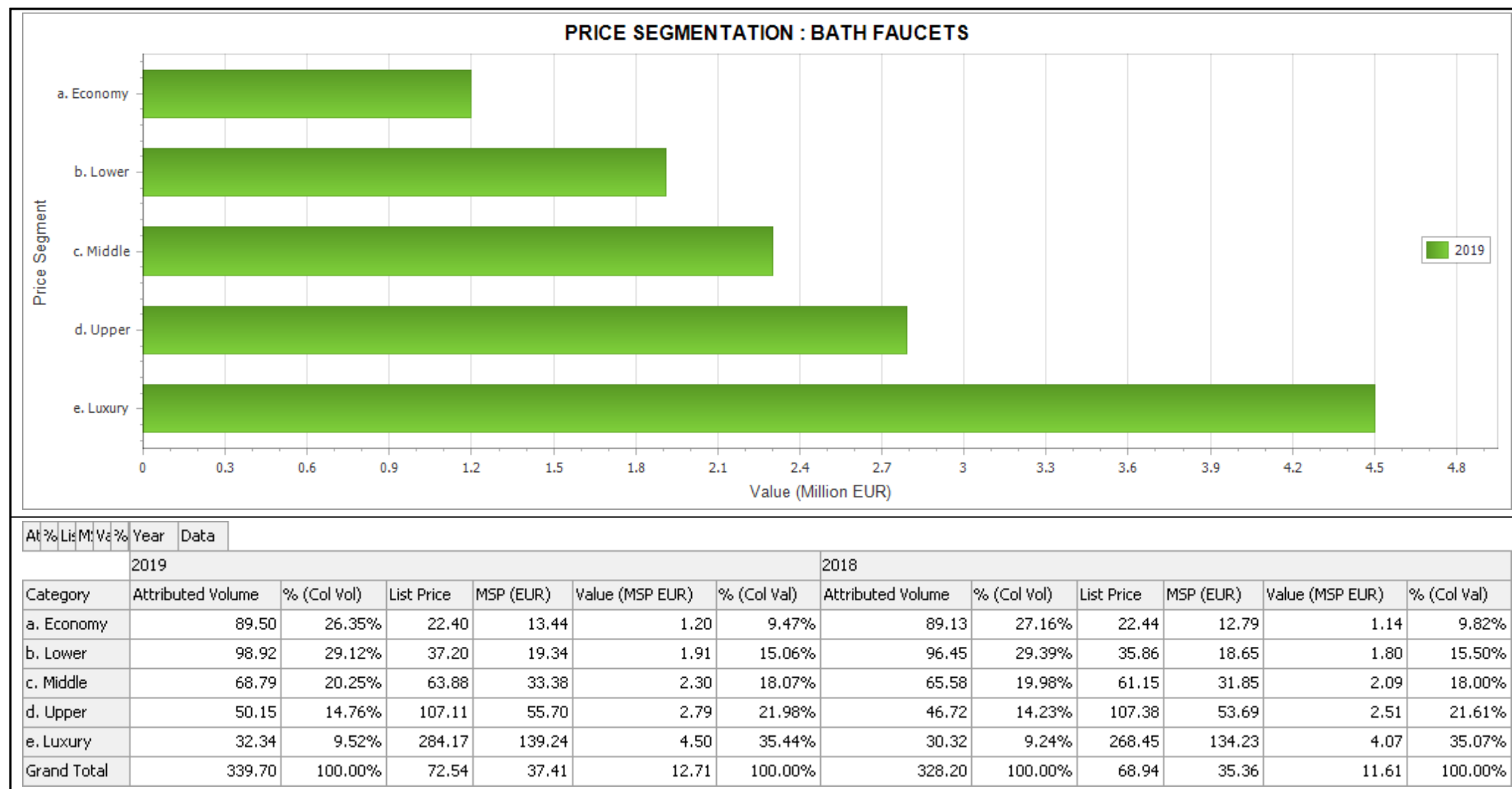
AE - ESTIMATED VALUES OF THE FAUCETS MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in AED. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Faucets

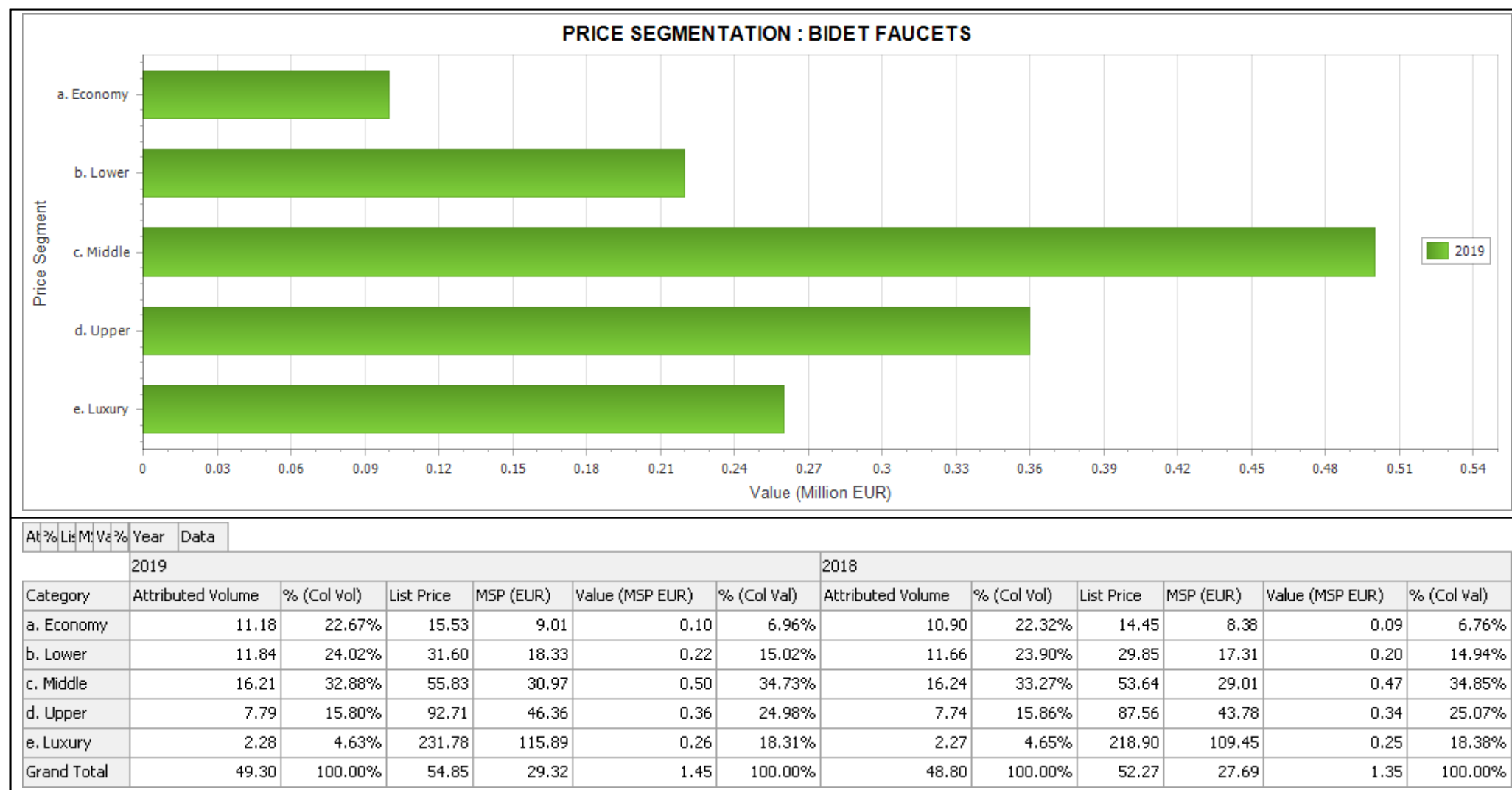
AE - ESTIMATED PRICE SEGMENTATION FOR BATH FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€45, Upper €45-€70 and Luxury >€70

3.3.4 Price Segmentation : Bidet Faucets

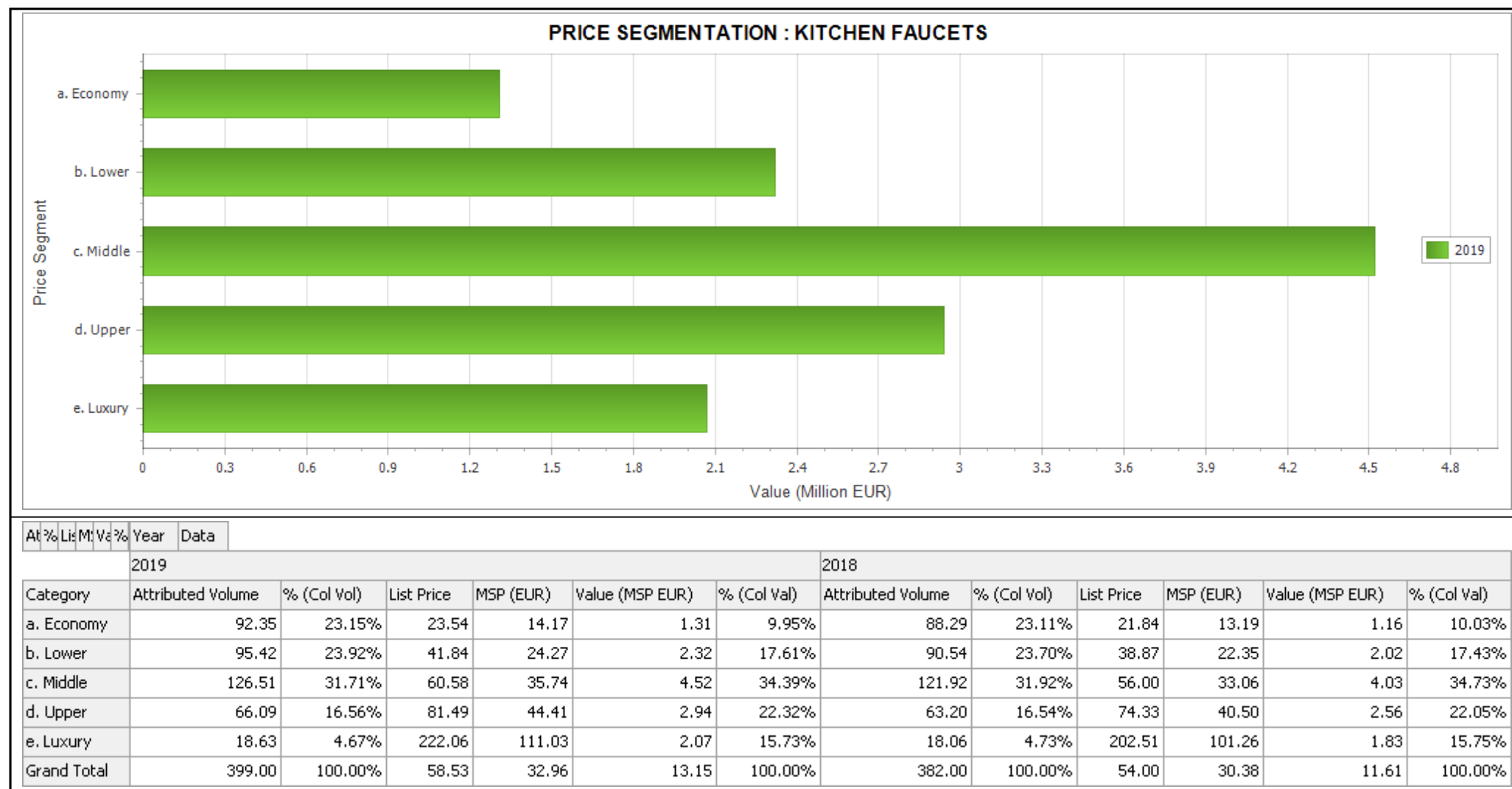
AE - ESTIMATED PRICE SEGMENTATION FOR BIDET FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€10, Lower €10-€25, Middle €25-€40, Upper €40-€70 and Luxury >€70

3.3.5 Price Segmentation : Kitchen Faucets

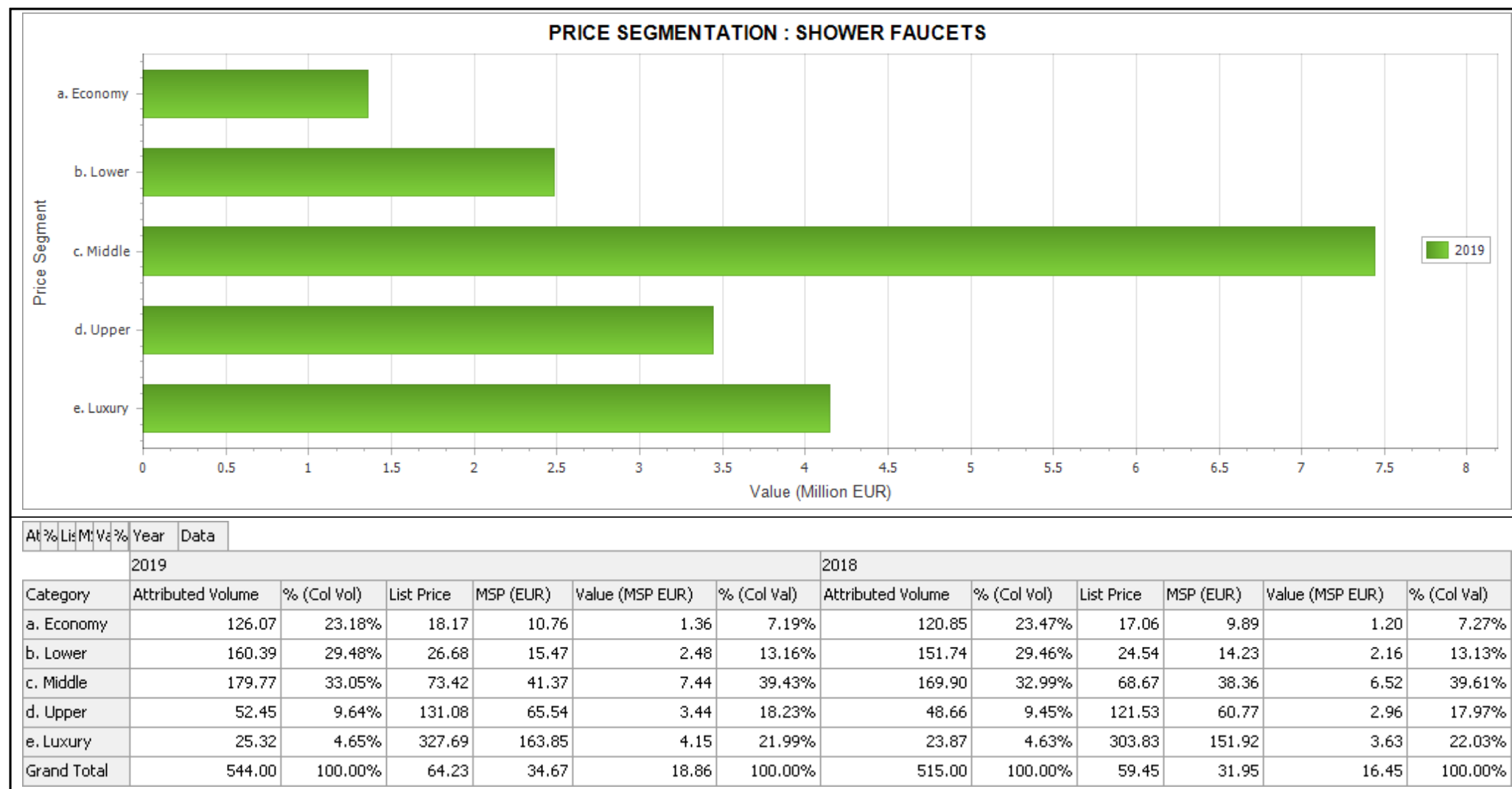
AE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€40, Upper €40-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Faucets

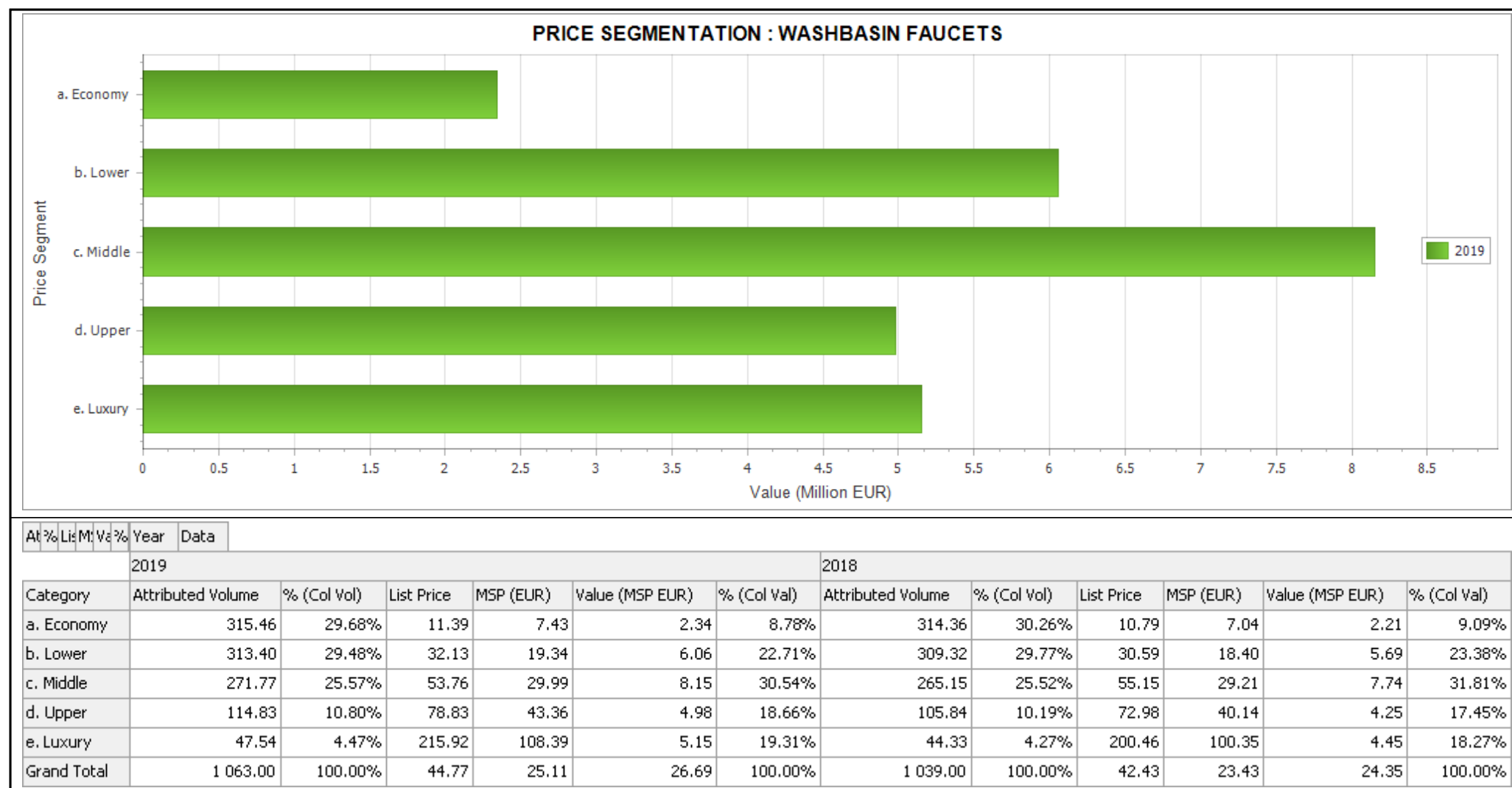
AE - ESTIMATED PRICE SEGMENTATION FOR SHOWER FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€13, Lower €13-€30, Middle €30-€45, Upper €45-€100 and Luxury >€100

3.3.7 Price Segmentation : Washbasin Faucets

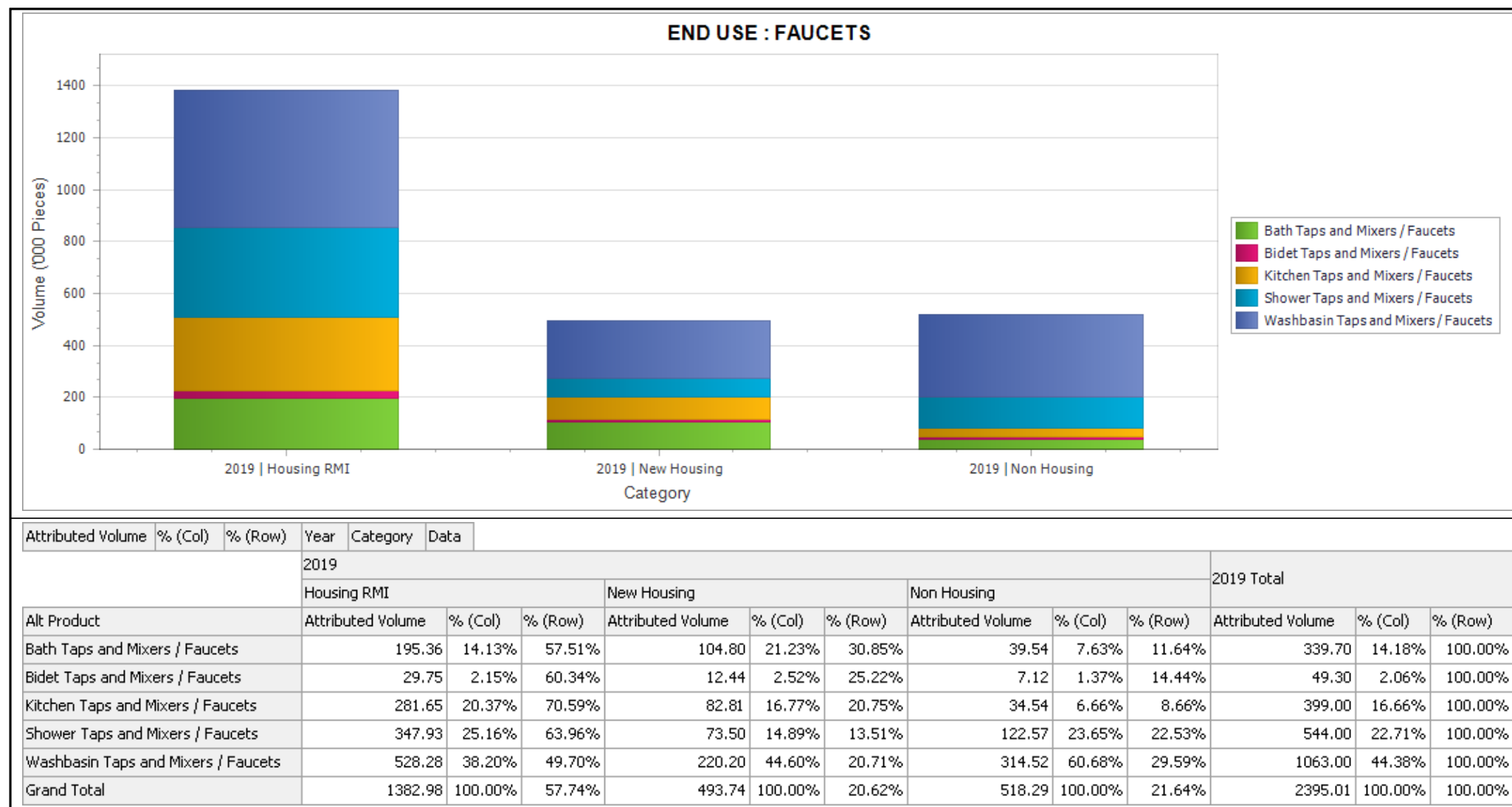
AE - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€90 and Luxury >€90

3.4.1 End Use : Base Year

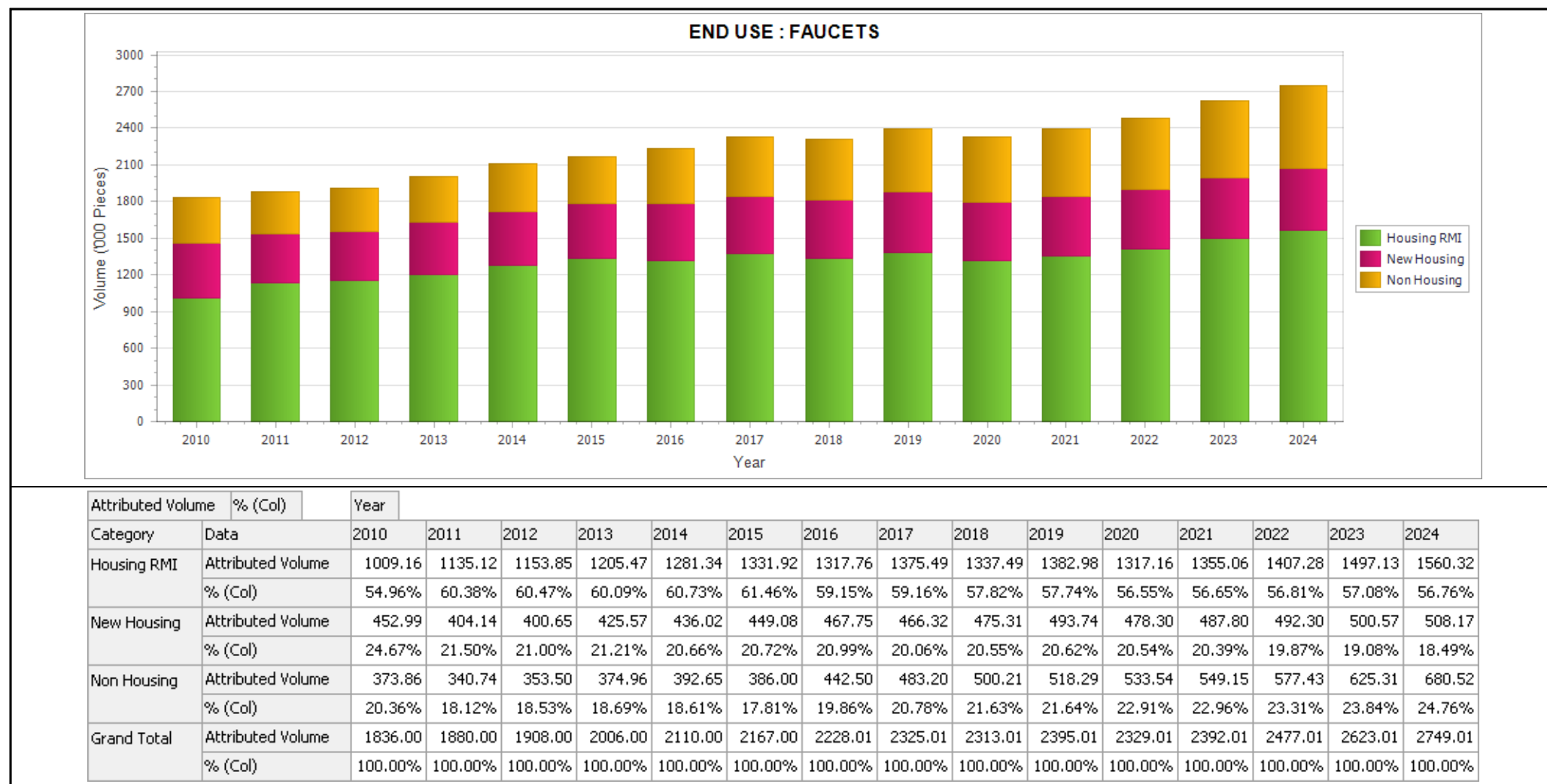
AE - SALES OF FAUCETS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

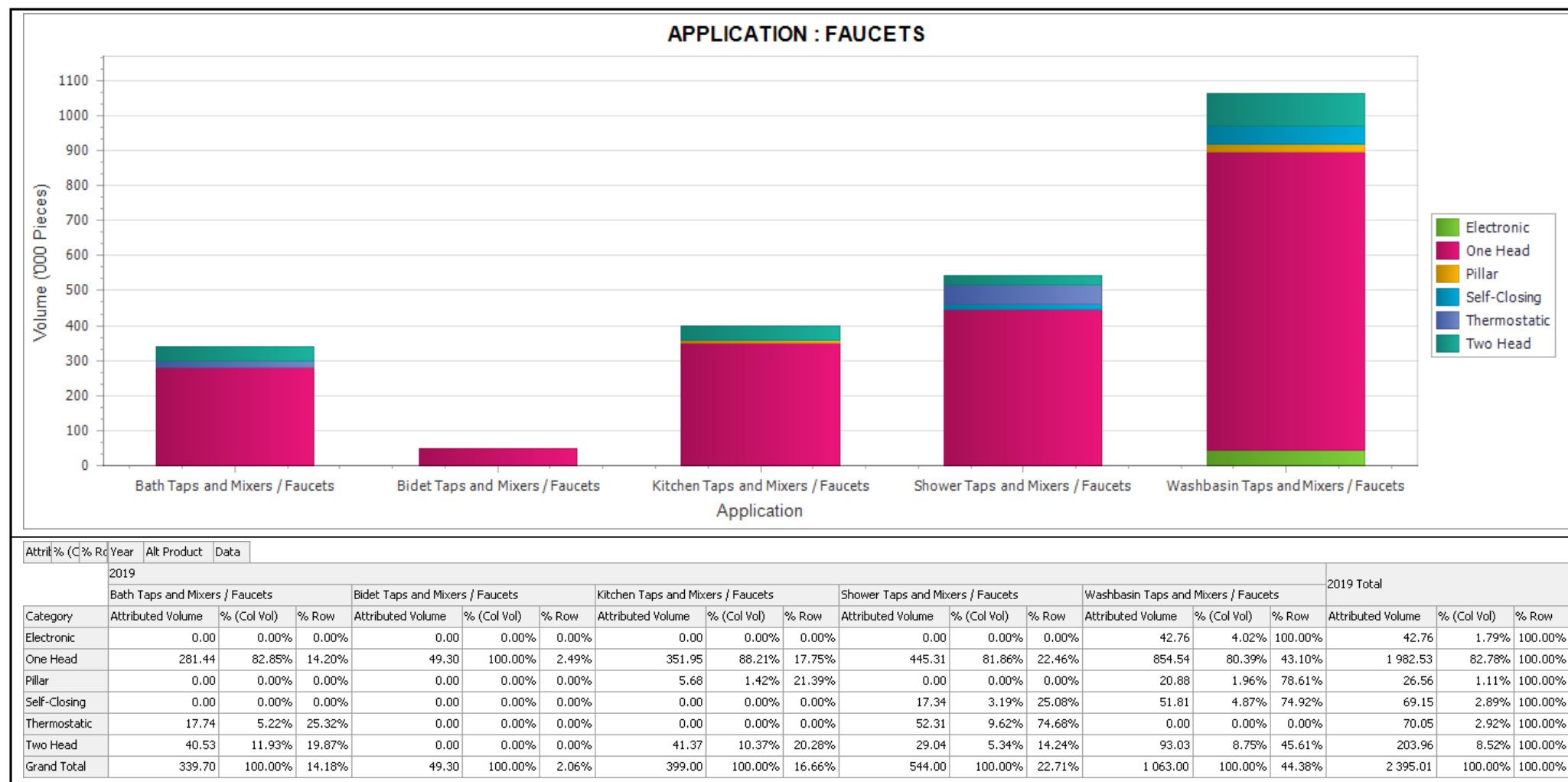
AE - SALES OF FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Faucets

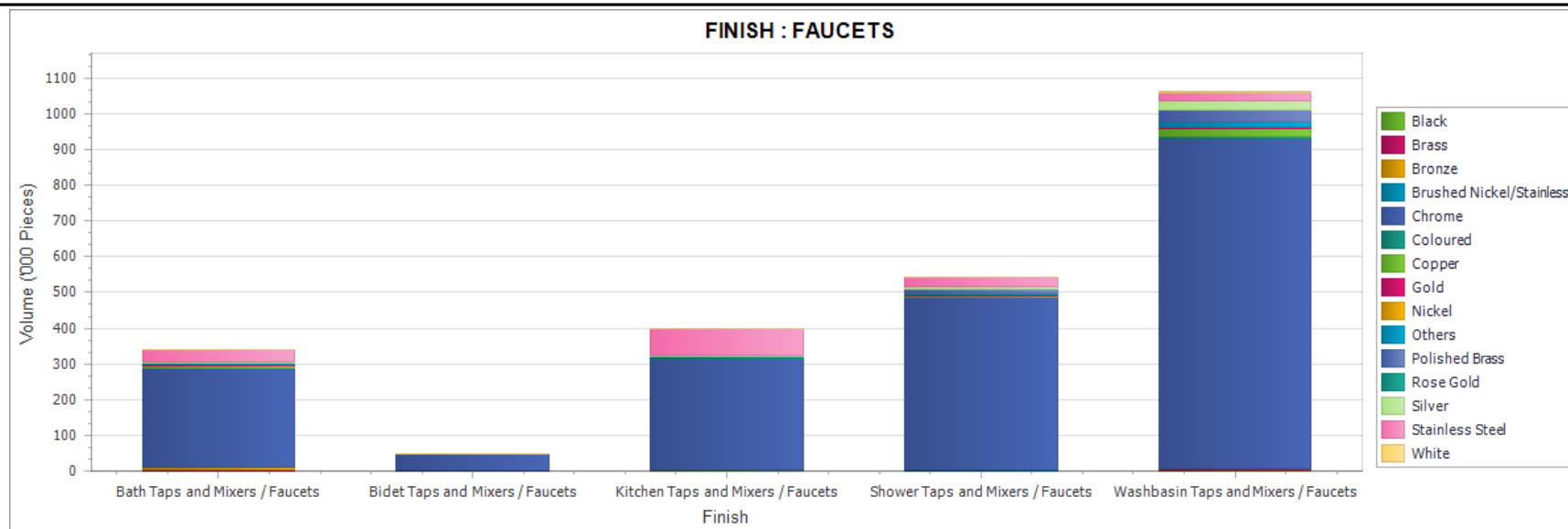
AE - FAUCETS SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Faucets

AE - FAUCETS SALES BY FINISH AND APPLICATION ('000 PIECES)

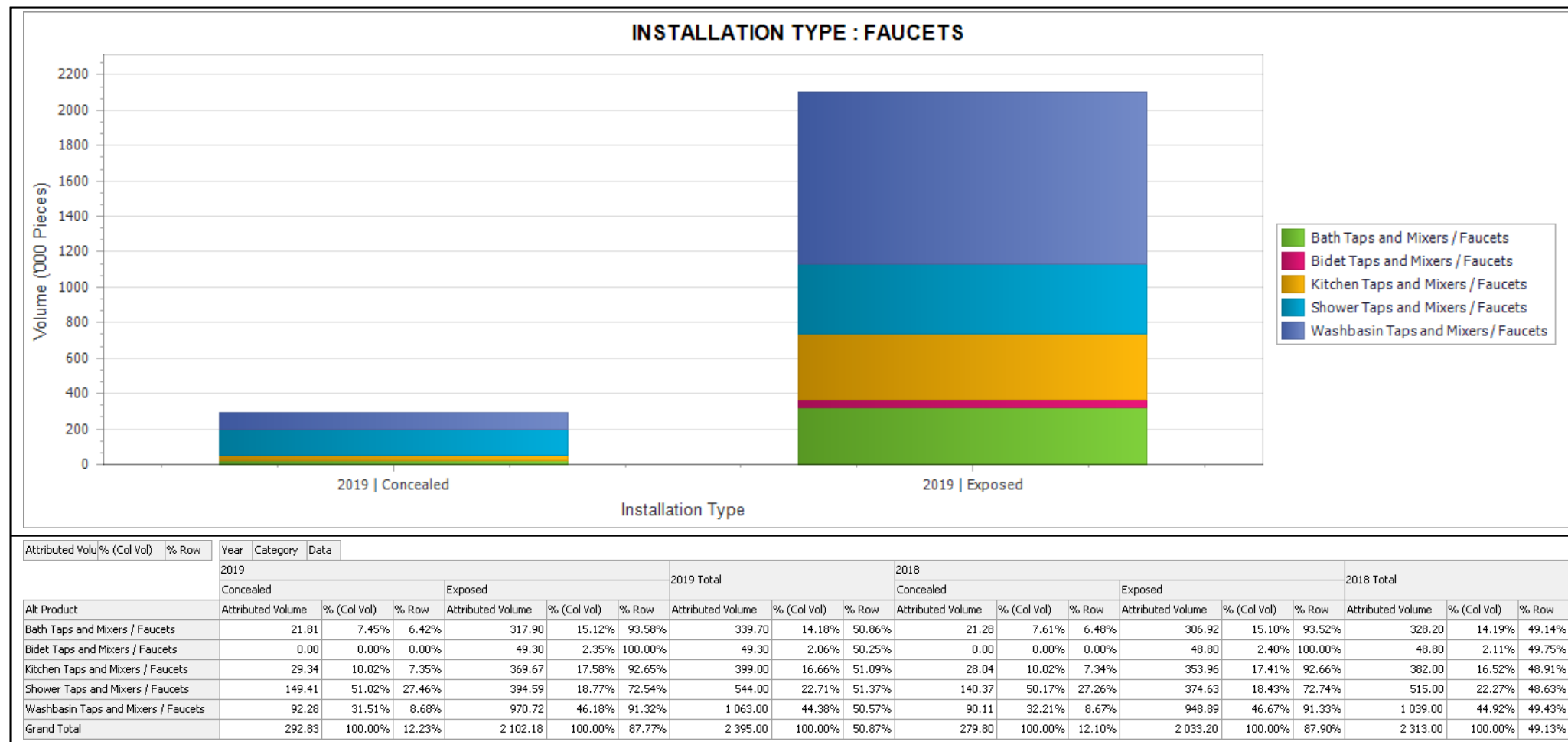


Attribute % (Col V% Row	Year	Alt Product	Data															
	2019																	
	Bath Taps and Mixers / Faucets			Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			2019 Total		
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Black	1.70	0.50%	16.83%	0.00	0.00%	0.00%	2.00	0.50%	19.76%	1.09	0.20%	10.78%	5.32	0.50%	52.64%	10.10	0.42%	100.00
Brass	1.02	0.30%	24.94%	0.00	0.00%	0.00%	0.40	0.10%	9.76%	0.54	0.10%	13.30%	2.13	0.20%	51.99%	4.09	0.17%	100.00
Bronze	7.13	2.10%	87.03%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.06	0.10%	12.97%	8.20	0.34%	100.00
Brushed Nickel/Stainless	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.54	0.10%	100.00%	0.00	0.00%	0.00%	0.54	0.02%	100.00
Chrome	276.18	81.30%	13.53%	46.54	94.39%	2.28%	312.42	78.30%	15.31%	483.07	88.80%	23.67%	922.68	86.80%	45.21%	2 040.89	85.21%	100.00
Coloured	2.04	0.60%	21.83%	0.10	0.20%	1.06%	0.80	0.20%	8.54%	1.09	0.20%	11.65%	5.32	0.50%	56.91%	9.34	0.39%	100.00
Copper	7.13	2.10%	19.30%	0.05	0.10%	0.14%	0.40	0.10%	1.08%	5.99	1.10%	16.20%	23.39	2.20%	63.29%	36.96	1.54%	100.00
Gold	3.74	1.10%	44.16%	0.05	0.10%	0.59%	0.40	0.10%	4.71%	1.09	0.20%	12.86%	3.19	0.30%	37.68%	8.46	0.35%	100.00
Nickel	0.34	0.10%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.34	0.01%	100.00
Others	1.70	0.50%	6.81%	0.05	0.10%	0.20%	3.99	1.00%	15.99%	3.26	0.60%	13.08%	15.95	1.50%	63.91%	24.95	1.04%	100.00
Polished Brass	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	10.88	2.00%	25.44%	31.89	3.00%	74.56%	42.77	1.79%	100.00
Rose Gold	0.68	0.20%	20.73%	0.05	0.10%	1.52%	0.40	0.10%	12.16%	1.09	0.20%	33.17%	1.06	0.10%	32.41%	3.28	0.14%	100.00
Silver	3.06	0.90%	7.80%	0.20	0.40%	0.51%	4.39	1.10%	11.20%	8.16	1.50%	20.82%	23.39	2.20%	59.67%	39.19	1.64%	100.00
Stainless Steel	33.97	10.00%	21.58%	2.17	4.40%	1.38%	73.42	18.40%	46.63%	25.57	4.70%	16.24%	22.32	2.10%	14.18%	157.45	6.57%	100.00
White	1.02	0.30%	12.05%	0.10	0.20%	1.17%	0.40	0.10%	4.71%	1.63	0.30%	19.28%	5.32	0.50%	62.79%	8.47	0.35%	100.00
Grand Total	339.71	100.00%	14.18%	49.31	100.00%	2.06%	399.00	100.00%	16.66%	544.00	100.00%	22.71%	1 063.00	100.00%	44.38%	2 395.02	100.00%	100.00

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Faucets

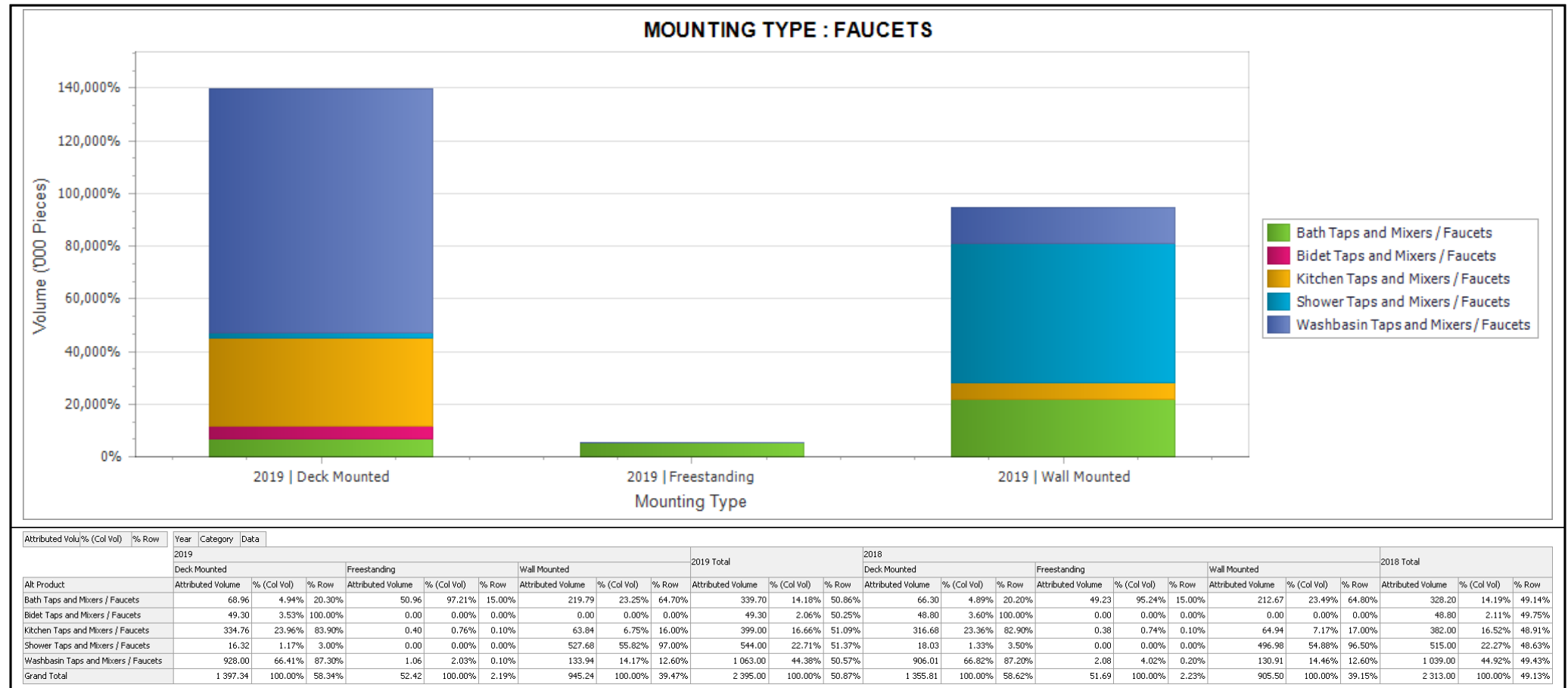
AE - FAUCETS SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Faucets

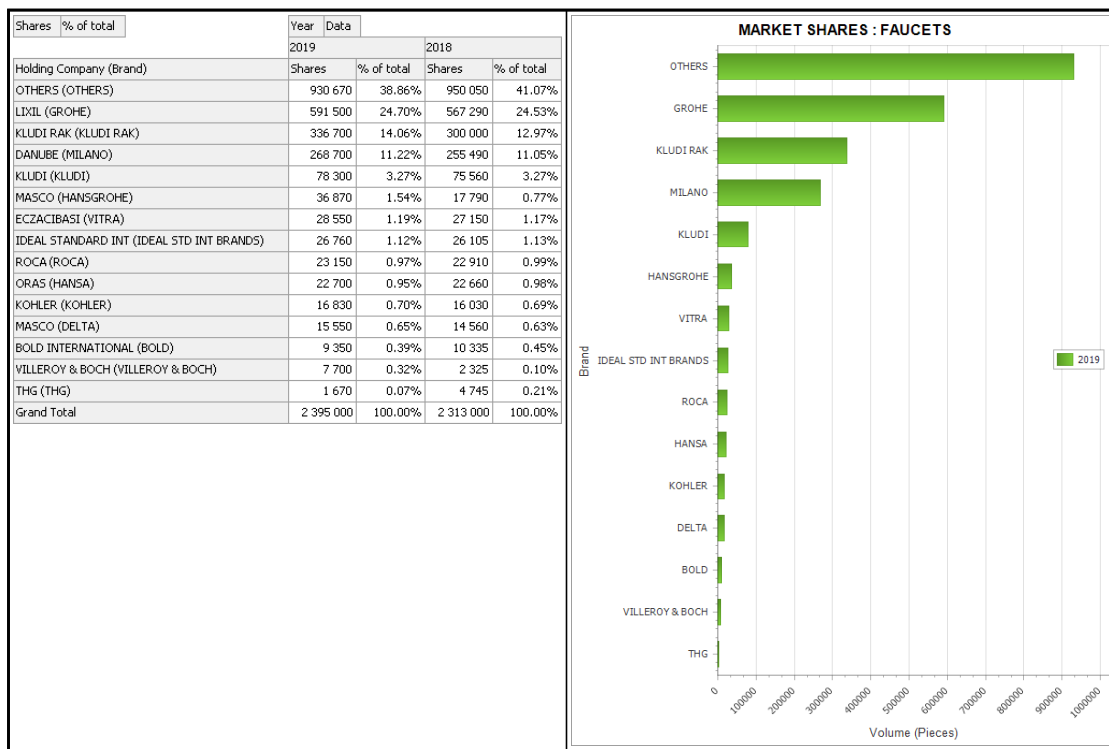
AE - FAUCETS SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Faucets

AE - ESTIMATED MARKET SHARES FOR FAUCETS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.4%
	Wholesalers / Merchants
	57.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.1%	3.5%	0.0%	0.0%	19.8%	24.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.6%		0.0%		44.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.6%	2.8%	0.0%	0.0%	1.1%
Installers				
6.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	12.1%	24.3%	6.6%	0.0%	42.0%	6.4%	5.0%	2.0%	0.0%	0.0%	1.5%	0.1%
	Residential						Non-Residential					
	91.3%						8.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	20.8%			70.6%			7.9%			0.8%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	18.5%	2.3%		3.5%	67.1%		7.0%	0.9%		0.5%	0.3%	

3.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.0%
	Wholesalers / Merchants
	57.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.5%	4.0%	0.0%	0.0%	20.0%	25.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.5%		0.0%		45.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	2.8%	0.0%	0.0%	0.7%
Installers				
6.0%				

End Use Level	Manufacturer 10.5%	Wholesaler 23.0%	Internet 7.5%	DIY 0.0%	Specialist 42.3%	Installer 5.4%	Manufacturer 6.5%	Wholesaler 2.2%	Internet 0.0%	DIY 0.0%	Specialist 2.0%	Installer 0.6%
	Residential 88.7%						Non-Residential 11.3%					
	New Build 18.7%			Residential RMI 70.1%			New Build 10.8%			Non-Residential RMI 0.5%		
	Project 16.9%		Non-Project 1.8%	Project 5.0%		Non-Project 65.1%	Project 9.8%		Non-Project 1.0%	Project 0.4%		Non-Project 0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

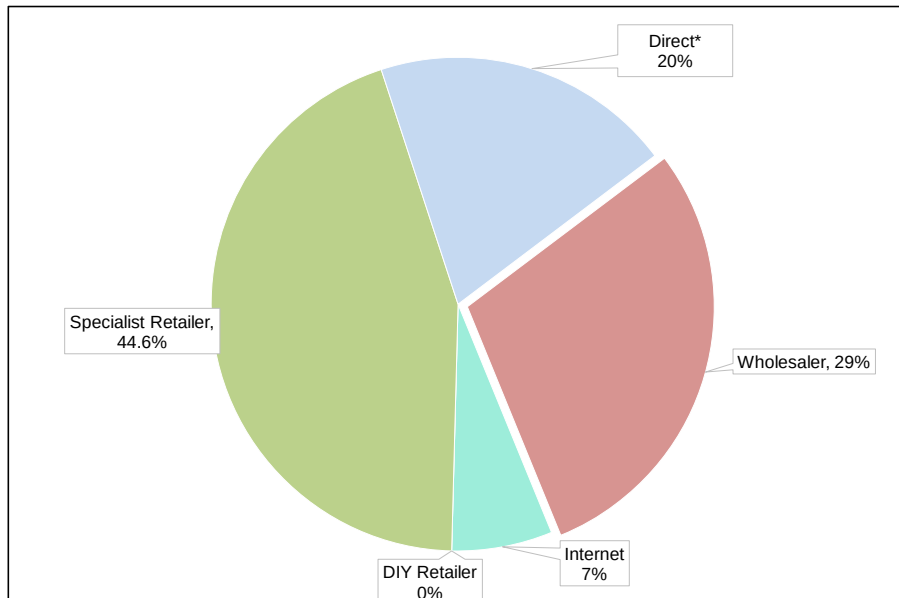
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.1%	6.6%	0.0%	44.6%	19.7%	22.0%	7.5%	69.3%	1.2%
100%					29.5%		70.5%	

3.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

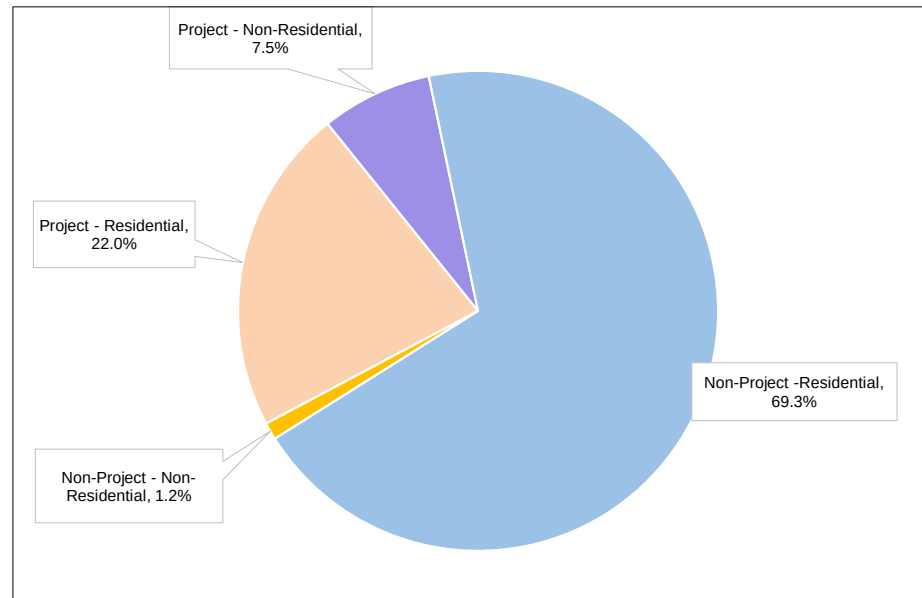
AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.0%	7.5%	0.0%	45.0%	19.5%	21.9%	10.2%	66.8%	1.1%
100%					32.1%		67.9%	

AE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.6.5 Route to Market: Sanitary Taps & Mixers / Faucets
AE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.9%
	Wholesalers / Merchants
	57.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.3%	3.5%	0.0%	0.0%	16.7%	25.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.8%		0.0%		41.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	2.5%	0.0%	0.0%	1.7%
Installers				
6.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	13.7%	23.9%	5.8%	0.0%	27.0%	5.4%	7.4%	3.0%	0.0%	0.0%	13.0%	0.9%			
	Residential						Non-Residential								
	75.8%						24.2%								
New Build				Residential RMI				New Build				Non-Residential RMI			
20.6%				55.2%				20.0%				4.2%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
13.5%		7.1%		5.9%		49.3%		18.0%		2.0%		1.5%		2.7%	

3.6.6 Route to Market: Sanitary Taps & Mixers / Faucets
AE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	58.0%
	Wholesalers / Merchants
	58.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.5%	4.5%	0.0%	0.0%	18.0%	27.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		0.0%		45.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	3.0%	0.0%	0.0%	0.5%
Installers				
5.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	10.5%	20.5%	8.0%	0.0%	29.5%	4.1%	8.0%	3.0%	0.0%	0.0%	15.0%	1.4%
	Residential						Non-Residential					
	72.6%						27.4%					
	New Build						Non-Residential RMI					
	18.4%						4.4%					
	Project		Non-Project		Project		Non-Project		Project		Non-Project	
	15.8%		2.6%		6.0%		48.1%		1.5%		2.9%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.6.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

AE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

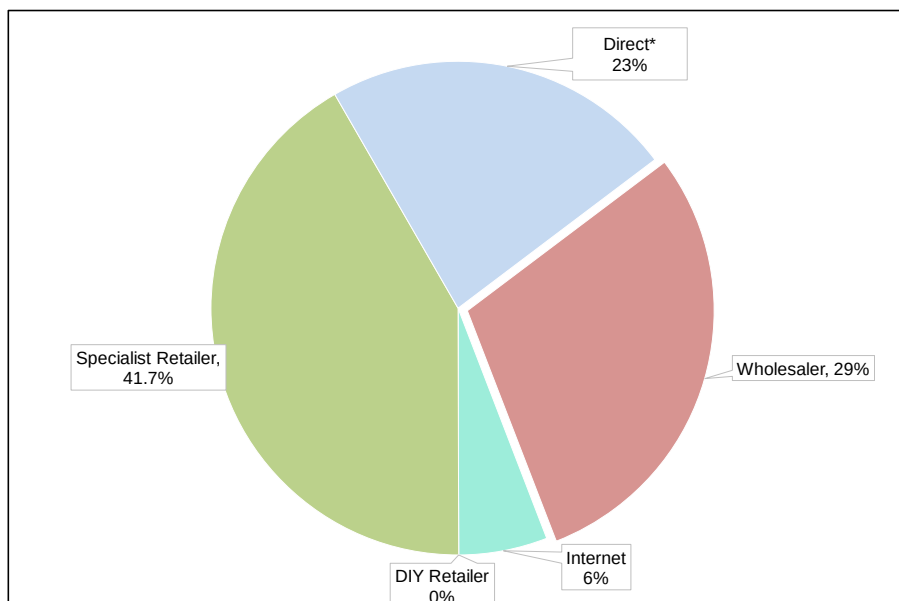
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.4%	5.8%	0.0%	41.7%	23.0%	19.4%	19.5%	56.4%	4.7%
100%					38.9%		61.1%	

3.6.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

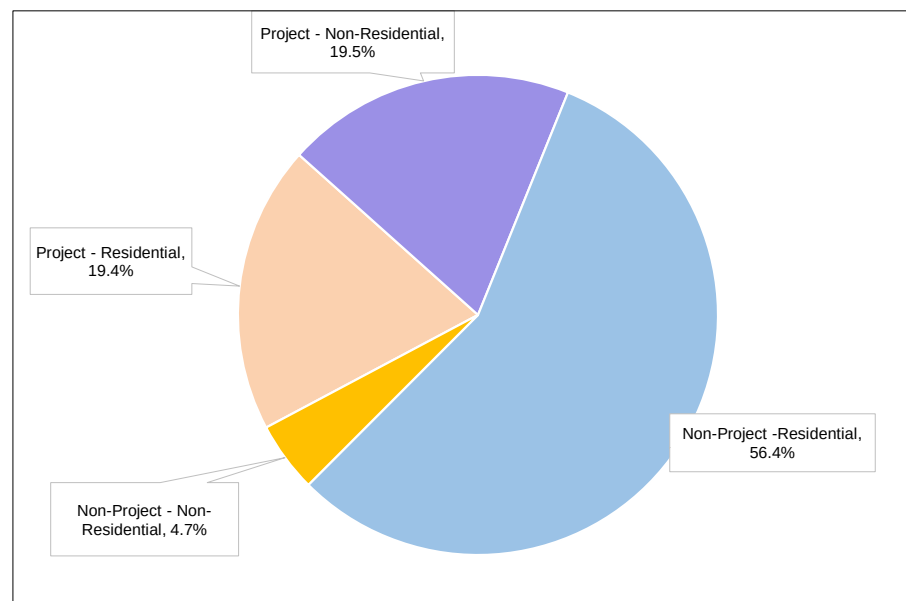
AE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.5%	8.0%	0.0%	45.0%	20.5%	21.8%	22.5%	50.8%	4.9%
100%					44.3%		55.7%	

AE - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



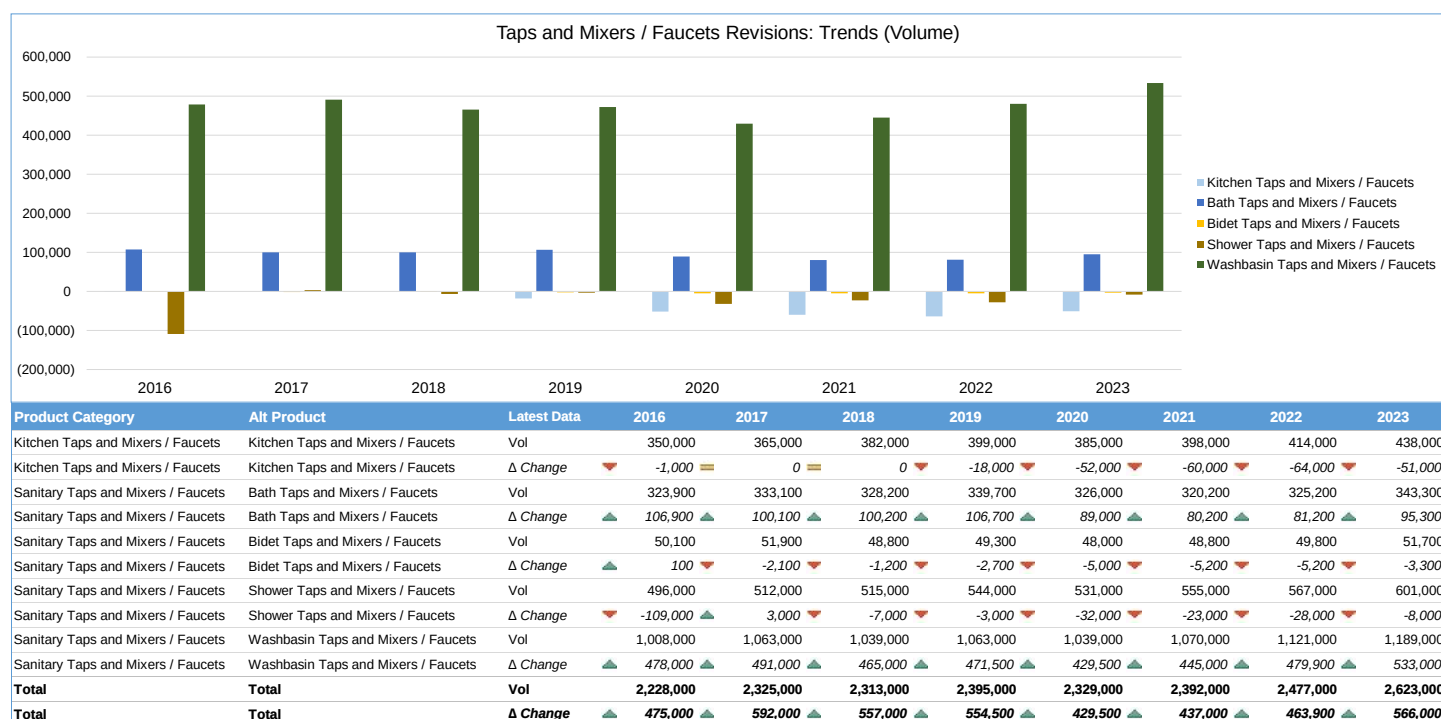
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7 Revisions in the Emirati Taps and Mixers / Faucets Market (April 2020)

AE - REVISIONS IN THE EMIRATI TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: April 2019

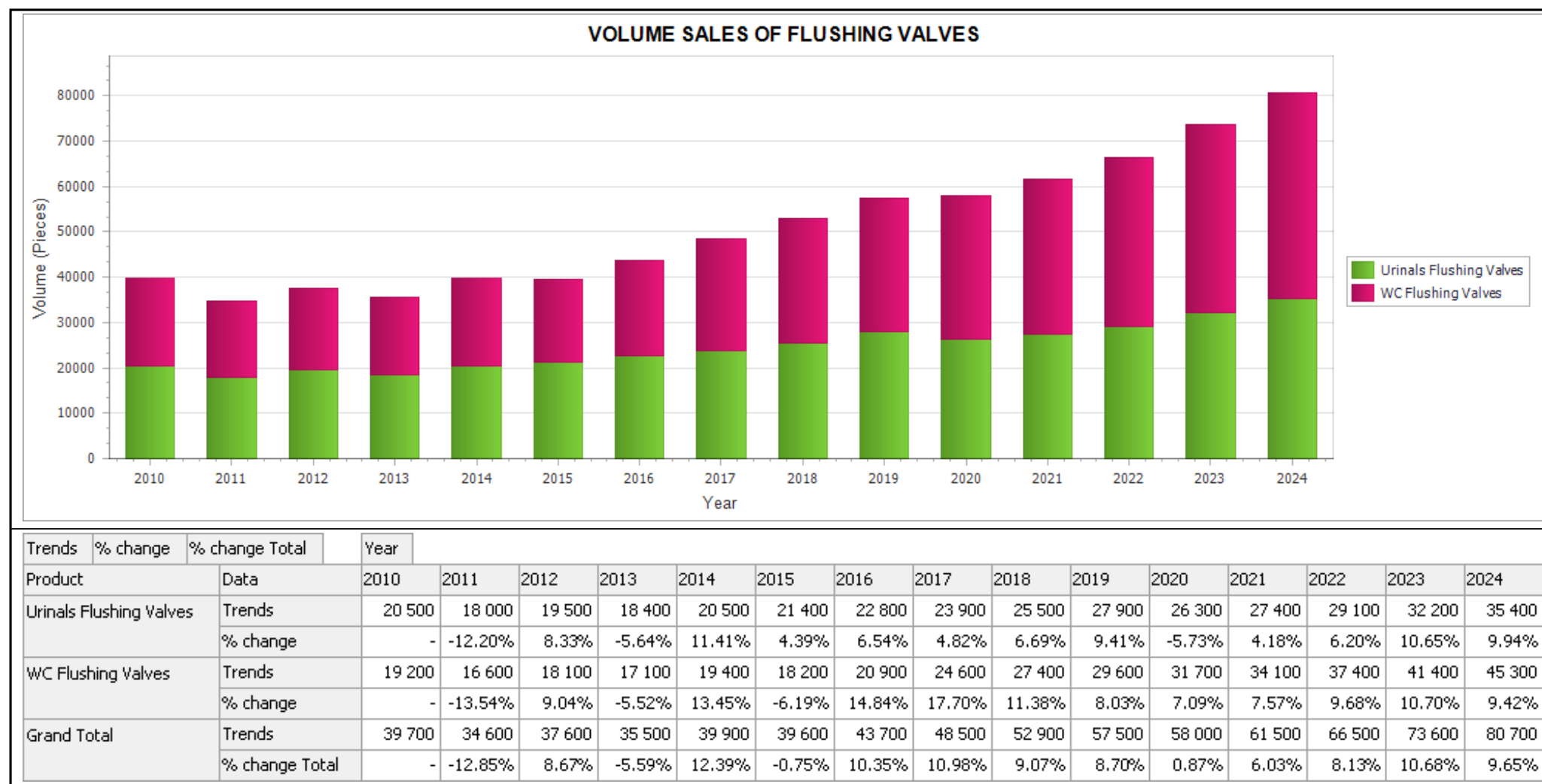


The market size for faucets items, specifically wash basin and bath faucets was revised upwards. The decision was majorly based on analysis of annual imports of ceramic sanitaryware items into the UAE. It was found that volume of imports was underestimated previously, especially from China and other Asian countries. Moreover, as the market size of ceramic washbasins was revised upwards, it became all the more logical to increase the volume of washbasin faucets.

The overall MSP for the for sanitary taps & mixers was also revised downwards. While researching this market, it was found that the volume of middle/lower price segment products imported from China was larger and thus overall price was overestimated earlier.

3.8.1 Historical Trends and Forecasts : Flushing Valves

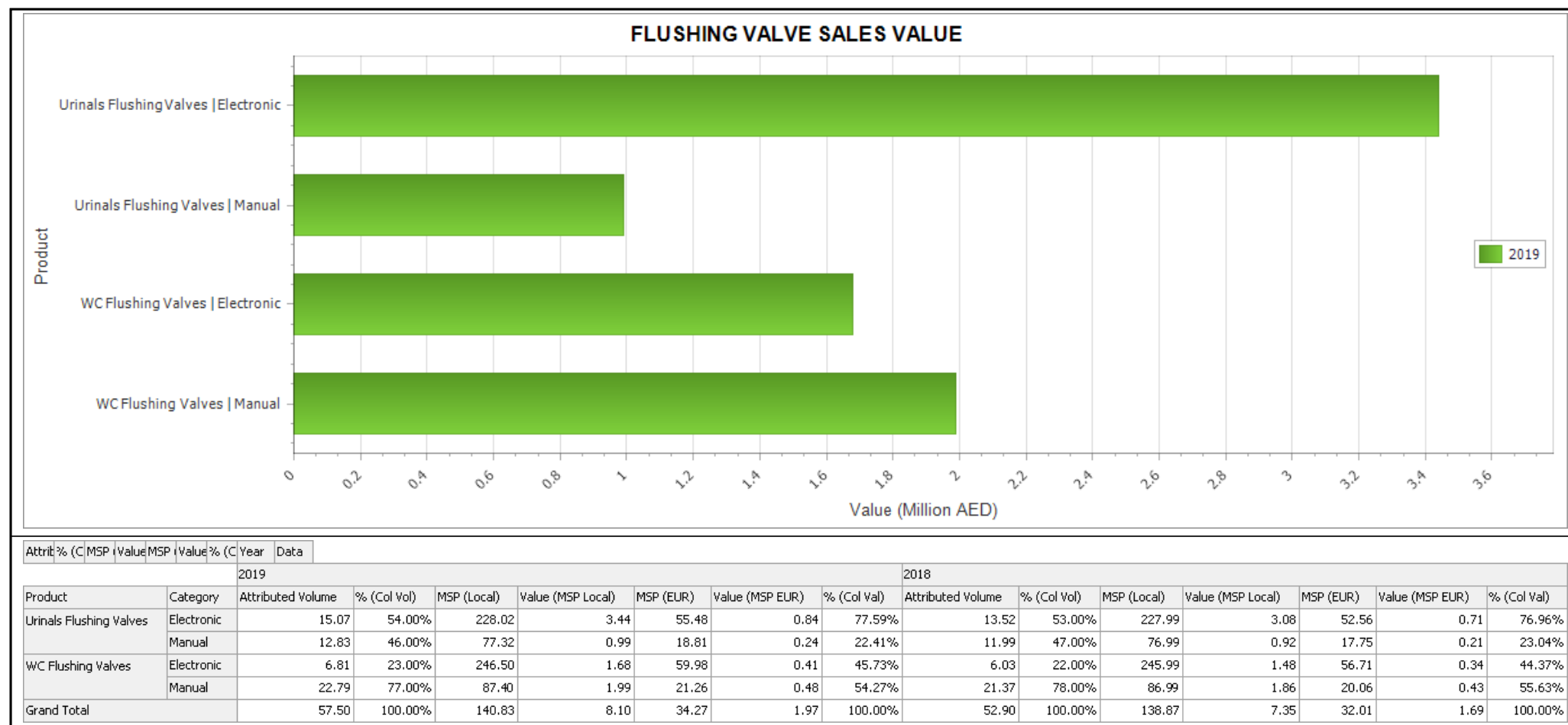
AE - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.8.2 Prices and Market Values : Flushing Valves

AE - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET

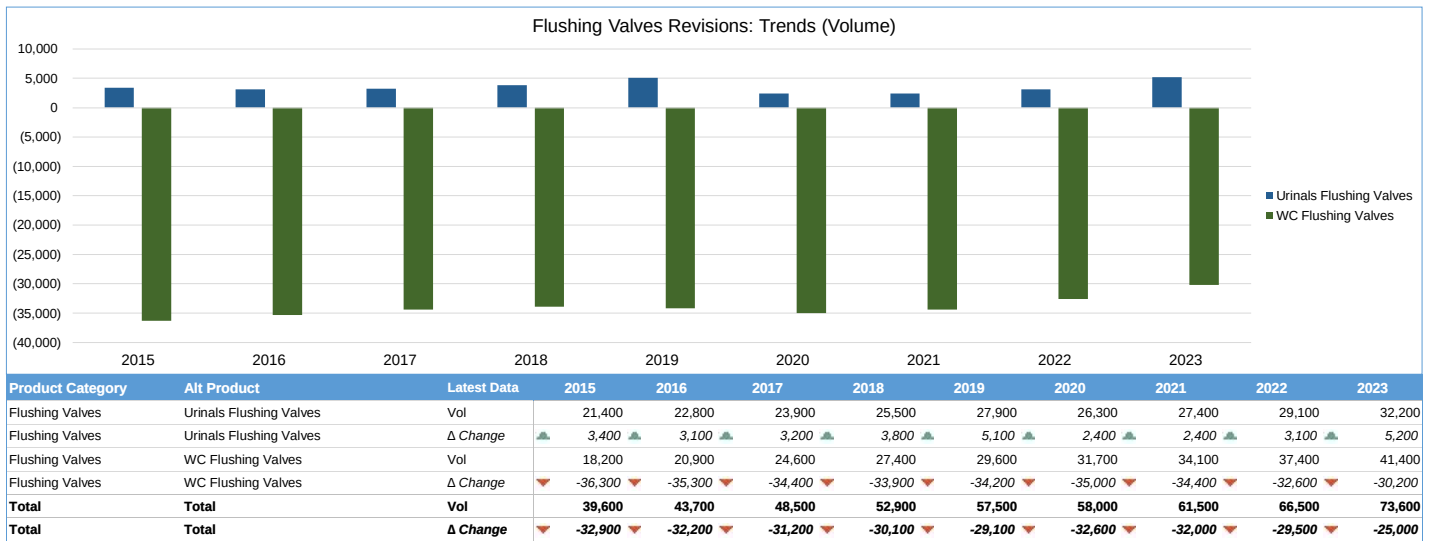


Source: BRG based on industry interviews. Local Prices Shown in AED. Total may show slight variance compared to market data due to rounding.

3.9 Revisions in the Emirati Flushing Valves Market (April 2020)

AE - REVISIONS IN THE EMIRATI FLUSHING VALVES MARKET

Data Comparison: April 2019



The market size for flushing valves was revised downwards based on industry feedback, historically as well as for the forecast period.

UAE

SHOWER WALL

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The overall market for shower wall products in the UAE is relatively small, and sales are mostly driven by new housing demand. Unlike bath screens, shower trays sold to the new housing sector are often equipped with shower enclosures. Curtains, on the other hand, still constitute a real barrier to entry for shower wall products. Different qualities of curtains are present in the market and some of them – even for high standard dwellings – should be seen more as the norm rather than a temporary solution.

Some luxury villas have a bath screen installed in their master bathroom only (villas in the UAE often have several bathrooms). The market for shower wall products in the UAE has experienced almost continuous growth over the past decade, although sales developments were negatively affected by the global economic crisis between 2009 and 2011. However, within this product, each product has different drivers. Sales of shower enclosures mounted on shower trays are mainly boosted by residential construction, as well as the development of walk-in showers, linked to the non-replacement of shower trays and baths.

Sales of bath screens do not have specific drivers as new dwellings are rarely equipped with such products. Instead, sales of bath screens would rather follow more or less the trend for luxury home furniture. Defining drivers for this typical product is difficult, since curtains are often preferred by householders instead of bath screens. Sales of bath screens and shower enclosures do not really follow the same trends. Beyond the difference in drivers for these markets that was mentioned above, the increasing popularity of walk-in showers leads to multiple product offerings for a shower enclosure. This product is much more customisable than bath screens, opening up the market to new manufacturers where their strength is based on the flexibility of offering products that fit the customers' requests.

Recent Market Trends

In 2019, improved construction activity – including an increasing number of housing projects being completed and the construction and refurbishment of hotels and hotel apartments – largely contributed to the growth rates seen in the shower wall market. The market for shower walls is fragmented, with a plethora of unorganised players in the market offering various ranges of shower enclosures, cabins and partitions. While these players offer more customisation and have localised presence, it's more convenient for retail consumers. Wet shower rooms continue to gain in popularity, so instead of installing shower trays, some consumers prefer to install a wet shower room (a tiled floor area equipped with a drain) which does not include a proper shower tray.

Prices and Market Values

The overall MSP of shower wall items in the UAE did not grow by much during 2019. While bath screens witnessed a marginal growth in MSPs, the shower enclosure segment experienced a decline in prices during the year. There has been growing competition in the market, particularly within the unorganised sector and where margins are tight. Many shower wall items supplied in the market are customised and made to order especially shower enclosures. This has been the main factor for the unorganised players continuing to increase their dominance in the market for shower walls during 2019, by offering customised solutions in both project and retail segments.

New Housing

New housing represents the majority of shower wall products sold in the UAE, mainly due to demand coming from completed residential projects and the same continued in 2019. The new housing sales for both shower enclosures and bath screens grew at a good rate.

Usually, it is customary to install shower enclosures or shower cubicles in most of the high-end residential apartments, especially in Abu Dhabi and Dubai, the two major cities in the country. Along with these, Sharjah is also an important market for shower enclosures, especially in the lower and middle price segments.

Housing RMI

During 2019, while the sales for bath screens to the RMI sector declined, shower enclosures witnessed a growth in replacement demand. Sales of bath screens to the replacement market are relatively low, since curtains are gradually replacing bath screens. Curtains are more convenient to install than replacing a bath screen with the exact same product, which also requires the services of an installer.

For shower enclosures, the availability of new, customisable designs and sizes, with a slew of features motivates the consumer to go for makeovers and renovations.

Non-Housing

In 2019, the non-housing sales of bath screens declined marginally, while on the other hand, the sales of shower enclosures saw a positive growth. A number of hotels in Dubai are equipped with walk-in showers or wet shower rooms using shower enclosures, mostly using the glass walls and door for three sides and tile wall on one.

Apart from growth in construction and completion of these commercial establishments, a number of hotels in Dubai also undertook renovation and maintenance works in anticipation of Expo 2020, driving the non-housing sales.

Supply Structure

The market for this product is relatively opaque. The share of unbranded products in the overall shower wall market is high compared to the other segments of the bathroom market. In recent years, various glass companies, such as DESERT GLASS and SAHARA GLASS, have been offering shower enclosures as well as glass partitions and customise them as per the requirements and desires of the consumers. Local dealers such as PECA SANITARY also deal in shower enclosures. DANUBE has also started offering this product.

Although a wide range of glass thickness is available, the two most common varieties are of 6 mm and 8 mm thickness for shower enclosures. Even as western manufacturers such as IDEAL STANDARD, KOHLER etc. are active in this market especially for shower enclosures, most shower walls are OEM products, where they are sold to shower tray manufacturers for projects or by the distributor of these manufacturers when sold to individual householders. For instance, DUSCHOLUX is believed to supply shower walls to RAK CERAMICS. Most of the shower walls are supplied by Asian imports, which are, de facto, OEM products. Among other Western brands, JACUZZI, KALDEWEI and SPIRELLA (mostly present in the emirates of Dubai and Sharjah) operate in the UAE.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

With growth in the number of new dwellings completed in 2019 and the fact that shower walls are mostly sold to the new housing segment, this market should have continued to thrive in 2020, but for the COVID-19 crisis. The market is expected to experience a large downward trend during 2020 because of the lockdown restrictions as a result of the COVID-19 outbreak across the Middle East. COVID-19 pandemic has been majorly disruptive across all continents in the world and proving a huge hurdle to all economic and developmental activities. Due to the lockdown restrictions which began in March, the sales of items ended on a lower than expected note during the first quarter. The sales are also not expected to recover throughout the year and will end in a negative at the end of the year.

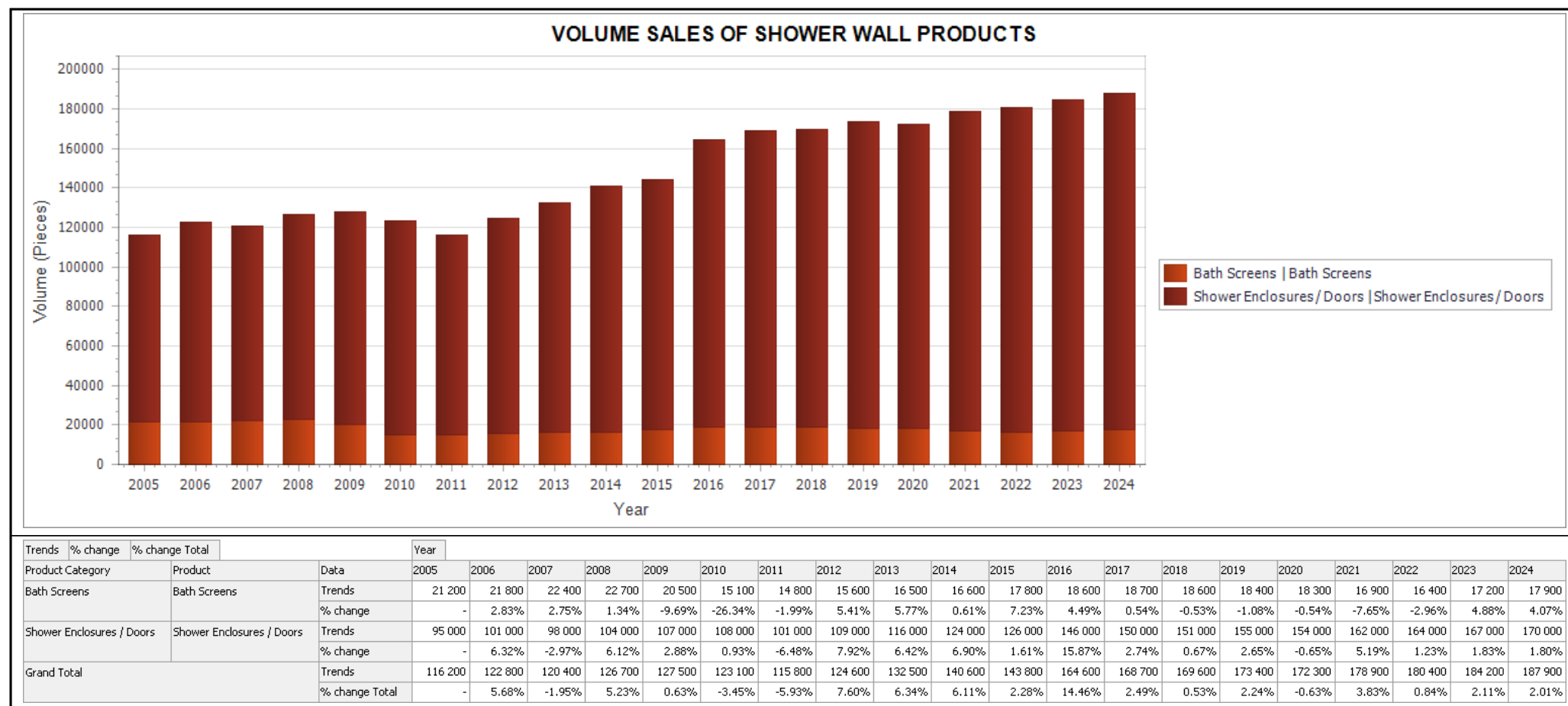
Thus, the outlook for the rest of the year also remains bleak with looming uncertainty over Expo 2020 event and even the timelines for the re-start of usual business and the lift in lockdown restrictions. Furthermore, these events are sure to have a cascading effect on the economy of the country with oil prices already

touching the lowest levels in history.

However, BRG estimates a positive growth rate throughout the latter half of the forecast period, although after-effects of the COVID-19 crisis will be prevalent during the first few subsequent years. Glass manufacturers – those supplying ‘glass solutions’ to offices and public buildings – may become the main competitors to the traditional suppliers of shower enclosures. Manufacturers need to be able to adapt their offer to the specifications of potential clients, whether they are hotels or villas.

4.2 Historical Trends and Forecasts : Shower Wall

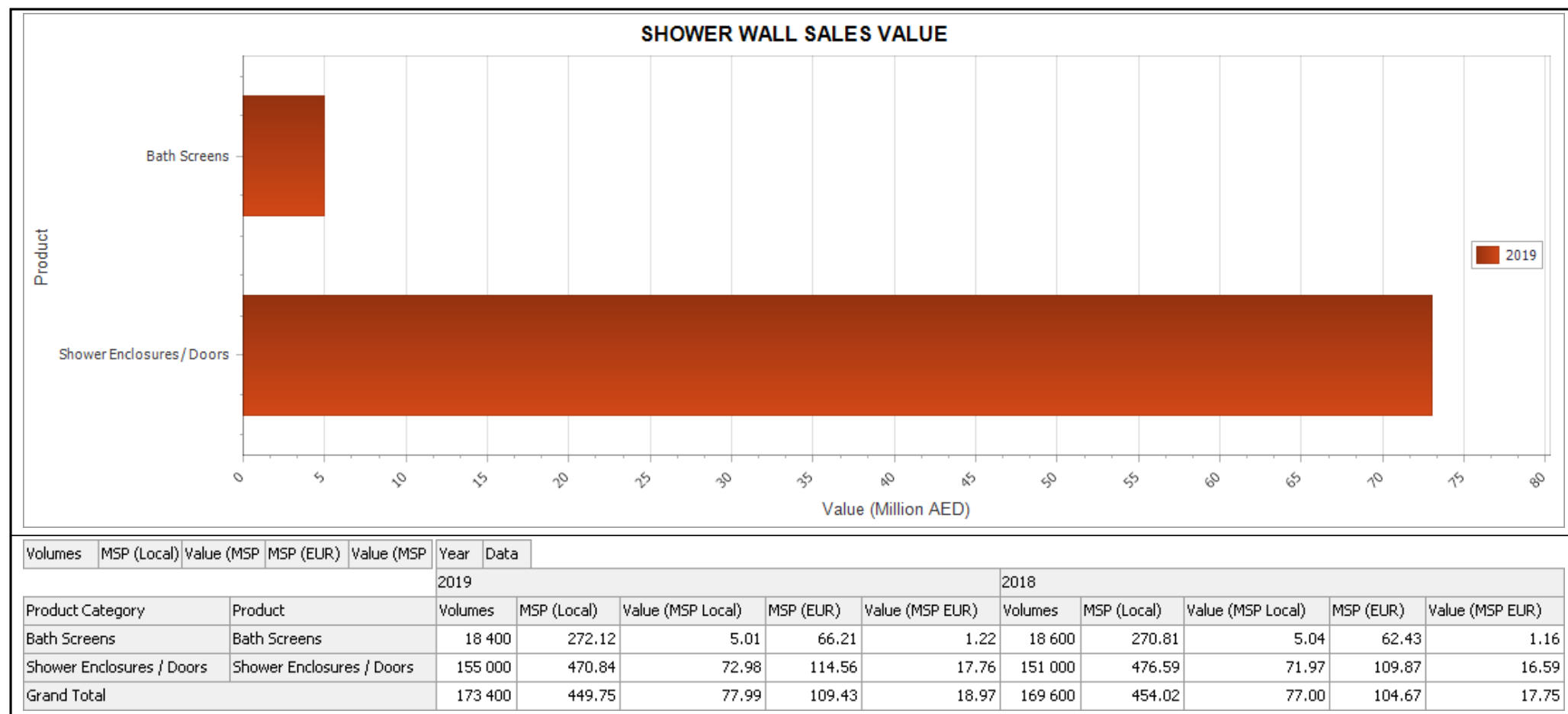
AE - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

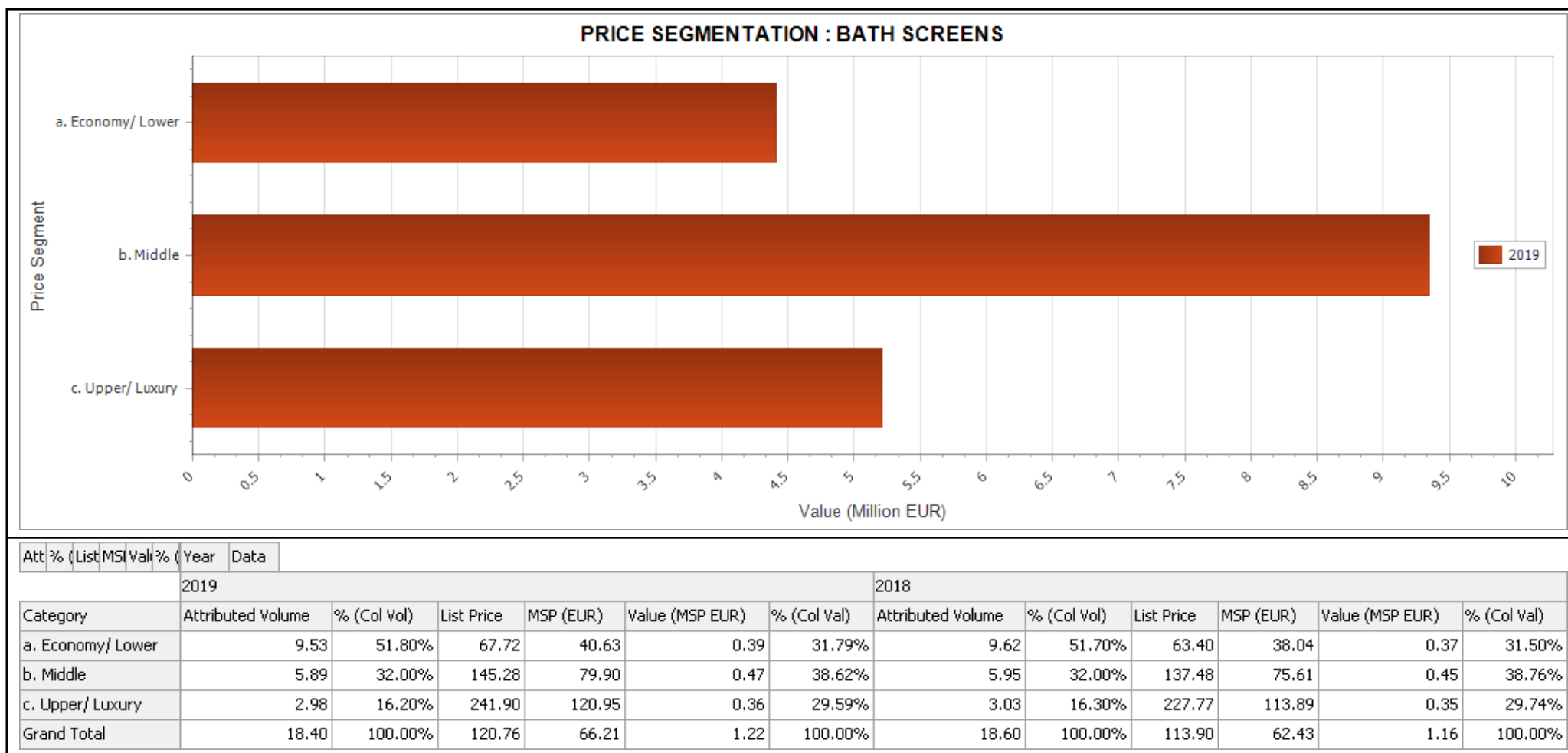
AE - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

AE - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

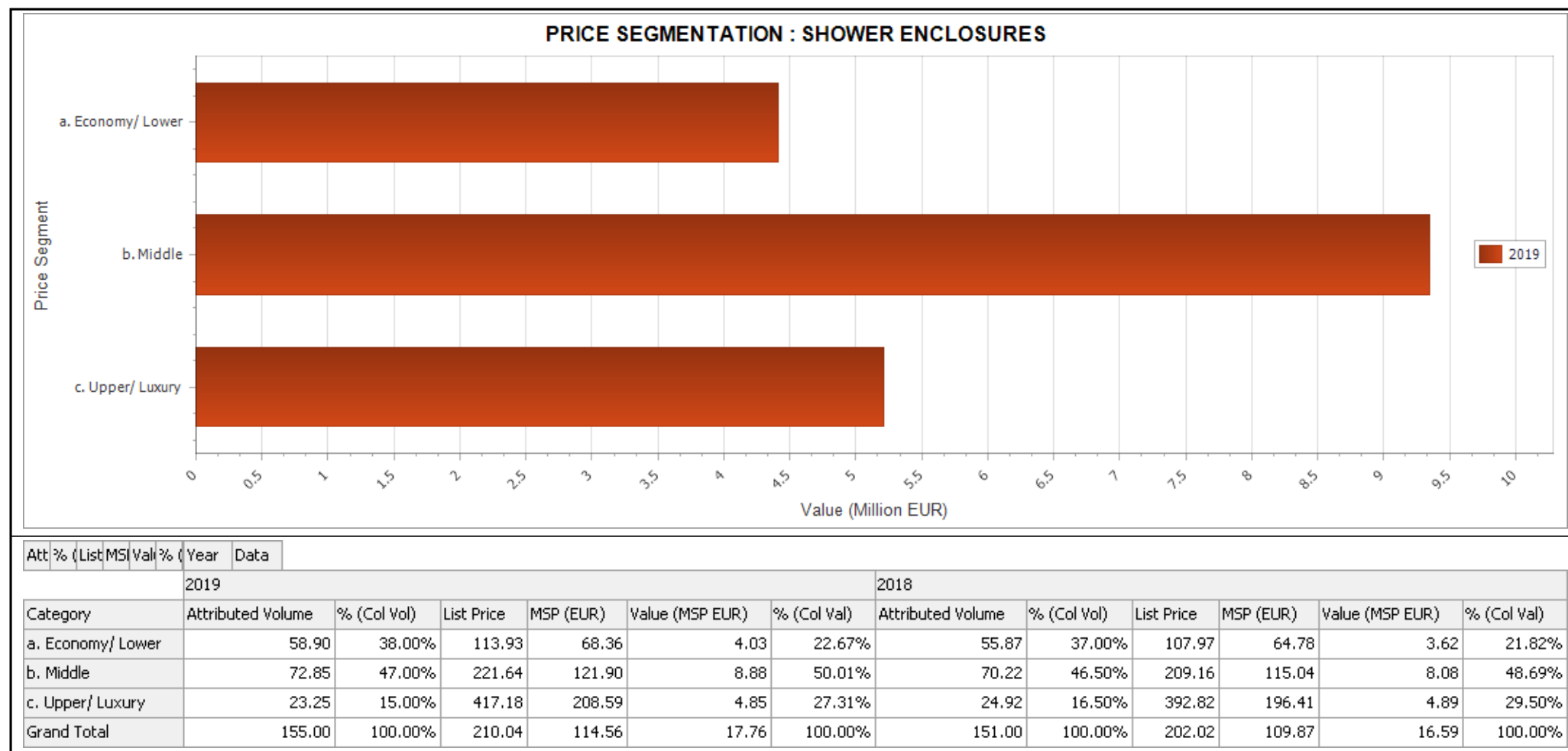


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Shower Enclosures

AE - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

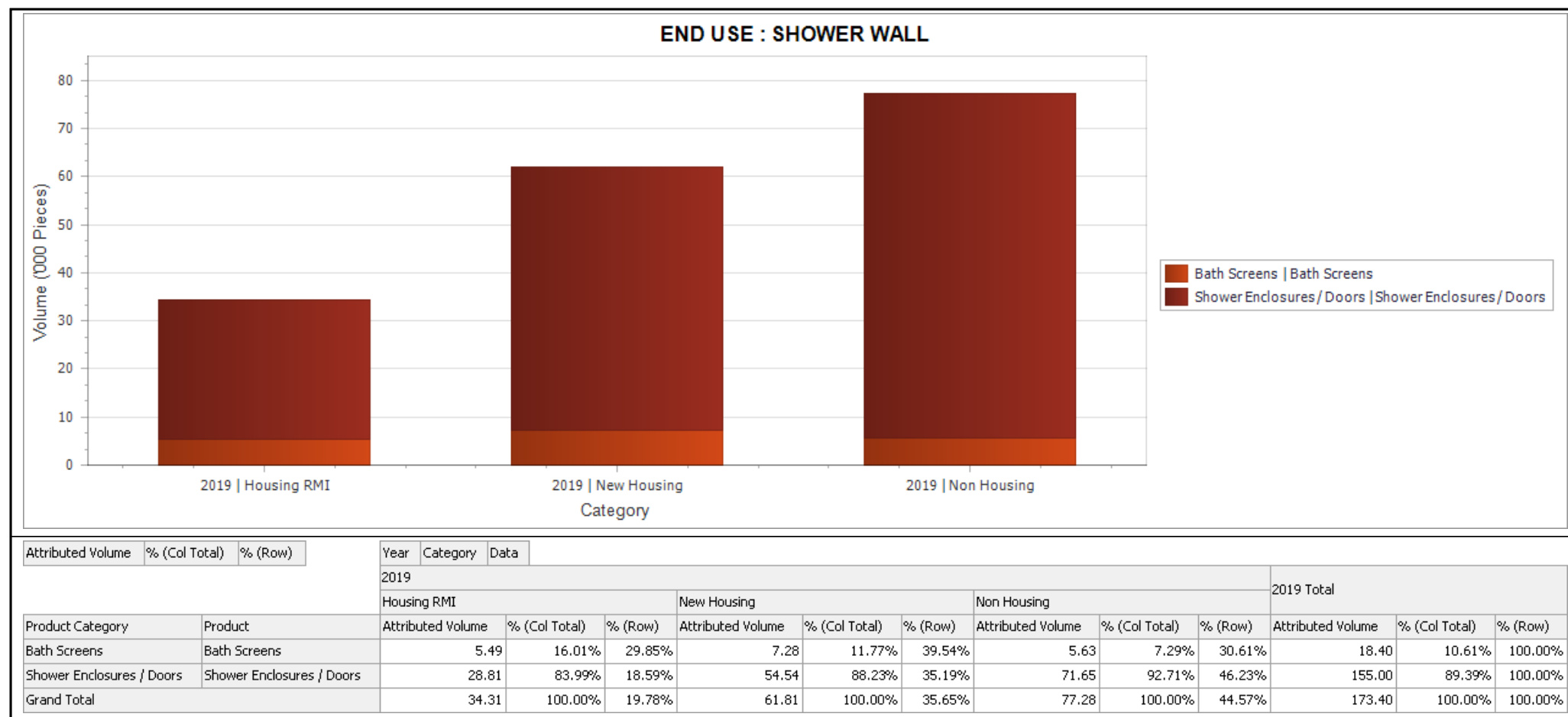


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€150, Upper/ Luxury >€150

4.4.1 End Use : Base Year

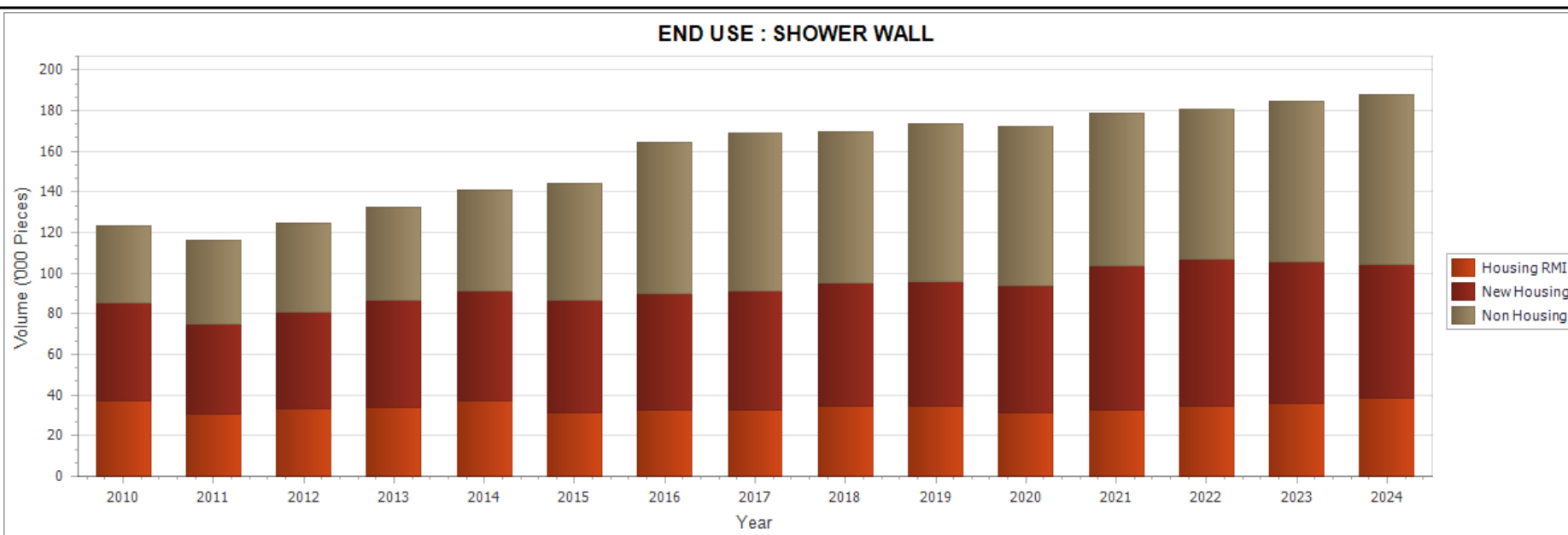
AE - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

AE - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)

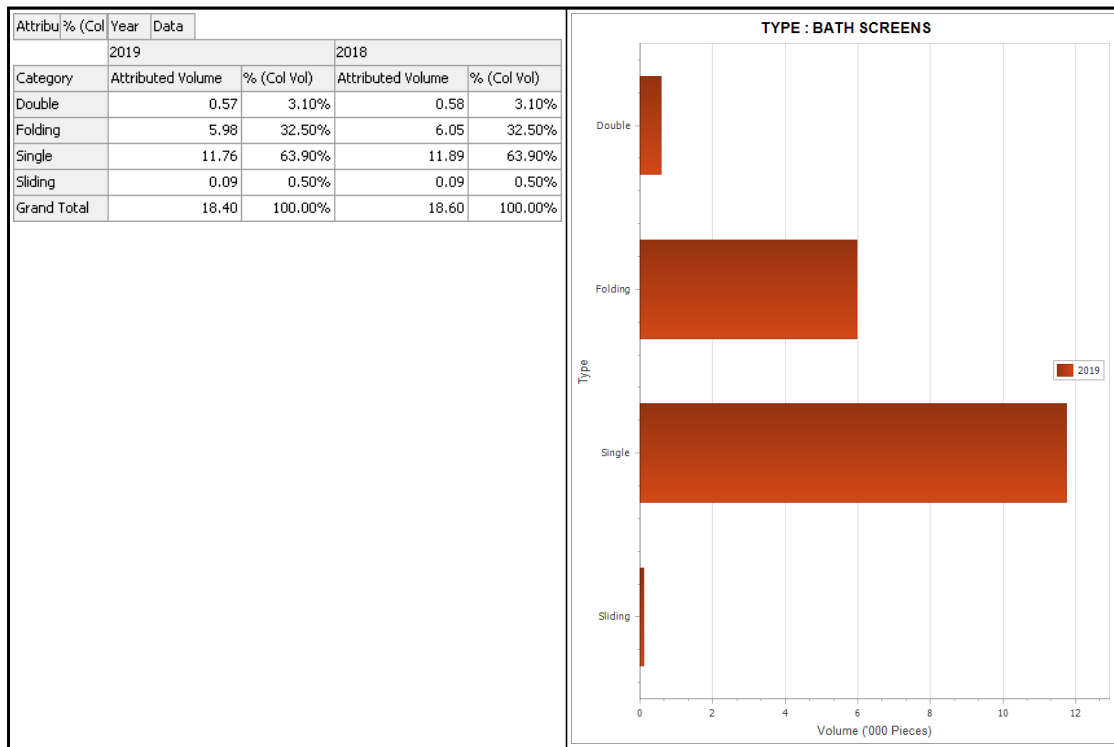


Attributed Volume		% (Col Total)		Year													
Category	Data	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	
Housing RMI	Attributed Volume	37.19	30.92	32.98	33.84	37.36	31.14	32.33	32.68	34.27	34.31	31.51	32.67	34.67	35.77	38.75	
	% (Col Total)	30.21%	26.70%	26.46%	25.54%	26.57%	21.65%	19.64%	19.37%	20.21%	19.78%	18.29%	18.26%	19.22%	19.42%	20.62%	
New Housing	Attributed Volume	48.04	44.23	47.95	52.59	53.62	55.61	57.90	58.33	60.86	61.81	62.15	71.12	72.09	69.83	65.82	
	% (Col Total)	39.02%	38.20%	38.48%	39.69%	38.14%	38.67%	35.18%	34.58%	35.89%	35.65%	36.07%	39.75%	39.96%	37.91%	35.03%	
Non Housing	Attributed Volume	37.88	40.65	43.68	46.08	49.62	57.05	74.37	77.70	74.47	77.28	78.65	75.12	73.65	78.61	83.34	
	% (Col Total)	30.77%	35.11%	35.05%	34.78%	35.29%	39.67%	45.18%	46.05%	43.91%	44.57%	45.65%	41.99%	40.82%	42.67%	44.35%	
Grand Total	Attributed Volume	123.10	115.80	124.60	132.50	140.60	143.80	164.60	168.70	169.60	173.40	172.30	178.90	180.40	184.20	187.90	
	% (Col Total)	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

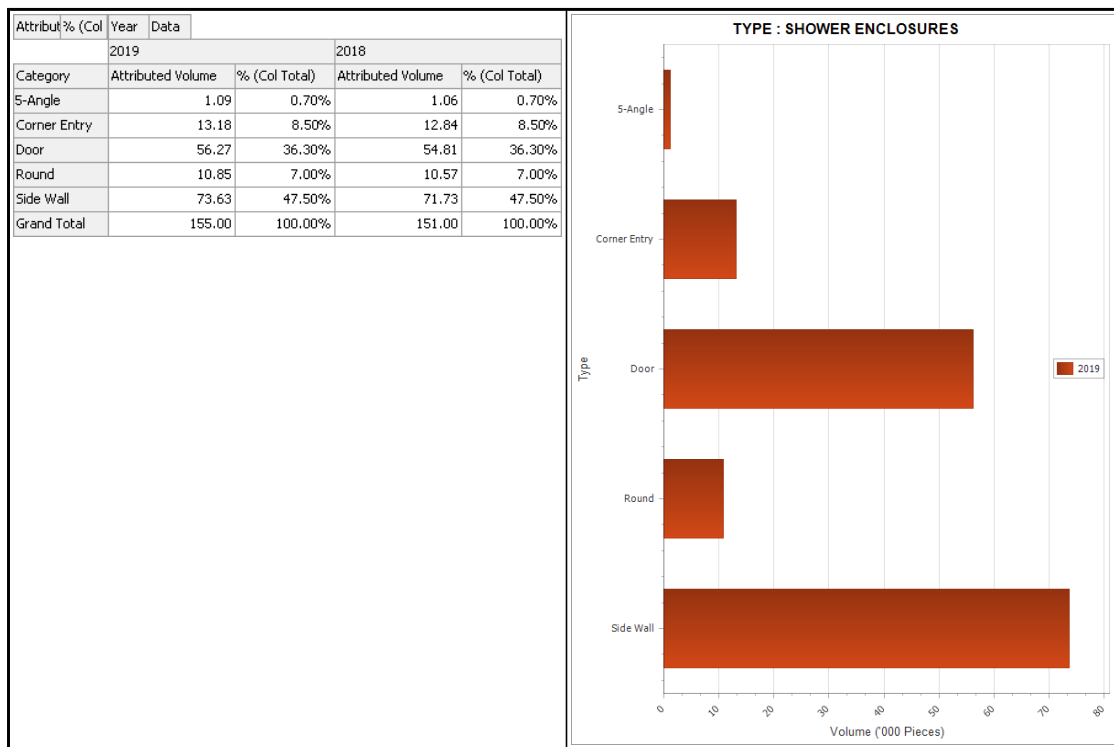
AE - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

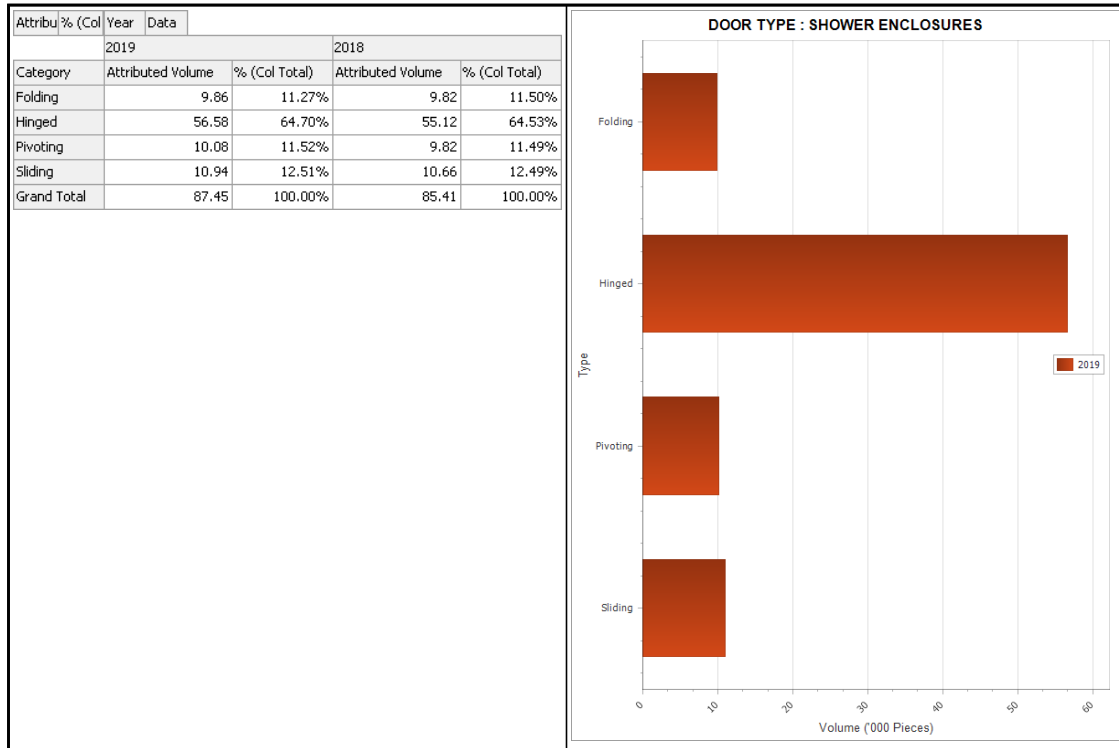
AE - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

AE - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Route to Market: Shower Wall
AE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	40.0%
	Wholesalers / Merchants
	40.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	0.2%		0.0%		19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.2%		0.0%		39.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	0.2%	0.0%	0.0%	2.9%
Installers				
3.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	18.5%	13.6%	0.2%	0.0%	23.0%	0.1%
	Residential					
	55.4%					
New Build			Residential RMI			
35.6%			19.8%			
Project		Non-Project	Project		Non-Project	
28.5%		7.1%	5.5%		14.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
21.0%	7.0%	0.0%	0.0%	13.1%	3.5%
Non-Residential					
44.6%					
New Build			Non-Residential RMI		
37.0%			7.6%		
Project		Non-Project	Project		Non-Project
30.0%		7.0%	4.9%		2.7%

4.5.2 Route to Market: Shower Wall
AE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	42.0%
	Wholesalers / Merchants
	42.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.1%	0.3%		0.0%		20.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.4%		0.0%		41.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	0.5%	0.0%	0.0%	2.0%
Installers				
3.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	10.9%	16.2%	0.4%	0.0%	25.0%	3.1%
	Residential					
	55.6%					
New Build			Residential RMI			
35.0%			20.6%			
Project		Non-Project	Project		Non-Project	
29.0%		6.0%	6.0%		14.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
25.0%	5.0%	0.0%	0.0%	14.0%	0.4%
Non-Residential					
44.4%					
New Build			Non-Residential RMI		
39.0%			5.4%		
Project		Non-Project	Project		Non-Project
32.0%		7.0%	4.0%		1.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.5.3 Route to Market - Consolidated View : Shower Wall

AE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

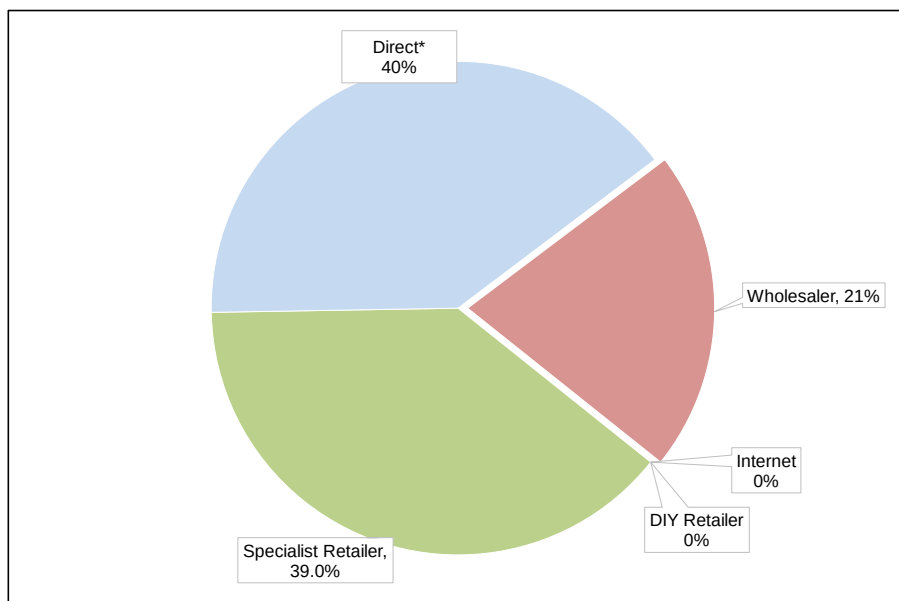
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.0%	0.0%	0.0%	39.0%	40.0%	34.0%	34.9%	21.4%	9.7%
100%					68.9%		31.1%	

4.5.4 Route to Market - Consolidated View : Shower Wall

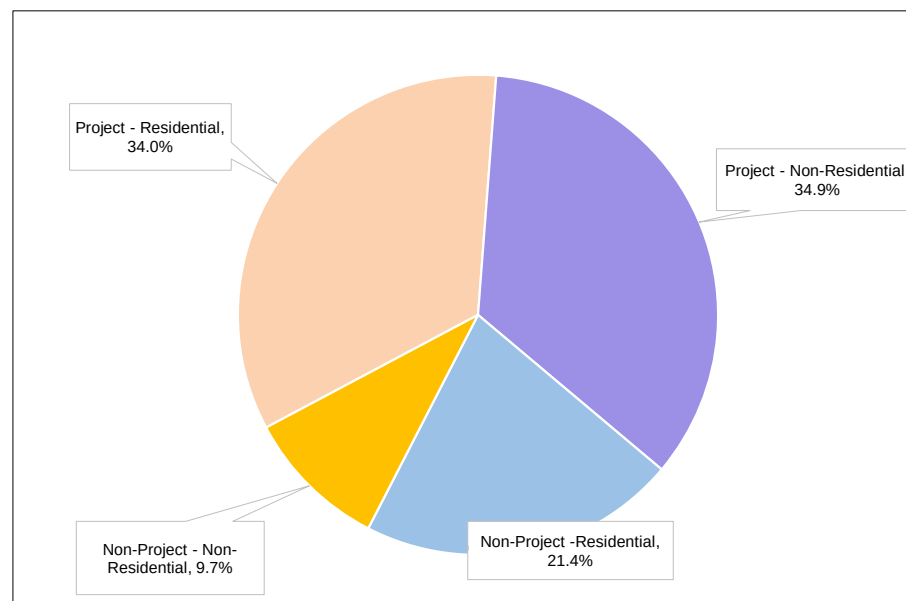
AE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.0%	0.1%	0.0%	41.0%	33.9%	35.0%	36.0%	20.6%	8.4%
100%					71.0%		29.0%	

AE - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



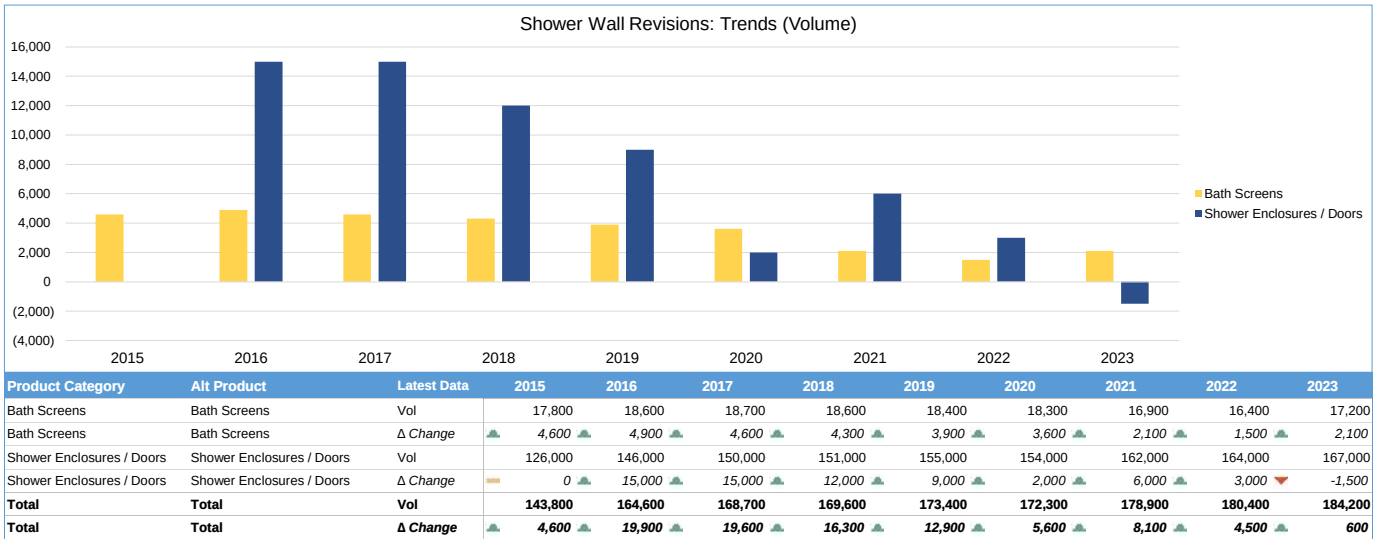
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.6 Revisions in the Emirati Shower Wall Market (April 2020)

AE - REVISIONS IN THE EMIRATI SHOWER WALL MARKET

Data Comparison: April 2019



The market sizes for bath screens and shower enclosures were revised upwards based on import statistics and industry feedback. On analysis of imports and local market sales it was found out that the bath screen market was previously underestimated. Thus the upward revision, historically as well as for the forecast period.

In line with the analysis of the market size for bath screens and shower enclosures, the overall MSPs of these products were revised upwards as share of middle and upper/luxury price segmentation was previously underestimated.

UAE

SHOWER ACCESSORIES

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The UAE shower accessories market has continued to witness a surge in sales throughout the last two decades, only witnessing a temporary decline due to the fallout of the recession experienced during the end of the last decade. The country quickly recovered, and sales have been on the upswing since then, boosted by a continually growing construction sector, both in the residential as well as the non-residential segment.

The new housing segment continues to be the most important sector with regard to the sales of shower accessories, as a continuously expanding emirate positions itself at the centre of economic and trading activities in the Middle East. This attracts a large number of immigrants in search of job opportunities and they make up the vast majority of the population in the country, and a continuously expanding immigrant population has been an important driver of the shower accessories market. Moreover, houses and villas for the native populace generally consist of multiple bathrooms and, although each bathroom may not be installed with a bath, most of them have a shower set installed. Thus, the number of shower accessories per dwelling unit is relatively higher in this segment.

The sales of shower accessories have also been helped by the trend towards showering instead of frequent use of baths. Baths are not necessarily installed in each of the bathrooms in an apartment or house consisting of multiple bathrooms, but shower accessories are a necessary fixture in each bathroom. As the UAE has developed at a phenomenal rate over the past few decades, with the amount of new construction increasing year-on-year, most buildings are new and, therefore, the sales to this segment still account for a majority of the sales. RMI sales are catching up and are expected to increase in future. Since the UAE has positioned itself as the centre of business and an attractive destination for tourism, the non-housing segment, especially the hospitality sector is an important consumer of shower accessories as well, especially products in the upper and luxury segments, since cities such as Abu Dhabi and Dubai have a plethora of luxury hotels and resorts.

Since there is a vast difference in the purchasing power of the native populace and a small elite amount of the expatriate workers, compared to the vast majority of the population, which consists of expat workers mostly involved in blue collar and clerical jobs, the market is steered towards products priced in the economy and middle price segments.

In general, European and North American brands focus on the projects sector, both in the residential as well as the non-residential segments, while Asian and regional manufacturers tend to compete in the retail segment. A notable exception is GROHE, which enjoys unparalleled brand recognition and reputation, which enables it to compete very well in the retail segment as well. Companies focusing on the project sector, usually manage to sell the complete shower set, while

companies which are focussed on the retail segment have varying sales for shower heads, shower supports and flexible hoses, as they cater to the replacement market as well, and not all of these products may need to be replaced at the same time.

Shower sets, consisting of shower head, flexible hose and shower supports, including a bar and holder are usually installed in the residential segment while concealed shower systems, wherein the supports are not always present, are often installed in the non-residential segment. By and large, shower panels are more popular among hotels as compared to residential consumers, who prefer rain showers. This product represents a serious threat for the shower panel market. Flexible hoses in the UAE are a part of shower sets, though a variant of flexible hose is also installed alongside the water closet, known as a '*shattaf*'. The latter product is not covered in this report and only the flexible hoses as a part of a shower are considered.

Shower pipes, on the other hand consist of a separate exposed pipe connecting the shower faucet to the shower head. These are also installed in the residential segment. In the non-residential sector these are mostly installed at swimming pools and health centres and also some hotels. The product used to be quite popular in the residential segment 4 to 5 years ago but is gradually losing out to concealed shower systems since the products are relatively expensive and there is only a limited number of manufacturers.

Recent Market Trends

In 2019, the market for shower accessories witnessed good growth in comparison to 2018. This is attributed to the growth in construction projects and increased dwelling completions in the residential sector. As the economy grew during 2019, many consumers sought to replace old shower items with new ones with their disposable income.

The market continues to be inundated with imports from Asian countries including Turkey and India, and a large share of the imports is accounted for by little known brands from China. The share of these relatively cheaper imports continues to increase, as they are looking to increase their market share even in the middle price segment, when compared to a few years ago. Various Chinese companies in particular have strengthened their marketing activities, improved their quality and kept their price points low in order to increase competitiveness over their European counterparts.

In 2019, the replacement market continued to account for a significant part of the growth in sales of shower accessories. The Emirati market can be broadly divided into two sub-sectors, one organised around brands and supplying new projects while the other market that is relatively unorganised, mostly operating in the replacement and renovation segments. The latter accounts for the majority in volume terms, although it is flooded with cheap Chinese imports. Most Western brands focused on project bids and their distributors perceive the evolution of the

market through the new construction sector only.

Increasing awareness, as well as the government's promotion of water conservation, has led to the introduction of newer water saving models of faucets. Several companies led by GROHE have launched these models. Sales of shower panels were driven by the development of wet shower rooms and walk-in showers: these have thin and larger shower trays that are concealed within the floor, giving a sleek style to the whole bathroom. The non-housing segment continued to account for the bulk of sales of shower panels.

Prices and Market Values

The growth in MSPs for shower accessories in the UAE in 2019 was nominal, due to the fact that there is increasing competition in the market, especially in the lower and economy segments where stiff competition from Chinese players has squeezed the margins for manufacturers. MSPs did experience an increase but not notable.

In 2019, like the previous year, most of the sales of shower accessories in the country belonged to the economy and lower price ranges. As in the case of faucets, the shower accessories market is also price sensitive to a large extent, especially the retail replacement market. Sales of shower panels were adversely affected by the popularity of rain showers that are mostly installed as shower systems.

New Housing

Overall sales of shower accessories to the new housing sector in UAE grew during 2019. The volume sales for all the products witnessed an increase during the year with the exception of shower panels. Growth in construction and a subsequent growth in new housing completions have been the main drivers of this market in 2019.

A majority of housing projects were completed in Dubai from where a major chunk of demand emanated, while emirates like Abu Dhabi and Sharjah also contributed a fair share.

Housing RMI

In 2019, the sales of shower accessories to the housing RMI sector increased at a positive rate. This was true for all the shower accessory items.

A significant share of the shower accessories is accounted for by the replacement sector in United Arab Emirates. Despite the fact that the dwelling park is relatively young, a large share of the shower accessories that are installed in UAE have a very short lifespan; most of them belong to the economy/low ranges imported from China and often need to be replaced. Furthermore, the poor quality of water in some regions, and high temperature, also reduces the lifespan of shower accessories, especially the shower heads and flexible hoses.

In addition to that, householders tend to prioritise the design over the quality of the products when they are not focusing only on the cheapest product, as some dwellings have several bathrooms and it can be costly to replace all of the shower accessories.

Non-Housing

The number of shower accessories going to non-residential buildings continued to increase in 2019. The growing tourism industry has been contributing significantly to the market growth. During 2019, completion of new hotels as well as renovation of the existing ones contributed to the demand from this sector, as Dubai has been gearing up for the mega Expo 2020.

As the luxury hotel and hospitality projects have healthy budgets, this segment within the non-housing sector is an important consumer of branded products offered by Western manufacturers. As opposed to this, public bathrooms are usually installed with relatively cheaper accessories.

Supply Structure

Similar to the taps & mixers market in UAE, regional manufacturers are in a strong position with KLUDIRAK and DANUBE's brand MILANO actively promoting their products in the domestic market. As DANUBE offers many building products under one roof, consumers have the convenience of walking into any one of the stores and purchasing all their requirements. However, Western manufacturers led by GROHE continue to be the brands of choice for upscale projects in both the housing, as well as non-housing sectors and as a result, GROHE continues to be the market leader among the western brands.

The majority of the shower accessories in the UAE are imported, most of which come from Asia and Europe. European manufacturers continue to lead the shower accessories market in the premium segment, while the Chinese imports are heavily present in the lower-end price segments of the market. Cheap imports have a significant share in the market for shower accessories, especially in the replacement segment. The availability of an ever increasing number of Asian imports, especially from China, has resulted in increasing competition and fragmentation of the shower accessories market. Within the shower panel market, Chinese imports have a major share owing to significantly lower costs and attractive designs as compared to reputed European manufacturers.

There has been increased focus on water saving, along with durability. Within the medium-end segment, however, the supply side is slightly changing; Chinese suppliers are starting to offer higher quality products, while European manufacturers and their multiple manufacturing plants in Asia are now able to supply more affordable quality products. Chinese manufacturers are focused more on the demand for new designs, while still offering affordable products. For this reason, they hold a significant share of the market.

European brands are highly appreciated and enjoy a very good reputation, especially German products, winning most of the tenders, even though Asian products are not automatically excluded from this sub-market. Apart from GROHE, the other main western players are IDEAL STANDARD, HANSGROHE, ROCA, KOHLER, KLUDI and BOLD. Of late the Turkish brand VITRA has also been gaining the market and won a number of projects during 2019.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Although the markets were as expected during the first two months of the year, market activity started to lose pace in March when worldwide restrictions started to take place in the form of city curfews and lockdowns. The outlook for the rest of 2020 also looks weak as there is currently no fixed end in sight and things are not expected to be returning to normal until at least the third quarter of the year.

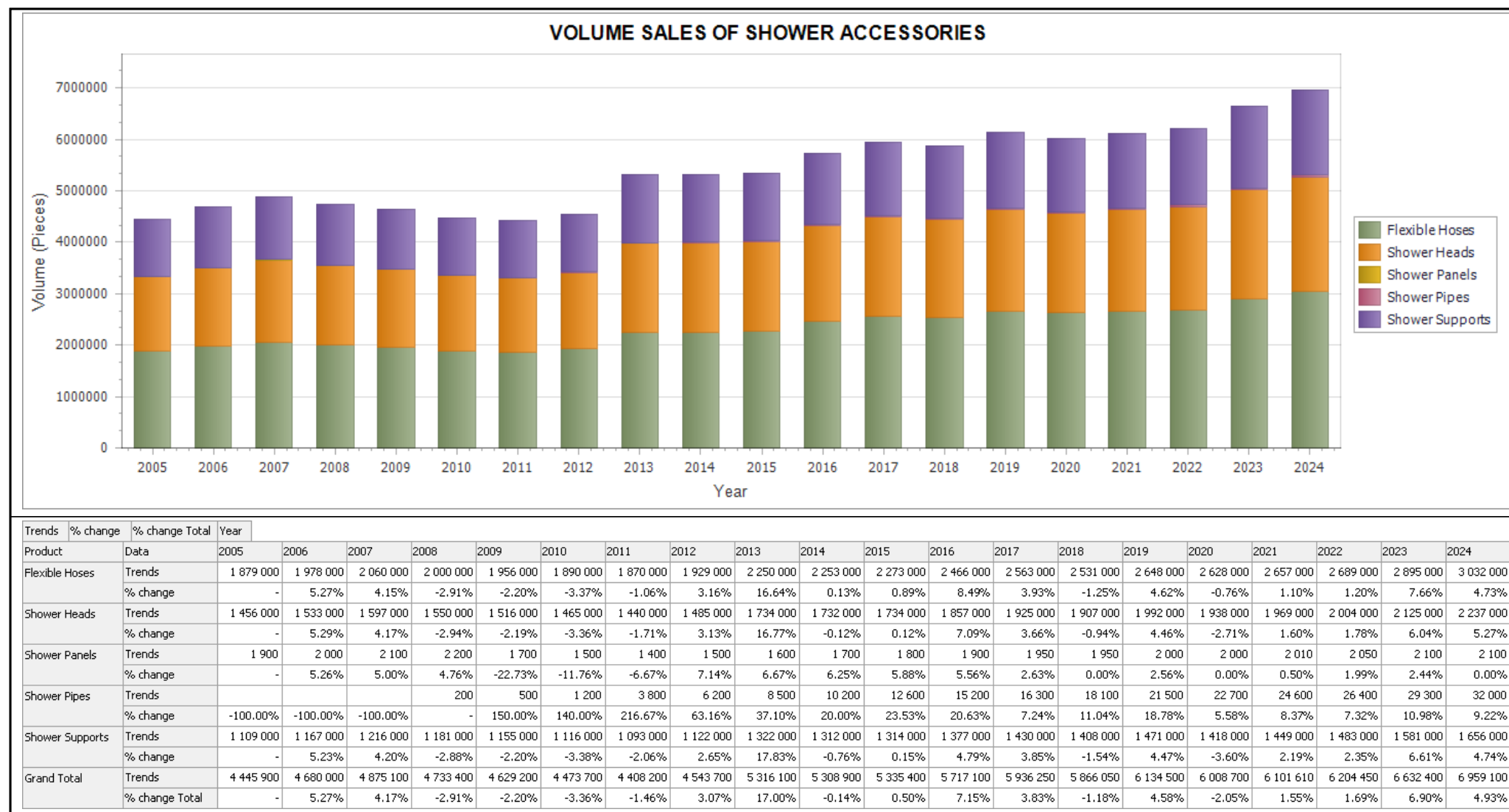
The outlook for the forecast period is however optimistic, since UAE economy was moving positively, pre-COVID-19, with growth registered in development projects in residential and non-residential sectors. The same is expected during the forecast period, as the country and the rest of the world gradually recover from the economic shock due to the pandemic.

Chinese manufacturers are expected to keep gaining share in the market, with an improved range of offerings at attractive prices. To win projects, it will become vital for manufacturers to be able to supply shower accessories that are also water saving, according to the new regulations that should become tighter in the future.

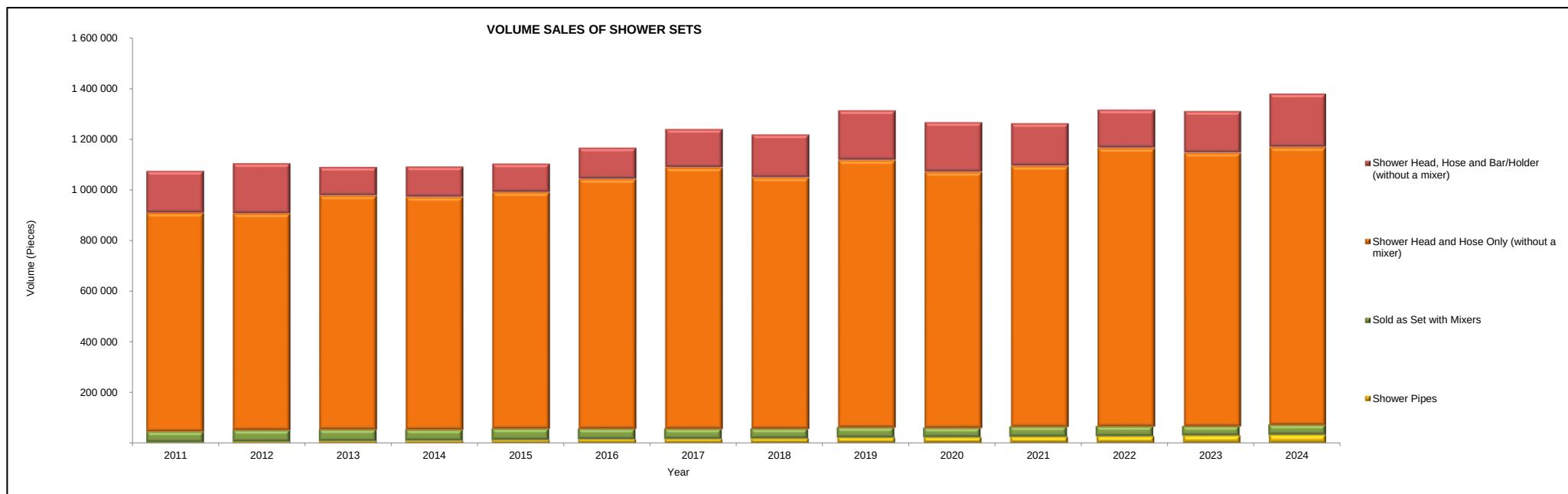
The bulk of supply of shower accessories in the UAE comes from abroad, so it is vulnerable to global pricing fluctuations as well as trade restrictions. As an economy, the UAE is also dependent on private investments from outside, along with a sizeable contribution from the tourism industry. Any decline in these areas could affect the construction industry, which in turn would affect the shower accessories market.

5.2.1 Historical Trends & Forecasts : Shower Accessories

AE - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



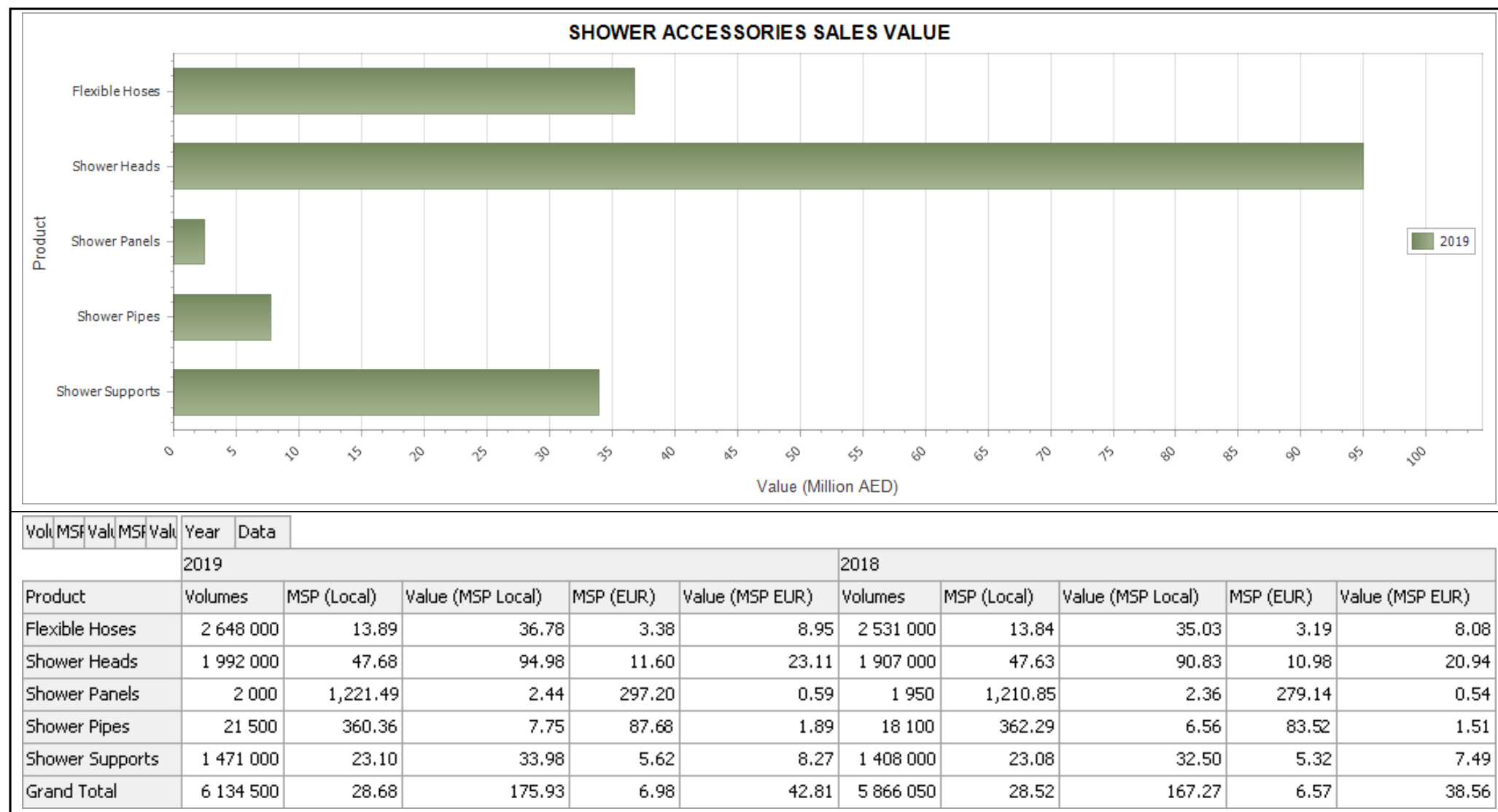
Source: BRG based on industry interviews.



Product Type	Product	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	179 000	165 000	197 500	112 500	119 700	112 740	123 500	151 200	169 500	195 700	195 700	167 800	150 700	163 700	210 110
	% Change	159.42%	-7.82%	19.70%	-43.04%	6.40%	-5.81%	9.54%	22.43%	12.10%	15.46%	0.00%	-14.26%	-10.19%	8.63%	28.35%
	Shower Head and Hose Only (without a mixer)	865 000	863 000	855 000	923 000	918 000	933 000	985 000	1 031 000	991 000	1 055 000	1 010 000	1 029 000	1 098 000	1 079 000	1 096 000
	% Change	128.84%	-0.23%	-0.93%	7.95%	-0.54%	1.63%	5.57%	4.67%	-3.88%	6.46%	-4.27%	1.88%	6.71%	-1.73%	1.58%
	Sold as Set with Mixers	38 950	42 500	45 500	45 800	43 500	44 750	41 800	40 200	38 750	40 170	37 500	40 100	39 800	37 150	39 700
	% Change	159.67%	9.11%	7.06%	0.66%	-5.02%	2.87%	-6.59%	-3.83%	-3.61%	3.66%	-6.65%	6.93%	-0.75%	-6.66%	6.86%
	Shower Pipes	1 200	3 800	6 200	8 500	10 200	12 600	15 200	16 300	18 100	21 500	22 700	24 600	26 400	29 300	32 000
	% Change	140.00%	216.67%	63.16%	37.10%	20.00%	23.53%	20.63%	7.24%	11.04%	18.78%	5.58%	8.37%	7.32%	10.98%	9.22%
Grand Total		1 084 150	1 074 300	1 104 200	1 089 800	1 091 400	1 103 090	1 165 500	1 238 700	1 217 350	1 312 370	1 265 900	1 261 500	1 314 900	1 309 150	1 377 810
% Change Total		134.41%	-0.91%	2.78%	-1.30%	0.15%	1.07%	5.66%	6.28%	-1.72%	7.81%	-3.54%	-0.35%	4.23%	-0.44%	5.24%

5.3.1 Prices and Market Values : Shower Accessories

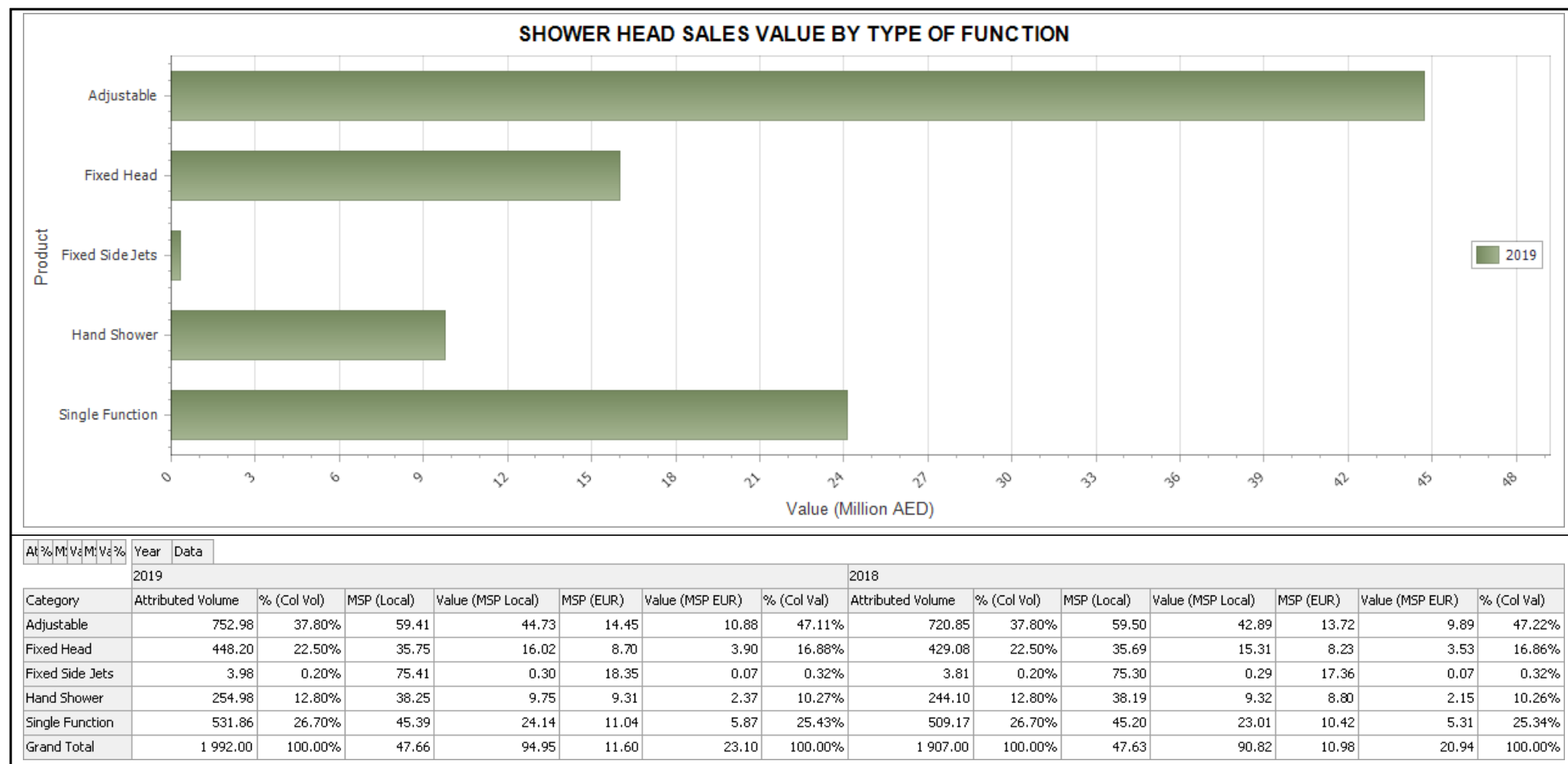
AE - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Prices and Market Values by Type : Shower Heads

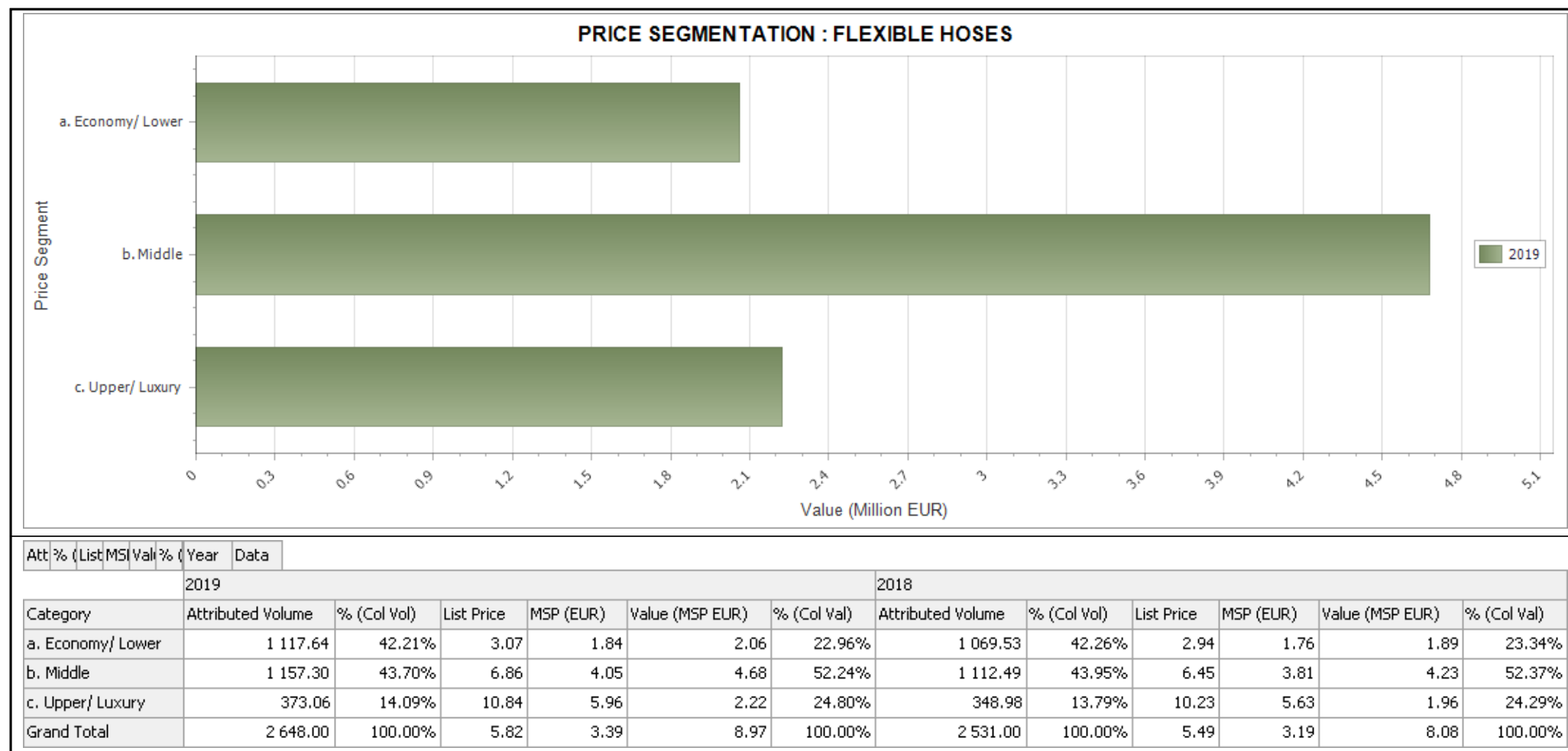
AE - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.3 Price Segmentation : Flexible Hoses

AE - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

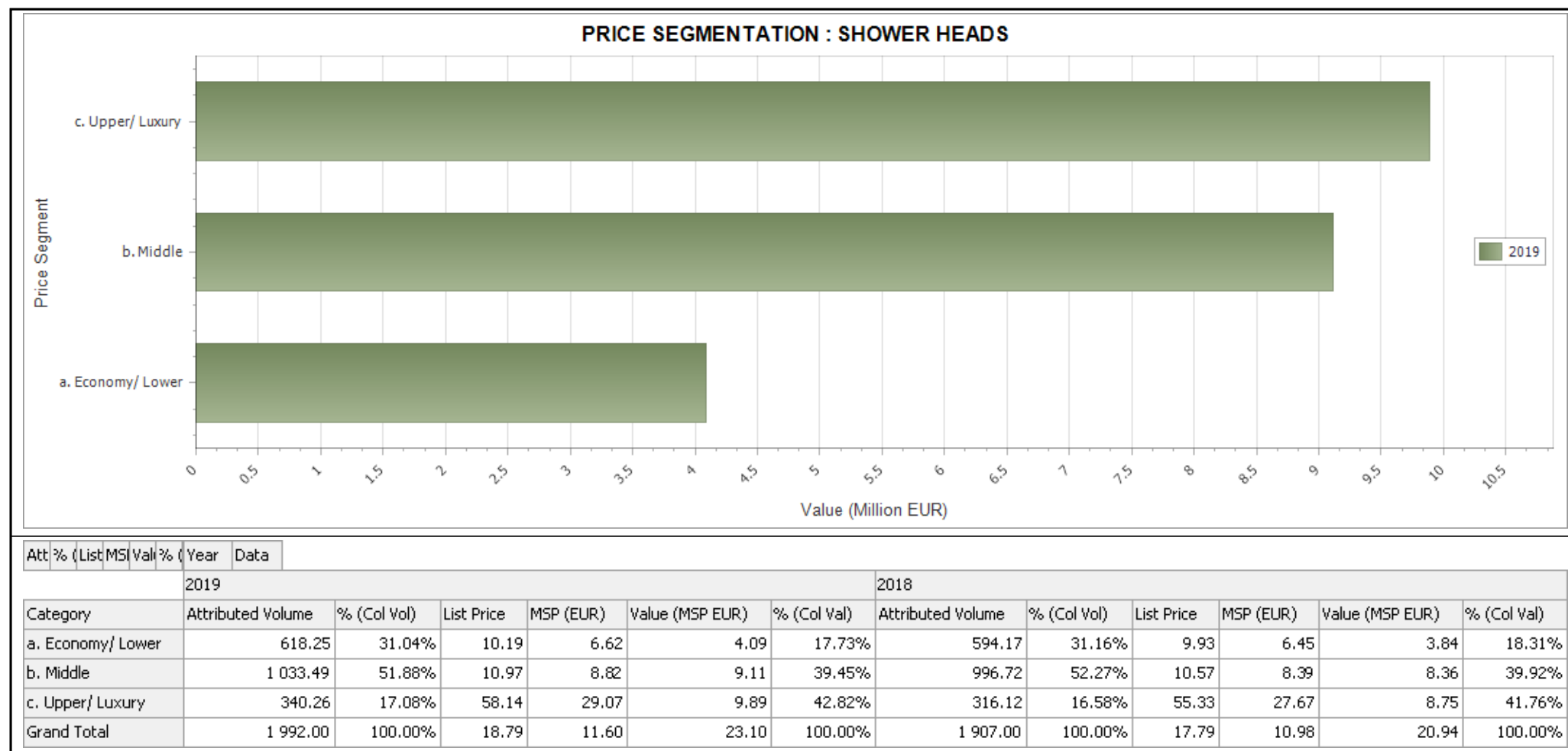


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€3, Middle €3-€5, Upper/ Luxury >€5

5.3.4 Price Segmentation : Shower Heads

AE - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

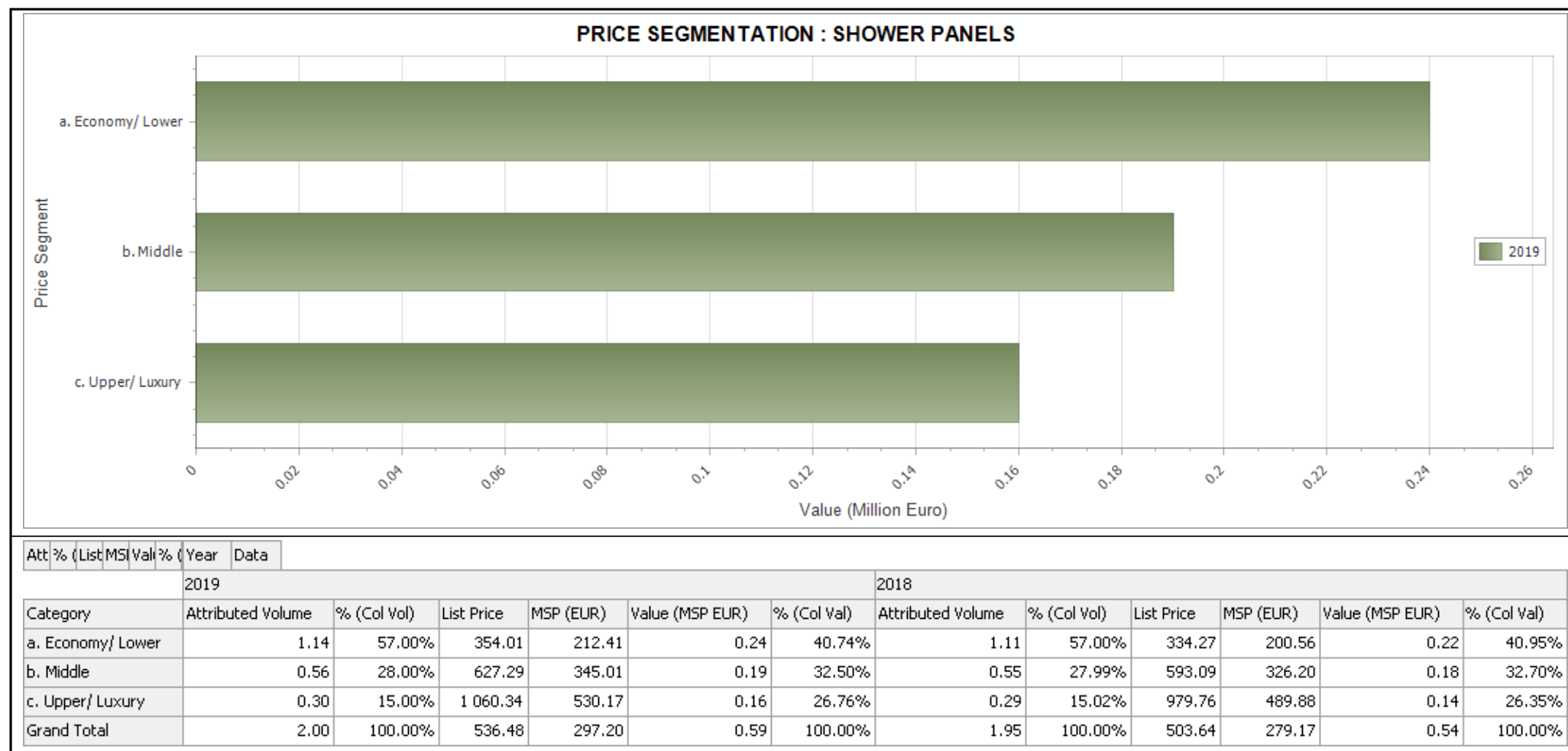


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€8, Middle €8-€20, Upper/ Luxury >€20

5.3.5 Price Segmentation : Shower Panels

AE - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

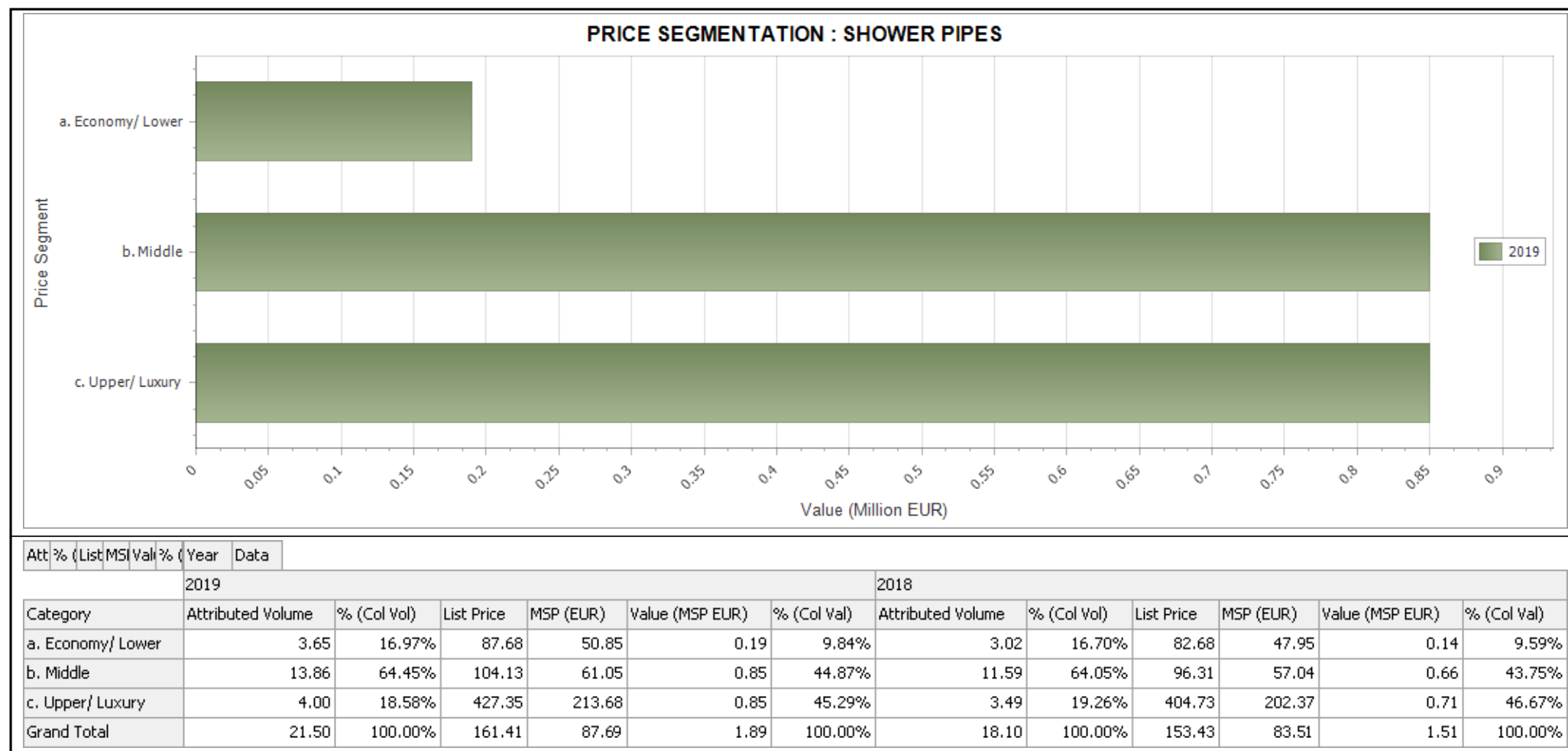


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€400, Upper/ Luxury >€400

5.3.6 Price Segmentation : Shower Pipes

AE - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

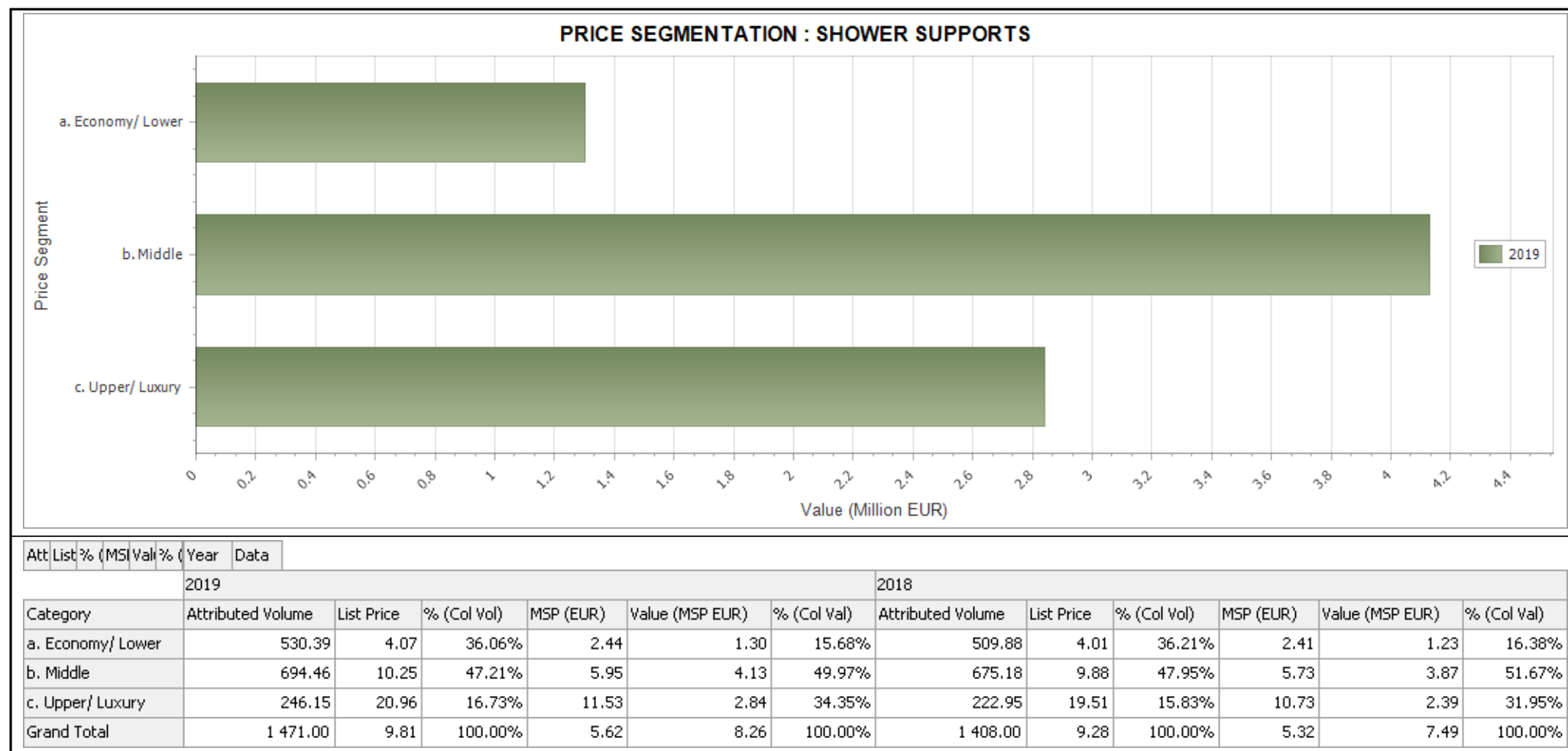


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€55, Middle €55-€150, Upper/ Luxury >€150

5.3.7 Price Segmentation : Shower Supports

AE - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

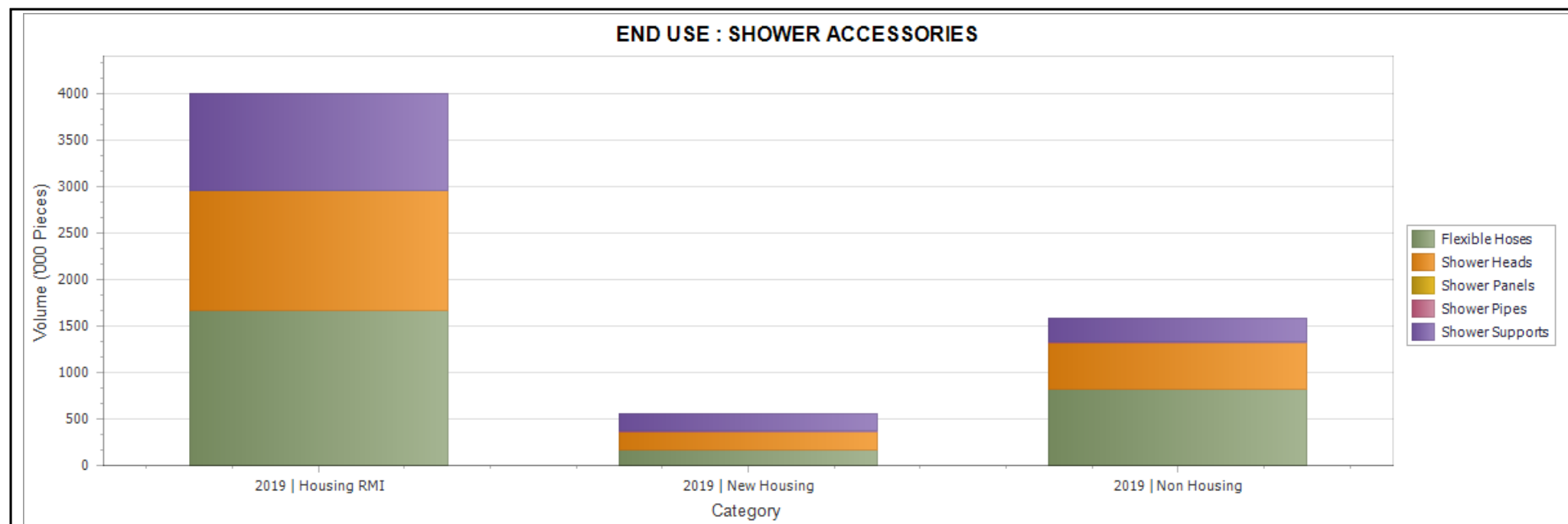


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

5.4.1 End Use : Base Year

AE - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

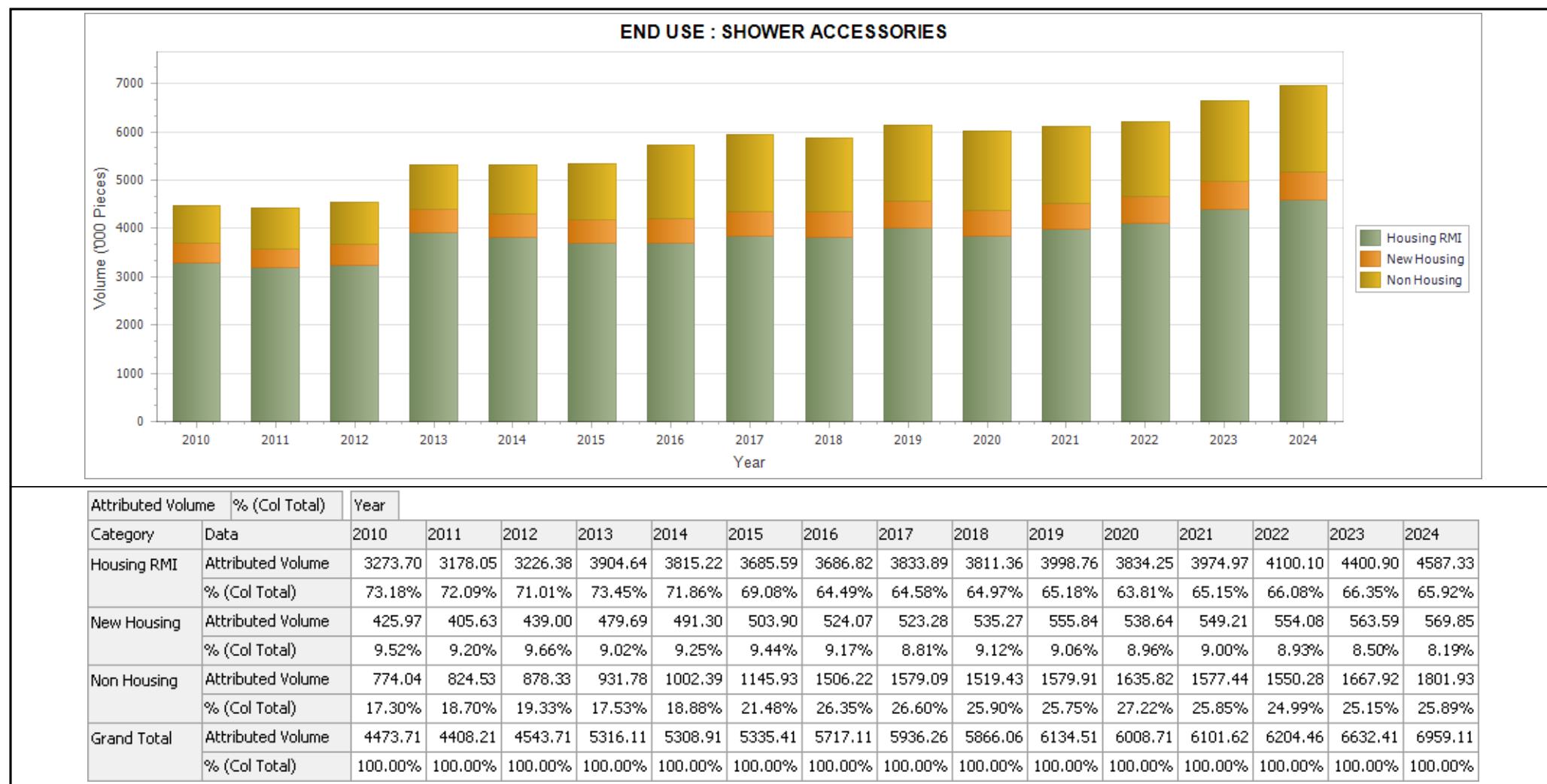


Attribu	% (Co	% (Ro	Year	Category	Data							
2019										2019 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	1669.68	41.76%	63.05%	160.66	28.90%	6.07%	817.66	51.75%	30.88%	2648.00	43.17%	100.00%
Shower Heads	1284.27	32.12%	64.47%	203.73	36.65%	10.23%	504.00	31.90%	25.30%	1992.00	32.47%	100.00%
Shower Panels	0.82	0.02%	41.18%	0.57	0.10%	28.49%	0.61	0.04%	30.33%	2.00	0.03%	100.00%
Shower Pipes	3.54	0.09%	16.48%	5.28	0.95%	24.53%	12.68	0.80%	58.99%	21.50	0.35%	100.00%
Shower Supports	1040.44	26.02%	70.73%	185.60	33.39%	12.62%	244.96	15.50%	16.65%	1471.00	23.98%	100.00%
Grand Total	3998.76	100.00%	65.18%	555.84	100.00%	9.06%	1579.91	100.00%	25.75%	6134.51	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

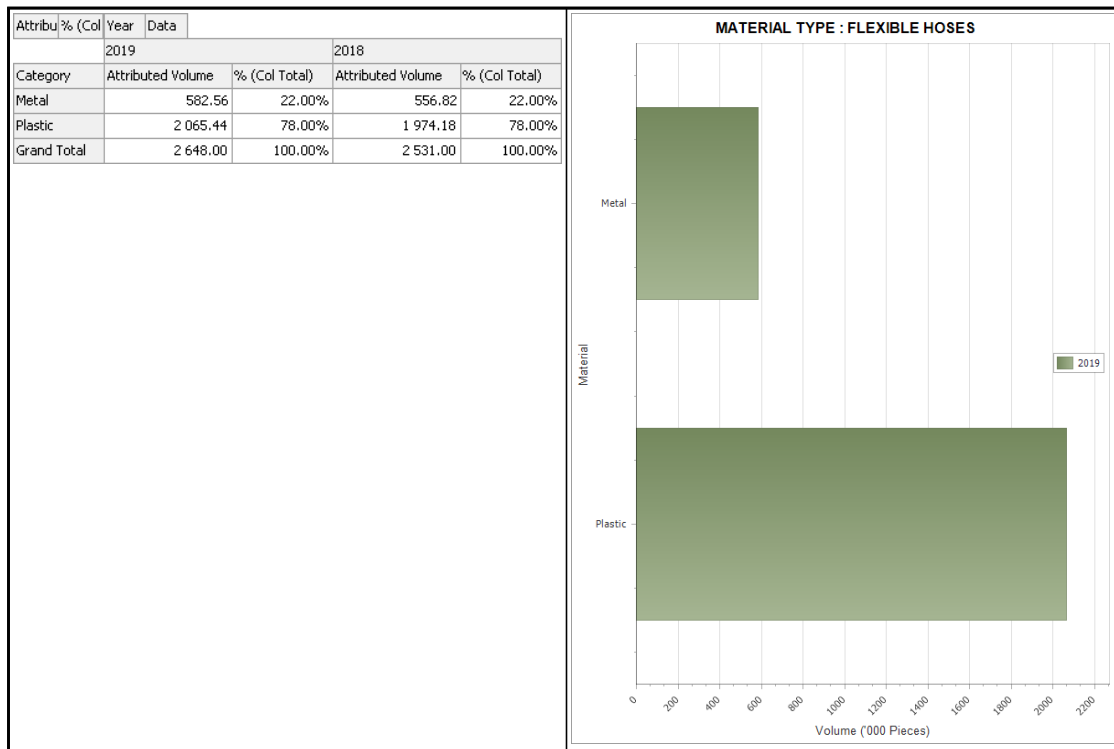
AE - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales By Type of Material : Flexible Hoses

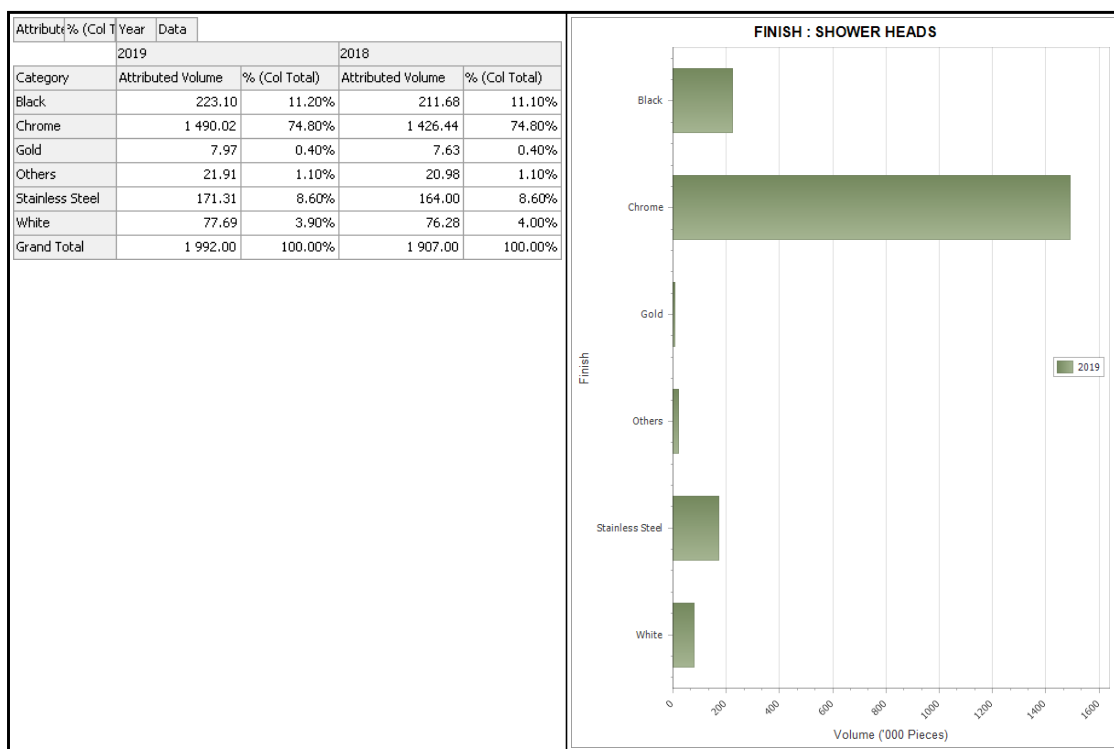
AE - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Finish : Shower Heads

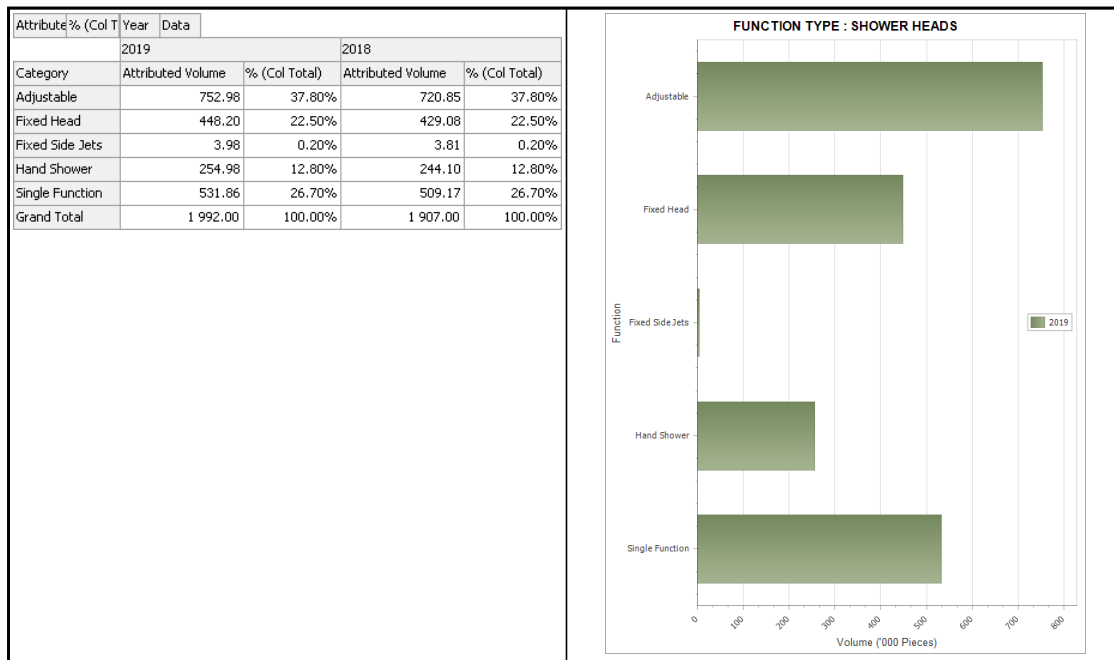
AE - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales By Type of Function : Shower Heads

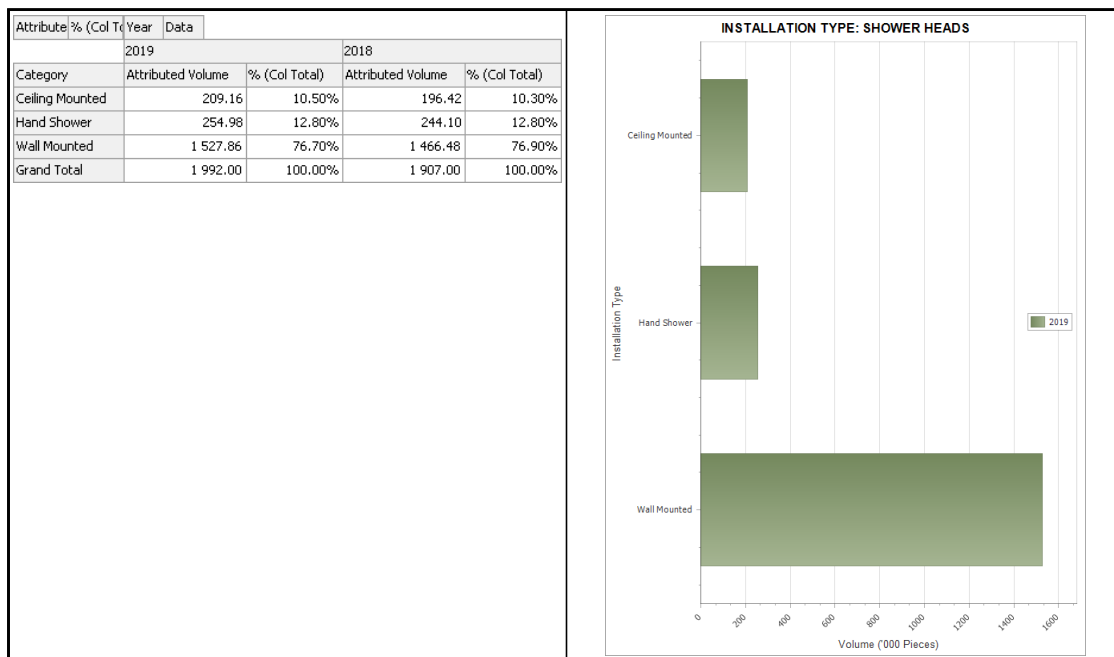
AE - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.6 Sales by Type of Installation : Shower Heads

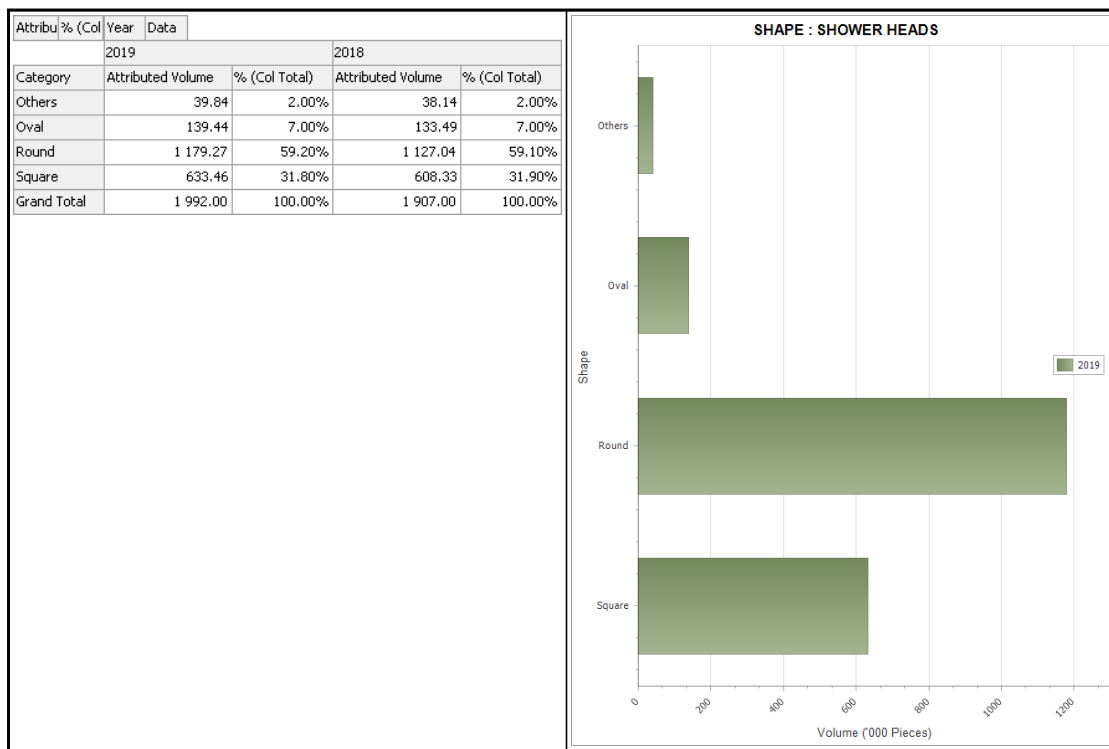
AE - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales By Type of Shape : Shower Heads

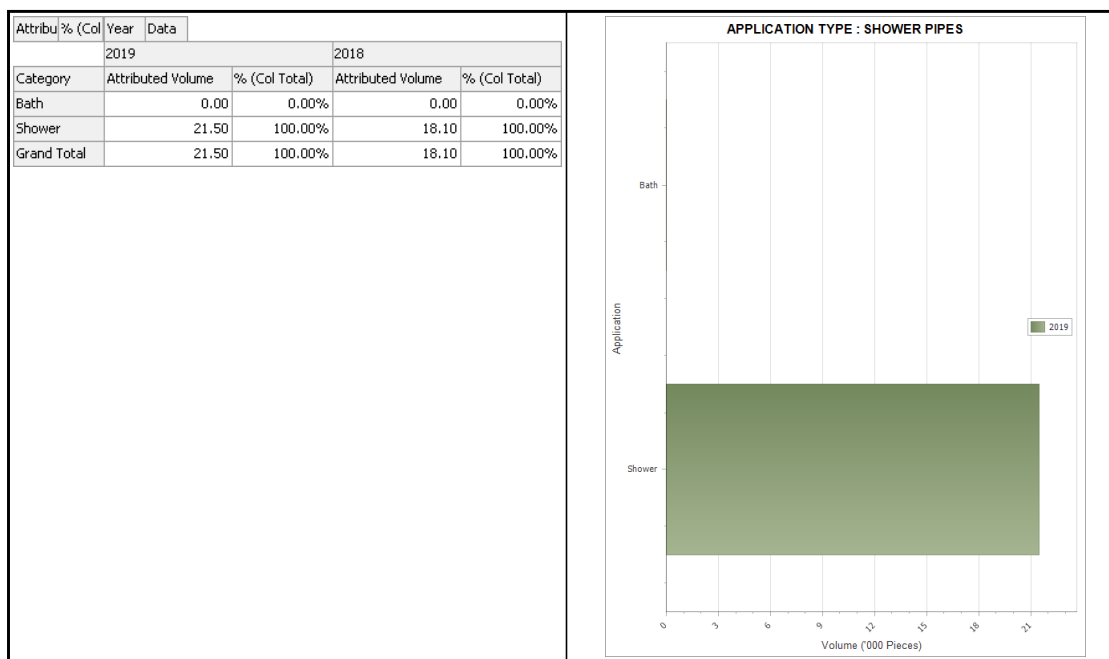
AE - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.8 Sales by Type of Application : Shower Pipes

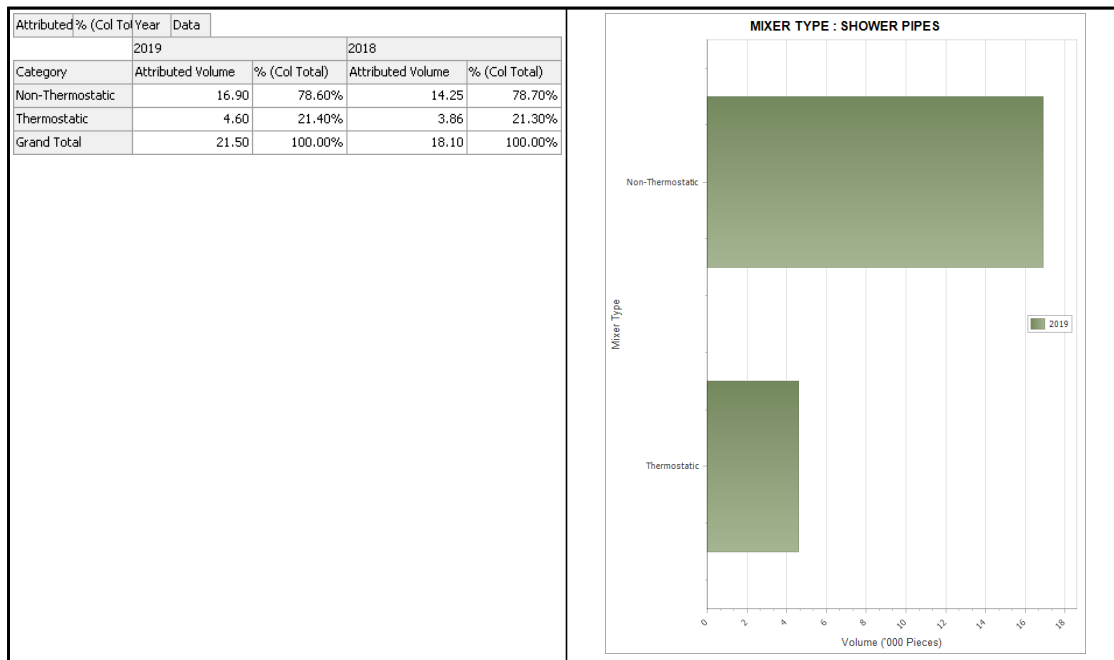
AE - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Mixer : Shower Pipes

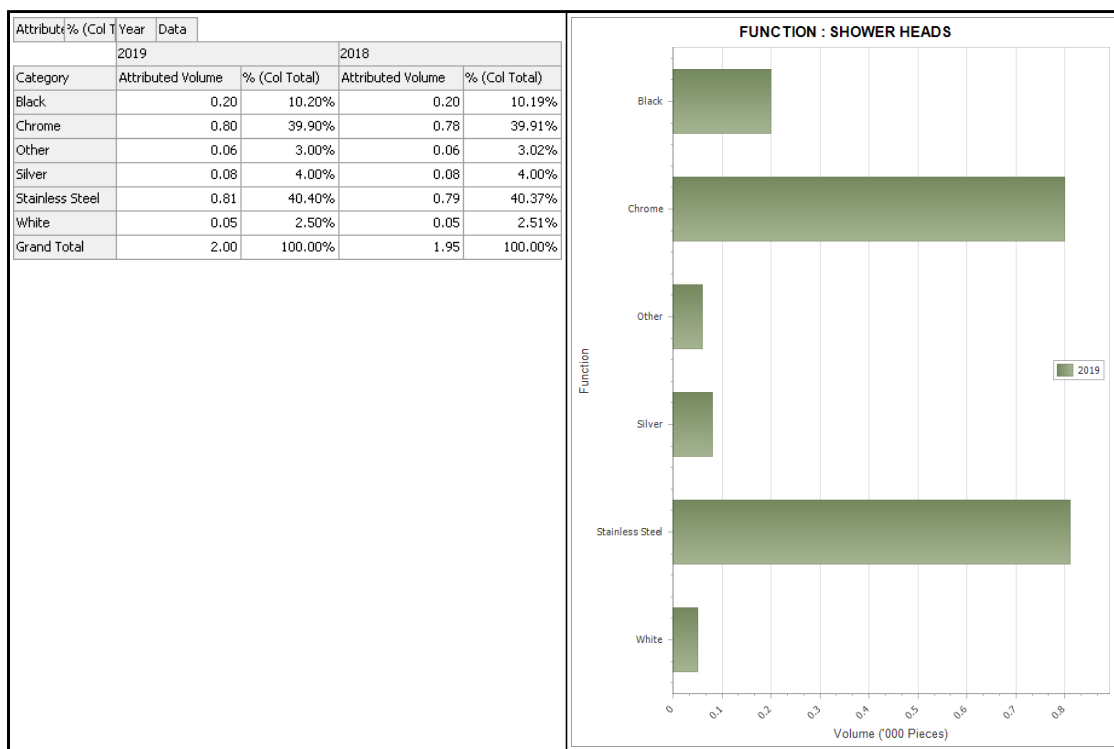
AE - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.10 Sales by Type of Finish: Shower Panels

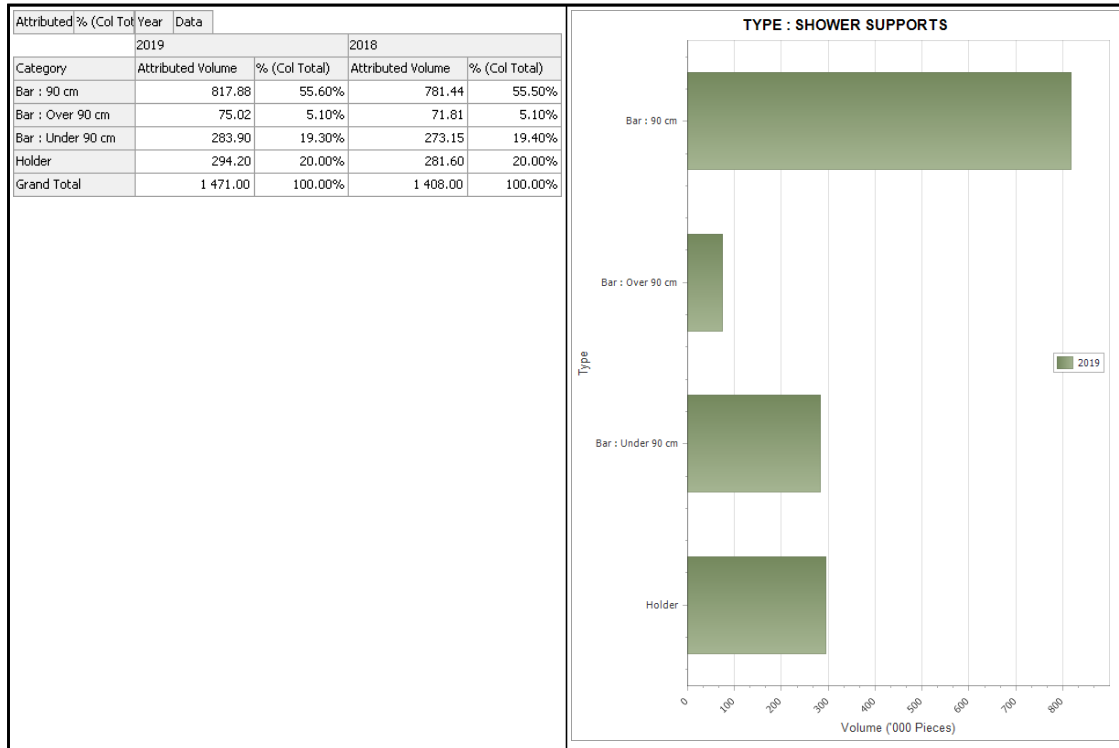
AE - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales By Type : Shower Supports

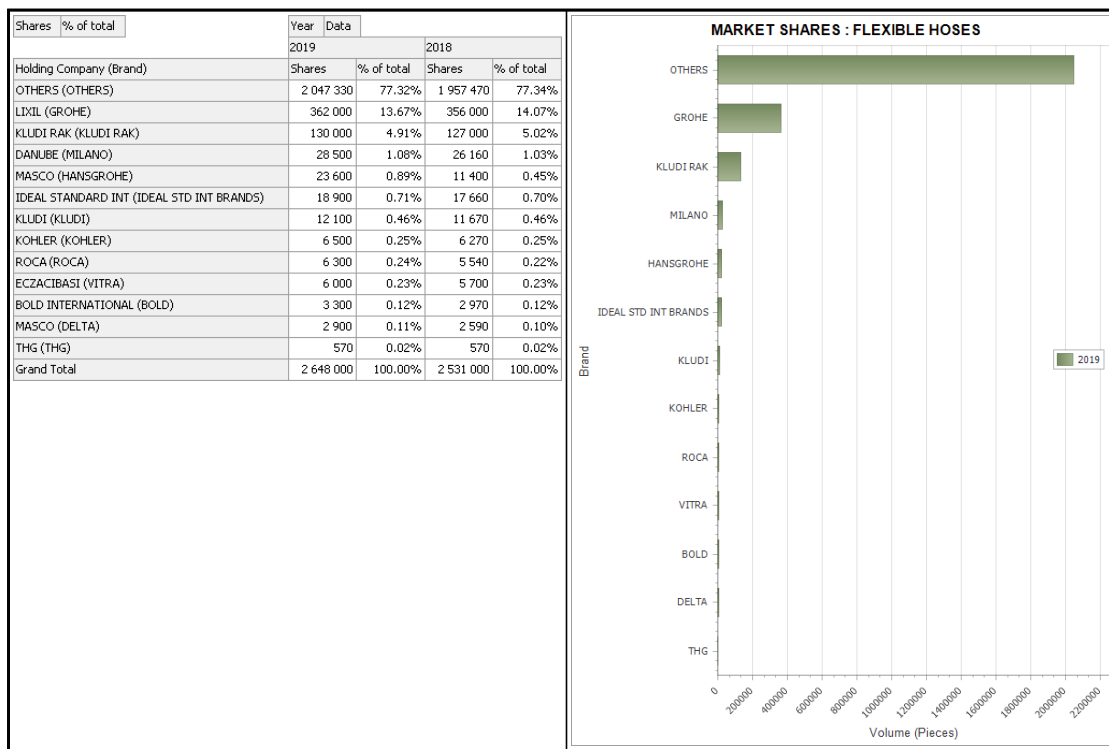
AE - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Flexible Hoses

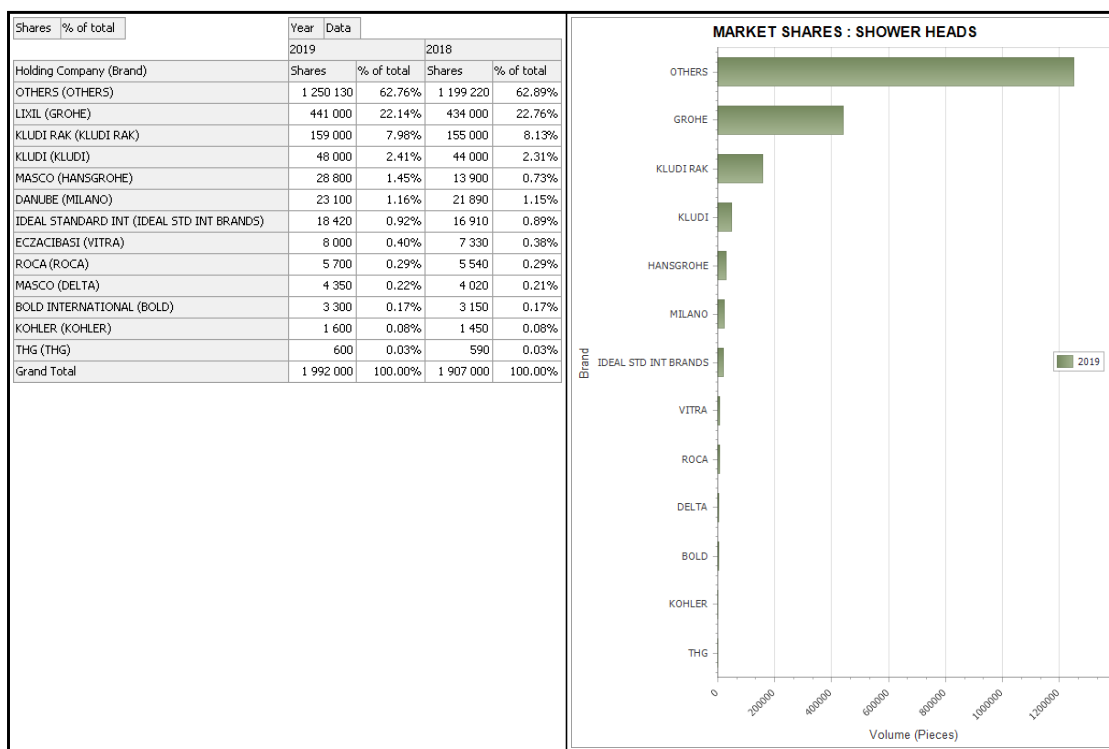
AE - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

5.5.2 Market Shares : Shower Heads

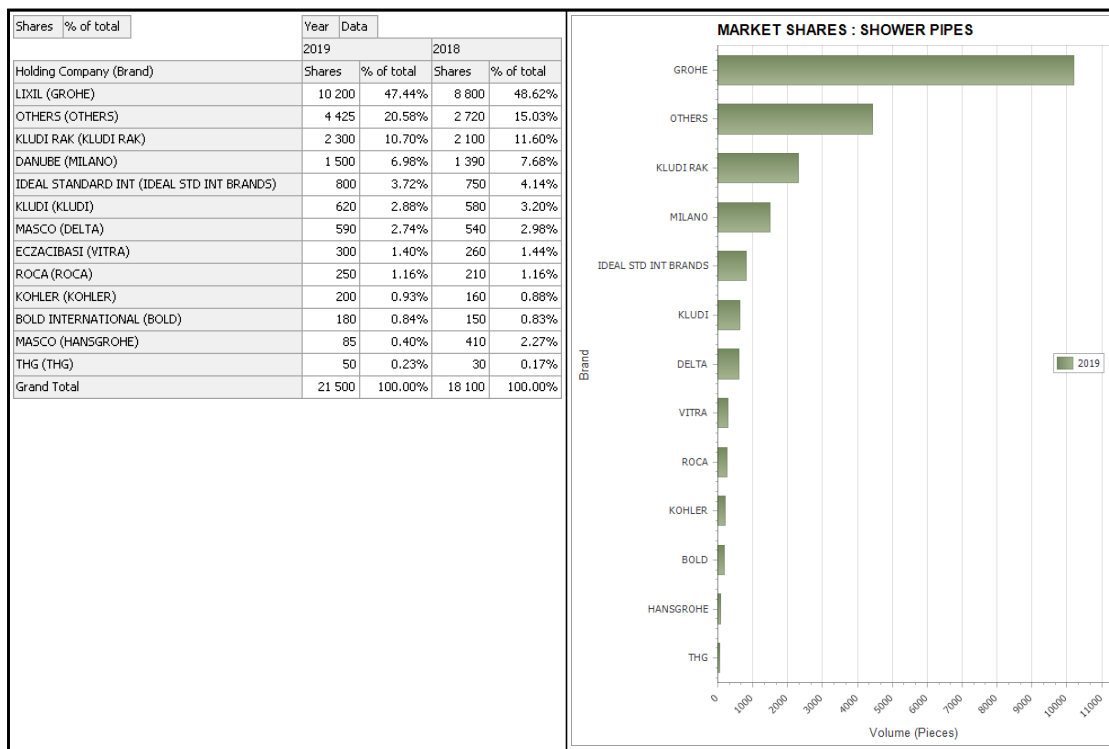
AE - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Shower Pipes

AE - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

5.6.1

Route to Market: Shower Accessories
AE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.9%
	Wholesalers / Merchants
	66.9%

Retail Level	Manufacturer 2.1%	Wholesaler 3.1%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 14.4%	Wholesaler 31.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.2%		0.0%		45.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	0.1%	0.0%	0.0%	0.3%
Installers				
2.0%				

End Use Level	Manufacturer 9.7%	Wholesaler 31.2%	Internet 5.2%	DIY 0.0%	Specialist 26.5%	Installer 1.7%
	Residential					
	74.2%					
	New Build			Residential RMI		
	9.1%			65.2%		
	Project	Non-Project		Project	Non-Project	
	8.0%	1.1%		18.5%	46.7%	
	New Build			Non-Residential RMI		
	22.0%			3.8%		
	Project	Non-Project		Project	Non-Project	
	19.0%	3.0%		0.2%	3.6%	

5.6.2

Route to Market: Shower Accessories
AE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.0%
	Wholesalers / Merchants
	65.0%

Retail Level	Manufacturer 2.3%	Wholesaler 3.3%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 15.0%	Wholesaler 33.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.6%		0.0%		48.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	0.1%	0.0%	0.0%	0.6%
Installers				
1.6%				

End Use Level	Manufacturer 11.3%	Wholesaler 27.6%	Internet 5.6%	DIY 0.0%	Specialist 28.1%	Installer 1.5%
	Residential					
	74.1%					
	New Build			Residential RMI		
	8.2%			65.9%		
	Project	Non-Project		Project	Non-Project	
	7.0%	1.2%		15.0%	50.9%	
	New Build			Non-Residential RMI		
	23.0%			2.9%		
	Project	Non-Project		Project	Non-Project	
	20.0%	3.0%		0.5%	2.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Shower Accessories

AE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

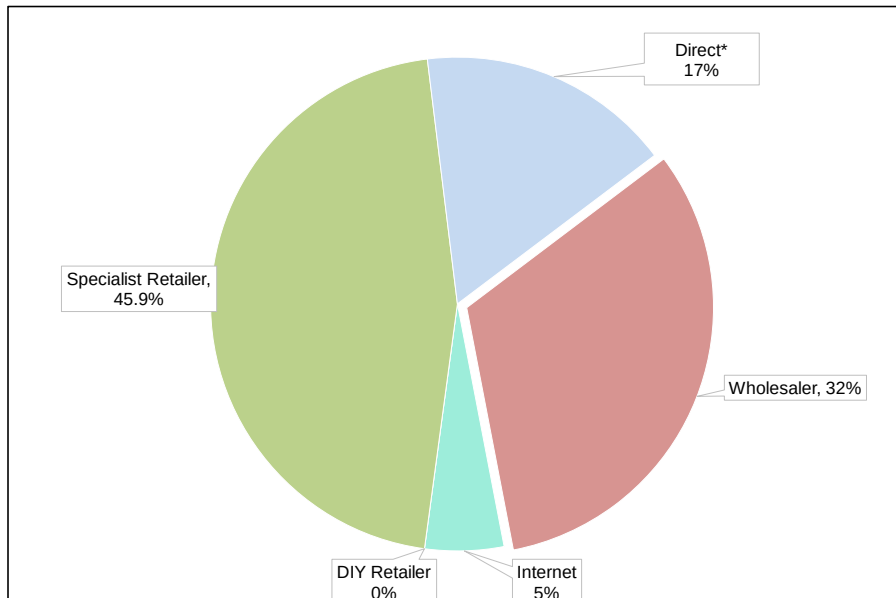
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.3%	5.2%	0.0%	45.9%	16.7%	26.5%	19.2%	47.7%	6.6%
100%					45.7%		54.3%	

5.6.4 Route to Market - Consolidated View : Shower Accessories

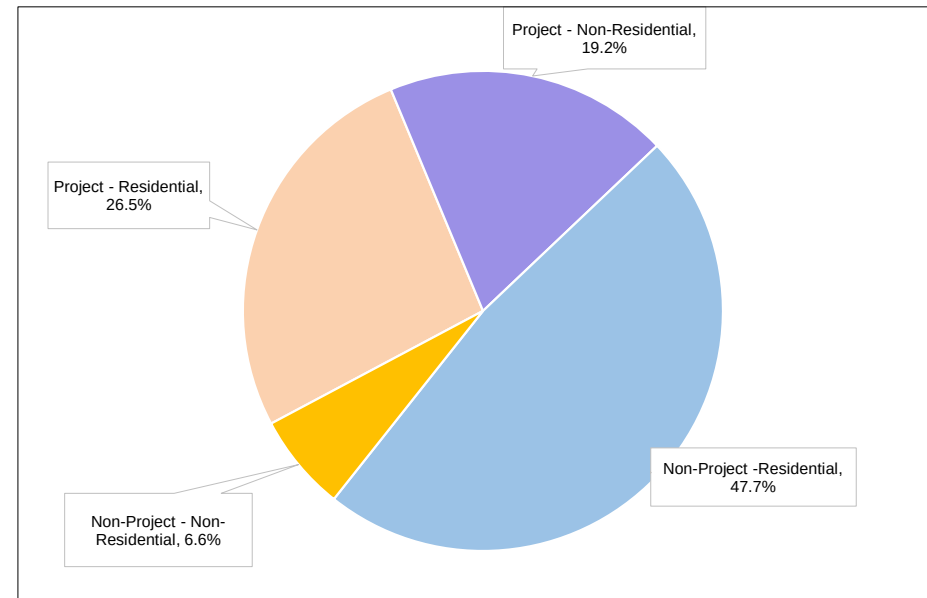
AE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.7%	5.6%	0.0%	48.0%	17.7%	22.0%	20.5%	52.1%	5.4%
100%					42.5%		57.5%	

AE - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



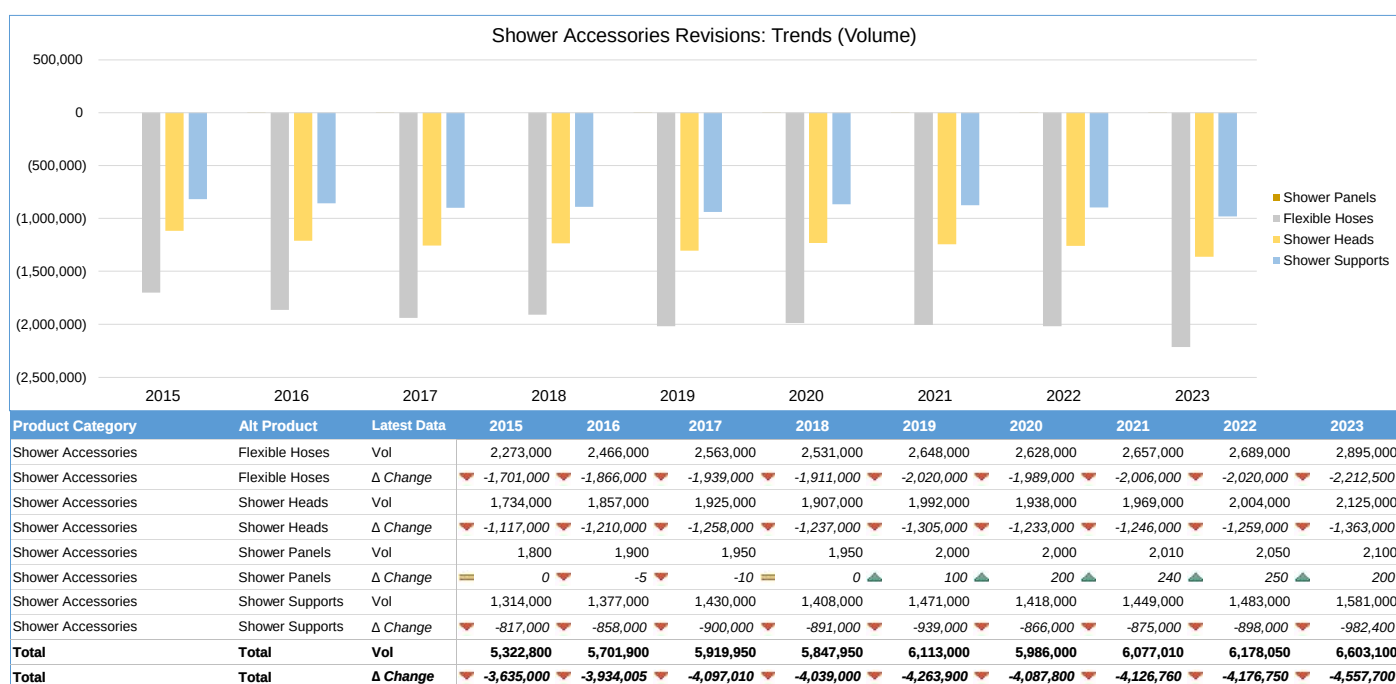
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Emirati Shower Accessories Market (April 2020)

AE - REVISIONS IN THE EMIRATI SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



Except for market size of shower panels, the market size for shower heads, flexible hoses and shower supports was revised upwards based on analysis of import statistics and market feedback. While analysing shower accessory imports to UAE, it was found that previous estimates of Chinese and other Asian imports low, thus underestimating the overall market.

MSPs for shower heads were revised slightly upwards on the basis of price analysis and market feedback.

UAE

KITCHEN SINKS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Along with increasing residential construction over the past few decades, there has been an increasing demand for kitchen sinks. Consequently, to fulfil this demand, a number of companies have set up shop, either as a sales office in the country or having an indirect presence in the country through distributors. The latter route is more often taken by foreign companies, as it minimises the risks associated with the vagaries of the Middle Eastern markets.

Demand has been booming over the past two decades, following the UAE ambitions to position itself as the regional and global business centre, attracting hundreds of thousands of immigrants each year. The accommodation for these expat workers makes up the majority of residential construction in the country. The majority of the demand for kitchen sinks also comes from these consumers. The demographics of the UAE consist of a small elite class of the native populace, along with a high net worth expatriate population, who are in the country for business or high-end jobs. The majority, however, is made up by the relatively less affluent expatriate working class, who come to the country in search of employment opportunities. This is also reflected in the sales of kitchen sinks, wherein a small portion of the sales come from the upper and luxury price segments, while the majority of sales are accounted for by the middle and lower price segments.

The companies operating in the middle and upper/luxury segments are well known European brands, which enjoy a favourable reputation in the market. A significant share of sales, however, is made in the lower and economy segment and it is catered for mostly by cheap imports from China, India and other Asian countries. The vast majority of kitchen sinks sold in the UAE are inset stainless steel sinks due to their affordable price, ease of installation and the variety of products on offer by different manufacturers. The undermount stainless steel sinks also have a sizeable market share. Together, these two varieties make up for most of the market for kitchen sinks in the country.

There are only a couple of ceramic sink manufacturers active in the country and the market for this product remains very small. A more popular product is the sink made of granite, which is installed in relatively upper-class households and is more expensive than stainless steel sinks. An increasing number of households, especially in the new residential construction segments, are going for modular kitchens.

Since the dwelling park of the UAE is relatively new, and kitchen sinks have a longer lifespan as compared to bathroom products or faucets, the share of replacement is relatively lower for this product. The non-housing segment constitutes a minority share of the kitchen sinks sold in the UAE. Small restaurants, eateries and food outlets are some of the consumers in the non-housing segment. However, large kitchens in big hotels and busy restaurants and labour camps usually install heavy duty commercial sinks which are larger in size and are of

heavier capacities and these are not covered in this report.

Recent Market Trends

In 2019, the kitchen sink market continued to grow, adding much more to the growth experienced in the previous year. There was steady demand from the new housing sector and the market also witnessed an increase in demand in the replacement sector. Dubai continues to be the single most important market in terms of new projects. With the growth in increased dwelling completions in 2019, the rate of growth has been much better than 2018.

There has also been an increase in the number of companies offering stainless steel kitchen sinks, especially in the lower segments, particularly from China and India. MILANO has emerged as one of the leading players in the kitchen sinks segment as well, even though it started later than many established players, owing to its countrywide distribution network and strength in the retail segment. Even in the upper segment, many new European players and regional manufacturers are offering better quality products at a more affordable price.

Prices and Market Values

During 2019, the average MSP of kitchen sinks in UAE witnessed only a slight growth. MSPs of synthetic kitchen sinks, however, saw a decline during the year. The MSPs have not increased drastically and are in check for the last few years. This was mainly due to an increasing number of players offering their products, leading to increasing price competition in the market and the dampening effect of cheaper products on overall MSPs. In general, sinks made of stainless steel are cheaper, compared to those made of quartz (granite), however high-end stainless steel sinks can be more expensive than the former, especially from the European brands.

The influx of Chinese and Indian players in recent years has also affected the pricing. The middle to lower price segments are the most competitive price points as it is here where most of these companies operate. However, even in the upper segment, a slew of European manufacturers, along with a couple of regional manufacturers have entered the market. All of these factors have kept the growth in MSPs down.

New Housing

In 2019, the sales of stainless steel as well as synthetic kitchen sinks continued to grow for this sector with an increase in dwelling completions during the year.

Like many other countries in Asia, the new housing market accounts for a significant share of sales in UAE. The new housing segment is the most lucrative area, especially for Western manufacturers, as the new upscale housing projects offer opportunities for bulk sales and have higher budgets.

Recently, as the focus has now shifted to affordable housing, kitchen sinks at lower price points are also being considered and relatively cheaper imports from Asia have managed to make inroads in this segment.

Housing RMI

Replacement of kitchen sinks and remodelling activity in existing houses are an important source of demand for kitchen sinks. The trend towards modular kitchens, for aesthetic purposes as well as convenience, has meant that many households purchase new sinks and replace old ones. Here, the retail market consists of various companies, including the European, regional, as well as Asian players, operating at varying price points.

While the replacement sales grew for stainless steel sinks, the sales for synthetic sinks declined marginally during 2019. The growth in sales was more pronounced for stainless steel kitchen sinks which is a much bigger market than the synthetic kitchen sinks. The synthetic kitchen sink market is much newer and smaller in comparison.

Non-Housing

Commercial sales of kitchen sinks account for only a minority of overall sales, in comparison to sales on the residential market. The non-housing market for both stainless steel and synthetic kitchen sinks displayed good positive growth during 2019.

The vast majority of commercial kitchen sinks are stainless steel, as most non-housing sales are usually into restaurants, office kitchens and hotels where ease of use and durability, as well as ease of cleaning and hygiene advantages, are favoured over design.

Supply Structure

The UAE kitchen sinks market is supplied by several well-known European brands as well as various imported products from India and China. These relatively cheaper imports from Asia have captured a significant share of the market. Among the recognised and well-known brands, TEKA is the market leader in the stainless steel sinks due to its wide network, favourable reputation and competitive pricing, followed by BLANCO and FRANKE. TEKA has a strong presence in the retail market and this is the reason why it is in the market leader position in the UAE. Other European brands such as RODI, FOSTER and APELL are also active in the market while ELLECI is another lesser known European brand sourced from the UK.

In recent years, MILANO has emerged as an important player in the stainless steel kitchen sink category, due to its affordability as well as a well-established distribution network across the Emirates.

Among the Chinese brands, ELBA sinks are popular while a major part in the unorganised sector consists of little known brands carried by various distributors. Some distributors market both the reputed European brands, along with these cheaper Chinese products, to cater to a wider range of consumers at various price points. NABLUS markets the CM brand in the UAE, while APELL is distributed by METALLICA APPLIANCES. FRANKE is distributed by FARAIDOOONI TRADING and the SULTAN GROUP; it even has its own sales office based in the UAE which serves as a regional marketing centre for the entire Middle East. TEKA also has its own sales office and network of distributors across The Emirates. BLANCO equally has a countrywide network of distributors, while KOHLER too has a sales office in the country. Very often, distributors have a range of offerings, consisting of upper priced European brands along with cheaper Asian imports to cater to all kinds of consumers.

Sanitary ware seller BAGNODESIGN also imports and sells stainless steel kitchen sinks which are sourced from China and India and even Malaysia, while DANUBE's MILANO kitchen sinks are also imported from these countries on an OEM basis. Some of the OEM brands are DIETHELM, SERTEC, SUNTIM among others.

In the case of project sales made by well-known European brands, the sinks and kitchen mixers are sold as packages while, in the case of retail sales, consumers often choose different brands for sinks and mixers.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

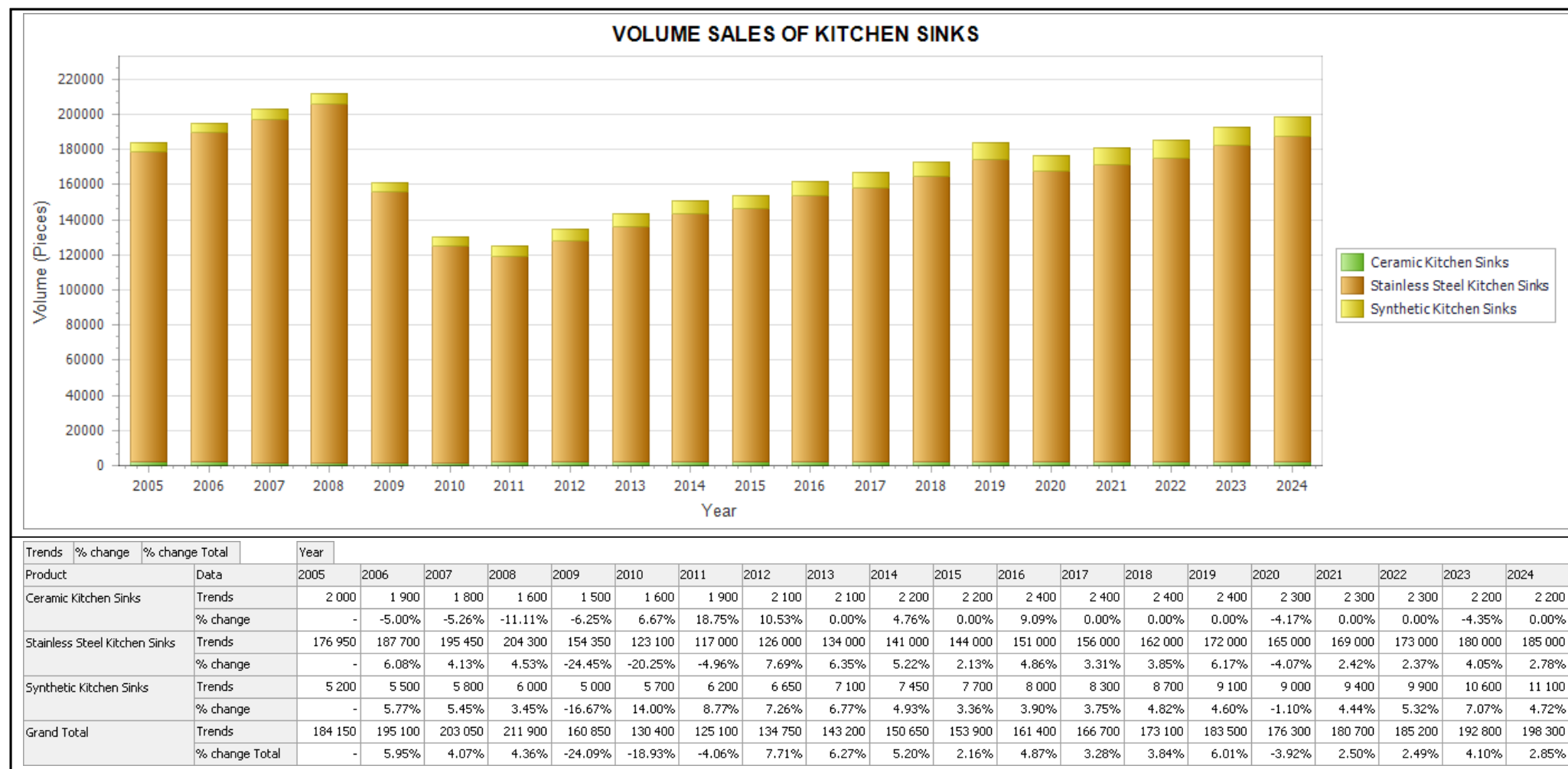
The kitchen sink market largely depends on new construction and dwelling completions. At the start of the year 2020, things are already not looking favourable for the construction industry in UAE due to the outbreak of COVID-19 which originated from China and spread across the world quickly.

The deadly COVID -19 pandemic has the whole world grappling with economic downturn arising due to mandatory lockdowns and trade restrictions. With more than half of the world population already under lockdown, manufacturing units are shut, construction activities are at their minimal rate, hospitality and tourism industry have been hit very hard and (the Middle East's 'bread and butter'), oil prices are crashing. The sales outlook for the rest of the year also looks bleak as there is no clarity on when the end of this situation may come, and things are not expected to begin to return to normal until at least the third quarter of the year.

However, the forecast period looks slightly optimistic as UAE, and Dubai in particular, has emerged as a global business centre; expats purchasing homes and apartments is expected to be another driver for the sales of kitchen sinks in the country. The bulk of supply of kitchen sinks in the UAE comes from abroad, so it is vulnerable to global pricing fluctuations. As an economy, the UAE is also dependent on private investments from outside along with a sizeable contribution from the tourism industry. Any decline in these areas could affect the construction industry, which in turn would affect the sinks market.

6.2 Historical Trends and Forecasts : Kitchen Sinks

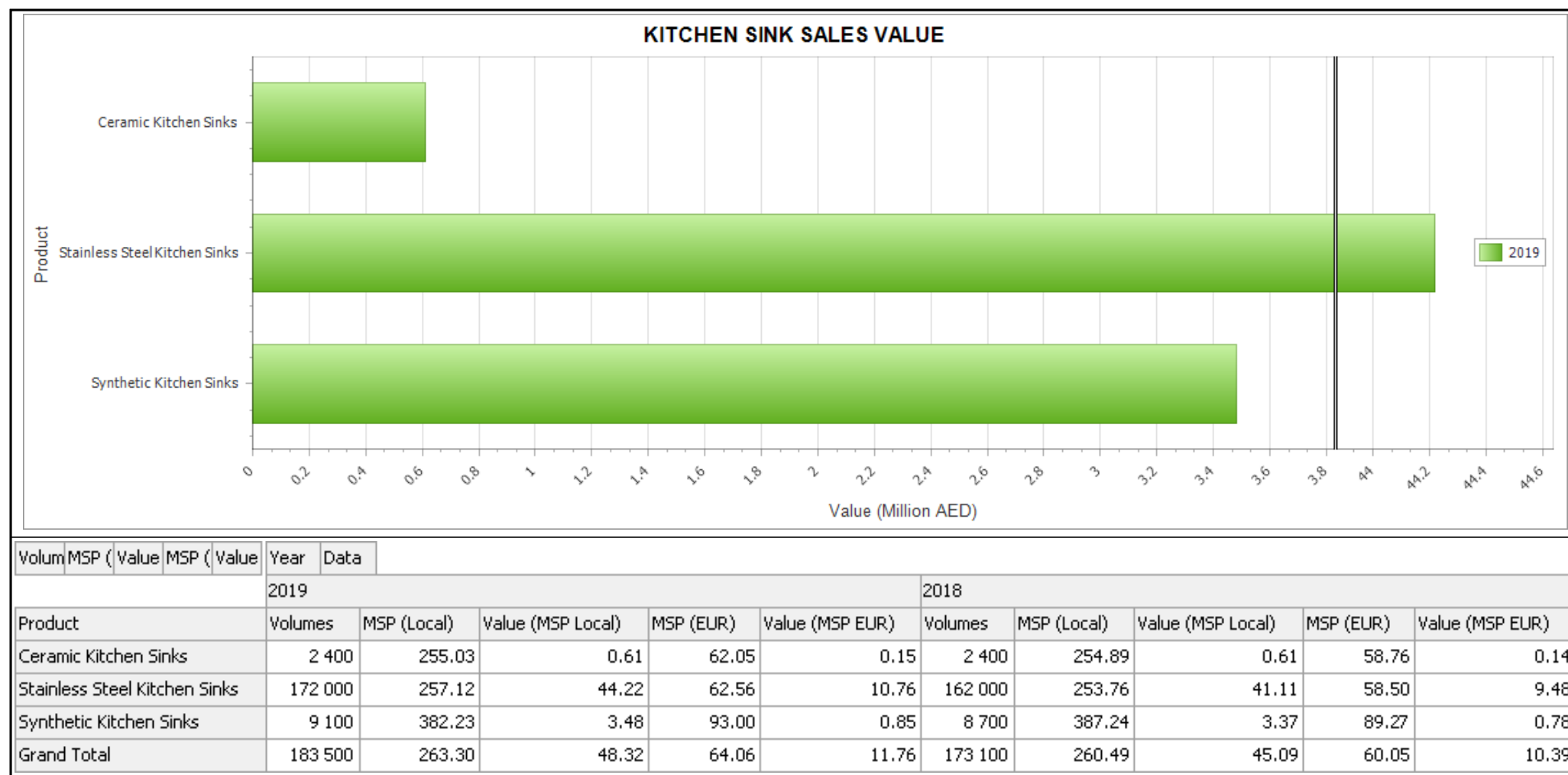
AE - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

6.3.1 Prices and Market Values : Kitchen Sinks

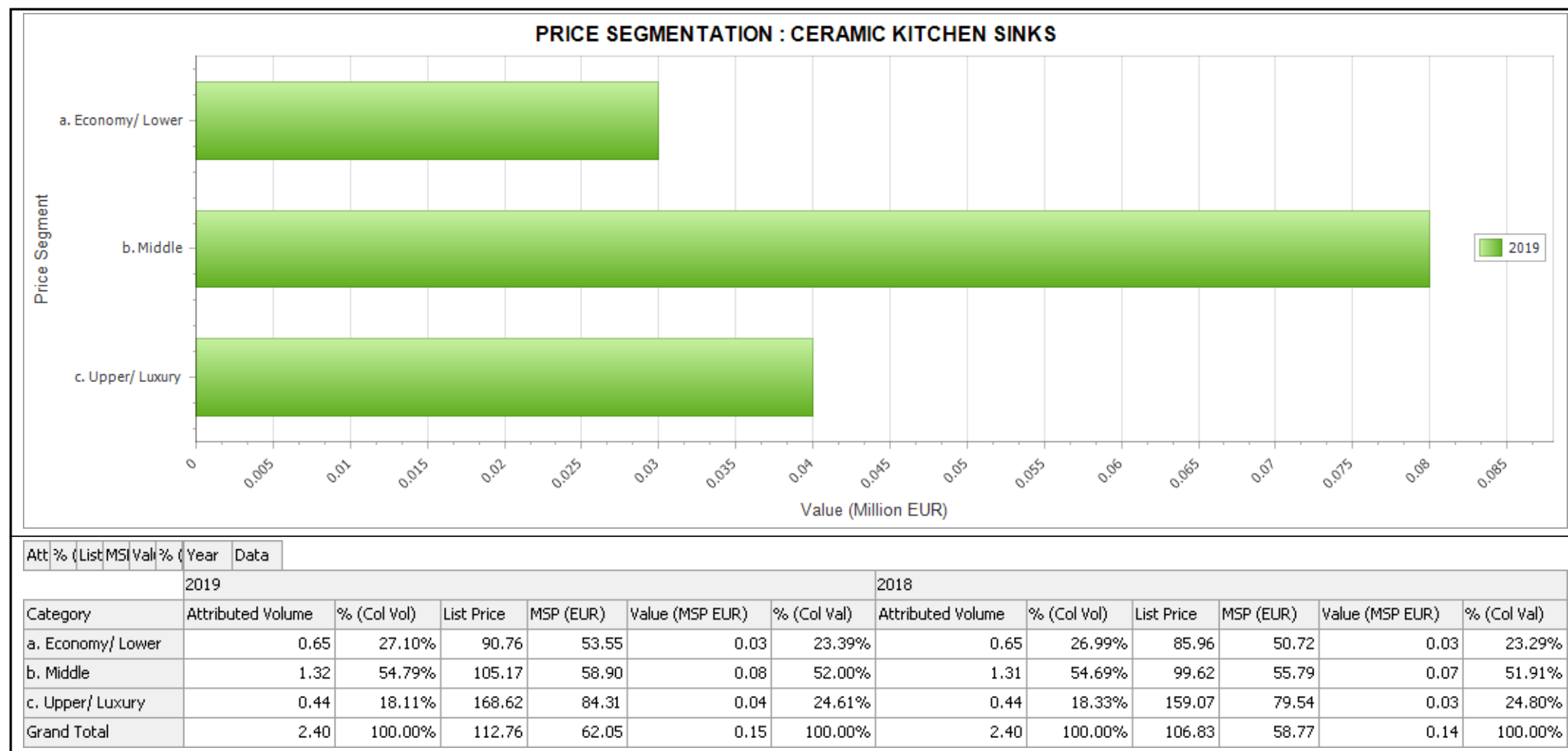
AE - ESTIMATED VALUES OF THE KITCHEN SINK MARKET



Source: BRG based on industry interviews. Local Prices Shown in AED. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

6.3.2 Price Segmentation : Ceramic Kitchen Sinks

AE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

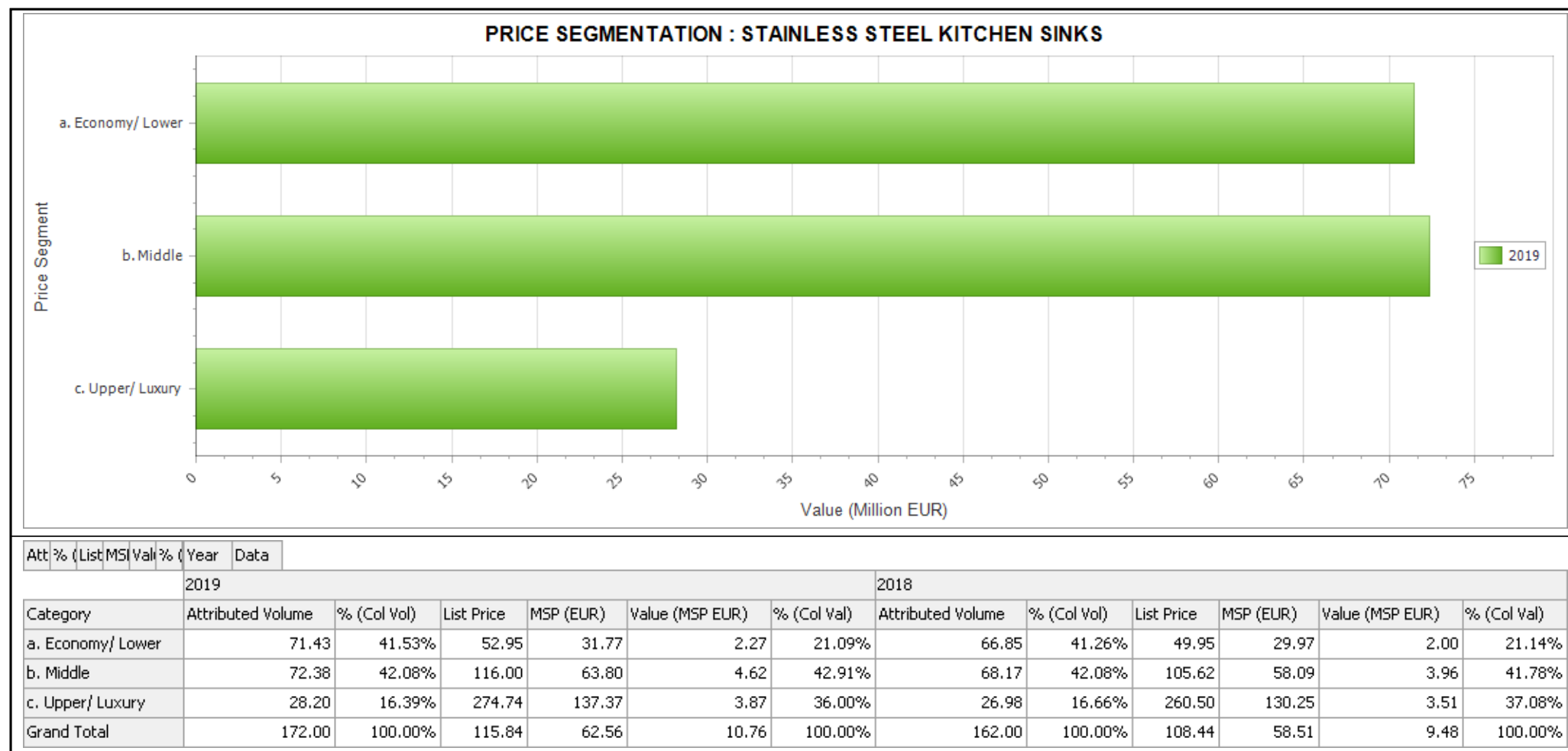


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€55, Middle €55-€75, Upper/ Luxury >€75

6.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

AE - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

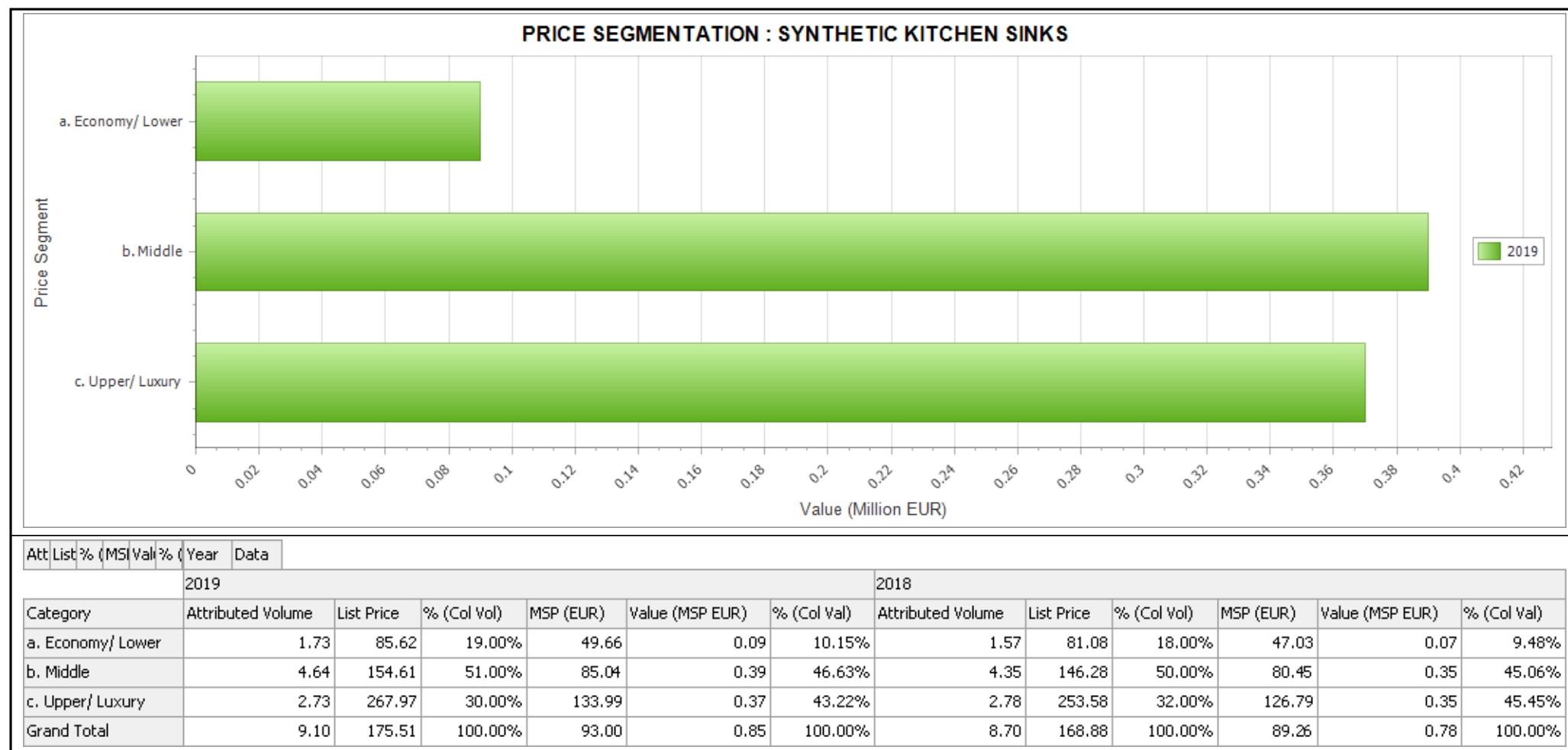


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€70, Upper/ Luxury >€70

6.3.4 Price Segmentation : Synthetic Kitchen Sinks

AE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

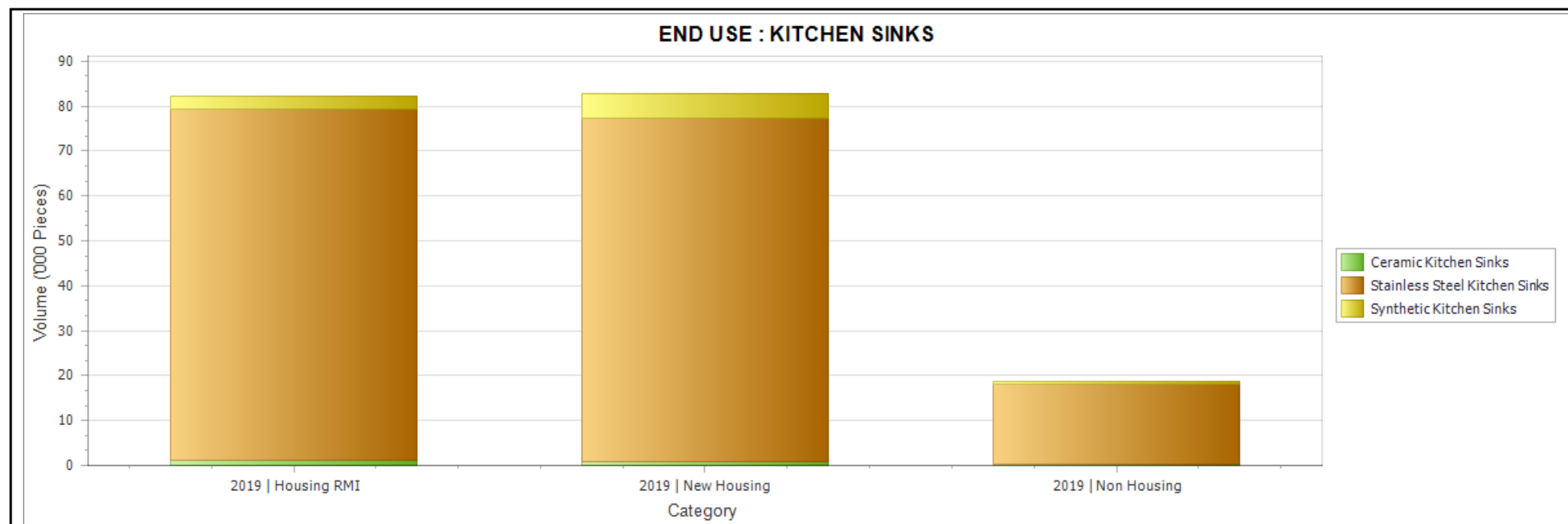


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€55, Middle €55-€90, Upper/ Luxury >€90

6.4.1 End Use : Base Year

AE - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)

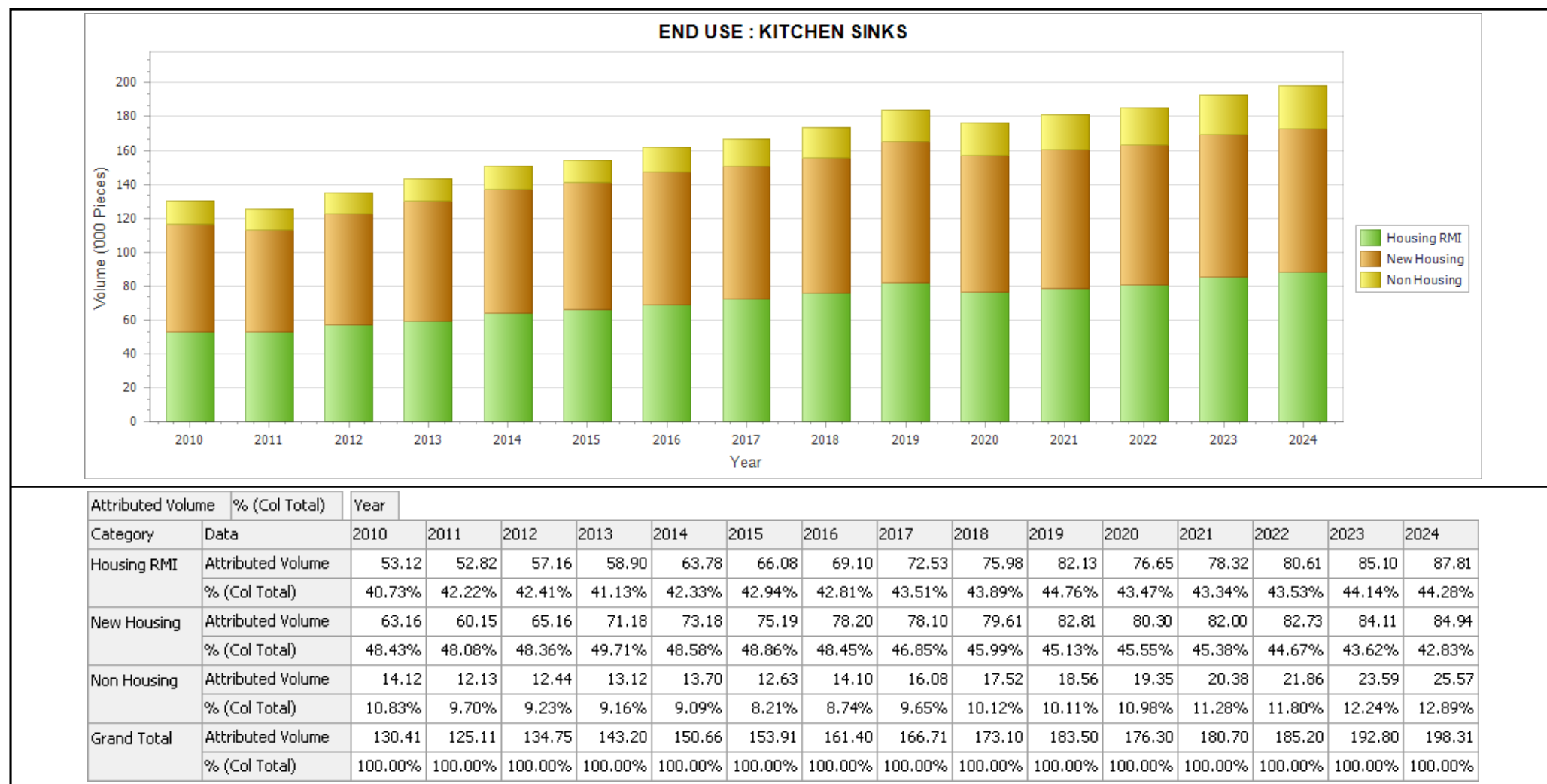


Attributed % (Col Tot)	% (Row)	Year	Category	Data										
		2019								2019 Total				
		Housing RMI			New Housing			Non Housing						
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)		
Ceramic Kitchen Sinks	1.21	1.47%	50.31%	0.95	1.15%	39.57%	0.24	1.31%	10.12%	2.40	1.31%	100.00%		
Stainless Steel Kitchen Sinks	78.02	94.99%	45.36%	76.23	92.05%	44.32%	17.76	95.66%	10.32%	172.00	93.73%	100.00%		
Synthetic Kitchen Sinks	2.91	3.54%	31.94%	5.63	6.80%	61.88%	0.56	3.03%	6.18%	9.10	4.96%	100.00%		
Grand Total	82.13	100.00%	44.76%	82.81	100.00%	45.13%	18.56	100.00%	10.11%	183.50	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

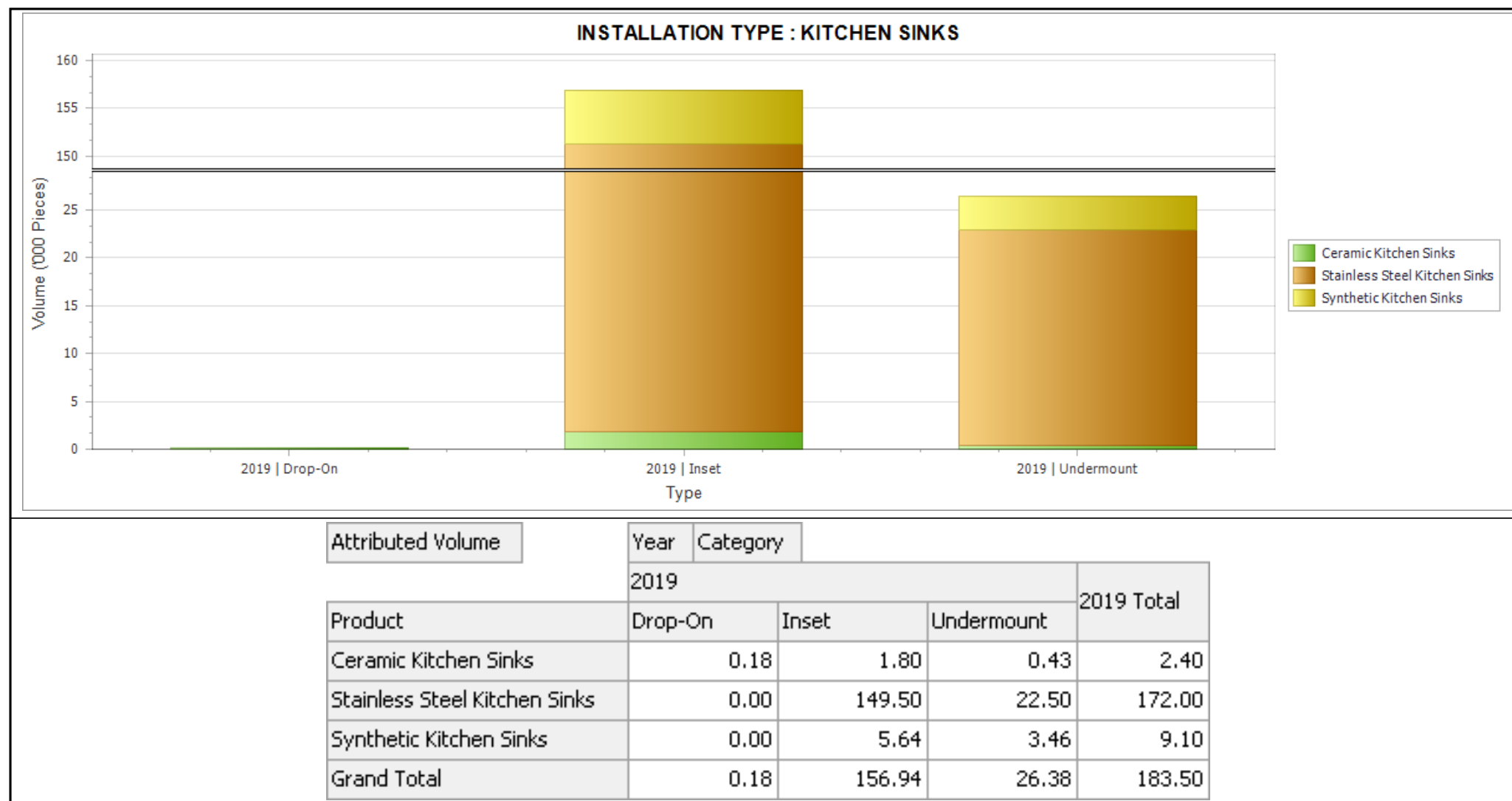
AE - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Installation : Kitchen Sinks

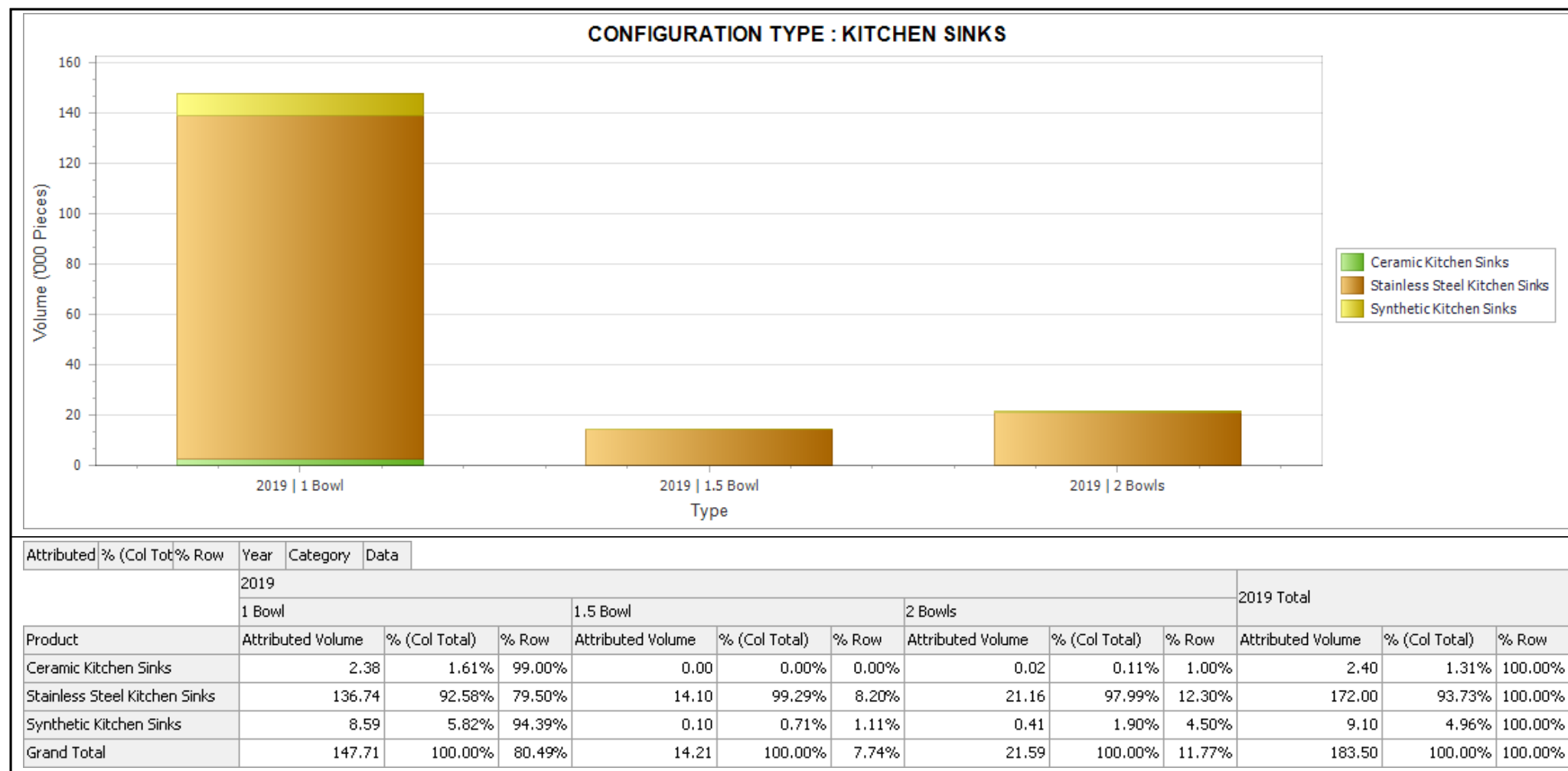
AE - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.4 Sales by Type of Configuration : Kitchen Sinks

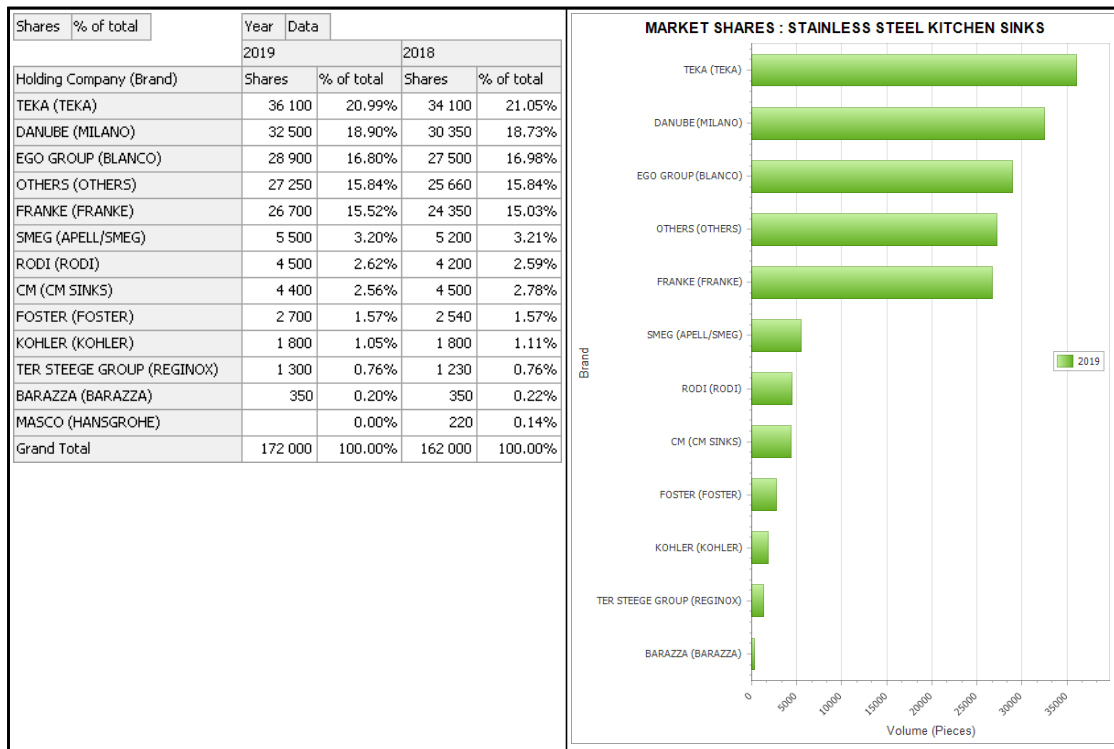
AE - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5.1 Market Shares : Stainless Steel Kitchen Sinks

AE - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

6.6.1

Route to Market: Kitchen Sinks
AE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

9.7%
Worktop Manufacturers
9.7%

Wholesale Level

Manufacturers	Worktop Manufacturer
62.0%	5.0%
Wholesalers / Merchants	
67.0%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
Internet Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
DIY Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
19.7%	0.0%	20.0%
Specialist Retailers		
39.7%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	0.0%	3.0%	0.0%	0.0%	0.1%
Installers					
5.1%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.6%	4.7%	41.0%	0.0%	0.0%	34.6%	5.0%
Residential						
89.9%						
New Build			Residential RMI			
45.1%			44.8%			
Project	Non-Project		Project	Non-Project		
37.0%	8.1%		7.0%	37.8%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.0%	0.0%	3.0%	0.0%	0.0%	5.0%	0.1%
Non-Residential						
10.1%						
New Build			Non-Residential RMI			
7.1%			3.0%			
Project	Non-Project		Project	Non-Project		
6.1%	1.0%		0.5%	2.5%		

6.6.2

Route to Market: Kitchen Sinks
AE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

9.5%
Worktop Manufacturers
9.5%

Wholesale Level

Manufacturers	Worktop Manufacturer
63.0%	4.8%
Wholesalers / Merchants	
67.8%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
Internet Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
DIY Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
20.0%	0.0%	20.0%
Specialist Retailers		
40.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
1.5%	0.0%	3.0%	0.0%	0.0%	0.5%
Installers					
5.0%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.8%	4.7%	41.7%	0.0%	0.0%	32.5%	4.4%
Residential						
87.1%						
New Build			Residential RMI			
42.8%			44.3%			
Project	Non-Project		Project	Non-Project		
40.0%	2.8%		5.5%	38.8%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.2%	0.0%	3.1%	0.0%	0.0%	7.0%	0.6%
Non-Residential						
12.9%						
New Build			Non-Residential RMI			
8.5%			4.4%			
Project	Non-Project		Project	Non-Project		
7.1%	1.4%		0.5%	3.9%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Kitchen Sinks

AE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

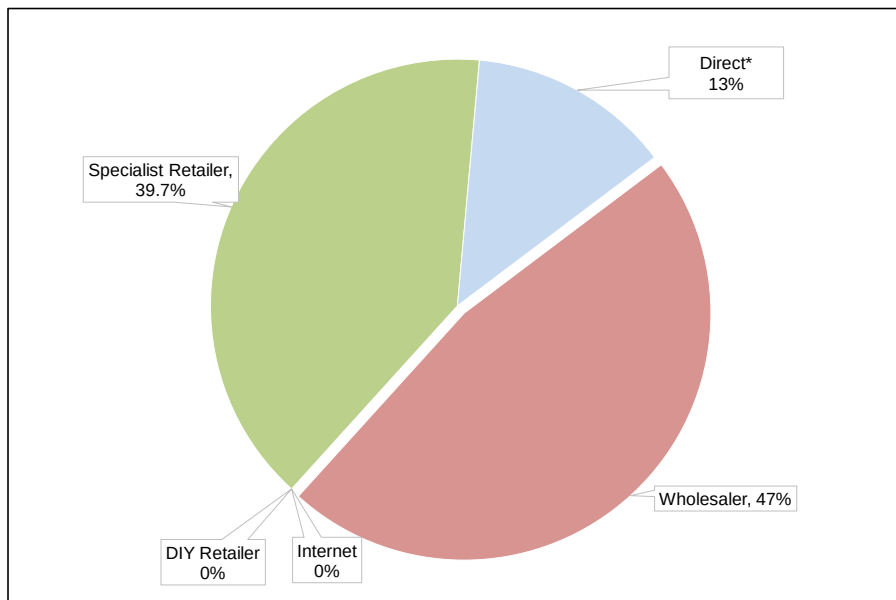
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.0%	0.0%	0.0%	39.7%	13.3%	44.0%	6.6%	45.9%	3.5%
100%					50.6%		49.4%	

6.6.4 Route to Market - Consolidated View : Kitchen Sinks

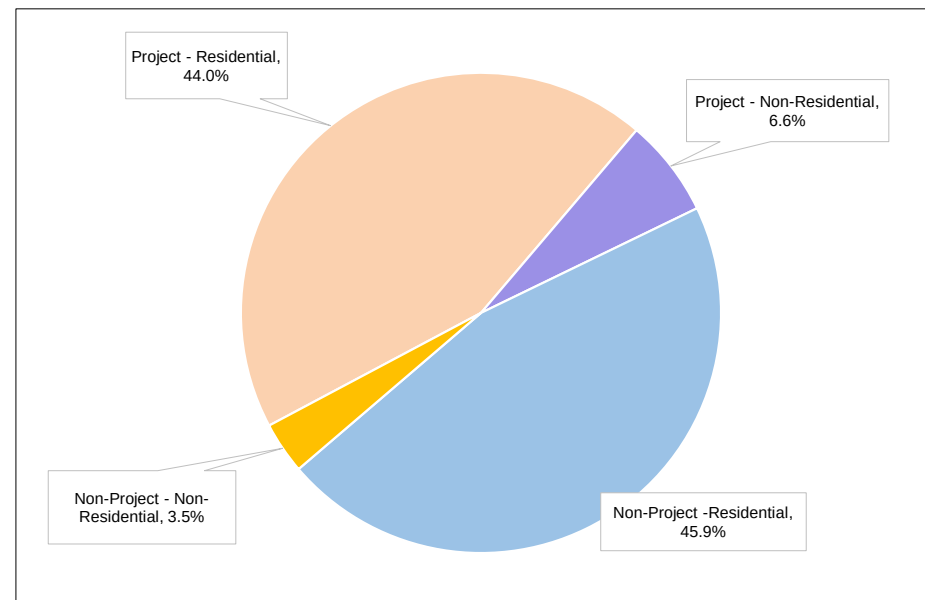
AE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.8%	0.0%	0.0%	40.0%	12.2%	45.5%	7.6%	41.6%	5.3%
100%					53.1%		46.9%	

AE - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



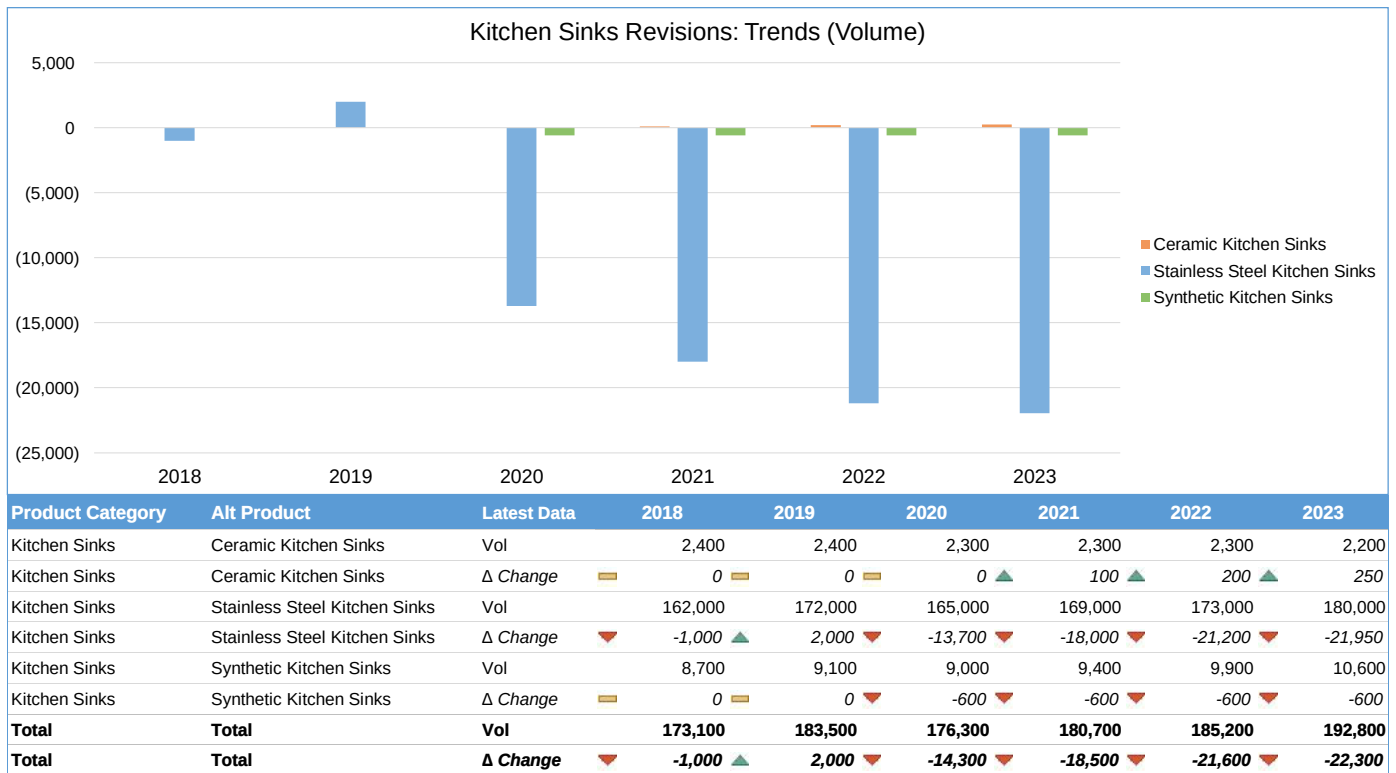
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Emirati Kitchen Sinks Market (April 2020)

AE - REVISIONS IN THE EMIRATI KITCHEN SINKS MARKET

Data Comparison: April 2019



The MSP of synthetic kitchen sinks have been revised upwards, based on industry feedback and analysis of retail price catalogues of various market players.

UAE

KITCHEN FAUCETS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In line with the growth witnessed in the sales of kitchen sinks, the kitchen faucets market has also experienced a healthy growth rate over the last two decades in the UAE. The kitchen faucets are replaced more often than kitchen sinks, rather than being replaced together, as the lifespan of the latter is longer. As most dwelling units have only one kitchen as compared to more than one bathroom, in the new housing sector, the demand for sanitary faucets is relatively higher than kitchen faucets.

The market for kitchen faucets has experienced an entry of a larger number of companies offering their products. Apart from kitchen sink manufacturers which occupy a minority share in this sector, the sanitary faucets are the dominant players in the market, due to their deeper entrenched network, especially in the retail segment and better brand recognition. Since the replacement and remodelling of a kitchen is more expensive than replacing bathroom fixtures, kitchen fixtures are replaced more out of necessity than aesthetics. For example, while handing over the apartment to a new tenant, bathroom fixtures may be replaced while the kitchen will likely be left with existing fixtures, unless needed. However, kitchen faucets are easier to replace and have a shorter lifespan than other kitchen fixtures and fittings, hence they are replaced more often.

The product mix has remained more or less constant, although the kitchen faucets market in the UAE is slowly becoming regulated around the issue of water saving, such as the flow speed allowed per minute. One head mixers are the dominant product while there is also a steady demand for two head mixers. The most popular variety is the long spout one head mixer. Pillar taps are present in mostly the lower and economy segments.

Although many kitchen sink manufacturers also offer kitchen faucets, consumers often purchase a different brand of sink and faucet as per their liking. However, in the case of project sales, sink manufacturers are more successful in selling the sink and faucet of the same brand as a package. The kitchen faucets sold in the UAE are of somewhat better quality because consumers prefer to have a long-lasting product in the kitchen, as they are not refurbished very frequently.

Sales of faucets in the UAE are largely driven by the replacement market (the poor quality of the faucets along with the quality of water reduce dramatically the lifespan of the product) and the new housing segment (due to the high level of construction activity).

Recent Market Trends

In 2019, growth in completion of new residential projects supported the market of kitchen faucets while the replacement market continued to grow at a healthy pace, accounting for a major part of the growth in sales of these items, making 2019 a

positive year for kitchen faucet sales.

Like the faucet market, the kitchen faucet market can also be further divided into two segments; a market organised around brands and supplying new projects and a market that is relatively unorganised, which primarily caters to the replacement demand. The latter accounts for the majority in volume terms but cheap Chinese imports have a significant market share in this sector. Most European brands focus their sales efforts on the project sector and their distributors perceive the evolution of the market through the new construction sector only. During the year, a higher number of project completions, both in the residential as well as non-residential segments, also helped the sales of kitchen faucets.

Prices and Market Values

As in the case of sanitary faucets, the growth in MSPs for faucets in the UAE in 2019 was mostly limited, due to the increasing competition in the market, especially in the lower and economy segments with stiff competition posed by Chinese players.

The growing presence of regional players such as DANUBE's brand MILANO has also increased the price competition in the market. The faucets market in the UAE has high price elasticity, where most homeowners focus on the price first and then the design. As the focus has shifted on affordable housing, so has the market on affordable products.

New Housing

The number of kitchen faucets sold to the new housing sector witnessed positive growth in 2019, due to the increased number of new residential units completed during the year. The one head mixer continued to be widely chosen by developers as well as retail consumers, holding the dominant position among all types of faucets.

Housing RMI

While housing RMI continues to be a big market for kitchen faucets in the UAE in comparison to the other end use sales, the sales of kitchen faucets to this sector also grew at a good pace in 2019.

Despite the fact that the dwelling park is relatively young, faucets that are installed in UAE usually have a very short lifespan, especially in the economy/low ranges which are imported from China and other parts of Asia and are required to be replaced at regular intervals. Furthermore, the poor quality of water in some UAE regions, and high temperature, also reduces the lifespan of faucets. Most replacement demand comes from the lower/economy price segments.

Non-Housing

As in the case of kitchen sinks, the market of kitchen faucets is also limited as compared to sanitary faucets in terms of share of the overall volume. However, the sector still forms an important segment for high quality faucets, as big hotels and restaurants have no budgetary constraints that an average consumer might have.

In 2019, growth in completion of hotels and restaurants, boosted by the tourism sector as well as a number of renovation tasks in Dubai, meant that this sector continued to grow in terms of volume.

Supply Structure

Even though the kitchen sink manufacturers also supply kitchen faucets, they do not have a major share of the market. The majority of the market share is captured by sanitary faucet manufacturers because of their widely entrenched distribution network, better brand recognition, attractive pricing, as well as their own range of kitchen faucets.

In the project sector, kitchen sink manufacturers are often able to sell the kitchen faucets as well as their own brands but in the majority of the retail sales, sanitary faucet companies are more preferred. Even in the project sector, it is not necessary to have the kitchen sink and faucet from the same brand, as building contractors may buy all the faucets installed in a project from one particular company.

As in the case of sanitary faucets, GROHE is the market leader in the kitchen faucet category as well. KLUDIRAK has a sizeable market share and various European brands are also present. In recent years, DANUBE which markets its products under the brand name MILANO has been able to make deep inroads in the middle and lower segments of the market. Various Chinese manufacturers, whose products are marketed by local distributors, are also present in the market and they target the lower and economy segments of the market.

There has been increased focus on water saving, along with durability. Within the medium-end segment, the supply side is slightly changing; Chinese suppliers are starting to offer higher quality products, while European manufacturers and their multiple manufacturing plants in Asia are now able to supply more affordable quality products. Chinese manufacturers are focused more on the demand for new designs, while still offering the cheapest product. For this reason, they hold a significant share of the market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table

II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

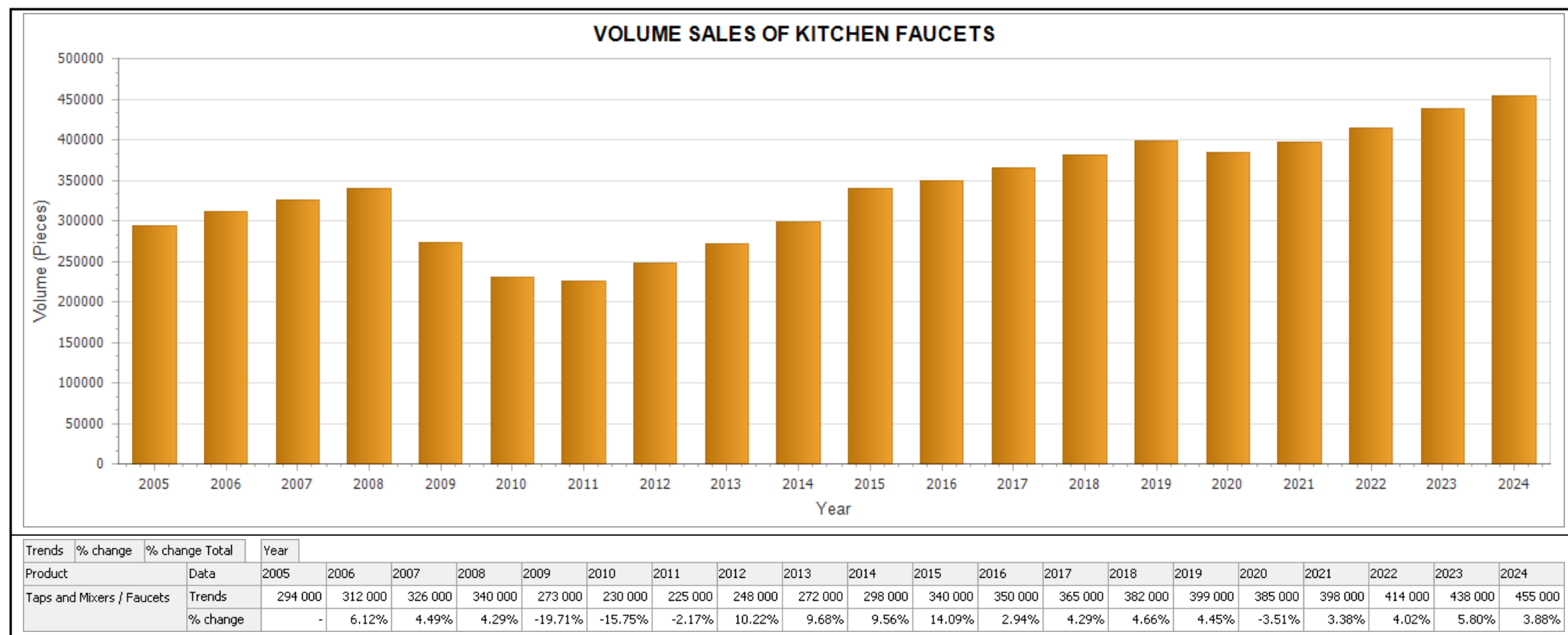
UAE kitchen faucet market started to experience a downward trend during the first quarter of 2020 because of the lockdown restrictions as a result of the COVID-19 outbreak across the Middle East. Although the markets were as expected during the first two months of the year, market activity started to witness a strong decline in March when strict restrictions started to take place in the form of city curfews and lockdowns.

The COVID-19 pandemic has been a disruptive force across all continents in the world and proving a huge hurdle to all economic and developmental activities. Sales have come to a halt and as yet, it is still difficult to know when the outbreak could be contained and when normal business could re-start. The outlook for the rest of the year also remains bleak with looming uncertainty over Expo 2020 event and even the timelines for the re-start of usual business and a lift on the lockdown restrictions. Furthermore, these events are sure to have a cascading effect on the economy of the country.

The bulk of supply of kitchen faucets in the UAE comes from abroad, so it is vulnerable to global pricing fluctuations. As an economy, the UAE is also dependent on private investments from outside, along with a sizeable contribution from the tourism industry. Any decline in these areas could affect the construction industry, which in turn would affect the faucets market. Increasing penetration of the cheap Chinese imports, even in the middle price segment of the market, represents a challenge to the established European as well as regional manufacturers.

7.2 Historical Trends and Forecasts : Kitchen Faucets

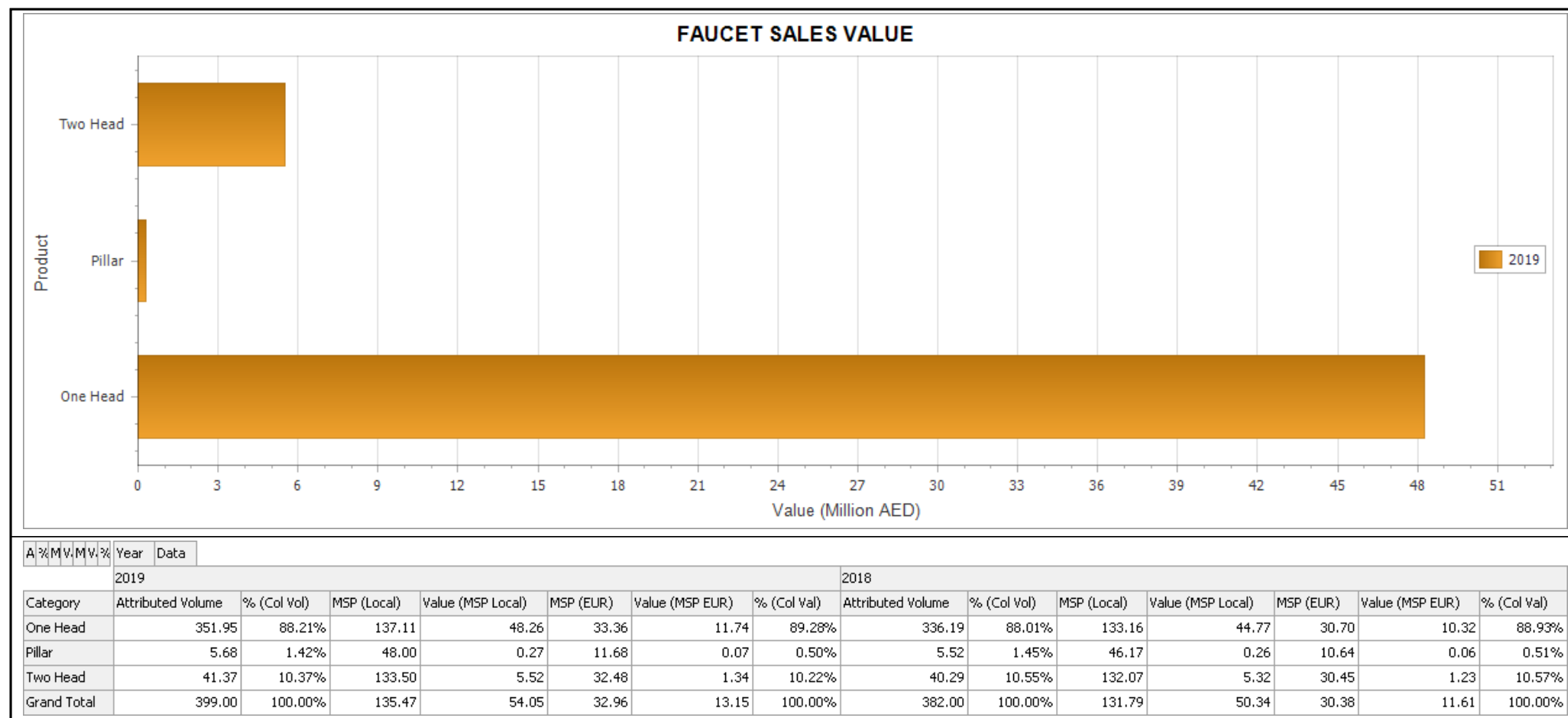
AE - SUMMARY OF TRENDS IN THE KITCHEN FAUCET MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.3.1 Prices and Market Values : Kitchen Faucets

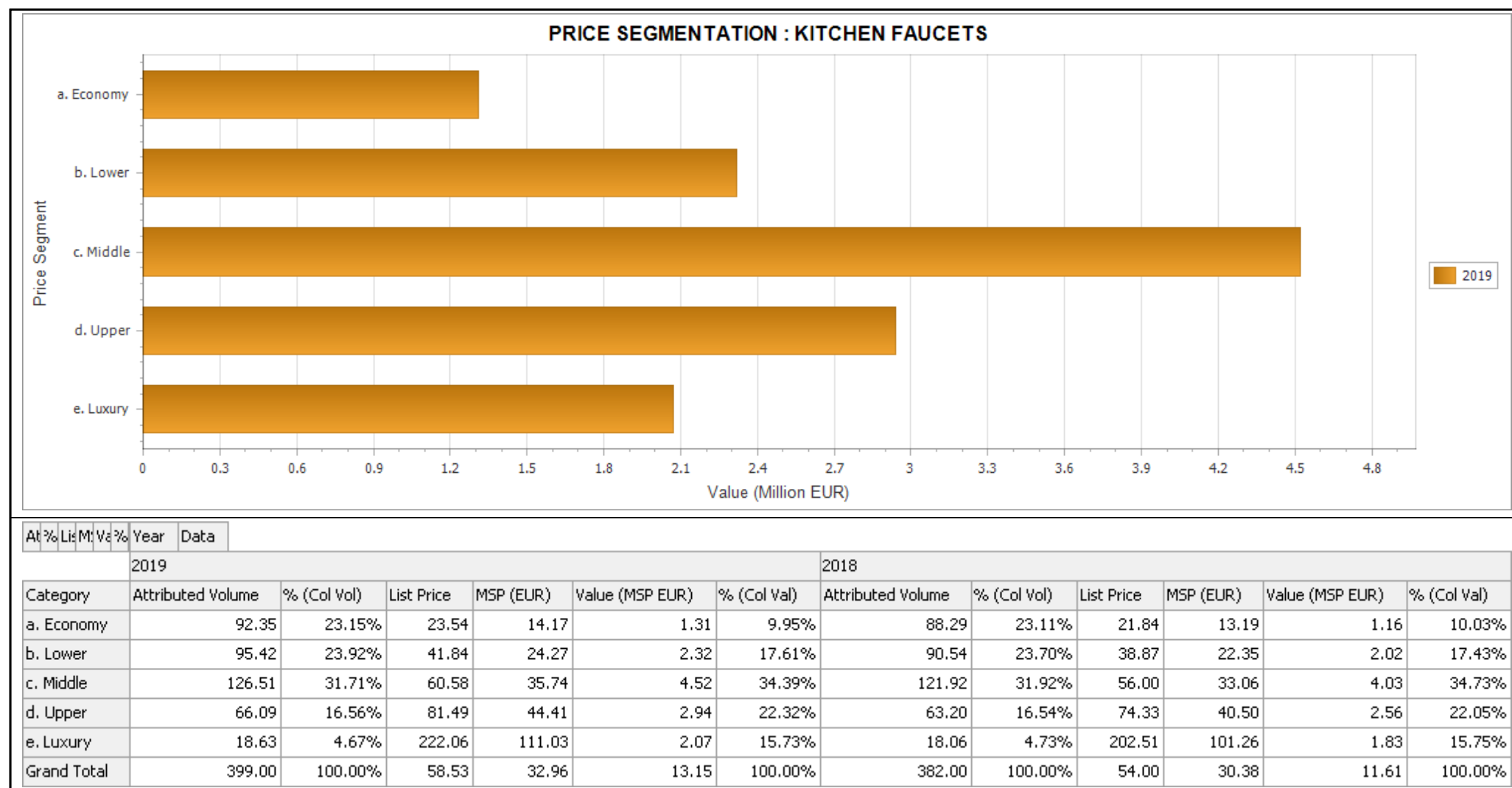
AE - ESTIMATED VALUES OF THE KITCHEN FAUCET MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Local Prices Shown in AED. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

7.3.2 Price Segmentation : Kitchen Faucets

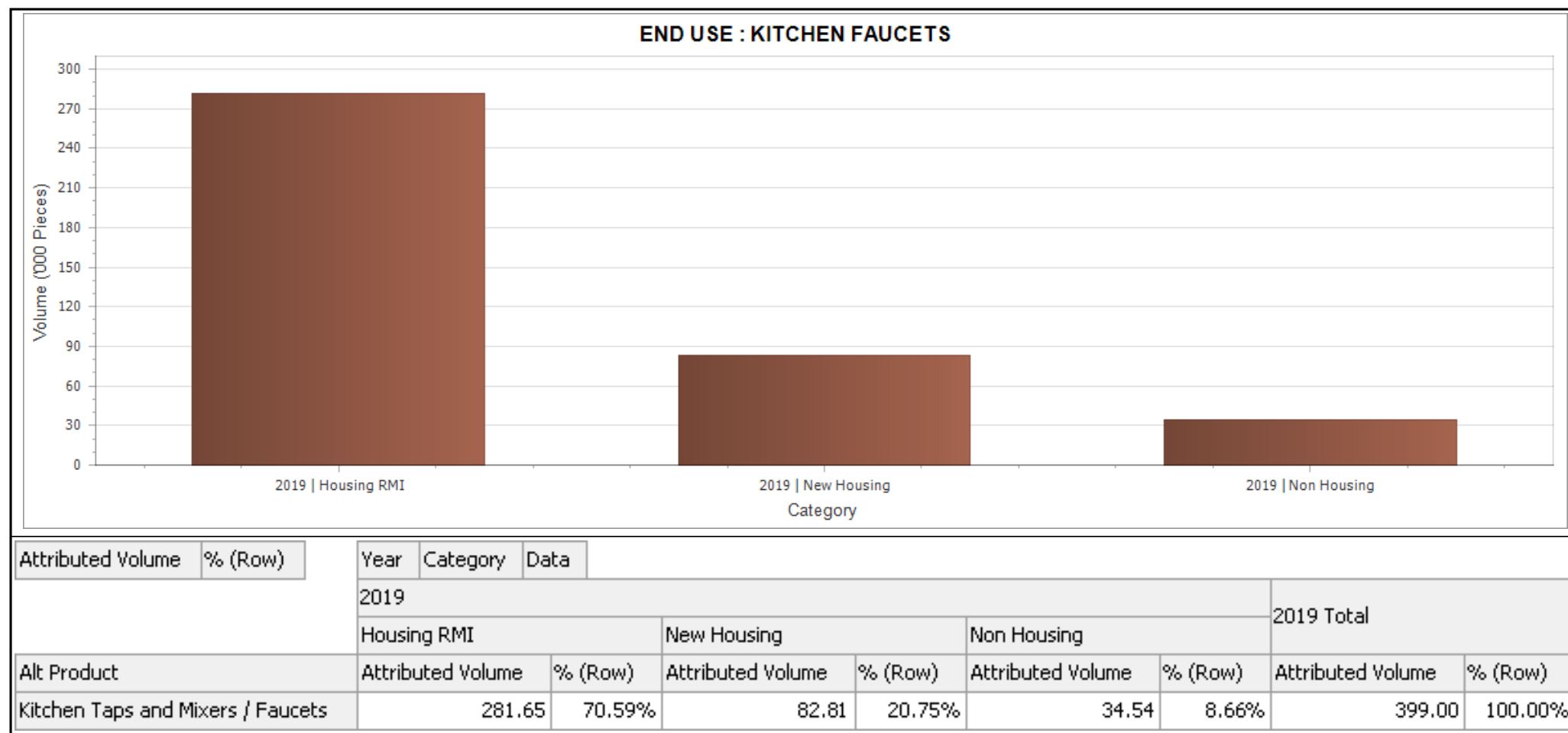
AE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€40, Upper €40-€80 and Luxury >€80

7.4.1 End Use : Base Year

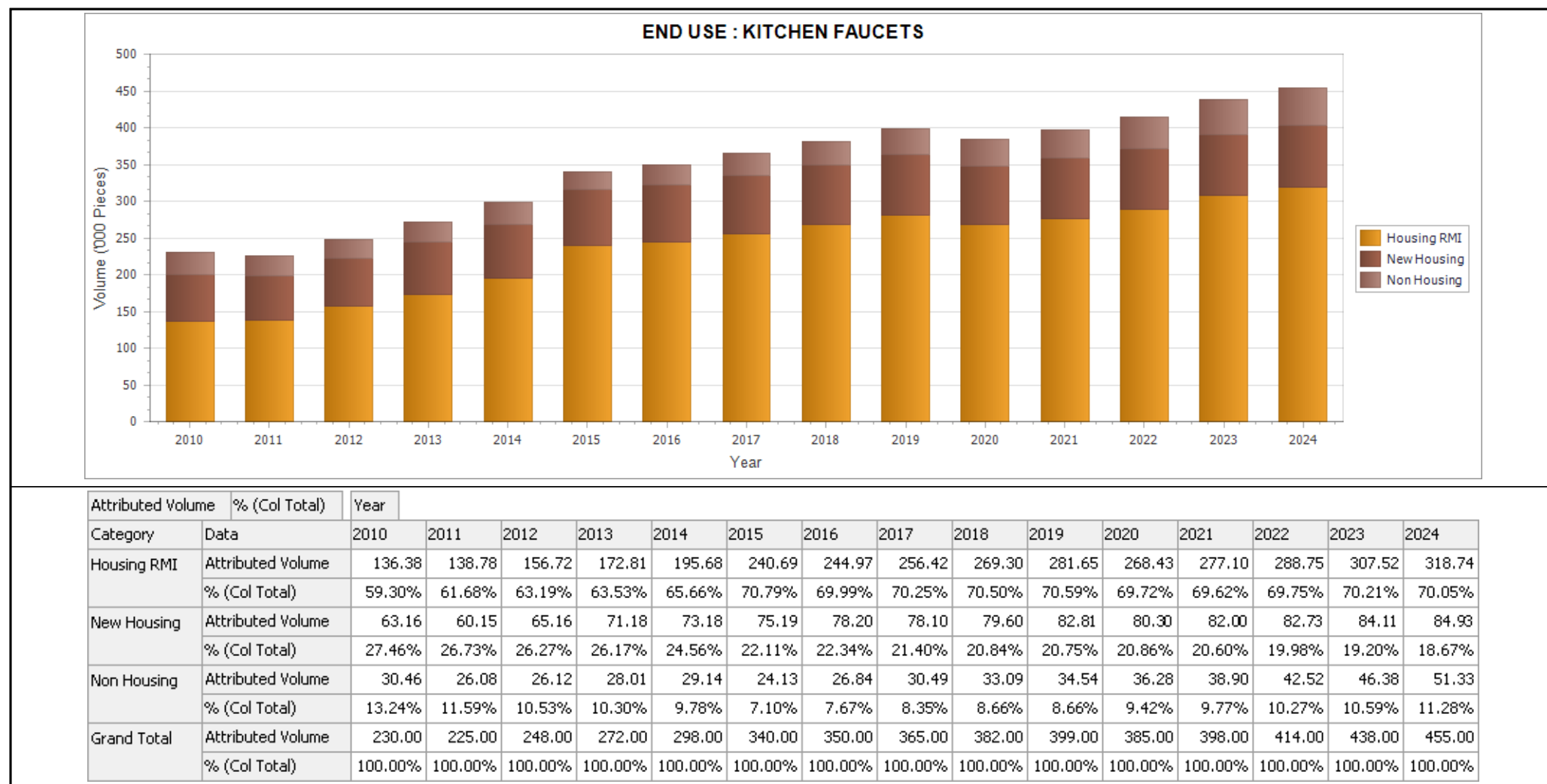
AE - SALES OF KITCHEN FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

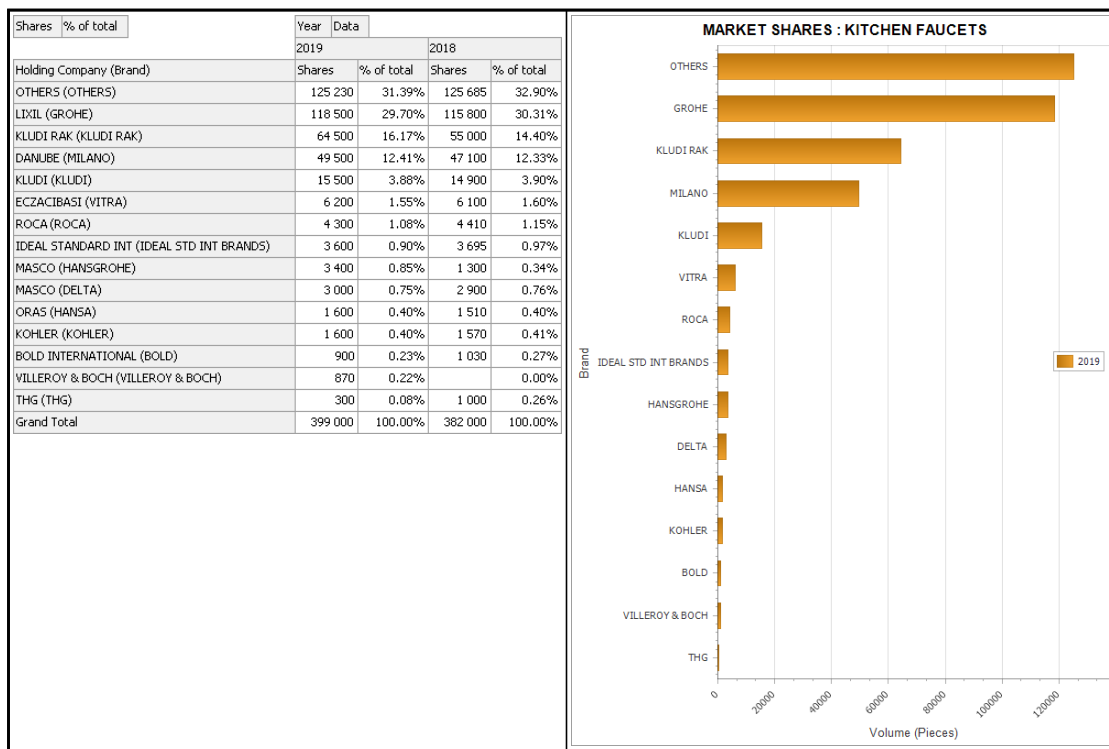
AE - SALES OF KITCHEN FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5 Market Shares : Kitchen Faucets

AE - ESTIMATED MARKET SHARES FOR KITCHEN FAUCETS



Source: BRG based on industry interviews.

7.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.4%
	Wholesalers / Merchants
	57.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.1%	3.5%		0.0%		0.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.6%		0.0%		44.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.6%	2.8%	0.0%	0.0%	1.1%
Installers				
6.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	12.1%	24.3%	6.6%	0.0%	42.0%	6.4%
	Residential					
	91.3%					
	New Build			Residential RMI		
	20.8%			70.6%		
	Project	Non-Project		Project	Non-Project	
	18.5%	2.3%		3.5%	67.1%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	5.0%	2.0%	0.0%	0.0%	1.5%	0.1%
	Non-Residential					
	8.7%					
	New Build			Non-Residential RMI		
	7.9%			0.8%		
	Project	Non-Project		Project	Non-Project	
	7.0%	0.9%		0.5%	0.3%	

7.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.0%
	Wholesalers / Merchants
	57.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.5%	4.0%		0.0%		0.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.5%		0.0%		45.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	2.8%	0.0%	0.0%	0.7%
Installers				
6.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	10.5%	23.0%	7.5%	0.0%	42.3%	5.4%
	Residential					
	88.7%					
	New Build			Residential RMI		
	18.7%			70.1%		
	Project	Non-Project		Project	Non-Project	
	16.9%	1.8%		5.0%	65.1%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	6.5%	2.2%	0.0%	0.0%	2.0%	0.6%
	Non-Residential					
	11.3%					
	New Build			Non-Residential RMI		
	10.8%			0.5%		
	Project	Non-Project		Project	Non-Project	
	9.8%	1.0%		0.4%	0.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

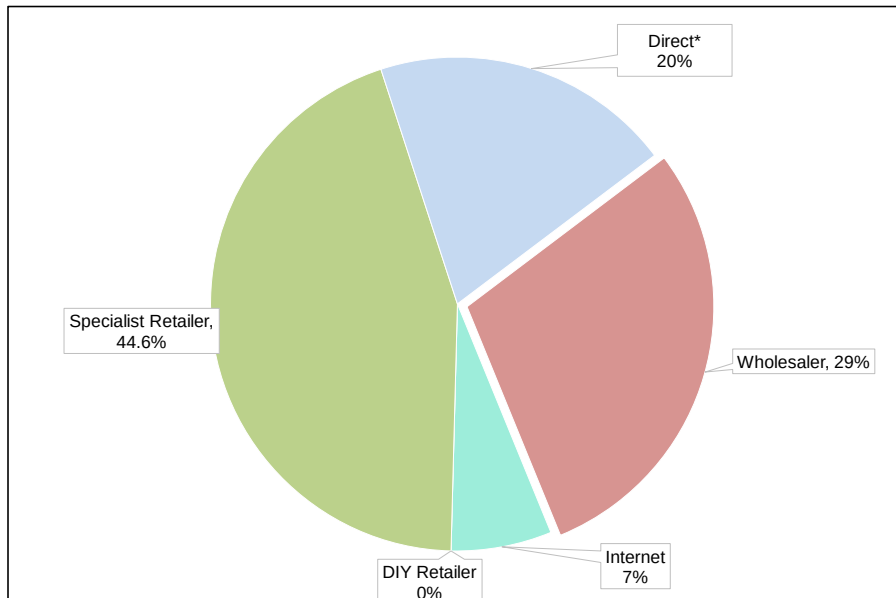
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.1%	6.6%	0.0%	44.6%	19.7%	22.0%	7.5%	69.3%	1.2%
100%					29.5%		70.5%	

7.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

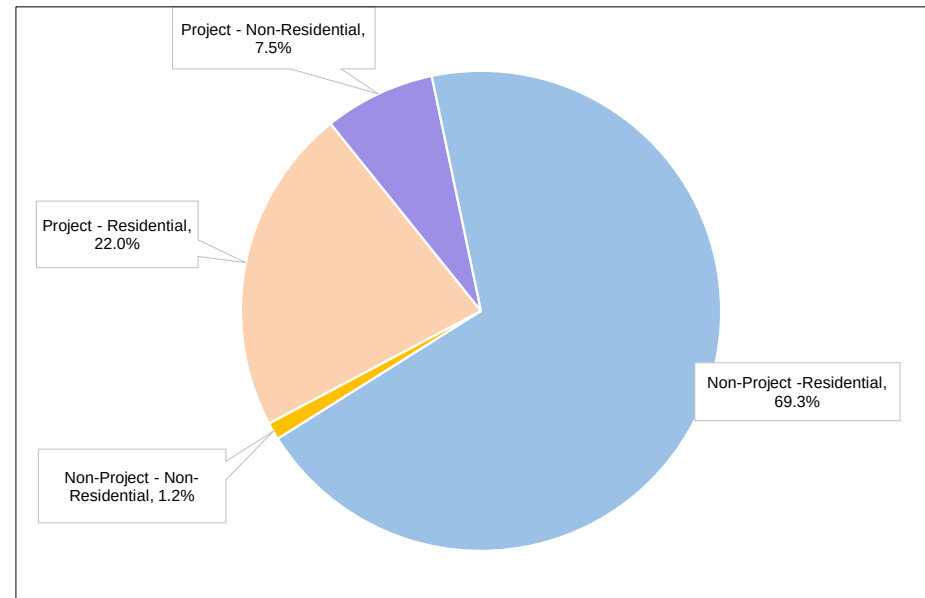
AE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.0%	7.5%	0.0%	45.0%	19.5%	21.9%	10.2%	66.8%	1.1%
100%					32.1%		67.9%	

AE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



AE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



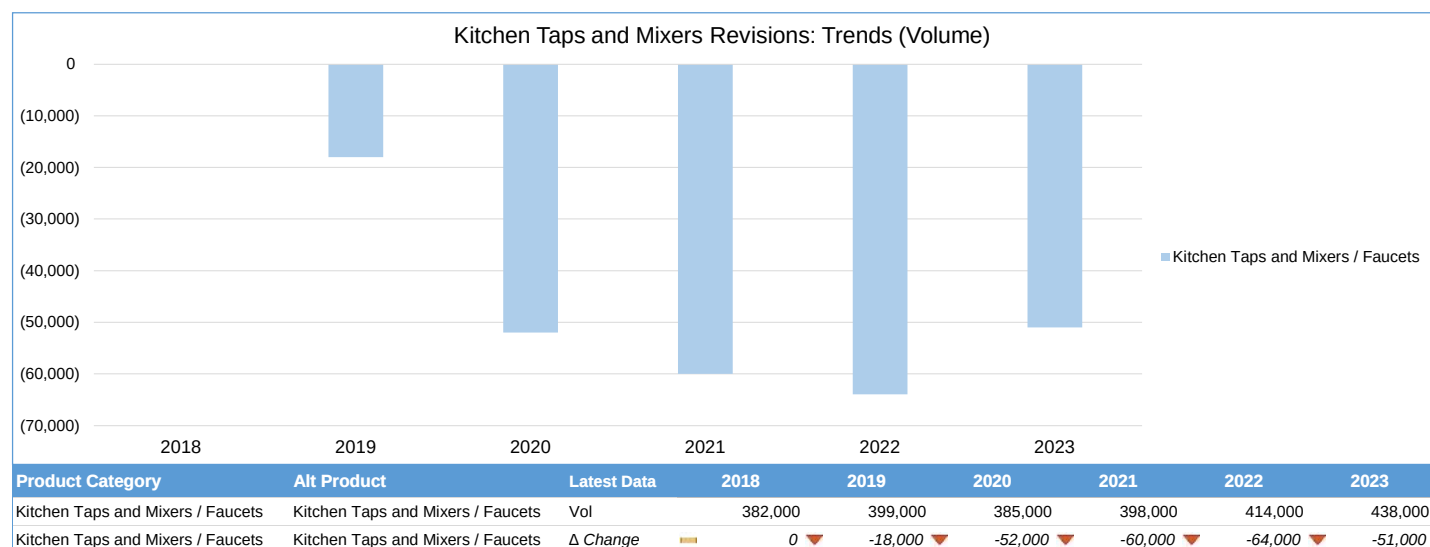
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Emirati Kitchen Taps and Mixers Market (April 2020)

AE - REVISIONS IN THE EMIRATI KITCHEN TAPS AND MIXERS MARKET

Data Comparison: April 2019



The overall market sizes for kitchen taps and mixers were slightly adjusted downwards, both historically and during the base year. These adjustments were made based on further analysis of import numbers as well as adjustment in replacement rate of these products which was previously overestimated.

The values of kitchen taps and mixers were adjusted slightly in line with the changes made to the overall market sizes. The product mix and price segmentation of kitchen taps and mixers were slightly altered, resulting in changes in overall MSPs.